

S. HRG. 114-497

**ALASKA RESOURCE DEVELOPMENT—
OPPORTUNITIES TO CREATE JOBS AND
STRENGTHEN NATIONAL SECURITY**

FIELD HEARING
BEFORE THE
COMMITTEE ON
ENERGY AND NATURAL RESOURCES
UNITED STATES SENATE
ONE HUNDRED FOURTEENTH CONGRESS
SECOND SESSION

MARCH 28, 2016



Printed for the use of the
Committee on Energy and Natural Resources

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U.S. GOVERNMENT PUBLISHING OFFICE

21-970

WASHINGTON : 2017

For sale by the Superintendent of Documents, U.S. Government Publishing Office
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ALASKA RESOURCE DEVELOPMENT—OPPORTUNITIES TO CREATE JOBS AND STRENGTHEN NATIONAL SECURITY

MONDAY, MARCH 28, 2016

U.S. SENATE,
COMMITTEE ON ENERGY AND NATURAL RESOURCES,
Fairbanks, AK.

The Committee met, pursuant to notice, at 1:00 p.m. AKDT at the Pipeline Training Center, 3605 Cartwright Court, Building C, Fairbanks, Alaska, Hon. Lisa Murkowski, Chairman of the Committee, presiding.

OPENING STATEMENT OF HON. LISA MURKOWSKI, U.S. SENATOR FROM ALASKA

The CHAIRMAN. Good afternoon and welcome to all of you. I would like to thank the Pipeline Training Center for allowing us to be here this afternoon for this field hearing of the Senate Energy and Natural Resources Committee.

Before I begin my remarks I would like to invite Chad Hutchinson to come up and give us a little bit of a welcome and a safety moment, if you will.

Mr. HUTCHINSON. Hello, everybody. Welcome to Fairbanks Pipeline Training Center. I thank everybody for coming to join us today.

We're just going to start out and have a safety minute as we do with all trainings here at the Training Center.

The first thing I'd like to point out is the exits. In case of emergency there are the four exits over to the side, out the back, down the hall.

Muster point, if we all have to leave we'll be over at camp. We have a construction camp over here and it's got a big letter E on top of it, E. So that will be our muster point.

There's an AED (defibrillator) just across the hall out here on the right.

The rest rooms are just across the hall to the right also.

It is great that you all have come to Fairbanks. You're all looking very excited. You want to get out. You want to do things. Temperatures are getting up into the 40s, but we have to keep in mind it's getting down into the 20s at night, so it's still freezing. Allow yourselves a little bit of extra time, especially in the morning, tomorrow morning. They say it's going to snow a couple inches tonight, again. So if that happens we all know there's going to be ice underneath

that snow. So we're going to have to be careful where we're walking, going to have to pay attention.

My wife, as some of you know, she's still getting over a surgery on her shoulder. She slipped in a parking lot on ice. So please, take your time, walk.

That concludes our safety minute.

So with that, thank you, Senator.

The CHAIRMAN. Thank you, Chad, we appreciate it. And again, thank you for the opportunity to be in your facility here today.

I would like to welcome all of the witnesses that have joined us for an important discussion about resource development within the State of Alaska.

As many of you, I am sure, know, it was gold mining that ultimately determined the location of Fairbanks. It was Captain Barnette's river boat that ran aground on the Chena and fate determined where his mining supply business was to be located. While Barnette was, perhaps, too late and too far away to profit from the Klondike gold rush, he was part of the Fairbanks gold rush that led us to modern day.

Today Fort Knox and Pogo, both world class mines north and south of the city, continue the proud tradition to give meaning to Fairbanks' motto: The Golden Heart City.

This region, like so much of our state, is blessed with vast natural resources that we can use to gain prosperity and fulfill promises of statehood.

Today is Seward's Day. I actually forgot about that when we scheduled this hearing. But it is Seward's Day and there is still a little bit of laughter and chuckle when people think about Seward's ice box or Seward's folly. But not even Seward could have conceived of the vast resource wealth when the U.S. purchased this amazing state from Russia.

Alaska has what virtually no one else has: Tens of billions of barrels of oil, hundreds of trillions of cubic feet of natural gas, a massive supply of coal, countless deposits of hard rock minerals, and of course, renewable resources beyond imagination. If we can harness them, then we can supply them to the rest of our nation to sustain our growth, our competitiveness and our security.

Really our hardest task is not in finding the resources or developing the know-how or recruiting the manpower needed to responsibly produce them. Instead, it is really overcoming the restrictions that are imposed, oftentimes, by our own Federal Government which fails to understand why Alaskans must be allowed to explore and to develop.

Tens of millions of acres of our lands and waters have been unilaterally withdrawn in recent years, against our strongest objections, and in my view, oftentimes in violation of the law. The 10-02 area of ANWR remains locked away. The Federal Government has made commercial production all but impossible in the offshore Arctic. It took far longer for CD-5 in a National Petroleum Reserve to gain regulatory approval than it should have.

We have also witnessed repeated attempts to expand the use of pseudo wilderness designations from "aquatic resources of national importance" to "areas of critical environmental concern" and "outstanding national resource waters," all to circumvent ANILCA's "no

more” clauses and to stop development. At the same time federal agencies have generally become less cooperative, less willing to work with us to get to “yes,” and instead start and stay at “no.”

Even producing on state lands has become more difficult, more costly, more complex and more time consuming for the likes of ASRC and Ahtna by virtue of actions that are taken at the federal level.

We also face a crush of national regulations, from the Waters of the United States Rule to the Stream Protection Rule and a movement that believes that keeping needed resources in the ground will somehow result in a safer, more stable world.

All of this comes at a time of low resource prices, at a time when the Federal Government should be trying to protect the competitiveness of our extractive industries, not finding ways to close off access and strand their capital. This is a time when we should be opening our lands and waters to responsible development, streamlining the permitting process and working to ensure that protests and litigation do not hold us back. This is a critical time for resource production in our state.

I believe that we need to speak up. We need to highlight the hypocrisy that we see in efforts to lock down our lands while at the same time demonstrating how well we care for the environment as we develop our natural resources. There is no better way to do that than by hearing from Alaskans who know the benefits that come from increased resource production and what needs to be done at the federal level to unleash our potential.

We have played a tremendous amount of defense in recent years and in many ways have, kind of, held our own. But in the remaining months of this Administration we could, yet again, be put back on our heels. We must be prepared for a new Administration that will take office just ten months from now, not knowing whether it will be friendlier in nature or perhaps even more antagonistic.

We have got our work cut out for us. That any resource project can survive the current interplay between federal agencies and millions of pages of rules and countless more pages of guidelines, manuals, legal opinions and planning documents seems almost miraculous, but we know that it can be done.

The states, including Alaska, typically permit projects in a fraction of the time that it takes the Federal Government. The offshore regulatory regime imposed in Alaska may be chaotic, but look at other countries. Look at Norway and Russia that have vibrant programs in their OCS regions. We can also look around the world and realize that it should take far less than seven to ten years for a new mine to begin operation.

But I am optimistic about Alaska’s future. We have resources that all other nations covet. We are a provider in a growing and hungry world.

We know that prices are low right now, but we have seen prices go up and we have seen prices go down. A majority of our citizens strongly support production because they understand the wide ranging benefits that “Made in the U.S.A.” carries, whether it is high paying jobs, to revenues, to energy and national security.

So today we are gathering good ideas and counsel on how we might amend, reform, direct and provide oversight of federal law

in federal agencies. This is an opportunity, again, to hear from many in the sectors across the state. We have three strong panels that are with us this afternoon.

The plan, or the schedule, for the next almost three hours will be to hear from the three panels, taking testimony about five minutes from each witness. I will have an opportunity at the conclusion of each panel to direct questions to the panelists. Once we have concluded the three panels, if we have time before the conclusion of the four o'clock hour, which I am most hopeful that we will, we will invite people who have joined us here this afternoon to offer their public comment. We ask that the comment be limited.

There is a signup sheet somewhere in the back, at the back of the room there with Mr. Hammond. When we get to that point in the afternoon, we will give further instructions as to how we are going to move forward with that portion of the testimony.

With that, I would like to commence with the first panel.

It will be led off by Michelle Anderson, who is President of Ahtna Incorporated. It is good to have Michelle here in her leadership in a host of different areas. We just visited last week down in Anchorage.

Admiral Tom Barrett, who is the President of Alyeska Pipeline Service Company, is with us.

He will be followed by Mr. Richard Glenn, who is the Executive Vice President for Arctic Slope Regional Corporation.

The final panelist on panel one is Mr. Joe Marushack, who is President for ConocoPhillips, Alaska.

Know that your full written statements will be included as part of the record as will all those who provide testimony to us this afternoon.

So welcome to the field hearing, and thank you for being here. Michelle, if you would like to begin with your comments.

STATEMENT OF MICHELLE ANDERSON, PRESIDENT, AHTNA, INC.

Ms. ANDERSON. Thank you. Thank you, Senator.

Good afternoon. My name is Michelle Anderson. I am pleased to have the opportunity to provide comments to the Committee. I am a charter member of the Native Village of Gulkana, an Ahtna Shareholder and President of Ahtna, Incorporated.

Ahtna is the smallest Alaska regional corporation established under ANCSA in 1971 and represents the interests of over 1,900 Ahtna Athabascan shareholders. The Ahtna region encompasses eight villages and holds title to 1.6 million acres of land in South Central Alaska. All of our villages are connected by the road system. Raised in the Ahtna region, I am deeply committed to protecting my culture and our way of life, responsible land development and securing economic benefits for those I serve. I believe that these goals can coexist.

Ahtna's lands extend from the Denali Preserve to the Chitina. They surround North America's tallest peak, Mt. Denali, to America's largest national park, Wrangell-St. Elias. Ahtna has 622,000 acres of land in the Wrangell-St. Elias National Park and Preserve, lands that our elders selected prior to the creation of the park.

Ahtna is now one of the largest in-holders of private property within public lands in the United States.

Our lands are of paramount importance to the Ahtna people who have lived here for thousands of years and depend on hunting, fishing and other resources to sustain our way of life.

Ahtna's leaders have made it possible for the Trans-Alaska Pipeline System (TAPS) to be constructed from 1974 to 1977. A 55-mile corridor through Ahtna's fee-simple lands was set aside for the 48-inch diameter pipeline. TAPS Pump Station 11 and the Glennallen Response Base were built near my family's home.

TAPS has transported approximately 17 billion barrels of oil through our lands in a safe and environmentally sound manner. My family, like so many others, directly benefitted from TAPS as both my parents worked on the pipeline. In fact, my father still works on TAPS today for Alyeska Pipeline Service Company.

Ahtna's shareholders and many other Alaska regional and village corporations have benefitted from TAPS with employment, contracting and training opportunities. In 2015, 39 percent of Ahtna employees on TAPS were Alaska Natives. These are highly paid jobs in a great work environment.

Ahtna's concern is that TAPS is operating at approximately 25 percent of its capacity. The State of Alaska with Prudhoe Bay and Kuparuk have opened up their lands for safe and responsible resource development. Alaska Native Corporations like ASRC and Kuukpik Corporation made Alpine possible.

ASRC shares 70 percent of the profits derived from Alpine with other regional corporations as a provision of 7(i) of ANSCA. Alaskans finally got our first North Slope oil in the federally-owned NPRA with CD-5 in late 2015. ConocoPhillips and its predecessor companies have tried for a very long period of time to develop oil.

Senator Murkowski has been a vocal advocate of cleaning up NPRA from damages inflicted by the Federal Government over the last 60 plus years and it's finally happening.

It takes years, even decades, to drill just one exploratory well when the Federal Government is involved in the process. Our TAPS pipeline needs a lot more oil which needs to come from federal lands.

Speaking as a mother of two sons in college, they will need work opportunities to remain living in Alaska. The Federal Government owns over 60 percent of Alaska's 365 million acres of land. Ahtna has proven that a major world-class pipeline like TAPS can safely transport through our own lands. TAPS just needs more oil, particularly from federal lands, to keep running for future generations.

In August 2015 I had the pleasure of meeting with President Obama along with other Alaska Native leaders. I stressed to the President the importance of Alaska LNG for all Alaskans. Approximately 35 miles of proposed Alaska LNG pipeline would flow underneath our beautiful Ahtna land. The Ahtna people will require this project to be constructed to the highest worldwide standards including materials and personnel. We are confident that the State of Alaska and its industry partners will be able to deliver.

For the benefit of Ahtna shareholders and all Alaskans we need the Federal Government to open up their lands in a timely manner. This must include efficient land uses, permitting and a collabo-

rative relationship with the State of Alaska and industry for both oil and gas and mining. Ahtna owns some of the most pristine lands in the world and we have proven that development can occur safely and to the economic benefit of all Alaskans. The vast majority of Alaska's federally-owned, resource rich lands are seldom, if ever, seen by Alaskans.

In 1971, 45 years ago, ANCSA was passed. Ahtna was to receive title to land of 1.77 million acres. All these years later we are still waiting for a quarter of a million acres to complete our land settlement. Alaskans are frustrated that the Federal Government does not move very fast when Alaska acreage is part of the equation.

We need the Federal Government to take a proactive approach with their vast acreage to provide economic benefits for Ahtna and all Alaskans. Several Alaska regional corporations, including Doyon and Ahtna, are attempting to develop our own lands for oil and gas. We need major oil and gas and mining companies to continue making multi-billion dollar investments in Alaska to keep TAPS running for the next 40 years to protect our Ahtna culture and to provide economic benefits to our shareholders.

On behalf of all the Ahtna people I sincerely appreciate the opportunity to speak today. Tsin'aen.

[The prepared statement of Ms. Anderson follows:]

Testimony for Michelle Anderson – President, Ahtna, Inc.
 Senate Committee on Energy and Natural Resource Field Hearing
 March 28, 2016 at 1:00 p.m., Pipeline Training Center in Fairbanks, AK

Ahtna

Good afternoon my name is Michelle Anderson. I am very pleased to have the opportunity to provide comments to the committee. I am a tribal member of the Native Village of Gulkana, an Ahtna shareholder and the President of Ahtna, Inc.

Ahtna is the Alaska Regional Corporation established under ANCSA in 1971 and represents the interests of over 1,900 Ahtna Athabascan shareholders. The Ahtna region encompasses eight villages and holds title to 1.6 million acres of land in Southeast Central Alaska. All of our villages are connected by the road system. Raised in the Ahtna region, I am deeply committed to protecting my culture and our way of life, responsible land development and securing economic benefits for those I serve. I believe that these three goals can co-exist.

Ahtna's lands extend from the Denali Preserve to Chitina. They surround North America's tallest peak, Mt. Denali, to America's largest National Park, Wrangell St. Elias (WSE). Ahtna has 600,000 acres of land in the Wrangell St. Elias National Park and Preserve, lands that our Elders selected prior to the creation of the Park. Ahtna is now one of the largest in-holders of private property in public lands in the United States. Our lands are of paramount importance to the Ahtna people who have lived there for thousands of years, and depend on hunting, fishing and other resources to sustain our way of life.

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Ahtna's concern is that TAPS is operating at approximately 25% of its capacity. The State of Alaska (SOA), with Prudhoe Bay and Kuparuk, have opened up their lands for safe and responsible resource development. Alaska Native Corporations, like ASRC and Kuukpik Corporation, made Alpine possible. ASRC shares 70% of the profits derived from Alpine with other regional corporations as a provision of 7(i) of ANCSA. Alaskans finally got our first North Slope oil from the federally-owned NPRA with CD5 in late 2015. Conoco Phillips and its predecessor companies have tried for a very long period of time to develop oil. Senator Murkowski has been a vocal advocate of cleaning up NPRA from damages inflicted by the federal government over the last sixty plus years and its finally happening.

Testimony for Michelle Anderson – President, Ahtna, Inc.
 Senate Committee on Energy and Natural Resource Field Hearing
 March 28, 2016 at 1:00 p.m., Pipeline Training Center in Fairbanks, AK

Ahtna

It takes years, even decades, to drill just one exploratory well, when the federal government is involved in the process. ANWR is off limits. Alaska Native Corporations were promised that ANWR would not be closed off for oil and gas development in an area the size of an international airport. The vast majority of Alaskans want to see NPRA, OCS and ANWR opened up for safe and sound development.

Our TAPS pipeline needs a lot more oil which needs to come from federal lands. Speaking as the mother of two sons in college, they will need work opportunities to remain living in Alaska. The federal government owns over 60% of Alaska's 365 million acres. Ahtna has proven that a major world-class pipeline, like TAPS, can safely transport oil through our own lands. TAPS just needs more oil, particularly from federal lands, to keep running for future generations.

In August 2015, I had the distinct pleasure of meeting with President Obama along with other Alaska Native leaders. I stressed to the President the importance of AKLNG for Ahtna and all Alaskans. Approximately 35 miles of the proposed AKLNG pipeline would flow underneath our beautiful Ahtna lands. The Ahtna people will require this project to be constructed to the highest worldwide standards, including materials and personnel. We are confident that the SOA and its industry partners will be able to deliver.

For the benefit of Ahtna shareholders, and all Alaskans, we need the federal government to open up their lands in a timely manner. This must include efficient land leases, permitting, and a collaborative relationship with the SOA and industry for both oil and gas and mining. Ahtna owns some of the most pristine lands in the world and we have proven that development can occur safely and to the economic benefit of all Alaskans. The vast majority of Alaska's federally-owned resource rich lands, are seldom, if ever, viewed by Alaskans.

In 1971 (45 years ago), ANCSA was passed. Ahtna was to receive title to land of 1.77 million acres. All these years later we are still waiting for a quarter of a million acres to complete our land settlement. Alaskans are frustrated that the federal government does not move very fast when Alaska acreage is part of the equation.

We need the federal government to take a proactive approach with their vast acreage to provide economic benefits for Ahtna and all Alaskans. Several Alaska Regional Corporations, including Doyon and Ahtna, are attempting to develop our own lands for oil and gas development. We need major oil and gas and mining companies to continue making multi-billion dollar investments in Alaska to keep TAPS running for the next 40 years, to protect our Ahtna culture and to provide economic benefits to our shareholders. On behalf of all the Ahtna people, I sincerely appreciated the opportunity to speak today. Tsin'aen.

The CHAIRMAN. Thank you, Michelle.
Admiral Barrett, welcome to the Committee.

**STATEMENT OF ADMIRAL TOM BARRETT, PRESIDENT,
ALYESKA PIPELINE SERVICE COMPANY**

Admiral BARRETT. Chairman Murkowski, thank you for the opportunity to testify. I'm particularly delighted to have this opportunity to be at the Pipeline Training Center. Alyeska has been proud to be part of supporting this organization since start-up and they have helped train many of the high skilled, very smart and very tough workers that our company, our industry and actually, the state depends on. So I want to thank them for that also. They've been a huge basis of support for us.

TAPS, the Trans-Alaska Pipeline System, is fundamentally sound infrastructure, although it's a little low, but it's fundamentally sound. We have an extremely strong workforce, but we're operating well under capacity.

This morning I saw a note from our Oil Movement Engineering Director. He was up at Pump Station One on Friday, and we ran a successful full load test on new pumps that we've installed up there, new booster pumps. That's part of our renewal process on the system. And so we ran them up to a full load and proved that it was running fine. That's 1.09 million barrels for a full load.

Today is one of the best days we've had this winter on the pipeline, and our numbers are higher in the winter than in the summer. We were at 556,000 barrels. So without any change, without any strain, without any lift, we could take in up to 1.09 million barrels if it was available to us today.

The low flow, as you know and I've talked about before, it creates many challenges with water and wax and just the flow rate. It's, kind of, like your car. It's designed to actually to run very efficiently when your vehicle is at 55/60 miles an hour down the highway. If you ran it all the time at 15 or 20 miles an hour, you'd get super build up and your spark plugs would clog. Pretty soon you would get backfires. You need to maintain the car much more aggressively.

And that's kind of, TAPS. We're running well below the space that we were designed to run. We're confident we can handle that. We've got a great, great workforce and are constantly renewing, but it is costly. It's increasingly complex, and it's difficult for us to do.

We do know, and our workforce knows, both our own employees and our contractors, that we need to operate safely, and we do. Last year was the safest year ever in TAPS history. We had near perfect reliability. We had an extremely strong environmental record.

And as you look around at some of the recognition our people have gotten, we received the API Large Pipeline Operator Award for environmental performance, we received the Governor's Safety Award, for the fifth year in a row we were selected as one of the world's most ethical companies, and we received for our Vessel of Opportunity Program in Prince William Sound a Stewardship Award from the Alaska Sea Life Center.

My point to you though is that the backbone of our organization is not simply infrastructure. It's our people, both blue collar and white collar workforces. We're over 90 percent Alaska-based, 70 percent by the way of partnerships with our contractors, our Alaska-based companies. We're 20 percent Alaska Native. We're over 30 percent women. We're over 33 percent minority. And our key partners include companies like Doyon and ASRC and Ahtna and Chugach and NANA. We're very proud of that.

And our people, in many cases, are the backbones in their communities so the benefit that comes is not just the jobs, but the people that come with those jobs, the families that come with those jobs and what they contribute to their communities whether it's food banks, United Way, coaching sports teams, being active in churches. They are the backbone of many Alaska communities, and we're very proud of that. They're very generous with their time, their leadership and their energy.

So the key to keep our sustained ability is throughput. I heard a statement—up in Fairbanks here you had a big week last week with the Arctic Council meetings. I heard Else-Berit Eikeland, the Norwegian Ambassador to the Arctic Council, speak two weeks ago in Anchorage. She said Norway supports more oil development in the Barents Sea, and this is a senior Norwegian official, recognizing the risks.

She said the reason they can get it is because they understand that what comes with that development is foundation to the health and well-being of their communities. Norway has the highest percentage of its population of any circumpolar nation living above the Arctic Circle. So I think that's the opportunity to both sustain and create more opportunities for that population.

Senator, you mentioned many times before, we need better access. We need to improve the regulatory environment. If we get that I think we can safely deliver oil that benefits U.S. national security, the State of Alaska proudly and many thousands of people who work on support and benefit from our activities.

Thank you very much.

[The prepared statement of Admiral Barrett follows:]

Statement of Tom Barrett
President
Alyeska Pipeline Service Company
P.O. Box 196660
Anchorage, AK 99519-6660

before the
Committee on Energy and Natural Resources
United States Senate

Regarding
Benefits and Opportunities of Alaska Resource Production

March 28, 2016
1:00 p.m.
Pipeline Training Center
3605 Cartwright Court, Building C
Fairbanks, Alaska

Statement of Tom Barrett
President
Alyeska Pipeline Service Company
P.O. Box 196660
Anchorage, AK 99519-6660
before the
Committee on Energy and Natural Resources
United States Senate
Regarding
Benefits and Opportunities of Alaska Resource Production
March 28, 2016
1:00 p.m.
Pipeline Training Center
3605 Cartwright Court, Building C
Fairbanks, Alaska

Chairman Murkowski, thank you for the opportunity to discuss the benefits and opportunities of Alaska resource production as it relates to the Trans-Alaska Pipeline System (TAPS). I believe we must strengthen Alaska resource production opportunities so that we may continue into the future the benefits that TAPS provides Alaska, our nation, and the American people.

TAPS is a remarkable pipeline system, operated by remarkable people who deliver a wide spectrum of direct and indirect benefits to Alaska and the nation. That being said, if you ask Alyeska employees what "no easy day" means, paraphrasing the Navy Seal motto, they will tell you that, "the only easy day was yesterday." TAPS operations are increasingly difficult because Alaska production has declined over the years, and we now operate well below our design capacity. The most direct solution to this operating challenge is more oil flowing down our line. Oil and gas resources are abundant in northern Alaska lands and waters. However, access to those resources is limited and difficult to achieve. Making those resources more readily available for responsible development and getting them into TAPS is the best path to sustain the benefits our existing TAPS infrastructure offers.

I joined Alyeska in 2011. Previously, I had the privilege of a thirty-five year career in the U.S. Coast Guard, including tours in Kodiak and Juneau, Command of Coast Guard operations in Alaska and the North Pacific, and service as the Vice Commandant. I also served as the first Administrator of the U.S. Pipeline and Hazardous Materials Safety Administration, and as the United States Deputy Secretary of Transportation. I am especially pleased to testify here at the Pipeline Training Center. Alyeska has been proud to support this center in a variety of ways since its beginning. The center provides us, and many other Alaska companies, highly skilled technical workers essential to our operations: people with a wealth of arctic Alaska experience who, for me, define Alaska true grit; men and women who can safely maintain pipeline systems or complete a perfect field weld on the first try in twenty below zero temperatures. Our modest investment in the Pipeline Training Center has been returned many times over by the high quality of people the center trains, and I thank the center staff for their work.

Over 1,600 Alyeska employees and contractors operate and maintain TAPS and transport crude oil across three mountain ranges, thirty four major stream crossings, permafrost, and forests, from Alaska's North Slope to our marine terminal at the deep water port of Valdez, where it is loaded for shipment to the west coast of the United States. TAPS is a key component of Alaska's and the nation's energy infrastructure, and delivers the oil that is a foundation element of the Alaska economy. Directly, and through numerous contractor partners, the Alyeska Pipeline Service Company supports meaningful well-paying jobs for thousands of working men and women. These jobs directly benefit families and communities in Alaska and elsewhere, where Americans live, work, and play. Because of Alaska resource development, Alaska communities can provide better infrastructure and education for their people. Workers can successfully raise families, enjoy preferred lifestyles, including traditional native cultures and subsistence lifestyles, and have a much higher quality of life and health because of economic benefits they obtain from jobs on TAPS and in the Alaska oil and gas industry.

Alyeska Pipeline works cooperatively with our neighbors on the North Slope, in Fairbanks, in Valdez, in Anchorage, and all along the 800-mile pipeline corridor. We have vital partnerships with Alaska Natives whose land we cross, and partnerships with strong, quality-driven Alaska Native corporations, including ASRC, Ahtna, Doyon, NANA, and Chugach. We are proud of our diversity and the strength it adds to our company. Alaska Natives comprise 20% of the Alyeska workforce. Our employee makeup includes over 30% women and 33% minorities.

Today, the remarkable TAPS workforce faces unprecedented operational challenges because of declining throughput. Since startup in June 1977, TAPS has transported more than 17 billion barrels of crude oil. At peak, we transported 2.1 million barrels per day, which was 24% of U.S. domestic crude oil supply. However, today we move only about 508,000 barrels per day.

Transporting lower volumes of crude oil than our large 48" diameter mainline was designed for creates serious operational challenges. Oil moves through the system at a slower speed with significantly longer transit times. This means more exposure to cold in our frigid winter environment. Colder crude oil creates potential for ice to form in the pipeline and interfere with operations. We experience more wax precipitation, which increases the risk of corrosion in our system. To keep the pipeline operating safely while moving decreasing volumes, we must make significant new and costly investments to adapt the pipeline to lower throughputs and lower temperatures. The changing hydraulic profile on TAPS has already triggered replacement of mainline pumps and in-station piping. We have had to add infrastructure for recirculation to heat the oil, additional pigging to clean the pipe, and additional pig launcher and receiver capability.

While we are confident in our handling of these and other issues that require significant attention and costly investment, we know that these challenges will grow as long as throughput continues to decline. The best long-term solution to these challenges, and the most assured way for us to continue to provide the many benefits TAPS provides, is to produce and deliver more oil into TAPS from the North Slope of Alaska.

We understand the need for our operations to be conducted safely. We know safe operations, effective maintenance and emergency preparedness require an all day, every day, round the clock

commitment to excellence on TAPS. Safety, operating integrity, and teamwork are core values at Alyeska and top priorities for every employee. Managers and employees all along the line understand that not just what we do, but how well we do it, matters to everyone in Alaska, matters to Alaska's spectacular environment, and matters to the wildlife that surround us on land, in the streams we cross, and in our marine waters. In 2015, we had the best safety record in our history. We worked 5.9 million hours with zero lost-time injuries. We were recently named one of the World's Most Ethical Companies by the Ethisphere Institute for the fifth year in a row, which noted among other accomplishments our sustained strong safety and environmental performance. Last year, due to the efforts of our personnel, we received the Large Operator Environmental Performance Award from the American Petroleum Institute and a Governor's Safety Award from the State of Alaska. Alyeska SERVS' Vessel of Opportunity Program received a 2015 Alaska Ocean Leadership Award for stewardship and sustainability from the Alaska Sea Life Center. (The Vessel of Opportunity Program includes over 400 fishing vessels and thousands of fishermen from Alaska's coastal communities.) Our record for protecting the environment is one of the best in our industry, or any industry, in Alaska. And, our reliability is over 99.5%. "TAPS pride" is not simply a slogan; it is how the people who operate and maintain TAPS define themselves.

Our workforce, often quietly, greatly contributes to the communities where they live and work with volunteerism, leadership and financial support. In 2015, the Anchorage Heart Walk included 130 TAPS walkers, raising \$29,000 in pledges. Our employees have augmented children reading programs at Anchorage's Russian Jack elementary school for over 18 years. Alyeska's annual Traveling Health Fair supports rural Prince William Sound communities. Last year in Fairbanks, Alyeska's Track and Field Day drew 400 children. The TAPS workforce raised \$565,000 for United Way, and more for local food banks. In 2015, Alyeska provided direct support for nearly 200 Alaska-based nonprofit agencies, including the Alaska Native Science and Engineering Program at the University of Alaska. Alyeska Pipeline employees used our matching gift program to support 118 of those agencies. All this is in addition to the sports coaching, churches, schools, arts, and other civic activities and associations many of these individuals and families personally support. Alaska communities are healthier and more vibrant places to live because people from TAPS and Alaska's oil and gas and other resource industries live in and contribute to them.

Our goal is to build on our successes, learn from our experiences and sustain TAPS' high performance for years to come. The TAPS workforce is made up of professionals who value integrity and respect. They are true-grit Alaskans who are smart, tough, and proven problem-solvers, leveraging teamwork and ingenuity in the face of incredible challenges. That being said, oil throughput is ultimately the key to our sustainability. Better access to energy on the North Slope of Alaska, onshore and offshore, is essential. Responsible development can bring benefits to TAPS and to all of us. In order for that development to succeed, it will require a stable fiscal climate, an improved regulatory regime, and strong industry and government partnerships.

Senator, I personally thank you and the Committee for your ongoing efforts to help achieve this responsible development and for the opportunity to testify today. I would be pleased to answer any questions.

The CHAIRMAN. Thank you, Tom.

Mr. Glenn, welcome. It is good to see you escaped from the volcano. Barrow is closed down because of the volcano.

STATEMENT OF RICHARD GLENN, EXECUTIVE VICE PRESIDENT FOR LANDS AND NATURAL RESOURCES, ARCTIC SLOPE REGIONAL CORPORATION

Mr. GLENN: Yes, if you're headed to Bethel or Nome or Kotzebue or Barrow, you shouldn't be flying today. The airlines closed down the west half of the north portion of our state.

Thank you, Senator, for inviting me to this hearing. My name is Richard Glenn. I'm Vice President of Lands and Natural Resources for Arctic Slope Regional Corporation (ASRC), and I am grateful to be on this panel today.

I was excited to learn about Ahtna's history. And I hope that in my brief testimony you'll get a little bit of a picture of the Arctic Slope region as well and our views on these important issues.

There's four key points that I'd like to present today, and my written testimony will go into greater detail. These points focus mostly on the challenges and barriers to responsible oil and gas development and mineral development in Alaska.

We are an oil- and gas-dependent state, and resources extracted from our region are the main artery of Alaska's economy. Over the years we've faced significant challenges and my written comments goes into detail, chapter and verse, on those challenges.

The four broad points I'd like to take a look at is first of all, look at the balance of development with respect to communities, Arctic communities.

Today's debate seems to sway from absolute, complete, developing protection and stayed there rather than just balance of responsible development and protecting the environment, safe development. Rather than mothballing our resources at the detriment of local communities, consider how tribal and native communities are empowered by development and whether the risk has already been mitigated in the plan for development. Our local leadership works to provide controls on development in our region so that the mitigation is already there when the development proceeds.

This preserves the environment, this allows for our local economy and it allows our local subsistence activities to put food on our tables. The local perspective should not be overlooked, dismissed or marginalized as the Federal Government develops resources in the Arctic.

Second, I would urge that the Federal Government resist the permanent setting aside of large swaths of land and ocean in the name of, for example, species protection. The Arctic is home to these huge migrations of animals, that go from East to West, North to South, and they go in and out of the frame of the picture for any small, special set-aside patch of land or ocean. It's the migration and seasonality of ice cover and open water is so big that it renders these small parcels almost meaningless.

The polar bear critical habitat designation, for example, which is about as big as the State of California is probably going to be a well known example of this, but there are many others and there's potentially going to be many more. But our experience with on-

shore and offshore is that setting aside of huge swaths of land often has unintended negative impacts.

Third, I would like to thank the Administration for embracing green and renewable energy. There can be an appropriate mix of extractive industry and green energy, but green energy, for example, in rural Alaska is not a replacement for commercial development. Also, it's not even a replacement for the diesel fuel, for example, in our region that's the lifeblood of the smallest villages.

All you have to do is travel just up the hill to the Cold Climate Housing Research Center and look at some marvelous successes in solar power and energy conservation. We embrace this technology, but we recognize it for what it is.

Finally, we have issues with respect to the several agencies within the Federal Government on education. It's difficult to educate them about Alaska Native issues. I think that in this Administration we've made great progress on tribal consultation, but there still needs to be an awareness of this, kind of, braided rope relationship that we have, especially in my region between tribes, municipalities and the ANSCA Corporations. ANSCA land ownership, resource ownership, benefits tribal members. And so, although we are three different animals, we represent the same constituents and we are braided together like strands of a rope.

The Administration appears not to understand the value of resource development to municipalities and tribal members. These are our shareholders. We were created by Congress and are the largest private landowners in this state, yet our ownership is sometimes disregarded or it's discounted as if our charge is irrelevant to the contribution to the quality of life for the people who we serve.

Senator Murkowski and other Committee members, as you look to development and national energy policy, please remember that Alaska is massive for domestic energy production. It's also our home.

ASRC appreciates all of your efforts to pursue federal legislation that would address obstacles to sustainable oil and gas development. We also appreciate your steadfast commitment to the challenging issues before us in federal management, land management, regulations and policies. These have left an uncertainty for developers in this state. ASRC is poised to assist you as you look for proper solutions for these issues.

Thank you.

[The prepared statement of Mr. Glenn follows:]



"Field Hearing to Examine Alaska Resource Development – Opportunities to Create Jobs and Strengthen National Security"

**Written Testimony
of
Richard K. Glenn
Executive Vice President for Lands and Natural Resources
Arctic Slope Regional Corporation
March 28, 2016
Before the
Committee on Energy and Natural Resources
United States Senate**

My name is Richard Glenn and I serve as Executive Vice President for Lands and Natural Resources of Arctic Slope Regional Corporation. Background on ASRC is included in my written testimony submitted for the record.

My comments will focus on the challenges and barriers to oil and gas development in Alaska, and my written testimony addresses the national security measures.

Alaska is an oil and gas dependent state; resources extracted from the Arctic Slope region are the main artery of Alaska's economy. Over the years we have faced significant challenges, and my written comments

describes them in detail. My oral comments focus on four broad points.

First, look at the balance of development with respect to Arctic communities. Today's debate seems to sway from full development to absolute protection. Test your hypotheses of development or preservation scenarios. Rather than mothballing Arctic resources at the risk of detriment to the Arctic communities, consider the degree to which tribal/Native communities are empowered by good partnerships, and whether the risk is already mitigated with permissible plans for development. Our local leadership works promote development while preserving the environment that puts food on our tables. The local perspective should not be overlooked, dismissed or marginalized as the federal government develops resource development policy for the Arctic.

Second, resist permanent set-asides of broad swaths of land and ocean areas in the name of species or environmental protection. The Arctic is home to sweeping animal migrations and great seasonality of, for example, ice cover and open water. The scale of movement and change is so vast that it renders boundaries irrelevant. The polar bear



critical habitat designation is the best example of this, and we apparently are on the verge of others, and there already exist many more. Our experience, on- and offshore is that setting aside areas for whatever reason often has unintended negative impacts.

Third, embrace and encourage green rural energy. ASRC contends that there can be an appropriate mix of extractive industry energy development and green energy; but green energy is not a replacement for commercial Arctic resource development. Nor is it even a complete replacement of the diesel fuel that is the lifeblood of most rural Alaskan communities.

Finally, we have issues with the government agencies of the present Administration. It is very difficult to educate them on Alaska lands, and Alaskan Native issues. There is a "braided rope" relationship between Alaska Native tribes, ANCSA Corporations, and municipalities- especially in the Arctic Slope region. Issues of consultation are one thing, and there has been some progress regarding tribal and local consultation. However, regarding resource development of ANCSA lands, the Administration appears to not understand the value of resource development to municipalities and tribal members who are our shareholders. We were created by Congress and are the largest private



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landowners in the state of Alaska, yet our ownership is disregarded or discounted as if our charge is irrelevant to the contribution to the quality of life for the people to whom we are charged to represent.

Madam Chair, and committee members, as you look to development to national energy policy, please remember that Alaska is an asset for domestic energy production; it is also our home. ASRC appreciates all of your efforts to pursue federal legislation that would address the obstacles to sustainable oil and gas development. We also appreciate your steadfast commitment to challenging the many federal land management decisions, regulations, and policies that have created regulatory uncertainty for oil and gas developers operating in Alaska. ASRC is poised to serve as a resource for this committee today and in the future. Thank you.

ABOUT ASRC

ASRC is an Alaska Native regional corporation created at the direction of Congress under the terms of the Alaska Native Claims Settlement Act of 1971 (ANCSA). As the Native corporation for the North Slope region of Alaska, our region encompasses 55 million acres and includes the villages of Point Hope, Point Lay, Wainwright, Atkasuk, Barrow, Nuiqsut, Kaktovik, and Anaktuvuk Pass. ASRC pursues resource development on the North Slope to benefit our growing shareholder population of approximately 12,000 Iñupiat people.



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Under ANCSA, Congress directed Native corporations, including ASRC, "to provide benefits to its shareholders who are Natives or descendants of Natives or to its shareholders' immediate family members who are Natives or descendants of Natives to promote the health, education or welfare of such shareholders or family members." Consistent with this unique mandate, ASRC operates as a for-profit business that is committed both to providing sound financial returns to our shareholders and to preserving our Iñupiat way of life, culture and traditions. Accordingly, a portion of our revenues is invested into supporting initiatives that aim to promote healthy communities and sustainable economies.

ASRC lands are located in areas that either have known resources or are highly prospective for oil, gas, coal, and minerals. In carrying out our congressionally-mandated mission, ASRC and its subsidiary companies are active participants in North Slope oil exploration, development, and production, and have been so for decades. The oil and gas industry provides many jobs for ASRC's Iñupiat shareholders and is the source of many contracting opportunities for the ASRC family of companies. This includes work our subsidiaries perform as contractors in oil field developments, engineering, pipeline maintenance, and property leasing for exploration and development. The development of oil and gas resources in our region has fostered a stable local tax base that provides local education and community improvements that would otherwise be lacking or furnished at great expense by the federal government and other agencies.

Our perspective is based on the dual realities that our Iñupiat culture and communities depend upon a healthy ecosystem and the subsistence resources it provides *and* upon present and future oil and gas development as the foundation of a sustained North Slope economy.

OPPORTUNITIES TO CREATE JOBS IN AMERICA'S ARCTIC

The United States is an Arctic nation, and being an Arctic nation comes with great responsibility and great opportunity. The U.S. Arctic region is a place where America should be showcasing its ability to thoughtfully and responsibly work with its first peoples and some of the most remote communities in the world to foster community and economic development, providing the resources both to preserve cultures and traditions and to support a modern standard of living for the residents of our communities.

At ASRC, we work hard to partner with industry and with the Federal Government to ensure we continue to have responsible development on the North Slope. However, in order to successfully develop resources in such a remote region, we need to have a regulatory environment that is supportive of oil and gas development.

The current Administration has, at times, been publicly supportive of new onshore and offshore development in the U.S. Arctic. Unfortunately, public support for Arctic oil and gas development has not yielded meaningful new opportunities for our state and our communities.



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Over the last few years, new federal land management plans have steadily reduced the availability of oil and gas resources to developers on the North Slope and on the Arctic outer Continental Shelf (OCS). For example:

- On December 19, 2012 the Bureau of Land Management (BLM) issued a new Integrated Activity Plan for the National Petroleum Reserve Alaska (NPR-A). The NPR-A plan prohibited oil and gas leasing, development, and infrastructure in almost half of NPR-A, even though federal legislation that established the NPR-A calls for the area be managed for oil and gas development.
- On April 3, 2015, the U.S. Fish and Wildlife Service (FWS) issued a new Comprehensive Conservation Plan for the Arctic National Wildlife Refuge, which recommended that Congress designate the entire refuge – including the coastal plain – as wilderness, thus setting the entire refuge off limits for oil and gas exploration and development activities.
- On January 27, 2015, President Obama announced he would set aside 9.8 million acres of the Arctic OCS from future oil and gas development. Recently, on March 10, 2016, President Barack Obama and Canadian Prime Minister Justin Trudeau promised to set aside "at least 17% of land areas and 10% of marine areas" within the Arctic region by 2020. Although two Arctic OCS lease sales currently are included within the Department of the Interior's (DOI) 2017-2022 Outer Continental Shelf Oil and Gas Leasing Proposed Program, we hear rumors that DOI is seeking support for the removal of the lease sales from the plan, and may also be pursuing additional conservation withdrawals on the Arctic OCS.

New federal regulations also have undermined the ability of project developers to access and develop Arctic oil and gas resources. For example:

- On February 24, 2015 the Bureau of Safety and Environmental Enforcement (BSEE) and Bureau of Ocean Energy Management (BOEM) proposed new regulations for exploratory drilling and related operations on the Arctic OCS entitled, "Oil and Gas and Sulfur Operations in the Outer Continental Shelf—Requirements for Exploratory Drilling on the Arctic Continental Shelf" ("Arctic Standards Rule"). The overly prescriptive nature of the Arctic Standards Rule is likely to hinder, rather than foster, development of oil and gas resources on the Arctic OCS. On September 27, 2015 Shell announced they would discontinue exploratory activities on the Arctic OCS for the foreseeable future, after investing \$7 billion and drilling only a single exploratory well. Statoil also announced it would pull out of its Arctic OCS leases shortly thereafter. Both companies cited regulatory uncertainty as a primary reason for abandoning their investments.
- On June 29, 2015, the Environmental Protection Agency and the U.S. Army Corps of Engineers published a final rule modifying the scope of what is considered to be "waters of the U.S." for purposes of the Clean Water Act. The scope of the rule's impact on



Alaska is immense, and its impact on Alaska and the North Slope is disproportionate to the rest of the country. As much as 80 percent of the North Slope region could be considered jurisdictional "waters of the United States" under the Rule. In the Lower 48 states, wetlands only occupy 5.2 percent of the surface area.

- On March 17, 2016, BOEM published a proposed rule to update the agency's air quality regulations for the Gulf of Mexico and U.S. Arctic regions. The proposed rule has the potential to significantly increase the cost of doing business on the OCS and may forestall further development of oil and gas resources in the Gulf of Mexico and on Alaska's Arctic OCS. Among other things, the proposed rule would eliminate the agency's "25-mile rule," which requires an operator to account for emissions from support vessels only when those vessels are within 25 miles of a platform. BOEM would replace the rule with a requirement that a lessee report all emissions from support vessels that can be attributed to a facility. Under this "attributed emissions" standard, operators would be penalized for developing remote resources. The proposed rule effectively discourages development in remote areas. Our remote communities need the Federal Government to advance policies that *support* rural development. This rule would have the opposite effect.

Complicating matters further, federal agencies have issued several new policy directives focused broadly on mitigating project impacts, creating even greater regulatory uncertainty and making project permitting more cumbersome and expensive. For example:

- In February 2015, BLM approved the development of the Greater Moose's Tooth-1 project (GMT1), opening the way for the first production of oil and gas on BLM-managed lands in the NPR-A. However, BLM also extracted an \$8 million "contribution" from project proponent ConocoPhillips to, in large part, fund the development by BLM of a landscape-level Regional Mitigation Strategy for the northeast NPR-A. According to the BLM, the Regional Mitigation Strategy will "serve as a roadmap for mitigating impacts" from project development. It is not at all clear, however, what types of compensatory mitigation BLM should (or can) require or how the Regional Mitigation Strategy should be implemented, or whether it will be implemented in close coordination with other permitting agencies. More recently, on November 3, 2015, the White House issued a Presidential Memorandum directing federal agencies, including BLM and FWS, to develop new mitigation policies, guidance and regulations to be applied "to the extent allowed by law." The Memorandum does not provide for a coordinated federal approach to mitigation planning. Although federal agencies have taken some steps to coordinate NEPA and other statutorily-derived mitigation processes, no single federal authority establishes a coordinated approach to project mitigation. As federal mitigation policies multiply or broaden, and become more complicated, project proponents are left to conclude that project permitting will become more cumbersome and expensive, particularly in the near term as agencies deliberate on how to comply with expansive new policy directives.



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The development of onshore and offshore oil and gas resources on the North Slope provides our communities with the means to preserve our traditional way of life and culture while also allowing our residents to enjoy a greater quality of life. Put another way, our communities cannot survive without continued resource development in our region. Unless we are able to pursue new opportunities for onshore and offshore oil and gas production, local governments will find it more difficult to build and repair critical infrastructure improvements and maintain important social, health and educational programs that many Lower 48 communities take for granted. We are talking about running water, flush toilets, reliable power, local landfills and K-12 education. But oil and gas companies will not pursue new opportunities to develop federal resources in Alaska if their shareholders believe the Federal Government is incapable of merging land management decisions, federal regulations, and federal mitigation policies in a manner that provides a clear path to development. I believe we find ourselves in this position today; it simply is not clear that the Federal Government is capable of partnering with resource developers and land owners to support sustainable development.

STRENGTHENING NATIONAL SECURITY IN AMERICA'S ARCTIC

The benefits of Arctic resource development extend well beyond our local communities. The development of these resources is critical to ensuring continued American competitiveness and energy security, and the decision whether or not to develop Arctic oil and gas resources carries with it national and international implications that directly implicate the security of our Nation.

The successful development of new onshore and offshore oil and gas resources offers an opportunity to spur economic activity in our region, reinvigorate the Trans-Alaska Pipeline System, and serve national interests. As the National Petroleum Council's recent study, *Arctic Potential: Realizing the Promise of U.S. Arctic Oil and Gas Resources*¹ highlighted, developing oil and gas resources on the Arctic OCS has the potential to play a significant role in meeting future U.S. energy needs.

* * *

Senator Murkowski, we appreciate your efforts to pursue federal legislation that would address the many obstacles to sustainable oil and gas development identified above. We appreciate your steadfast commitment to challenging the many federal land management decisions, regulations, and policies that have created regulatory uncertainty for oil and gas developers operating in Alaska. We strongly support your efforts to advance legislation, including S. 2011, that would streamline OCS permitting processes and establish OCS revenue sharing for states and coastal communities. We also fully support your efforts to examine ways modernize the United States' OCS oil and gas leasing system, which currently is development-based, meaning that an operator must be able to commercially develop a lease within 10 years in order to retain it. Every other Arctic nation employs an exploration-based lease system, allowing developers extra time to determine technical and commercial viability.

¹ Available at <http://www.npcarcticpotentialreport.org/>.



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As a Native corporation, we are committed to reinvesting in our communities and creating new opportunities for our residents. The Federal Government must do the same.



The CHAIRMAN. Thank you, Richard, we appreciate it.
The last member on the panel is Mr. Joe Marushack, welcome.

**STATEMENT OF JOE MARUSHACK, PRESIDENT,
CONOCOPHILLIPS ALASKA**

Mr. MARUSHACK. Thank you, Senator.

In the interest of time I'm going to start about halfway through my written testimony and focus on the federal permitting challenges.

Exploration and development in the Arctic, and particularly in Alaska, has its own special set of requirements. Because of the nature of the land, the tundra, the exploration wells built outside of existing infrastructure are drilled in the winter using ice roads and ice pads when the tundra is frozen. The ice-based infrastructure melts in the summer and leaves no marks; however, this reduces the amount of time available to drill to about three months of the year.

When it comes to developing an exploration discovery the desire to minimize the development footprint requires that we process production from centralized facilities. It requires that we drill wells from central pads using expensive, extended reach drills. All this leads to costly development and longer time frames for exploration development than would be for land based outside the Arctic.

There are a number of challenging regulatory issues we continue to have with development on federal lands, and I'll summarize several of these.

In order for development, conservation and impact mitigation to proceed orderly in NPRA, agency decisions must be predictable and reasonably durable. Predictability is essential for developers, residents, investors, the State of Alaska, North Slope Borough, Alaska Native Corps, the tribes and villages on the North Slope.

Since we first began exploring in NPRA in 2000 we've seen steadily increasing and evolving requirements from the Federal Government. At this juncture in time we have over 250 federal requirements for new developments that must be addressed in NPRA. Again, time prevents me from reading this list to you, but I've included it in an attachment.

The steady increase in standards and mitigation measures is complicated by the agencies revisiting previous work, decisions and compromises. For example, an environmental impact statement that was performed in 2004 explicitly evaluated and approved roads proposed for planned development of CD-5, GMT-1, Mooses Tooth One, Mooses Tooth Two. However, as permitting for each of these projects has proceeded we face additional requirements that were not part of the original project scope, adding time to the schedule, increasing costs and creating uncertainty regarding the viability of development.

It is our belief that the current standards and mitigation measures that we follow in NPRA more than adequately address concerns about potential impacts to the environment and subsistence hunting. We recognize the legitimacy of those concerns, but we feel that they have been well considered and properly addressed.

One federal issue that threatens even more uncertainty is the November 2015 White House Memorandum calling for the Depart-

ments of Defense, Interior and Agriculture, the Environmental Protection Agency and the National Oceanic and Atmospheric Administration and all the Bureaus and Agencies within them, for example, the Bureau of Land Management, Bureau of Ocean Energy Management, Bureau of Safety and Environmental Enforcement, National Park Service, National Marine Fisheries and Fish and Wildlife Services, to develop new impact avoidance and mitigation standards in each of the agency's areas of jurisdiction.

This new policy has the potential to upset the balance of protection and development that Congress has directed in the laws under which the agencies operate. From what we have been able to assess the basis for estimating impacts and associated mitigation measures are not well defined, not predictable and do not allow us to estimate the effect that it may have on the overall economics of oil and gas development. As the agencies provide detail around their plans, assuming there's a public process, we'll be submitting comments regarding their concerns.

In closing, ConocoPhillips, through its heritage companies ARCO Alaska, Phillips Petroleum and Conoco, has been an active explorer and developer on both federal and state lands in Alaska, both onshore and offshore, from Cook Inlet to the North Slope, for over 50 years. We have a track record of environmental and social responsibility operations. Through our investments and those of our other oil and gas companies we've generated jobs for Alaskans and created wealth for the State of Alaska, Alaska communities, Native regional and village corporations and their shareholders.

While we're still very active on state lands, federal lands represent new opportunities to continue supporting the Alaska economy. It's our intent to work with the Federal Government, residents of the Slope, the State of Alaska and other stakeholders to address concerns such that there is a reasonable, regulatory framework guiding oil and gas development on North Slope lands.

Thank you, Senator.

[The prepared statement of Mr. Marushack follows:]

**Testimony before the U.S. Senate
Committee on Energy and Natural Resources**

March 28, 2016

Submitted by: Joe Marushack, President of ConocoPhillips Alaska

Introduction

Chairwoman Murkowski – My name is Joe Marushack, and I am the regional president for ConocoPhillips Alaska. Thank you for the opportunity to testify today.

Testimony Overview

In today's testimony, I will share with you our current development and exploration activity on the North Slope of Alaska, then provide what I believe are challenges to oil and gas development on federal lands.

Development and Exploration Activity

ConocoPhillips is Alaska's largest oil and gas producer. We have significant interests in the Prudhoe Bay Unit, Kuparuk River Unit and Colville River Unit. We are the operator of the Colville and Kuparuk units. We have approximately 1,200 employees and approximately 1,300 contractors working in our Alaska operations. We are one of Alaska's most active North Slope explorers and developers. Our history in Alaska goes back more than 50 years to the early days in Cook Inlet and the beginning of exploration on the North Slope. One of our heritage companies, ARCO Alaska, discovered the Prudhoe Bay Field. Another, Phillips Petroleum started the Asia Pacific LNG trade with the construction of the Kenai LNG plant in 1969. We have essentially been in Alaska since the beginning of Alaska's current oil and gas industry, and as a company with large federal and state leasehold positions, we hope to be here for decades to come.

This last year, we started production from CD5, a new drill site that accesses the western extension of the Alpine field. The Alpine field, in the Colville River Unit, is our western most development on the North Slope. CD5 is producing oil and gas from state lands outside of the NPRA and from federal and Alaska Native corporation owned lands inside the NPRA. CD5 is the first commercial oil development on Alaska Native corporation land in the NPRA. It took 11 years from our initial permit applications to first production, primarily due to working out the location of a bridge across the Nigliq Channel of the Colville River with the local residents and the subsequent permitting process.

We see more opportunity in the NPRA for additional production that capitalizes on existing infrastructure. Approximately 8 miles west of CD5 lies the location for Greater Mooses Tooth #1, discovered in 2001. We are currently moving forward with the development of Greater Mooses Tooth #1, also known as GMT1, and its total cost will be approximately \$900 MM gross, with

gross peak estimated production of around 30,000 BOPD. Peak employment during construction is estimated at about 700 positions and first oil is expected in late 2018. We also filed permits last August for a discovery we made in 2000 and confirmed in 2014 called Greater Mooses Tooth #2 or GMT2. We hope to approve funding by the fourth quarter of 2017, with first oil planned for the end of 2020. Each of these locations lies close to existing facilities at Alpine, and would make use of existing pipelines and processing facilities.

This winter we are drilling three exploration wells: two in the Greater Mooses Tooth Unit (Tigmiq 2 and 6) and one well from the CD5 pad (Hyperion), all of which are located in the NPRA near existing infrastructure.

At 24 million acres, the NPRA is an area the size of Indiana. The surface occupancy of our current operations and planned developments is approximately 185 acres or 0.0008 % of the surface area of the NPRA. The lessons we have learned from almost 50 years of experience on the North Slope have allowed us to significantly reduce our operational footprint and successfully produce oil and gas with minimal environmental impact. We pay special attention to subsistence hunting activities that occur in the area, and collaborate with representatives of the North Slope Borough communities to avoid or minimize impacts from our operations.

Beneficial impact of ConocoPhillips operations

On the North Slope, we work closely with the local borough government, the State, federal agencies and the local residents in all phases of our operations. In association with our North Slope operations, we have paid hundreds of millions of dollars in property taxes to the North Slope Borough; tens of billions of dollars in royalties, severance taxes, income taxes and additional property taxes to the state of Alaska; and billions of dollars in federal payments. We have also paid in excess of a billion dollars to Arctic Slope Regional Corporation resulting from production of its minerals underlying the Colville River Unit, which under the provisions of the Alaska Native Claims Settlement Act, benefits shareholders in Alaska Native Corporations throughout Alaska. From a socioeconomic perspective, we have driven the creation of thousands of jobs for Alaskans; created a multitude of opportunities for Alaska businesses; and developed good working relationships with the organizations that represent the interests of the North Slope residents.

One element of our operations as we move west into the NPRA is our relatively close proximity to the local village of Nuiqsut. Since we first began exploration in the NPRA area, we have worked closely with Nuiqsut to be good neighbors and address concerns about the potential impact of oil and gas development on their lifestyle. Our support for the North Slope Borough and Nuiqsut residents includes programs addressing education, subsistence, emergency response, community events, workforce development and employment. Time does not permit me to go over the long list of programs we have implemented, funded, or otherwise supported, but I have included that as Attachment 1 to my written comments. We believe the relationships we have developed with North Slope residents are mutually beneficial and provide the basis for understanding and working together to solve local concerns.

Challenging Environment

One of the common themes you may have noticed in the list of NPRA developments I mentioned a few minutes ago is the length of time between discovery and first oil. Some of this is driven by the natural environment we work in on the North Slope, and some by federal regulatory requirements. I will take a few minutes and discuss each of these.

As you probably know, exploration and development in the Arctic has its own special requirements. Because of the nature of the tundra, exploration wells drilled outside of our existing infrastructure are drilled in the winter using ice roads and ice pads when the tundra is frozen. The ice based infrastructure melts in the summer and leaves no marks. However, this reduces the amount of time available to drill to about 3 months out of the year. When it comes to developing an exploration discovery, the desire to minimize the development footprint requires that we process production from centralized facilities. It also requires that we drill wells from a central pad using expensive extended reach drilling. All of this leads to costly investments and longer timeframes for exploration and development than for land based operations outside of the Arctic. However, with almost 50 years of operating experience on the North Slope, we have developed expertise that allows us to develop and operate in a cost effective manner. Once we announce our intention to develop a discovery, assuming we have no permitting delays, we can move from the discovery phase to production in about six to seven years. That time period already includes three to four years for complex permitting and three years for engineering and construction.

From a regulatory point of view, the State of Alaska has implemented relatively efficient processes. Our key permitting challenge currently resides with the federal government whose regulatory framework, both offshore and onshore, is less well defined and continues to evolve.

Federal Permitting Challenges

There are a number of challenging regulatory issues we continue to have with development on federal lands, and I'll summarize several of those for you today.

In order for development, conservation, and impact mitigation to proceed orderly in the NPRA, agency decisions must be predictable and reasonably durable. Predictability is essential for developers, residents, investors, the State of Alaska, the North Slope Borough, the Native Corporations, the tribes, and the villages on the North Slope. Since we first began exploring in the NPRA in 2000, we have seen steadily increasing and evolving requirements from the federal government. At this juncture in time, we have over 250 federal requirements that new developments must address in the NPRA. Again, time prevents me from reading the list to you, but I have included it as Attachment 2 to my written testimony. The steady increase in standards and mitigation measures is complicated by the agencies revisiting previous work, decisions and compromises. For example, an Environmental Impact Statement (EIS) was performed in 2004 that explicitly evaluated and approved roads proposed for the planned development of CD5,

GMT1 and GMT2. However, as permitting of each of these projects has proceeded, we have faced additional requirements that were not part of the original project scope, adding time to the schedule, increasing costs, and creating uncertainty regarding the viability of development.

It is our belief that the current standards and mitigation measures we follow in the NPRA more than adequately address concerns like potential impacts to the environment and subsistence hunting. We recognize the legitimacy of those concerns, but we feel strongly that they have been well-considered and properly addressed.

One federal issue that threatens even more uncertainty is the November 2015 White House memorandum calling for the Departments of Defense, Interior, and Agriculture; the Environmental Protection Agency (EPA), and the National Oceanic and Atmospheric Administration (NOAA); and all the bureaus or agencies within them - for example - the Bureau of Land Management (BLM), Bureau of Ocean Energy Management (BOEM), Bureau of Safety and Environmental Enforcement (BSEE), National Park Service (NPS), National Marine Fisheries Service (NMFS), and Fish and Wildlife Service (USFWS) - to develop new impact avoidance and mitigation standards in each agency's area of jurisdiction. This new policy has the potential to upset the balance of protection and development that Congress has directed in the laws under which the agencies operate. From what we have been able to discern, the bases for estimating impacts and associated mitigation measures are not well defined, not predictable and do not allow us to estimate the effect they may have on the overall economics of oil and gas development. We are also concerned that it may lead to overlapping mitigation requirements. As the agencies provide details around their plans, assuming there is a public process, we will be submitting comments regarding our concerns.

Other Opportunities

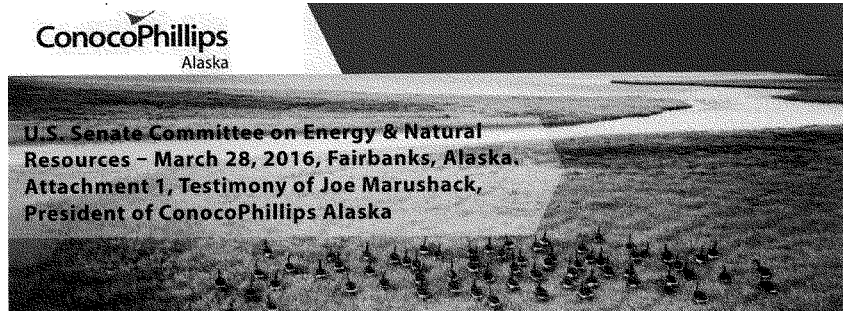
We would like to see increased lease sales, both onshore and offshore. In particular, we are concerned about the lack of regular leasing in the near shore Beaufort Sea. We believe there are attractive exploration opportunities on federal acreage in the Beaufort, but there has not been a lease sale since 2007. The recently announced plan does not have a Beaufort Sea lease sale planned until 2020. That represents 13 years between lease sales and makes exploration and development very problematic. We are also concerned about the statement in the recent lease sale announcement that there will be areas as yet undefined that will be excluded from leasing. In the past, we have seen some of the most prospective acreage in the NPRA taken off the table for leasing - we hope this does not occur for offshore areas under this new plan. With regard to the NPRA, we would like to see the BLM revisit and increase the acreage available for leasing. Responsible exploration and development benefits Alaska residents, the North Slope Borough, the State of Alaska, Alaska businesses and the federal government.

Closing

ConocoPhillips, through its heritage companies ARCO Alaska, Phillips Petroleum and Conoco, has been an active explorer and developer on both federal and state lands in Alaska, both onshore

and offshore, from Cook Inlet to the North Slope, for over 50 years. We have a track record of environmentally and socially responsible operations. Through our investments and those of other oil and gas companies, we have generated jobs for Alaskans and created wealth for the State of Alaska; Alaskan communities; Native regional and village corporations and their shareholders; and Alaskan businesses. Our business and socio economic impacts have been positive game changers to the state. While we are still very active on state lands, federal lands represent new opportunities to continue supporting the Alaska economy. It is our intent to work with the federal government, residents of the North Slope, the State of Alaska and other stakeholders to address concerns such that there is a reasonable regulatory framework guiding oil and gas exploration and development on North Slope lands.

Thank you for allowing me to provide my comments today.



ConocoPhillips' Community Support Programs on the Western North Slope

Natural Gas to Nuiqsut

- ConocoPhillips Alaska (COPA) provides up to 1 million cubic feet of natural gas per day to the community at no cost from the Alpine facility.
- Gas deliveries started in 2008, after completion of the Nuiqsut Gas Pipeline and the installation of natural gas infrastructure in the village.
- 99% of Nuiqsut households are now connected to natural gas and Nuiqsut enjoys some of the lowest energy bills in the nation (\$25/month to Nuiqsut Gas Cooperative for costs associated with local distribution system).

NPRA Impact Grant Funding

- Over \$150 million has been awarded to North Slope villages within the NPRA since 1999. This funding comes from lease sales, rents, bonuses, and royalty payments in the NPRA. Since 1999, COP has been the most active explorer and participant in lease sales.
- Nuiqsut has received NPRA grants for projects such as natural gas piping and building conversions, graveyard fencing, City Hall renovation, retractable boat ramp as well as for the pending Colville River Access Road. These projects are in addition to annual grant funding for city and teen center operations.
- The City of Barrow receives grants to run city operations as well as additional grant funding for the expansion for the Piuraagvik public recreation center.
- 50% of federal royalty from NPRA developments will go to the State to distribute as community grants as part of this NPRA impact grant program.

Autaatug Fund

- In 2007, COPA and Pioneer entered into an agreement with the North Slope Borough (NSB) to establish and manage a fund that provided grants to North Slope entities for workforce development, subsistence, and substance abuse programs. From 2007-2015, the fund awarded just under \$2 million to the North Slope Borough and its villages. The agreement expired in 2015.

North Slope Borough Taxes

- In 2015 alone, ConocoPhillips paid \$132 million in property taxes to the NSB, which is over \$16,500 per Borough resident.



Subsistence Support Programs

- **Alaska Eskimo Whaling Commission (AEWC)**
 - COPA provides annual grants to support the AEWC.
- **Kuukpikmuit Subsistence Oversight Panel (KSOP)**
 - COPA funds the operations of KSOP, the local subsistence panel in Nuiqsut formed at the startup of Alpine. This funding covers the cost associated with administering the panel which consists of representatives of the City of Nuiqsut, the Native Village of Nuiqsut (NVN) and the Kuukpik Corporation.
- **Road Access**
 - Kuukpik shareholders and Nuiqsut residents have the right to use all permanent and temporary roads constructed by COPA on Kuukpik land and any connecting roads. COPA connects the Alpine ice road to the village every year. The community benefits from this by having access to the Haul Road every winter for trips to Fairbanks/Anchorage as well as facilitating access to hunting areas.
- **Subsistence Mitigation Funds**
 - Since 2005, COPA has contributed over \$720,000 in subsistence mitigation funds to the NSB and the City of Nuiqsut. These annual contributions will increase for each Alpine satellite drill site, including GMT1 and GMT2. A local Nuiqsut committee determines how the funds are distributed and is typically distributed to hunters in the form of fuel vouchers to offset the fuel costs of subsistence hunting as well as distributed to each household to offset costs.
- **GMT1 Mitigation Funds**
 - To off-set identified impacts, including impacts to subsistence uses that cannot be fully avoided by project design, COPA volunteered to create an \$8 million compensation mitigation fund that will provide for the development and implementation of a landscape-level regional mitigation strategy (RMS) and to finance mitigation projects as identified by the RMS and Nuiqsut.



Education and Workforce Development Programs

- **Ilisagvik College**
 - COPA provides annual grant funding to Ilisagvik College (Alaska's only tribal college) located in Barrow to support scholarships and general operations. In 2014, COP was recognized by the college for making \$1 million in contributions over the previous 10 years.
- **Scholarship Funds**
 - COPA matches all training and scholarships awarded by Kuukpik and has provided over \$150,000 in scholarships through this program.
- **Kuukpik Employment Coordinator**
 - Provide funding for the retention of an Employment Coordinator to administer a Native Employment Services Program.
- **Career Quest**
 - Career Quest is a program designed to expose high school students from the Trapper School in Nuiqsut to various careers at Alpine. There are currently two seasons of Career Quest opportunities: summer and winter. The summer session has traditionally provided job experience for 20 youth working at the various offices in the village. The winter session allows for students to spend two days/week at Alpine for five weeks seeing what it is like to work in a North Slope oil field operation. The Career Quest program was initiated in 1999 and since that time, approximately 300 students have participated.
- **Internships**
 - ConocoPhillips funds various internships at Alpine for Nuiqsut residents, Kuukpik Shareholders/descendants and other North Slope residents. Over 30 interns have participated in the program since it started in 2002.
- **Subsistence Representatives/Ice Road Monitors**
 - COPA provides annual employment during ice road season, hiring local residents from Nuiqsut to be subsistence representatives. Typically four to eight positions are filled depending on level of activity.
- **CD5 Construction Employment Numbers**
 - Over 30 individuals were hired during the past two winters as part of CD5 construction. By utilizing the Kuukpik Hotel to house a portion of the crews, CD5 also created many indirect employment opportunities at the Kuukpik Hotel as well as bed tax revenue for the City of Nuiqsut.



Nuiqsut Community Programs

Emergency Response Assistance

- Alpine Fire Department assisted Nuiqsut Fire Department with Nuiqsut house fires in April 2006 and September 2014.
- Alpine Spill Response teams provided assistance to clean up resident diesel spills in Nuiqsut (2012 and 2013).
- Signed a Memorandum of Understanding (MOU) with the NSB in early 2014 to establish a process to support emergency response in Nuiqsut. Under the MOU, COPA provided two medevacs of infants to Anchorage with Alpine EMT support (January 2014, January 2016).
- Alpine Fire Department hosts joint training exercises annually with Nuiqsut Fire Department.
- Fund through Alaska Clean Seas the annual training of the Nuiqsut Village Response Team.

Community Projects

- Elder's Housing Project: COP provided a \$250,000 grant to the North Slope housing authority for elder housing in four villages on the North Slope, including Nuiqsut.
- Nuiqsut Playground: In 2010, Alpine and its contractors supported the construction of a new playground in Nuiqsut, and since then have contributed additional playground equipment.
- Provided funding to City of Nuiqsut to assist with the start-up of an early learning center and replacement of the roof at the Community Center.
- Multiple projects to assist with repairs of the Teen Center and Community Center. The most recent was replacement of stairs at the Teen Center in summer 2015.
- Provided an air charter to support donations of caribou meat from Nuiqsut to Anaktuvuk Pass for Thanksgiving feast (see Arctic Sounder November 2015).

Community Donations

- Donated Fire Truck to Nuiqsut Fire Department (2007).
- Donated spill response boat (20' tunnel hull boat) and trailer to assist Nuiqsut Search and Rescue.
- Pool tables and games donated to the teen center.
- Provided white float coats for whaling crews in Nuiqsut and across the North Slope in conjunction with Alaska Native Tribal Health Consortium.

Support for Trapper School Programs

- Assist with travel for kids to attend dance performances, robotics competitions, attendance celebrations, etc.
- Sponsorship of sports teams jersey's and other student activities.
- Sponsor dinners and professional photographer for events like prom and graduation.
- Employees donate time for the "I Know I Can" reading program.
- Over \$110,000 in financial contributions for Trapper School programs since Alpine start-up.
- Organized a Back to School fun run in 2015 which included backpacks and school supplies for all kids.

Community Events

- Sunday dinners during ice road season at Alpine and in Nuiqsut.
- Support Christmas celebration with gifts for kids and elders.
- Sponsorship of concerts, traditional dance groups, culture camps and other events for youth.
- Assist with donations for Nalukataqs (whaling festivals).
- Fire Safety Awareness Day – every 2-3 years.
- Over the years, have sponsored health fairs, job fairs, and science fairs in Nuiqsut.

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Federal Requirements for Development in the NPRA

Below is a summary of the various requirements by the BLM for development in the NPRA. BLM requirements, which add to existing statutory and regulatory requirements, were first imposed as stipulations attached to the oil and gas leases. Additional BLM stipulations were imposed when Alpine satellite development was first approved in 2004, when the leases were extended in 2009, when the NPRA Integrated Activity Plan was revised in 2013, and when the GMT1 EIS was supplemented in 2015.

Also described below are the U.S. Army Corps of Engineers 404 wetlands permit mitigation measures for GMT1 as well as a summary of ConocoPhillips' standard design features and practices that ConocoPhillips has developed in partial response to the BLM requirements.

- **2004 ASDP EIS¹ and ROD² – Preferred Alternative Required the Following Mitigation (7 measures)**
 - Substantial infrastructure removed from Fish Creek, consistent with the exception clause provision of the IAP/EIS, GMT1 (formerly CD6) and some infrastructure would be allowed to be located as requested by CPAI within the setback.
 - Elevation of Pipelines raised from 5 feet to a minimum of 7 feet as measured at the VSMs.
 - Elimination of overhead powerlines.
 - Artificial lighting on structures over 20 feet tall would be controlled and directed inward and downward on taller structures.
 - The road and pipeline bridge across the Nigliq Channel would extend from bank to bank as defined by the active flow way.
 - The road and pipeline bridge across the Ublutuoch would extend from bank to bank defined as the active flow way. This would require a bridge 350 feet long (increased from 150 feet).
 - Required manual valves on either side of the Ublutuoch River bridge.
- **2013 BLM Lease Best Management Practices³ (224 BMPs) -** In 2013, the BLM released the Final NPRA Integrated Activity Plan EIS which requires 224 Best Management Practices (BMPs) that cover planning documents, consultations, and additional measures to avoid, minimize and mitigate impacts from development. The BMPs included additional waste management procedures, SPCC (spill prevention, control and countermeasure) plan requirements, water protection criteria, wildlife coordination activities, air quality standards, subsistence monitoring studies, wildlife operations practices, tundra travel standards, engineering design criteria, cultural resource protection, stream crossing standards, aircraft impact minimization requirements, abandonment expectations, and personnel training standards to the practices and requirements already in place.
- **2013 GMT1 Design Changes Incorporated into Proposed Project Prior to Application Submittal⁴ (7 mitigation measures)**
 - GMT1 (formerly CD6) pad moved from the location approved in the 2004 APSD EIS inside the Fish Creek setback to outside the Fish Creek setback, a documented subsistence use area for caribou, wolf and wolverine.

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- Locating most of the access road outside the Fish Creek setback area including reduction in the length of the access road by 2.7 miles in the setback.
 - Reduction of road and pipeline length (reduction of 3.4 miles and a pipeline length reduction of 2.8 miles) reducing gravel fill needs by approximately 23 acres. (Current project is 72.7 acres, therefore approximate 25% reduction in gravel footprint, most of which was originally within Fish Creek.)
 - Eliminated one stream crossing (bridge) by moving GMT1 pad outside Fish Creek setback.
 - Reduced footprint under manual valves by relocating valve pads closer to the road and modifying access configuration at USACEs suggestion.
 - Reduced footprint, then eliminated the need for the Clover Mine Site.
 - Placed crude oil pipeline underneath Ublutuoch bridge structure to minimize impact of vehicles at the request of USEPA.
- 2014 GMT1 Final Supplemental Environmental Impact Statement (2 mitigation measures) (BLM 2014)
- Added three pullouts along GMT1 road route to minimize subsistence impacts by allowing for parking of community vehicles. CPAI must construct pullouts, maintain pullouts, and pay for required compensatory mitigation.
 - Flipped gravel drill site pad, moving it farther from a water body and shortened the proposed road 0.1 miles.
- Supplemental Best Management Practices (27 new SBMPs) developed as part of the GMT1 Record of Decision February 2015⁵ – Below is a description of supplemental BMPs (SBMPs) required as part of the Record of Decision for development of GMT1.
- Compensatory Mitigation Supplemental Best Management Practice 1 (2 SBMPs):
 - A) Compensatory Mitigation Fund
 - B) Regional Mitigation Strategy
 - Atmospheric Environment Supplemental Best Management Practice 1: Air Quality (2 SBMPs)
 - A) Use of alternative power
 - B) Provide BLM oversight and technical review of air quality monitoring
 - Vegetation and Wetlands (1 SBMP) Supplemental Best Management Practice 1: Oil Field Abandonment
 - Birds/Terrestrial Mammals Supplemental Best Management Practice 1 (2 SBMPs)
 - A) Roadkill Monitoring System for Birds and Wildlife
 - B) Minimize Potential Ground Vehicle Traffic Disturbance of Caribou
 - Subsistence (8 SBMPs)
 - A) GMT1 Road Right of Access Agreement
 - B) Consultation Regarding Aircraft Communication Protocols
 - C) Aircraft Data Reporting Requirements
 - D) Reduction in Non-Essential Aircraft Traffic
 - E) Reduction in Flights by Utilizing Unmanned Aerial Vehicles

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- F) Prohibit Airboats in Key Subsistence Use Areas (on BLM land)
 - G) Subsistence Monitoring Studies
 - H) Economic Study of Subsistence Impacts
 - Public Health (2 SBMPs)
 - A) Disaster Response Plan for Nuiqsut
 - B) Minimize Idling of All Vehicles
 - Spills (8 SBMPs)
 - A) Fuel Storage
 - B) Oil Spill Response Equipment
 - C) Facility Equipment and Design Criteria
 - D) Spill Prevention and Response Plan additions
 - E) Preparedness Plan additions
 - F) Prevention Plan additions
 - G) Leak Detection Criteria
 - H) Spill Minimization Measures at Ublutuoch Bridge
 - General Monitoring (2 SBMPs)
 - A) Establishment and Implementation of an Effectiveness Monitoring Plan at BLM
 - B) Funding Monitoring
- 2015 USACE 404 Permit⁶ for GMT1 (6 mitigation measures)
- Payment of Compensatory Mitigation to Kuukpik and/or ASRC for establishment of a 342.5 acre preservation easement.
 - Increase the opening of the Crea Creek bridge from 25- feet to 40-feet between the sheet pile abutments to ensure riparian buffers are provided at each side (BLM request).
 - Report sightings of ravens, raptors, and foxes nesting, denning, and shelter sites on GMT1 (USFWS request).
 - Record sightings of spectacled eiders for number, locations, general habitat type and gender to USFWS and USACE by December 1 of each year until the eiders become delisted (USFWS request).
 - Conduct three years of hydrology monitoring including flow discharge measurements at crossings of the Ublutuoch River, Barely Creek, and Crea Creek (BLM request).
 - Coordinate the design of Barely Creek culverted road crossing with BLM, ADFG, and USACE (BLM request).
- ConocoPhillips Standard Design Features and Practices – Alpine Developments (including GMT1) incorporate 87 standard design features and practices incorporated as mitigation measures. Examples include: vehicle idling procedures; alteration of aircraft flight paths during subsistence activity; location and avoidance of polar bear dens using forward looking infrared cameras; location of bird nest during baseline studies for avoidance; restriction of gravel hauling and heavy construction activities to winter season; self-audits to ensure compliance with environmental laws

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and practices; culverts designed for fish passage; consolidated facilities to minimize redundancy; rehabilitation of gravel mines; jobs and training programs for youth and adults in Nuiqsut; consultation with Kuukpikmuit Subsistence Oversight Panel to ensure operations do not adversely affect subsistence; waste reduction minimization and recycling programs, etc.

References:

¹ **BLM 2004a.** Alpine Satellite Development Plan (ASDP). Final Environmental Impact Statement (EIS). Volumes 1, 2, and 3. Anchorage, Alaska. Available online at: <http://www.blm.gov/eis/AK/alpine/dspfeisdoc.html> (accessed October 2013).

² **BLM. 2004b.** Alpine Satellite Development Plan Record of Decision (ROD). BLM/AK/PL-05/002+3130+931.

³ **BLM. 2013.** National Petroleum Reserve Alaska (NPRA). Final Integrated Activity Plan (IAP)/Environmental Impact Statement (EIS) Record of Decision (ROD). U.S. Department of the Interior, Bureau of Land Management, Anchorage, Alaska.

⁴ **BLM. 2014.** Final Supplemental Environmental Impact Statement for the Alpine Satellite Development Plan for the Proposed Greater Mooses Tooth One Development Project, Volume 1. Anchorage, Alaska. Available online at: <https://www.blm.gov/epl-frontoffice/projects/nepa/37035/50832/>

⁵ **BLM. 2015.** Supplemental Environmental Impact Statement for the Alpine Satellite Development Plan for the Proposed Greater Mooses Tooth One Development Project Record of Decision. February.

⁶ **USACE. 2015.** Department of the Army permit, POA-2013-461, Colville River, authoring placement of fill into waters of the United States (US) to construct the Greater Mooses Tooth #1 project. January

The CHAIRMAN. Thank you, Joe.

Thank you all for your testimony.

Let me ask, probably a general question, to each of you to begin the conversation.

Richard, you used the words "Alaska is an asset." "Alaska is our home." When we think about Alaska as the place that we live and work and raise our families, it is important to recognize that we have considerable assets associated with the land. It is how we access those assets and do so in a way that provides for jobs, provides for sustainable economy, but also accesses them in a way that ensures that we are good environmental stewards for the land. We want to raise our families in a place as beautiful as your family has lived for generations, and generations and generations, and we want to be able to do so going into the future.

From a broader perspective, given the testimony that each of you have presented here today, what more can we be doing, should we be doing, to ensure that Alaskans are able to achieve their fullest potential with the resources that we have available to us in our state?

Joe, you have mentioned from Conoco's perspective, regulations hold us back. I think you have suggested, Michelle, that access is a consideration. I do not care who starts off the conversation, but can you each speak to the areas that you feel that Alaska's potential in accessing our resources is being held back in some way by the Federal Government so that we can know better how to help us? I will throw that out to whoever would like to begin.

Mr. MARUSHACK. Go ahead, Richard.

Mr. GLENN. I will give it a shot.

The CHAIRMAN. Okay.

Mr. GLENN. I think there are two areas that your question leads me: that has to do with land ownership and federal leasing, leasing of federal lands, both the on and offshore. And also that the price of delay, even an approved project, if it takes multiple years to start from exploration to production, there's a price associated with that.

So let us start with that one first. As you know in Alaska most of the resource wells have been produced from state-owned lands, but there is some, and Michelle alluded to it, there is some production now coming from Native-owned lands and there is Native-owned lands now fighting being developed in the National Petroleum Reserve.

My point is if the resource development is of value to Native people and then that project is delayed over multiple years, that represents a real financial impact to Native people. We have distributed from the portion of production that is owned by Alaska's Native people, from the Alpine and satellite fields, we've distributed more than \$1 billion to all of the regional corporations throughout the state. And yet if there is some portion of our resource that is made unavailable to us over a period of years, that has a real, measureable, financial impact to all of Alaska's Native Regional Corporations. So that is the first one, there is a cost associated with delay.

The second one is that the terms for leasing might be reconsidered. The federal leasing terms should consider a revamp that

somehow protects the terms of the leases during this lengthy exploration to production phase. Given our setting, it is remote, it is Arctic, it is sensitive. There are all kinds of reasons for why it should take a measureable, well thought out process from exploration to development. My point is get rid of the excessive delay and reconsider the terms for federal leasing that somehow takes into account the multiyear phases it must go even at its most efficient pace from exploration to production.

The CHAIRMAN. Thank you.

Joe.

Mr. MARUSHACK. Sure, sure.

So I picked up on a point when you asked your question, Senator. It is not the regulations that are so problematic, it is the interpretation and the unpredictability in how those regulations are going to be interpreted sometimes.

We believe that the regulatory agencies should be following their statutory mandates not only to protect the environment and subsistence but also by a reasonable and balanced path to ensure transparency and predictability in those regulations and to avoid overlap among the agencies regarding lands that are leased well in advance of development.

As Richard mentioned, one of the things that we think makes some sense as well is for areas that have been taken off limits but ought to be reconsidered. We think that there are some good opportunities for exploration and development. It is kind of amazing that I think that the Native Corporations and the people of the North and people developing these resources can come to an agreement on how that ought to be developed, but we're precluded by doing that by some of the federal mandates.

The CHAIRMAN. Others?

Admiral BARRETT. Senator, a couple of thoughts specifically on regulations.

I have been on both sides of this fence both with the Coast Guard, the Pipeline Safety Agency, USDOT and now with the pipeline operator. I think fundamentally some of my background at the Coast Guard, 35 years ago, it is a different philosophy or approach to regulating an industry to a certain extent, but it is complex. You cannot dumb it down.

But always in the Coast Guard the goal was never to stop ships from sailing. The goal was not to tie up the ships. The goal was to have them sail safely because there is an acknowledgement and a recognition that maritime commerce is important to the economy, the health, the security and the well-being of this nation.

I do not see that relative to oil and gas. I think a much more collaborative relationship between the agencies that implement statutes and write regulations and less prescriptive one, but fundamentally collaborative. I feel strongly some of our best ideas that work, we have got 800 employees, another 600 baseline contractors, thousands of others. They show up every day trying to do a good job at what they do. We are not the enemy of anybody.

I think working with us and with companies is somehow perceived as a conflict. It is very much a command and control regime that is going to find you doing something wrong.

In the long-term I think that gets you less safety, less reliable performance, more environmental risk than just an upfront, open, collaborative approach to what a regulation might mean to track where those go and then follow it. I just think, I don't see that. So I think that is an opportunity to shape the regulatory regimes in that direction.

The CHAIRMAN. Okay.

Michelle, do you have anything to add?

Ms. ANDERSON. Just real briefly.

You know, development in our area, just like it is anywhere else in terms of the federal delays or barriers that you are asking about, it is very hard. It is very challenging to work with individuals or people who are interpreting regulations who have never even been to our area, who don't understand the lay of the land, if you will. So we do a lot of education of these individuals and agencies when they have already scoped out a project or an area and then coming back to us, the people that live there, and trying to make their project fit where we are at.

So, just more involvement of local people, landowners, from the beginning versus bringing us in at the end, I think, would be helpful.

The CHAIRMAN. Well that, kind of, ties into a follow on question that I wanted to ask which is how we, as Alaskans, again who are choosing to live and work and raise our families here, how we convey to the rest of the country, and often to the rest of the world, that what we seek to do here is to develop our state's resources and assets but that we do so with an eye towards stewardship.

We oftentimes do not get very much credit for the fact that we do have the kind of safety record that you have cited, Admiral Barrett; that we do have a level of care for production up on the North Slope, for instance, the likes of which you do not see anywhere else in the world in terms of the standards that are adhered to.

The question that I would ask, and I will direct it initially both to you, Richard, and to you, Michelle, is how we can keep our minds straight on development and environmental protection? I will take you to a quote the President made when he was up in the state in September. Governor Walker had been urging that he look to expand access for oil and gas development, and the President said, and I am quoting here. "One of the ironies when you're up in Alaska, and I mean this sincerely, it shows you that everybody can be two minds about this. I have some people saying we ought to protect this beauty and scenic areas and make sure that no one, nobody, is polluting it. And then, oh and by the way, let's get going on some oil drilling at the same time."

I am one of those people, I guess, in the ironic category because I do support new access and I do support new development and I do not see the conflict in our ability to protect our lands and to make it available, not only for this generation, but generations going forward.

How do we do a better job? Michelle, you mentioned education. Richard, you have been in the, perhaps not so enviable, position of being invited back to Washington, DC on numerous occasions to testify. How can we do more? How can we convey the message that

it is not ironic? That we want to help our people and at the same time we can care for our lands?

Mr. GLENN. Yeah, welcome to our world, right?

So, the issue at home is stark. I mean we ask ourselves who is going to—our grandchildren, what kind of school would they go to? Will there be reliable power in their communities? How will we fund the road maintenance? Even snow blowing and ambulance service, things that the rest of the world takes for granted are present in each of our communities only because of the presence of development in our region.

So we are open about it. We depend on continued development for the survival of our communities. It is great that we have the ability to hunt in our region, but we do not have a home to come home to if we do not also have development in our region.

And so, the message or the task becomes how do you convince the world that there is something between absolute protection like putting a jar over something and never letting anything in it and allowing people to live? And the pristine mystique of the Arctic will rub off and go away pretty fast when you are in survival mode or when your community is in a survival mode.

The way we have been able to do it at home, I think, is to create alignment. That is, we have invested in development in our region as an owner, a landowner, and an equity owner. That way when there is success for the explorer, there is success for our community's residents. If we were just victims of development, that is the opposite of the spectrum, the opposite end of it where we have no ownership, no participation and we are just victims of negative impacts. We looked at that and decided that the way to create success in our region is to create alignment. The way to create alignment is by investing in the only industry that has been around in our region long enough to pay taxes.

We have a bus that fills itself with tourists this time of year. They leave Alaska Airlines, they get on a bus, they drive around the town, they leave the bus, they go in a hotel, they go back on the bus, and then they leave. It is almost full every day with three jet flights every day. Yet, even that industry can barely supply its own needs as far as tax base.

So we recognize our dependence on the oil and gas industry in our region, and we created alignment by investing in it. We think that that is the answer to this we/they syndrome between sitting on the inside and sitting on the outside.

We are blessed in our region that it is big. There is room for everything. There is room for everybody.

If you look at a map of the North Slope and you look at the infrastructure of oil and gas pipelines, it depends on the width of the ink that they use to draw the map, but you get the impression that there is a spider web full of pipelines. If instead you get dropped off in the middle of nowhere on Alaska's North Slope, you are going to find out that there is a lot of open space and you will be thankful for that infrastructure when you do eventually come across it. [Laughter.]

So, there is a lot of room in our region.

The CHAIRMAN. Thank you.

Michelle.

Ms. ANDERSON. Thank you for asking. It gives me an opportunity to share Ahtna's vision which is our culture unites us, our land sustains us, our people are prosperous.

Our people highly prize our land and our food resources, so we are extremely protective over both. We would never jeopardize or compromise the future of our people by standing for irresponsible land development.

Our people are born there. They are buried there. That is our home. We would take care of it to the very best of our abilities and protect it.

We also, you know, that second line of the vision statement, our land sustains us. While it feeds us and provides us homes, we also believe that our elders selected those lands to take care of us. We are resource rich and we are very interested in not only developing those resources, but getting our people long-term jobs and careers at home so they do not have to leave the area to work in Anchorage, or Fairbanks, or wherever, you know. Our lands were selected for a reason, and we take very good care of them.

The CHAIRMAN. Admiral Barrett, you mentioned that we are at 556,000 barrels of oil moving down the pipeline at this moment. The capacity is 1.09 million per day that we could see if we were to have full capacity in TAPS.

What would that mean in terms of additional jobs for Alaskans and exactly what type of jobs?

Admiral BARRETT. Sure.

So what it would mean for Alaskans to start with is you would have to have the development to fill us up, right? So that is thousands of jobs on the exploration and development and all the work that goes with it.

But the types of jobs we have in this industry are generally high tech. We have been strong supporters of the Alaska Native Science and Engineering Program since its start as have some of the other people at this table, ANSEP. We need a high quality, high talent workforce. It is engineering heavy in the white collar, but it is every skill set. It is accounting and it is finance and it is engineering. We are almost 40 percent blue collar, alright?

So this is background American jobs, but they are instrument techs. They are mechanical techs. They are electricians. They are electrical techs. They are skilled jobs, they pay good salaries and they allow people to make a good living.

But fundamentally they are skilled jobs, skilled labor. And the people up here that we have working for us and the people that train them do a fabulous job and they are very, very good at what they do. But it is a skill set whether it is blue collar or white collar, and it is all across the board, Senator.

The CHAIRMAN. Let me just ask one more question of you, Mr. Marushack, and then I think we will move to the next panel.

Your testimony has spoken, primarily, to Conoco's activities there within NPRA, GMT-1 and 2, but Conoco is also a lease holder in our continental shelf areas. Have you given much thought to a better leasing and regulatory system that could be implemented in frontier areas in our OCS?

Mr. MARUSHACK. Well Senator, yes.

One thing that has to happen is you have to have lease sales on a fairly regular basis. The last one was 2007. The next one is 2020. It is extraordinarily difficult to do oil and gas development when you have got 13 years in between those areas and when so many of the best perspective opportunities are taken off the table.

But that is just to go back also on that to answer your question on how we can develop these areas responsibly. Having worked all over the world I can tell you that industry's ability to protect its license to operate is based on safety and environmental performance. In Alaska we are absolutely, I am very pleased with the amount of safety and environmental performance that we focus on.

You know, the other thing is our relationship with the Native Corporations and the people, the owners of the Slope. All over the world this is very, very unique.

So to come back to your question again then. If we can do it in an environmental and safe process and if we have the support of the local landowners and people that live up there, it feels to me like we ought to have opportunities to develop and expand this opportunity on a much more regular basis.

The CHAIRMAN. Last chance, final word from any of the four on the panel?

Mr. MARUSHACK. So could I tell you one—

The CHAIRMAN. Yes.

Mr. MARUSHACK. That is operating within NPRA.

NPRA is about the size of the State of Indiana. Our developments on CD-5, Mooses Tooth 1, Mooses Tooth 2, are 185 acres, 0.0008 percent of the acreage up there is what we are trying to develop right now.

The CHAIRMAN. 0.000?

Mr. MARUSHACK. Eight.

The CHAIRMAN. Eight.

Mr. MARUSHACK. Percent.

The CHAIRMAN. Percent.

Mr. MARUSHACK. 185 acres over roughly 25 million acres.

The CHAIRMAN. That puts it in context.

Admiral Barrett.

Admiral BARRETT. You mentioned too about how people can understand that we are able to reconcile these apparently competing interests.

I would just ask people to look—I mean I have been up and down the pipeline now for five years. I have seen black and white bears, caribou, moose, fox, wolves, squirrels, birds, the caribou herd in our region is four to five times larger than it was before we started development.

I think our quotes are instinctively conservationist. We pay a lot of attention to it. But they even value the environment we are in more than anybody else because they live in it. And I think if you actually look at the record of the pipeline and the development on the Slope, the record stands very strong, yet it is hardly even moved.

The CHAIRMAN. I appreciate that.

Michelle.

Ms. ANDERSON. Thank you, Senator.

I guess my last comment on the subject is come visit us in January and not spring when it feels like they should have a say in terms of what is vulnerable, a person or a region or the agencies that create the regulations that we have to follow. Look at our fuel bills. Look at how our people have to make choices. I am not just talking about Ahtna people, I am talking about people that live in the communities all along the road system. We are not Anchorage. We are not Fairbanks or some of the larger communities where there are stores and choices and jobs. We are there because we want to be there. That is our home. We want jobs. We want resource development. We want to be able to raise our families there. We do not want any more schools closing.

So I would urge people that, you know, before you make a decision for other people, come and live in our situation for a little while and see what it is really like. We find it beautiful, and I think it would be an absolute tragedy for the state if we were to force people to leave their homes to go to bigger cities in order to survive. Rural Alaska is beautiful and it will continue to remain so, so long as its people are there.

The CHAIRMAN. Well put.

Thank you all.

Mr. MARUSHACK. Thank you.

Admiral BARRETT. Thank you.

Mr. GLENN. Thank you.

Ms. ANDERSON. Thank you.

The CHAIRMAN. With that we will thank our first panel and move to panel number two. [Applause.]

[Recess.]

The CHAIRMAN. We will reconvene with our second panel.

Panel number two is composed of Mr. Bill Jeffress, who is a Principle Consultant at SRK Consulting. He will be followed by Mr. Bronk Jorgensen, who is with the Fortymile Miner's Association. Good to have you with us today. Ms. Lorali Simon, who is the Vice President for Usibelli Coal Mine, is with us. The panel will be rounded out by Mr. J.P. Tangen, who is an Attorney at Law here in Fairbanks and a long time consultant and knowledgeable person when it comes to our federal land and particularly mines. So we appreciate that.

Again, same kind of contours as far as testimony this afternoon. We would ask you to keep your comments to about five minutes. Your full written statements will be incorporated as part of the record. Once you all have completed your statements, we will have a chance for a little bit of back and forth with questions.

With that, Mr. Jeffress, if you would like to lead us off. Thank you for being here.

STATEMENT OF BILL JEFFRESS, PRINCIPAL CONSULTANT, SRK CONSULTING

Mr. JEFFRESS. Thank you, Senator, thanks for the opportunity.

My name is Bill Jeffress. I am the Vice President of Alaska Miners Association, a member of the Alaska Minerals Commission and Principal Consultant for SRK Consulting here in Alaska. I have been involved with research and development for over 40 years. Because of the vast difference between Alaska and other states, fed-

eral programs do not always adapt to Alaska even though some of those programs may very well meet the needs of other states.

The U.S. Department of Interior agencies, such as Bureau of Land Management (BLM), U.S. Fish and Wildlife Service and National Parks control over 201,000,000 acres of the total 365,481,600 left in Alaska. Over 75 percent of the federal land in Alaska is closed to mining. That translates into fewer opportunities for jobs.

Federal flexibility and state collaboration to balance national policies with local conditions is needed for successful resource development. The State of Alaska and Alaska resource development industries have a long history of successful collaboration with federal and local jurisdictions. Unfortunately, federal land management agencies under this Administration are developing guidelines and policies without input from the State of Alaska or resource industries.

The most alarming of these issues is that recently BLM resource management plans for Eastern Alaska, Bering Sea, Western Interior, Central Yukon planning areas include massive “areas of critical environmental concerns,” the ACECs you spoke of earlier. In addition, the natural research study areas, there are no timelines for completion of studies of these areas prior to lands being available for any type of resource development, if ever.

BLM has implemented draft mitigation policies for a project on the North Slope and BLM’s Solicitors Office has rolled out a new interpretation of 43 CFR 3809 regulatory requirements.

BLM, last Tuesday, proposed new reclamation standards for placer miners. BLM has not afforded any opportunities for industry or affected state agencies to participate in the development of these new requirements or policies. Alaska placer miners, whether they are large or just the mom and pop operations, are now required to prepare extensive supplemental plans and baseline documents. The new reclamation standards for Alaska placer miners were developed in the BLM bubble without any consultation of State of Alaska resource agencies that have decades of reclamation and habitat enhancement experience. Collaboration with resource industries in the State of Alaska resource agencies on lessons learned is nonexistent. The end result, and some would say the design result, is the elimination of all placer mining on BLM land. So much for the multiple use concept that was the mantra when I was in college.

To further add to the frustration during this downturn in the economy, on November 3rd, 2015, President Obama’s Memorandum on Mitigation has initiated another round of government bureaucratic uncertainty for the resource development industry and a job killer. This Memorandum directs the Department of Interior, along with other government entities, to develop mitigation plans based on avoid, minimize and mitigate, a concept that has been administered by the U.S. Army Corps of Engineers for decades.

If you will indulge me, I’d like to step back in time to the early 1990s. Over 48 percent of Alaska’s surface area, 175,000,000 acres, is wetlands which is regulated by the Army Corps of Engineers. Under President Bill Clinton’s directive and some political persuasion from then Senator Ted Stevens in the form of the Alaska One Percent Rule, the Corps of Engineers, EPA, U.S. Fish and Wildlife

Service and National Marine Fisheries initiated a two-year process that resulted in the 1994 Alaska Wetlands Initiative.

This document, signed by all parties on May 13th, 1994, recognized the unique aspects of Alaska, the limited opportunities for mitigation and the need for additional flexibility in the Clean Water Act 404 permitting process. Even prior to President Obama's Memorandum on Mitigation, the Corps of Engineers, through agency consultation during the review and permitting process, considered mitigation options offered by U.S. Fish and Wildlife Service, EPA, NMFS and BLM.

As a lead agency on most federal permitting activities in Alaska, the Corps of Engineers makes the final determination if provisions of the Clean Water Act are satisfied by avoidance and minimization or if mitigation would be required, what form of mitigation will it take such as permittee responsible mitigation, in-lieu fees or compensatory mitigation. The Corps of Engineers review and permitting process using the 1994 Wetlands Initiative as one of the tools to incorporate flexibility, where appropriate, although not perfect and without its own hiccups, has provided industry with some certainty.

The President's Mitigation Memorandum removes that certainty and potentially it leaves all developers and especially extractive resource industries faced with multiple mitigation requirements. These mitigation requirements not only are on federal land, but private and Native Corporation land. If Alaska is to develop its natural resources for the good of its citizens and the nation, this governing by command and control must cease. We need to reinitiate collaboration and cooperation for the good of the state and the health of the nation.

Thank you very much.

[The prepared statement of Mr. Jeffress follows:]

Testimony of
Bill Jeffress
Vice President
Alaska Miners Association
Before the Energy and Natural Resources Committee
Of the United States Senate
Field Hearing, Fairbanks, Alaska
March 28, 2016

Honorable Chair and Committee members thank you for this opportunity to testify on Alaska resource development. My name is Bill Jeffress; I am the Second Vice President of the Alaska Miners Association, a member of the Alaska Minerals Commission, a Principal Consultant for SRK Consulting, Inc. here in Alaska, and I have been involved in resource development for over 40 years.

Through our memberships and associations with other industry groups, specifically in the western portion of the U.S., we are very aware of the problems and situations in other states that have large land areas under federal ownership. However, the majority of other states while continuing to struggle and face their own challenges with federal land management agencies are in many instances at the opposite end of the spectrum from Alaska. Where other states are striving to protect, preserve, restore, or enhance remaining areas of undeveloped land, Alaska has yet to even develop 1% of our more than 44,500 miles of shoreline and 175,000,000 acres of wetlands that comprise approximately 48% of the surface area of the State. In addition to having over twice the length of shoreline of all the other coastal states combined, Alaska is the largest ocean state in the country and the nation's only Arctic State. Alaska occupies 20% of the nation's land base, contains half the nation's wetlands and 40% of the nation's surface water.

Alaska's proven and unexplored natural resources are greater than any other state; Alaska oceans and coastal watershed are believed to contain more than 30% of the nation's known recoverable offshore resources, over 50% of the nation's seafood, and over 50% of the nation's land based minerals.

Because of the vast differences between Alaska and other states, Federal programs often do not adapt to Alaska even though some of those programs may very well meet the needs of other states.

U.S. Department of Interior agencies such as the Bureau of Land Management, U.S. Fish and Wildlife, and National Park Service control over 201,469,140 acres of the total 365,481,600 acres in Alaska. Over 75% of the federal land in Alaska is closed to mining. The BLM administers over 72 million acres of which only 18 million acres or approximately 25% are open to mineral entry, that translate into fewer opportunities for Alaskan jobs.

Federal flexibility and state collaboration to balance national policies with local conditions is needed for successful resource management. The State of Alaska and Alaska resource development industries have a long history of successful collaboration with federal and local jurisdictions. Unfortunately, federal land management agencies, under this administration, are developing guidelines and policies without input from the State of Alaska or resource industries.

The most alarming of these issues is that recently BLM's Resource Management Plans for Eastern Alaska, Bering Sea-Western Interior, Central Yukon Planning areas include massive Areas of Critical Environmental Concern (ACECs), and additional Natural Research Study Areas (NRSA). There are no timelines for completion of studies of these areas prior to the lands being available for any type of resource development (if ever). BLM has implemented a DRAFT mitigation policy for a project on the North Slope and BLM's Solicitor Office has rolled out a new interpretation of 43 CFR §3809 regulatory requirements. BLM Alaska last Tuesday proposed new reclamation standards for placer miners. BLM has not afforded any opportunities for industry or affected State agencies to participate in the development of these new requirements or policies. Alaska placer miners, whether they are large or just the mom and pop operations, are now required to prepare extensive supplemental plans and baseline documents. Specifically, the supplements provide the information necessary to meet the BLM new requirements for:

- Performance Standards (Supplement A)
- Reclamation Plan (Supplement B)
- Water Management Plan (Supplement C)
- Interim Management Plan (Supplement D)
- Monitoring Plan (Supplement E)
- Spill Contingency Plan (Supplement F)
- Preliminary or Conceptual Designs and Plans (Supplement G)
- Reclamation and Closure Cost Estimate

The new reclamation standards for Alaska placer miner were developed in the BLM bubble without any consultation with the State of Alaska resource agencies that have decades of reclamation experience and habitat enhancement. Collaboration with resource industries and State of Alaska resource agencies on "lessons learned" is non-existent. The end result and some would say the designed result is the elimination of all placer mining on BLM administered land – so much for the "multiple use" concept that was the mantra when I was in college.

To further add to the frustration during this downturn in the economy, on November 3, 2015 President Obama's Memorandum on Mitigation has initiated another round of government bureaucratic uncertainty for the natural resource development industry and a job killer. This memorandum directs Department of Interior, along with other government entities, to develop mitigation plans based on "avoid, minimize, and mitigate;" a concept that has been administered by the U.S. Army Corps of Engineers for decades.

If you will indulge me, I would like to step back in time to the early 1990s. As previously mentioned, over 48% of Alaska surface area is wetlands which is regulated by the U.S. Army Corps of Engineers. Under President Bill Clinton's directive and some political persuasion from then Senator Ted Stevens in the form of the "Alaska 1%" rule, the Corps of Engineers, EPA, USFWS, and NMFS, initiated a two year process that resulted in the 1994 Alaska Wetlands Initiative. This document signed by all the parties on May 13, 1994 recognized the unique

aspects of Alaska, the limited opportunities for mitigation, and the need for additional flexibility in the Clean Water Act 404 permitting process.

Even prior to President Obama's Memorandum on Mitigation, the Corps of Engineers through agency consultation during the review and permitting process considered mitigation options offered by USFWS, EPA, NMFS, and BLM. As the lead federal agency on most federal permitting activities in Alaska, the Corps of Engineers makes the final determination if provisions of the CWA are satisfied by "avoidance and minimization" or if mitigation would be required and what form of mitigation it will take such as, permittee responsible mitigation, in lieu fees, or compensatory mitigation. The Corps of Engineers review and permitting process, using the 1994 Alaska Wetlands Initiative as one of the tools to incorporate flexibility where appropriate, although not perfect and without its own hiccups, has provided industry with some certainty. The President's mitigation memorandum removes that certainty and potentially leaves all developers and especially the extractive resource industries faced with multiple mitigation requirements.

If Alaska is to develop its natural resources for the good of its citizen and the Nation, this governing by "command and control" must cease. We need to reinitiate collaboration and cooperation for the good of the State and health of the Nation.

Thank you again for this opportunity to testify before this Committee and I am available to answer questions.

The CHAIRMAN. Thank you, Bill, appreciate it.
Mr. Jorgensen, welcome.

STATEMENT OF BRONK JORGENSEN, FORTY MILE MINING DISTRICT

Mr. JORGENSEN. Thank you.

I'd like to thank the Committee for letting me testify on behalf of the Mining District today. The Fortymile Mining District is currently made up of about 100 miners and was established on the Fortymile Bar of the Fortymile River on March 25, 1898 under the 1866 Mining Act and the 1872 General Mining Act, making the District 118 years old this week. The District is approximately 6,000 square miles and is the oldest and longest standing mining district in the State of Alaska. Since 1898 the District has been actively engaged with governmental agencies to promote family placer mines and create a healthy and vibrant environment for all user groups of the Fortymile watershed.

Placer mining in the Fortymile is a clean process, as it is across the state. No acid leaching or other chemicals are used, just water and hard work. The overall footprint is minimal to the extent that the 1986 Environmental Impact Statement (EIS) showed that collectively all placer mining in the Fortymile District would have no significant impact.

The number of acres that the EIS assumed in 1986 would be mined by 1996 hasn't even been reached today, and we're 30 years out. Total, all placer activity in the Fortymile is smaller than an Iowa farm. Clearly, gold is a critical part of our society, needed in the assembly of vehicles, computers, cell phones and all kinds of other necessities. The gold produced by our operations is used for these and other items without the environmental impact caused by other forms of mining.

All placer mines in the state are currently facing an unprecedented obstacle in dealing with regulatory agencies like the BLM, EPA, DEC, U.S. Army Corps. In spite of the fact that there is no history of any environmental damage done by any members of our District, we are inundated by instructional memoranda, reinterpretation of regulations and a complex REM policy for reclamation. BLM has failed to provide adequate funding and staffing for the 3809 mining program but at the same time has spent hundreds of thousands on the REM policy. On my personal operation, in five years I think I'm on my sixth inspector.

The BLM's use of areas of critical environmental concern will close off access and lock up over 700,000 federal acres and essentially land-locking thousands or more acres owned by Doyon and the State of Alaska in the Fortymile region. This will remove any possibility of critical, strategic mineral prospecting in the area. The ACECs are also clearly contrary to the "no more clause" of ANILCA.

In 2008 the BLM started the scoping process to replace the individual resource management plans for the Fortymile Rivers, White Mountains and Steese National Conservation Area. The BLM has claimed that they are only amending, consolidating and updating these resource management plans. This is incorrect. BLM is replacing these plans with the proposed Eastern Interior Management

plan. The current Fortymile Rivers Management Plan was required by and was approved by Congress in 1982. The BLM does have the ability to update the plan but not replace it as stated on BLM's website.

Sitting in front of me is the old plan, and underneath the microphone, the new plan. There is something fundamentally wrong with what is happening when you look at these two piles. The BLM is treating the Fortymile District as if it were an evil entity that needs to be governed with an iron fist.

Currently in the Fortymile BLM will not allow any new mining claims to be staked because of the withdrawals. This is in direct conflict with the 1872 Mining Law which gives citizens of the country the right to mine and ANILCA specifically granted prior existing rights to the users of the resource and the rights they have.

The Fortymile Mining District would like to be positive, and what we need to be doing is helping family placer mining operations. This will help with the economy and strengthen national security. But with the current regulatory scheme it is tough to be positive. In essence, this boils down to federal overreach that goes against the Statehood Act, ANCSA and ANILCA.

We need to lift the federal land withdrawals so the federal ground is once again as it was supposed to be, open to mineral staking and prospecting.

As a multiuse agency, BLM should be helping to develop placer mines and access to private, Native and state lands, not rolling out hundreds of new pages of regulations, instructional memorandas and in-house policy.

Let's try to work on reducing regulatory paperwork and encourage more people to go out and develop small placer operations.

Thank you to the Committee and the Senator for letting us testify.

[The prepared statement of Mr. Jorgensen follows:]



Fortymile Mining District
P.O. BOX 4
Chicken, AK 99732

US Senate Committee on Energy and Natural Resources
Bronk Jorgensen – Board of Trustees
March 28, 2016

I would like to thank the Committee for letting the Mining District testify today.

The Fortymile Mining District is currently made up of about 100 miners and was established on the Fortymile Bar of the Fortymile River on March 25th, 1898 under the 1866 Mining Act and the 1872 General Mining Act, making the district 118 years old this week. The District is approximately six thousand square miles and is the oldest and longest standing Mining District in the State of Alaska. Since 1898, the District has been actively engaged with Governmental agencies to promote family placer mines and create a healthy and vibrant environment for all user groups of the Fortymile River watershed.

Placer mining in the Fortymile is a clean process, no acid leaching or other chemicals are used, just water and hard work. The overall footprint is minimal to the extent that the 1986 Environmental impact statement showed that collectively all placer mining in the Fortymile District would have no significant impact. The number of acres that the EIS assumed in 1986 would be mined by 1996 hasn't even been reached today and we are 30 years out. Total all placer activity in the Fortymile is smaller than an Iowa Farm.

Clearly, gold is a critical part of our society, needed in the assembly of vehicles, computers, cell phones and all kinds of other necessities. The gold produced by our operations is used for these and other items, without the environmental impact caused by other forms of mining.

All placer miners in the state are currently facing an unprecedented obstacle in dealing with regulatory agencies like the BLM, EPA, DEC, and US Army Core of Engineers, in spite of the fact that there is no history of any environmental damage done by any members of our District.

We are inundated by Instructional Memoranda's, reinterpretation of regulations and a "REM Policy" for reclamation.

BLM has failed to provide adequate funding and staffing for the 3809 mining program but at the same time has spend hundreds of thousands on the REM policy.

The BLM's use of Area's of Critical Environmental Concern will close off access and lock up over 700,000 federal acres and essentially landlocking thousands of more acres owned by Doyon and the State of Alaska in the Fortymile alone. This will remove any possibility of critical

strategic mineral prospecting in these areas. The ACEC's are also clearly contrary to the "no more" clause of ANILCA.

In 2008 the BLM started a scoping process to replace the individual resource management plans for the Fortymile Rivers, White Mountains and the Steese National Conservation Area. The BLM has claimed that they are only amending, consolidating and updating these Resource Management Plans for each area. This is incorrect; the BLM is "replacing" these plans with the proposed Eastern Interior Management Plan which includes ACEC's.

The current Fortymile Rivers Management Plan was required by and was approved by Congress in 1982. The BLM does have the ability to update the plan but not "replace" it as stated on the BLM's website.

Sitting in front of me is the old plan and the new proposed plan. There is something fundamentally wrong with what is happening when you look at these two piles. The BLM is treating the Fortymile District as if it were some evil entity that needs to be governed with an iron fist, if not destroyed entirely, without any basis whatsoever for doing so.

Currently in the Fortymile, BLM will not allow any new claims to be staked because of land withdrawals. This is in direct conflict with the 1872 Mining Law which gives the citizens of this country the right to mine and ANILCA specifically granted prior existing rights to the users of resource and the rights they had.

The Fortymile District would like to be positive and what we need to be doing is helping family placer operations so they can be successful which will help the economy and strengthen national security. But with the current regulatory scheme it is tough to be positive.

In essence this boils down to federal overreach that goes against the Statehood Act, ANCSA, and ANILCA.

We need to lift the federal land withdrawals so that federal ground is again as it was supposed to be, is open to staking.

As a multi use agency, BLM should be helping to develop placer mines and access to private, native and state land. Not rolling out hundreds of pages of new regulations, Instructional Memoranda's and in house policy.

Let's try to work on reducing the regulatory paperwork and encourage more people to go out and develop small placer operations.

Thank you for giving me the time to address the committee.

The CHAIRMAN. Thank you, Bronk.
Lorali Simon, welcome.

**STATEMENT OF LORALI SIMON, VICE PRESIDENT, EXTERNAL
AFFAIRS, USIBELLI COAL MINE, INC.**

Ms. SIMON. Thank you very much.

Good afternoon, Chairman Murkowski. I appreciate the invitation to come today and discuss Alaska's coal resources and how our industry is creating Alaska jobs as well as playing a vital role in strengthening our national security.

Usibelli is celebrating our 73rd year of operation this year. We proudly supply 100 percent of the in-state demand to six coal-burning power plants, and we have a long history of exporting coal on the international market. Today Usibelli employs about 108 people. The average wage paid to our employees is more than double the average wage in Alaska. Usibelli's operations directly provide about 20 percent of private sector employment for Healy's year-round residents.

The McDowell Group produced a report that was based on 2013 data on the socio-economic impacts of Usibelli Coal Mine. There were 640 direct, indirect, induced and coal-fired power plant jobs which equated to nearly \$49 million in wages. Usibelli spent close to \$41 million with Alaska businesses and made up 22 percent of the Alaska railroad corporations freight revenue.

Coal is Interior Alaska's lowest cost source of energy and accounts for nearly one third of electrical energy generation. In the absence of Usibelli Coal, energy costs in Interior Alaska would be much higher, perhaps 25 percent higher than they are today, a cost of approximately \$200 million annually.

Fort Wainwright and Eielson Air Force Base spend about \$33 million a year on coal purchases. If trucked natural gas from the North Slope becomes available, the bases could switch to natural gas but their energy costs would triple. Let us not forget that natural gas is not available to the military today nor is it available to Interior Alaska. Military spending is estimated to support 30 percent of the Fairbanks' economy. Large increases in energy costs could risk maintaining the military's presence in the Interior.

On another note, Senator, we certainly cannot deny the reality that unnecessary government regulation is taking its toll on our industry. Primarily we are deeply concerned about the proposed federal Stream Protection Rule. If this proposed rule becomes final, it will likely kill coal development in Alaska.

The Stream Protection Rule represents a complete rewrite of the 1977 Surface Coal Mine Control and Reclamation Act which we call SMCRA. It is not a simple revision. Congress passed SMCRA, yet today we are seeing unelected federal bureaucrats violate legislative intent which will kill America's coal industry. The proposed Stream Protection Rule is a violation of states' rights. It unlawfully seizes the regional discretion granted in SMCRA, and it overthrows state primacy.

Senator, I do not need to tell you how unique the geology is on the North Slope verses Southeast Alaska. The Stream Protection Rule targets coal mining in Appalachia, yet it is being smeared across the entire country all the way to Alaska. Alaska was not

considered nor consulted in the drafting of the proposed rule. No scientific studies relevant to Alaska are referenced in the documentation and no public meetings were held here. Of greatest concern to us is that we only had 91 days to review over 3,000 pages of documents, all of which took OSM over six years to produce, yet industries, state agencies and stakeholders had only 91 days to review.

In summary, I do not believe that the proposed Stream Protection Rule can be fixed enough to be palatable. I believe the entire proposed rule should be thrown out and the agency should begin again, this time with proper consultation with the states.

Since it is unlikely that the Administration will take such action, a very simple solution would be the passage of the STREAM Act.

Madam Chair, Usibelli Coal Mine respectfully requests the Committee to pass S. 1458, Senator Coats' bill. This bill will require the Secretary of Interior to make publicly available all data relied on for new regulations, environmental impact statements as well as environmental and economic assessments. This bill will also ensure that the Secretary does not needlessly duplicate or encroach upon environmental laws under the jurisdiction of other agencies.

The bill will encourage a transparent rulemaking process and guarantee that the proposed SPR, Stream Protection Rule, does not add needless regulation.

Thank you for your time today.

[The prepared statement of Ms. Simon follows:]

**Statement of Lorali Simon
Vice President, External Affairs
Usibelli Coal Mine, Inc.
P.O. Box 1000
Healy, Alaska 99743**

**before the
Senate Committee on Energy and Natural Resources
United States Senate**

**regarding
Alaska's Coal Resources: Creating Jobs and Strengthening National Security**

**March 28, 2015
1:00 p.m.
Pipeline Training Center
3605 Cartwright Court, Building C
Fairbanks, Alaska**

**Lorali Simon
Vice President, External Affairs
Usibelli Coal Mine, Inc.**

**Testimony on Alaska's Coal Resources: Creating Jobs and Strengthening National Security
Before Senate Committee on Energy and Natural Resources
March 28, 2016**

Good afternoon Chairman Murkowski and members of the committee. My name is Lorali Simon; I am the Vice President of External Affairs at Usibelli Coal Mine (UCM). Thank you for the opportunity to come before you today to discuss Alaska's coal resources and how our industry creates Alaska jobs and plays a vital role in strengthening national security. UCM is celebrating our 73rd year of operation. Usibelli proudly supplies 100 percent of the in-state demand to six coal-fired power plants. Additionally, UCM has a long history of exporting coal on the international market. Usibelli currently employs 108 people. The average wage paid to Usibelli employees is more than double the average wage in Alaska. Usibelli's operations directly provide about 20 percent of private sector employment for Healy's year-round residents.

The McDowell Group produced a report on the statewide socioeconomic impacts of Usibelli Coal Mine last year, which was based on 2013 data. The report tells a very compelling story. There were 640 direct, indirect, induced, and coal-fired power plant jobs, which equated to \$48.5 million in wages. UCM spent \$40.7 million with Alaska businesses and made up 20 percent of the Alaska Railroad Corporation's freight revenue.

Coal is Interior Alaska's lowest-cost source of energy and accounts for nearly one-third of electrical energy generation. In the absence of Usibelli Coal, energy costs in Interior Alaska would be much higher, perhaps 25 percent higher than they are today – a cost of \$200 million annually (depending on other fuels used).

If the military bases in Interior Alaska switched to natural gas, their heat and electricity costs would rise 250 percent assuming the lowest cost near-term delivery option. There is currently no natural gas available for use by the military.

Fort Wainwright and Eielson Air Force Base use an estimated 425,000 tons of coal annually for cogeneration purposes. Data was not available for an in-depth analysis of energy costs for the military but examining the annual consumption of energy, in the form of coal, allows for some basic understanding. Knowing the bases require approximately 6.5 million MMBtu annually and the cost of various sources of energy, financial implications of a switch to another source of energy can be explored.

The bases currently spend approximately \$33 million annually on coal purchases. If trucked natural gas from the North Slope becomes available, the bases could switch from coal to natural gas but energy costs would approximately triple. The proposed Interior Energy Project is forecasted to deliver natural gas at a cost of \$14-17/MCF. Using \$14/MCF, a switch to natural

gas would increase annual costs from \$33 million to more than \$91 million, or an increase of \$58 million annually.

Another way to understand the cost-saving nature of coal is to examine a scenario where the bases relied upon diesel generators for their electrical energy and heating needs. Assuming diesel costs \$2 per gallon (the current market rate for large scale consumers), purchasing 6.5 million MMBtu would increase energy costs from \$33 million to approximately \$94 million, an increase of \$61 million.

Military spending is estimated to support 30 percent of the Fairbanks economy. Large increases in energy costs could risk maintaining the military's presence in the Interior.

Senator Murkowski, we cannot deny the reality that unnecessary government regulation is taking its toll on our industry. Primarily, Usibelli is deeply concerned about the proposed Stream Protection Rule (SPR) by the Office of Surface Mining and Reclamation Enforcement (OSM). If this proposed rule becomes final, it will likely kill all coal development in Alaska.

The SPR represents a complete rewrite of the 1977 Surface Coal Mine Control and Reclamation Act (SMCRA) – it is not a simple revision. Congress passed SMCRA, yet today we are seeing unelected federal employees violate legislative intent which will kill America's coal industry.

When SMCRA was passed, it included language granting individual States primacy over their own coal regulatory programs. The State of Alaska has managed the Alaska Surface Coal Mining Control and Reclamation Act (ASCMCRA) since 1983 and has a successful record of stringent oversight of coal mining activities here. The proposed SPR is a violation of States' rights. The proposed rule unlawfully seizes the regional discretion granted in SMCRA and overthrows State primacy.

In the proposed SPR, OSM targets coal mining in Appalachia; yet the proposed rule is being smeared across the entire country. Senator, I do not have to tell you how unique the geology is on the North Slope of Alaska versus Southeast Alaska. Yet this proposed rule is meant to be a one-size-fits-all approach to coal mining from the eastern United States all the way across the country. Alaska was not considered, nor consulted, during the drafting of the proposed rule. No scientific studies relevant to Alaska are referenced in the documentation, and no public meetings were held here.

Of greatest concern to us is that we had only 91 days to review and evaluate over 3,000 pages of the Environmental Impact Statement, Economic Analysis, Regulatory Impact Analysis, and appendices. All of which took OSM over six years to produce, yet industry, states agencies, and stakeholders had only 91 days to review. UCM did not have enough time to thoroughly review these documents to understand each implication proposed. I am not confident that I completely understand this re-write of legislation today. However, those provisions we have had time to analyze would prove disastrous for the coal mining industry and the communities it supports.

When Assistant Secretary Schneider testified before this committee on October 27, 2015, she was unable to explain why the proposed rule included a nullification clause. I would posit that it

was because she also did not have enough time to thoroughly review the proposed rule before the comment period closed (which was the day of her testimony). Quite simply, the proposed rule gives OSM the ability to invalidate an active mining permit if the agency finds it to be inadequate – for any reason. This permit nullification occurs retroactively and automatically, without any action necessary on the part of the regulatory authority. This would penalize the operation for the time in which it operated as if it never completed the permitting process and received approval and was effectively mining without a permit. Senator, this is unfair. It adds risk to project developers with no added benefit to the environment.

Further, the proposed SPR would allow OSM to assume jurisdiction over a property after the site is reclaimed and the final bond has been released. This creates great uncertainty to any project and exposes the company to indefinite liability. It is important to remember that it is the State that decides when a project has met its reclamation goals and releases the final bond.

Alaska's Coal Regulatory Program provides several different bonding mechanisms to be used for Alaska's coal mines. The State of Alaska has appropriate and sufficient financial assurances in place. However, the proposed SPR eliminates the bonding requirements provided in Alaska's regulations. Self-bonding would no longer be acceptable even though the State has a regular audit system and has not identified any problems with it. By removing the ability to self-bond, OSM is adding additional cost to operations by requiring alternative instruments such as surety bonds, however, surety bonds are not a viable option in Alaska – they are cost prohibitive in our industry.

As proposed, the SPR contains numerous new definitions of existing terms. While I do not feel confident that I was able to identify all of them, the most disturbing new definition is of "material damage to the hydrologic balance," which was previously defined by individual states based on what is appropriate for their region. The proposed SPR includes a new, nationwide definition, which completely disrespects the regional diversity SMCRA was enacted to protect. A broad definition applied to the entire country is ridiculous, and it is a violation of the Clean Water Act. The State of Alaska cannot be required to administer regulations that are in conflict with Alaska Statute.

In summary, I do not believe that the proposed SPR can be fixed enough to be palatable. I believe the entire proposed rule should be thrown out, and the agency should begin again – this time in proper consultation with the States. Since it is unlikely that the administration will take such action, another very simple solution would be the passage of S. 1458.

Senator Murkowski, Usibelli Coal Mine respectfully requests the committee to pass S. 1458, Senator Coats "Supporting Transparent Regulatory and Environmental Actions in Mining" Act. This bill will require the Secretary of Interior to make publicly available all data relied on for new regulations, environmental impact statements, and environmental/economic assessments. The bill will also ensure that the Secretary does not needlessly duplicate or encroach upon environmental laws under the jurisdiction of other agencies. The bill will encourage a transparent rule making and guarantee that the proposed SPR does not add needless regulation.

Thank you for the opportunity to testify today. I am happy to answer your questions.

The CHAIRMAN. Thank you.

Last we will go to Mr. J.P. Tangen, welcome.

**STATEMENT OF J.P. TANGEN, ATTORNEY AT LAW, ALASKA
MINERS ASSOCIATION**

Mr. TANGEN. Thank you, Senator.

I appear today on behalf of 1,800 members of the Alaska Miners Association.

I believe that it goes without saying that the very existence of the State of Alaska is dependent upon the development of its abundant natural resources. Many of the resources needed for our national security are found in Alaska as well. No one can seriously argue that Alaska is not unique in many ways, not the least of which is the abundance and diversity of its mineral resources that are found from one end of the state to the other.

The Alaska Statutory Trilogy repeatedly has recognized that abundance.

First, the Statehood Act granted to the state 104,000,000 acres of land selections. This is an area greater in size than the entire State of California but justification for such a significant grant was that due to our size, remoteness and sparse population Alaskans would need vast tracts of resource-rich land to develop and support its residents.

Second, the Alaska Native Claims Settlement Act in settling long standing land claims afforded indigenous people a commercial paradigm for generating cash revenue independent of the public treasury. The settlement included 44,000,000 acres in land selections which selections frequently were made with an eye towards resource development.

And third, the Alaskan National Interest Lands Conservation Act (ANILCA) was adopted to ensure that the distinguished park areas, refuges, rivers and representative woodlands were afforded unique consideration without adversely impacting existing opportunities to develop the resources of the state.

The Alaska Statutory Trilogy was adopted in the context of the respective contemporaneous organic mandates of the four major land managing agencies in Alaska. Accordingly, ANILCA, for instance, was consented to and adopted based upon the practices of the four agencies as they were interpreted in 1980. Thirty-five years later these agencies have aggressively evolved in ways that deny the people of Alaska their expressly intended benefits.

When adopted ANILCA created numerous conservation systems which frequently surrounded privately held inholdings and allotments which were transected by trails and waterways customarily used for access through and across subsumed areas. Since passage the National Park Service, Fish and Wildlife Service and the U.S. Forest Service have all imposed restrictions vitiating the utility of these holdings and access routes.

At this time the Alaska Miners Association is calling for a corrective legislative action either in the form of a stand-alone bill or as amendments to other germane legislation to accomplish at least the following goals.

First, the Organic Acts of the four land management agencies need to be amended to harmonize their requirements with the

Alaska Statutory Trilogy. I refer you to the expressed language of the Supreme Court of the United States and the *Sturgeon v. Frost* case which went on at great length to talk about how those two groups of statutes should be harmonized.

Second, as a priority, ANILCA needs to be amended to provide a clear, Alaska-specific definition of what constitutes a withdrawal in connection with land management plans in Alaska.

Third, the Alaska Land Use Council which was created by Title 12 of ANILCA to facilitate coordination between the State of Alaska and the four federal land management agencies should/needs to be reconstituted to ensure that the four land management agencies have adequate oversight with regard to Alaska-specific land management activities.

Fourth, public land orders that have been recommended to the Secretary for revocation have not been acted on. They should be revoked by statutory action now.

Fifth, RS2477 rights-of-way need to be conveyed to the State by statute. RS2477 is self-enacting. It does not require any action by the Department of the Interior or by anybody else and certainly does not need to be processed through the Four Organic Acts, and so those grants should be implemented right away.

The State of Alaska has identified a bunch of those RS2477's and those found at A.S. 19.30.400 should be now granted by statute including 50 feet on either side of the center line description and adequate provisions for adequate borrow bits.

And sixth, the submerged lands in Alaska which belong to Alaska according to the Statehood Act should also be recognized by statute. We got those submerged lands on account of the Statehood Act, but the Department of the Interior has resisted the conveyance because of the definition of what constitutes navigable waters.

There has been already some law that's been developed in that case on that matter and essentially what definition that's been agreed to, at least in one instance, is a body of water that would float a raft that contains a 1,000-pound load. That's a perfectly good definition, and that ought to be in statute. If it can support a 1,000-pound load on water in Alaska, it ought to be deemed navigable. Period, end of story.

Madam Chairman, this concludes my recommendations of the Alaska Miners Association at this time. We appreciate the opportunity to present these requests to you and stand ready to assist in your efforts to ensure that Alaska's mining industry remains strong for the benefit of the state and for the security of the nation.

[The prepared statement of Mr. Tangen follows:]

Testimony of
J. P. Tangen
Alaska Miners Association
Before the Energy and Natural Resources Committee
Of the United States Senate
Field Hearing, Fairbanks, Alaska
March 28, 2016

Madam Chairman, Members of the Committee, I appear today on behalf of the over 1800 members of the Alaska Miners Association to address the subjects of “Resource Development – Opportunities to Create New Jobs and Strengthen National Security.”

I believe that it goes without saying that the very existence of the State of Alaska is dependent on the development of its abundant natural resources. Many of the mineral resources needed for our national security are found in Alaska. Over the past several decades, the United States has allowed itself to become dependent on the People’s Republic of China for a large number of those strategic minerals. Recent changes in China have highlighted the desirability for us to become self-sufficient. Accordingly, we briefly review the relevant statutory framework today and request appropriate changes.

I. The “The Alaska Statutory Trilogy”

No one can seriously argue that Alaska is not unique in many ways, not the least of which is the abundance and diversity of mineral resources that are found from one end of the State to the other.

The Alaska Statutory Trilogy repeatedly has recognized that abundance. First, the **Statehood Act** granted the State 104 million acres of land selections. This is an area greater in size than the entire State of California. The justification for such a significant grant was that due to our size, remoteness and sparse population Alaskans would need vast tracts of resource-rich land to develop to support its residents.

Second, the **Alaska Native Claims Settlement Act** in settling long-standing land claims afforded indigenous people a commercial paradigm for generating cash revenue independent of the public treasury. The settlement included forty-four million acres in land selections, which selections were frequently made with an eye toward resource development.

Third, the **Alaska National Interest Lands Conservation Act** was adopted, to ensure that distinguished park areas, refuges, rivers and representative woodlands were afforded unique consideration *without adversely impacting existing opportunities to develop the resources of the State*.

II. The Four Organic Acts

The Alaska Statutory Trilogy was adopted in the context of the respective contemporaneous organic mandates of the four major land managing agencies in Alaska.

Accordingly, ANILCA, for instance, was consented to and adopted based upon the practices of the four agencies as they were interpreted in 1980. Thirty-five years later these agencies have aggressively evolved in ways that deny the people of Alaska their expressly-intended benefits.

When adopted ANILCA created numerous Conservation System Units which frequently surrounded privately held inholdings and allotments and which were transected by trails and waterways customarily used for access through and across the subsumed areas. Since passage, the National Park Service, the Fish and Wildlife Service and the US Forest Service have all imposed restrictions vitiating the utility of these inholdings and access routes.

III. Corrective Legislation is Required

At this time, the Alaska Miners Association is calling for corrective legislative action, either in the form of a stand-alone bill, or as amendments to other germane legislation to accomplish at least the following goals:

1. The organic acts of the four major land management agencies need to be amended to harmonize with the requirements of the Alaska Statutory Trilogy.

See: Supplement Exhibit A.

2. *As a priority*, ANILCA needs to be amended to provide a clear, Alaska-specific **definition of what constitutes a “withdrawal”** in connection with land management plans in Alaska.

See: Supplement Exhibit B.

3. The **Alaska Land Use Council** was created by Title XII of ANILCA to facilitate coordination between the State of Alaska and the four federal land management agencies. The Alaska Land Use Council needs to be reconstituted to ensure that the four land management agencies have adequate oversight with regard to Alaska-specific land management activities.

See: Supplement Exhibit C.

4. **“Lapsed” Public Land Orders** (PLOs) have been recommended to the Secretary for revocation but have not been acted upon. Statutory action is now required.

See: Supplement Exhibit D.

5. **RS 2477 rights-of-way** to need to be conveyed to the State of Alaska by statute.

According to the Ninth Circuit in *Alaska v. United States*, (March 14, 2016): “R.S. 2477 is unusual, as land-grant statutes go, because of its self-executing nature. No formal document memorializing the grant of a right-of-way needed to be executed by a federal official.”

Up to this point, the Department of the Interior has interpreted RS 2477 to require the State to do the extensive research to verify the exact route of each trail. The State has identified the R.S. 2477 rights-of-way it asserts in A.S. 19.30.400 (1998). Each of the identified rights-of-way should be statutorily approved now, based on a fifty foot of the centerline description (to be described by the State) with adequate provisions for nearby borrow pits.

See: Supplement Exhibit E.

6. The **submerged lands** in the State belong to Alaska in accordance with the Statehood Act. Nonetheless, the Department of the Interior has required the State to go through a tortuous process to have them declared navigable. That process should be done away with. The standard should be simply whether the unfrozen waterway can float a laden raft.

Further, the exclusive police authority (except for federal laws of general application) of the State of Alaska over the management of navigable waters within Conservation System Units needs to be imposed on the land management agencies by statute.

See: Supplement Exhibit F.

Madame Chairman, this concludes the recommendations of the Alaska Miners Association at this time. We appreciate the opportunity to present these requests to you, and stand ready to assist your efforts to ensure that Alaska's mining industry remains strong, for the benefit of the State and for the security of the nation.

**Testimony of J. P. Tangen
Alaska Miners Association
March 28, 2016
EXHIBIT A**

(Slip Opinion)

OCTOBER TERM, 2015

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Syllabus

NOTE: Where it is feasible, a syllabus (headnote) will be released, as is being done in connection with this case, at the time the opinion is issued. The syllabus constitutes no part of the opinion of the Court but has been prepared by the Reporter of Decisions for the convenience of the reader. See *United States v. Detroit Timber & Lumber Co.*, 200 U. S. 321, 337.

SUPREME COURT OF THE UNITED STATES

Syllabus

**STURGEON v. FROST, ALASKA REGIONAL DIRECTOR
OF THE NATIONAL PARK SERVICE, ET AL.**

**CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE NINTH CIRCUIT**

No. 14–1209. Argued January 20, 2016—Decided March 22, 2016

The Alaska National Interest Lands Conservation Act (ANILCA) set aside 104 million acres of land in Alaska for preservation purposes. Under ANILCA, those lands were placed into “conservation system units,” which were defined to include “any unit in Alaska of the National Park System, National Wildlife Refuge System, National Wild and Scenic Rivers Systems, National Trails System, National Wilderness Preservation System, or a National Forest Monument.” 16 U. S. C. §3102(4). In addition to federal land, over 18 million acres of state, Native Corporation, and private land were also included within the boundaries of those conservation system units.

In 2007, John Sturgeon was piloting his hovercraft over a stretch of the Nation River that flows through the Yukon-Charley Rivers National Preserve, a conservation system unit in Alaska that is managed by the National Park Service. Alaska law permits the use of hovercraft. National Park Service regulations do not. See 36 CFR §2.17(e). Park Service rangers approached Sturgeon, informing him that hovercraft were prohibited within the preserve under Park Service regulations. Sturgeon protested that Park Service regulations did not apply because the river was owned by the State of Alaska. The rangers ordered Sturgeon to remove his hovercraft from the preserve, and he complied. Sturgeon later filed suit against the Park Service in the United States District Court for the District of Alaska, seeking declaratory and injunctive relief permitting him to operate his hovercraft within the boundaries of the Yukon-Charley. Alaska intervened in support of Sturgeon.

The Secretary of the Interior has authority to “prescribe regulations” concerning “boating and other activities on or relating to water

**Testimony of J. P. Tangen
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March 28, 2016
EXHIBIT A**

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STURGEON *v.* FROST

Syllabus

located within System units.” 54 U. S. C. §100751(b). The Park Service’s hovercraft regulation was adopted pursuant to Section 100751(b). The hovercraft ban is not limited to Alaska, but instead has effect in federally managed preservation areas across the country. Section 103(c) of ANILCA, in contrast, addresses the scope of the Park Service’s authority over lands within the boundaries of conservation system units in Alaska. The first sentence of Section 103(c) specifies the property included as a portion of those units. It states: “Only those lands within the boundaries of any conservation system unit which are public lands (as such term is defined in this Act) shall be deemed to be included as a portion of such unit.” 16 U. S. C. §3103(c). ANILCA defines the word “land” to include “lands, waters, and interests therein,” and the term “public lands” to include lands to which the United States has “title,” with certain exceptions. §3102.

The second sentence of Section 103(c) concerns the Park Service’s authority to regulate “non-public” lands in Alaska, which include state, Native Corporation, and private property. It provides: “No lands which, before, on, or after December 2, 1980, are conveyed to the State, to any Native Corporation, or to any private party shall be subject to the regulations applicable solely to public lands within such units.” §3103(c). The third sentence of Section 103(c) explains how new lands become part of conservation system units: “If the State, a Native Corporation, or other owner desires to convey any such lands, the Secretary may acquire such lands in accordance with applicable law (including this Act), and any such lands shall become part of the unit, and be administered accordingly.” *Ibid.*

Interpreting Section 103(c) of ANILCA, the District Court granted summary judgment to the Park Service, and the Ninth Circuit affirmed in pertinent part. According to the Ninth Circuit, because the hovercraft regulation “applies to all federal-owned lands and waters administered by [the Park Service] nationwide, as well as all navigable waters lying within national parks,” the hovercraft ban does not apply “solely” within conservation system units in Alaska. 768 F. 3d 1066, 1077. The Ninth Circuit concluded that the Park Service therefore has authority to enforce its hovercraft regulation on the Nation River. The Ninth Circuit did not address whether the Nation River counts as “public land” for purposes of ANILCA.

Held: The Ninth Circuit’s interpretation of Section 103(c) is inconsistent with both the text and context of ANILCA. Pp. 12–16.

(a) The Ninth Circuit’s interpretation of Section 103(c) violates “a fundamental canon of statutory construction that the words of a statute must be read in their context and with a view to their place in the overall statutory scheme,” *Roberts v. Sea-Land Services, Inc.*, 566 U. S. ___, ___. ANILCA repeatedly recognizes that Alaska is differ-

**Testimony of J. P. Tangen
Alaska Miners Association
March 28, 2016
EXHIBIT A**

Cite as: 577 U. S. ____ (2016)

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Syllabus

ent, and ANILCA itself accordingly carves out numerous Alaska-specific exceptions to the Park Service's general authority over federally managed preservation areas. Those Alaska-specific provisions reflect the simple truth that Alaska is often the exception, not the rule. Yet the reading below would prevent the Park Service from recognizing Alaska's unique conditions. Under that reading, the Park Service could regulate "non-public" lands in Alaska only through rules applicable outside Alaska as well. The Court concludes that, whatever the reach of the Park Service's authority under ANILCA, Section 103(c) did not adopt such a "topsy-turvy" approach. Pp. 12–14.

(b) Moreover, it is clear that Section 103(c) draws a distinction between "public" and "non-public" lands within the boundaries of conservation system units in Alaska. And yet, according to the court below, if the Park Service wanted to differentiate between that "public" and "non-public" land in an Alaska-specific way, it would have to regulate the "non-public" land pursuant to rules applicable outside Alaska, and the "public" land pursuant to Alaska-specific provisions. Assuming the Park Service has authority over "non-public" land in Alaska (an issue the Court does not decide), the Court concludes that this is an implausible reading of the statute. The Court therefore rejects the interpretation of Section 103(c) adopted by the court below. Pp. 14–15.

(c) The Court does not reach the remainder of the parties' arguments. In particular, it does not decide whether the Nation River qualifies as "public land" for purposes of ANILCA. It also does not decide whether the Park Service has authority under Section 100751(b) to regulate Sturgeon's activities on the Nation River, even if the river is not "public" land, or whether—as Sturgeon argues—any such authority is limited by ANILCA. Finally, the Court does not consider whether the Park Service has authority under ANILCA over both "public" and "non-public" lands within the boundaries of conservation system units in Alaska, to the extent a regulation is written to apply specifically to both types of land. The Court leaves those arguments to the lower courts for consideration as necessary. Pp. 15–16.

768 F. 3d 1066, vacated and remanded.

ROBERTS, C. J., delivered the opinion for a unanimous Court.

**Testimony of J. P. Tangen
Alaska Miners Association
March 28, 2016
EXHIBIT A**

Cite as: 577 U. S. ____ (2016)

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Opinion of the Court

NOTICE: This opinion is subject to formal revision before publication in the preliminary print of the United States Reports. Readers are requested to notify the Reporter of Decisions, Supreme Court of the United States, Washington, D. C. 20543, of any typographical or other formal errors, in order that corrections may be made before the preliminary print goes to press.

SUPREME COURT OF THE UNITED STATES

No. 14–1209

JOHN STURGEON, PETITIONER *v.* BERT FROST, IN
HIS OFFICIAL CAPACITY AS ALASKA REGIONAL
DIRECTOR OF THE NATIONAL
PARK SERVICE, ET AL.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF
APPEALS FOR THE NINTH CIRCUIT

[March 22, 2016]

CHIEF JUSTICE ROBERTS delivered the opinion of the Court.

For almost 40 years, John Sturgeon has hunted moose along the Nation River in Alaska. Because parts of the river are shallow and difficult to navigate, Sturgeon travels by hovercraft, an amphibious vehicle capable of gliding over land and water. To reach his preferred hunting grounds, Sturgeon must pilot his hovercraft over a stretch of the Nation River that flows through the Yukon-Charley Rivers National Preserve, a 1.7 million acre federal preservation area managed by the National Park Service. 16 U. S. C. §410hh(10).

Alaska law permits the use of hovercraft. National Park Service regulations do not. See 36 CFR §2.17(e) (2015). After Park Service rangers informed Sturgeon that he was prohibited from using his hovercraft within the boundaries of the preserve, Sturgeon filed suit, seeking declaratory and injunctive relief. He argues that the Nation River is owned by the State, and that the Alaska National Interest

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Lands Conservation Act (ANILCA) prohibits the Park Service from enforcing its regulations on state-owned land in Alaska. The Park Service disagrees, contending that it has authority to regulate waters flowing through federally managed preservation areas. The District Court and the Court of Appeals ruled in favor of the Park Service. We granted certiorari.

I

In 1867, Secretary of State William Seward, serving under President Andrew Johnson, negotiated a treaty to purchase Alaska from Russia for \$7.2 million. Treaty Concerning the Cession of the Russian Possessions in North America, Mar. 30, 1867, 15 Stat. 539. In a single stroke, the United States gained 365 million acres of land—an area more than twice the size of Texas. Despite the bargain price of two cents an acre, however, the purchase was mocked by contemporaries as “Seward’s Folly” and President Johnson’s “Polar Bear Garden.” See C. Naske & H. Slotnick, *Alaska: A History* 92–94 (2011) (Naske & Slotnick); S. Rep. No. 1163, 85th Cong., 1st Sess., 2 (1957).

The monikers didn’t stick. In 1898, the “Three Lucky Swedes”—Jafet Lindeberg, Eric Lindblom, and Jon Brynteson—struck gold in Nome, Alaska. As word of their discovery spread, thousands traveled to Alaska to try their hand at mining. Once the gold rush subsided, settlers turned to other types of mining, fishing, and trapping, fueling an emerging export economy. See Naske & Slotnick 128–129, 155, 249–251; D. Wharton, *The Alaska Gold Rush* 186–187 (1972).

Despite newfound recognition of Alaska’s economic potential, however, it was not until the 1950’s that Congress seriously considered admitting Alaska as a State. By that time, it was clear that Alaska was strategically important both in the Pacific and Arctic, and that the

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Territory was rich in natural resources, including oil. Moreover, the people of Alaska favored statehood. See Naske & Slotnick 201, 224–235. But there was a problem: Out of the 365 million acres of land in Alaska, 98 percent were owned by the Federal Government. As a result, absent a land grant from the Federal Government to the State, there would be little land available to drive private economic activity and contribute to the state tax base. See S. Rep. No. 1163, at 2, 12 (“The expenses of the State of Alaska will be comparatively high, partially due to the vast land areas within the State; but the State would be able to realize revenues from only 2 percent of this vast area unless some provision were made to modify the present land-ownership conditions”).

A solution was struck. The 1958 Alaska Statehood Act permitted Alaska to select 103 million acres of “vacant, unappropriated, and unreserved” federal land—just over a quarter of all land in Alaska—for state ownership. §§6(a)–(b), 72 Stat. 340. That land grant included “mineral deposits,” which were “subject to lease by the State as the State legislature may direct.” §6(i), *id.*, at 342. Upon statehood, Alaska also gained “title to and ownership of the lands beneath navigable waters” within the State, in addition to “the natural resources within such lands and waters,” including “the right and power to manage, administer, lease, develop, and use the said lands and natural resources.” §3(a), 67 Stat. 30, 43 U. S. C. §1311(a); §6(m), 72 Stat. 343. With over 100 million acres of land now available to the new State, Alaska could begin to fulfill its state policy “to encourage the settlement of its land and the development of its resources by making them available for maximum use consistent with the public interest.” Alaska Const., Art. VIII, §1 (2014).

The Statehood Act did not, however, determine the rights of the Alaska Natives, who asserted aboriginal title to much of the same land now claimed by the State.

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Naske & Slotnick 287–289. To resolve the dispute, Congress in 1971 passed the Alaska Native Claims Settlement Act (ANCSA), which extinguished aboriginal land claims in Alaska. 85 Stat. 688, as amended, 43 U. S. C. §1601 *et seq.* In exchange, Congress provided for a \$960 million settlement and permitted corporations organized by groups of Alaska Natives to select 40 million acres of federal land to manage within the State. §§1605, 1610–1615; Naske & Slotnick 296–297. Congress sought to implement the settlement “rapidly, with certainty, in conformity with the real economic and social needs” of Alaska Natives. §1601(b).

In addition to settling the claims of the Alaska Natives, ANCSA directed the Secretary of the Interior to select up to 80 million acres of unreserved federal land in Alaska for addition to the National Park, Forest, Wildlife Refuge, and Wild and Scenic Rivers Systems, subject to congressional approval. §1616(d)(2). When Congress failed to approve the Secretary’s selections, however, President Carter unilaterally designated 56 million acres of federal land in Alaska as national monuments. See Presidential Proclamation Nos. 4611–4627, 3 CFR 69–104 (1978 Comp.).

President Carter’s actions were unpopular among many Alaskans, who were concerned that the new monuments would be subject to restrictive federal regulations. Protesters demonstrated in Fairbanks, and more than 2,500 Alaskans participated in the “Great Denali-McKinley Trespass.” The goal of the trespass was to break over 25 Park Service rules in a two-day period—including by camping, hunting, snowmobiling, setting campfires, shooting guns, and unleashing dogs. During the event, a “rider on horseback, acting the part of Paul Revere, galloped through the crowd yelling, “The Feds are coming! The Feds are coming!” N. Y. Times, Jan. 15, 1979, p. A8; Anchorage Daily News, Jan. 15, 1979, pp. 1–2.

Congress once again stepped in to settle the controversy,

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passing the Alaska National Interest Lands Conservation Act. 94 Stat. 2371, 16 U. S. C. §3101 *et seq.* ANILCA had two stated goals: First, to provide “sufficient protection for the national interest in the scenic, natural, cultural and environmental values on the public lands in Alaska.” §3101(d). And second, to provide “adequate opportunity for satisfaction of the economic and social needs of the State of Alaska and its people.” *Ibid.*

ANILCA set aside 104 million acres of land in Alaska for preservation purposes, in the process creating ten new national parks, preserves, and monuments—including the Yukon-Charley Rivers National Preserve—and tripling the number of acres set aside in the United States for federal wilderness preservation. See §410hh; Naske & Slotnick 315–316. At the same time, ANILCA specified that the Park Service could not prohibit on those lands certain activities of particular importance to Alaskans. See, *e.g.*, §3170(a) (Secretary must permit reasonable use of vehicles “for travel to and from villages and homesites”); §3201 (Secretary must permit “the taking of fish and wildlife for sport purposes and subsistence uses” within National Preserves in Alaska, subject to regulation and certain exceptions). President Carter’s earlier land designations were rescinded. See §3209(a).

Under ANILCA, federal preservation lands in Alaska were placed into “conservation system units,” which were defined to include “any unit in Alaska of the National Park System, National Wildlife Refuge System, National Wild and Scenic Rivers Systems, National Trails System, National Wilderness Preservation System, or a National Forest Monument.” §3102(4). Congress drew the boundaries of those units to “follow hydrographic divides or embrace other topographic or natural features,” however, rather than to map the Federal Government’s landholdings. §3103(b). As a consequence, in addition to federal land, over 18 million acres of state, Native Corporation,

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and private land ended up inside the boundaries of conservation system units. See Brief for Petitioner 6.

This brings us back to Sturgeon and his hovercraft.

**II
A**

One fall day in 2007, Sturgeon was piloting his hovercraft on the Nation River, which rises in the Ogilvie Mountains in Canada and joins the Yukon River within the boundaries of the Yukon-Charley Rivers National Preserve conservation system unit (Yukon-Charley). Sturgeon was headed to a hunting ground upstream from the preserve, just shy of the Canadian border. To reach that hunting ground, dubbed “moose meadows,” Sturgeon had to travel on a portion of the river that flows through the preserve.

About two miles into his trip on the Nation River, Sturgeon stopped on a gravel bar to repair the steering cable of his hovercraft. As he was performing the repairs, Sturgeon was approached by three Park Service rangers. The rangers informed him that hovercraft were prohibited under Park Service regulations, and that he was committing a crime by operating his hovercraft within the boundaries of the Yukon-Charley. Despite Sturgeon’s protests that Park Service regulations did not apply because the river was owned by the State of Alaska, the rangers ordered Sturgeon to remove his hovercraft from the preserve. Sturgeon complied, heading home without a moose.

Sturgeon now fears that he will be criminally prosecuted if he returns to hunt along the Nation River in his hovercraft. To avoid prosecution, Sturgeon sued the Park Service and several federal officials in the United States District Court for the District of Alaska. He seeks declaratory and injunctive relief permitting him to operate his hovercraft within the boundaries of the Yukon-Charley. Alaska intervened in support of Sturgeon, and the Park

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Service opposed the suit.

The District Court granted summary judgment to the Park Service. *Sturgeon v. Masica*, 2013 WL 5888230 (Oct. 30, 2013). The Court of Appeals for the Ninth Circuit affirmed in pertinent part. *Sturgeon v. Masica*, 768 F. 3d 1066 (2014).

We granted certiorari. 576 U. S. ____ (2015).

B

The Secretary of the Interior has authority to “prescribe regulations” concerning “boating and other activities on or relating to water located within System units, including water subject to the jurisdiction of the United States.” 54 U. S. C. §100751(b) (2012 ed., Supp. II). “System units” are in turn defined as “any area of land and water administered by the Secretary, acting through the Director [of the Park Service], for park, monument, historic, parkway, recreational, or other purposes.” §§100102, 100501.

The Park Service’s hovercraft regulation was adopted pursuant to Section 100751(b). The hovercraft ban applies not only within “[t]he boundaries of federally owned lands and waters administered by the National Park Service,” but also to “[w]aters subject to the jurisdiction of the United States located within the boundaries of the National Park System, including navigable waters . . . without regard to the ownership of submerged lands.” 36 CFR §1.2(a). The hovercraft ban is not limited to Alaska, but instead has effect in federally managed preservation areas across the country.

Section 103(c) of ANILCA, in contrast, addresses the scope of the Park Service’s authority over lands within the boundaries of conservation system units in Alaska. The first sentence of Section 103(c) specifies the property included as a portion of those units. It states: “Only those lands within the boundaries of any conservation system unit which are public lands (as such term is defined in this

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Act) shall be deemed to be included as a portion of such unit.” 16 U. S. C. §3103(c). ANILCA defines the word “land” to include “lands, waters, and interests therein,” and the term “public lands” to include “lands the title to which is in the United States after December 2, 1980,” with certain exceptions. §3102. In sum, only “lands, waters, and interests therein” to which the United States has “title” are considered “public” land “included as a portion” of the conservation system units in Alaska.

The second sentence of Section 103(c) concerns the Park Service’s authority to regulate “non-public” lands in Alaska, which include state, Native Corporation, and private property. It provides: “No lands which, before, on, or after December 2, 1980, are conveyed to the State, to any Native Corporation, or to any private party shall be subject to the regulations applicable solely to public lands within such units.” §3103(c).

The third sentence of Section 103(c) explains how new lands become part of conservation system units: “If the State, a Native Corporation, or other owner desires to convey any such lands, the Secretary may acquire such lands in accordance with applicable law (including this Act), and any such lands shall become part of the unit, and be administered accordingly.” *Ibid.*

C

The parties dispute whether Section 103(c) of ANILCA created an Alaska-specific exception to the Park Service’s general authority over boating and related activities in federally managed preservation areas. Sturgeon, the Park Service, and the Ninth Circuit each adopt a different reading of Section 103(c), reaching different conclusions about the scope of the Park Service’s powers.

Sturgeon, joined by the State, understands Section 103(c) to stand for a simple proposition: The Park Service is prohibited from regulating “non-public” land in Alaska

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as if that land were owned by the Federal Government. He contends that his reading is consistent with the history of federal land management in Alaska, beginning with the Alaska Statehood Act and culminating in ANILCA.

Sturgeon’s argument proceeds in two steps. First, he asserts that the Nation River is not “public land” for purposes of ANILCA and is therefore not part of the Yukon-Charley. As discussed, ANILCA defines “public lands” as lands to which the United States has “title.” 16 U. S. C. §3102. And Section 103(c) provides that “[o]nly those lands within the boundaries of any conservation system unit which are public lands (as such term is defined in this Act) shall be deemed to be included as a portion of such unit.” §3103(c).

Sturgeon argues that the Nation River is not “public land” because it is owned by the State and not by the Federal Government. To support his argument, Sturgeon relies on the Alaska Statehood Act, which granted ownership of the submerged lands beneath the navigable waters in Alaska, and the resources within those waters, to the State. See §6(m), 72 Stat. 343; 43 U. S. C. §1311(a). He also cites this Court’s decision in *United States v. California*, 436 U. S. 32 (1978), which stated that “the Submerged Lands Act transferred title to and ownership of the submerged lands and waters” to the States. *Id.*, at 40 (internal quotation marks omitted). Because the State and not the Federal Government owns the Nation River, Sturgeon urges, it is not “public” land under ANILCA and is therefore not part of the Yukon-Charley.

Second, Sturgeon asserts that because the Nation River is not part of the Yukon-Charley, the Park Service lacks authority to regulate it. His argument rests on the second sentence of Section 103(c), which states that “[n]o lands which, before, on, or after December 2, 1980, are conveyed to the State, to any Native Corporation, or to any private party shall be subject to the regulations applicable solely

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to public lands within such units.” 16 U. S. C. §3103(c).

Sturgeon argues that the phrase “regulations applicable solely to public lands within such units” refers to those regulations that apply “solely” by virtue of the Park Service’s “authority to manage national parks.” Brief for Petitioner 18, 26–27. The word “solely,” Sturgeon contends, simply ensures that “non-public” lands within the boundaries of those units remain subject to laws generally “applicable to both public and private lands (such as the Clean Air Act and Clean Water Act).” *Id.*, at 19. Because the hovercraft regulation was adopted pursuant to the Park Service’s authority over federally managed preservation areas, and is not a law of general applicability like the Clean Air Act or the Clean Water Act, Sturgeon concludes that Section 103(c) bars enforcement of the regulation.

The Park Service, in contrast, reads Section 103(c) more narrowly. In its brief in this Court, the Park Service, while defending the reasoning of the Ninth Circuit, relies primarily on very different arguments. The agency stresses that it has longstanding authority to regulate waters within federally managed preservation areas, and that Section 103(c) does not take any of that authority away. In reaching its conclusion, the Park Service disagrees with Sturgeon at each step.

First, the Park Service contends that the Nation River is part of the Yukon-Charley. To support that contention, the agency cites ANILCA’s definition of “public lands,” which—as noted—includes “lands, waters, and interests therein” to which the United States has “title.” 16 U. S. C. §3102. The Park Service argues that the United States has “title” to an “interest” in the water within the boundaries of the Yukon-Charley under the reserved water rights doctrine.

The reserved water rights doctrine specifies that “when the Federal Government withdraws its land from the public domain and reserves it for a federal purpose, the

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Government, by implication, reserves appurtenant water then unappropriated to the extent needed to accomplish the purpose of the reservation.” *Cappaert v. United States*, 426 U. S. 128, 138 (1976). By creating the Yukon-Charley, the Park Service urges, the Federal Government reserved the water within the boundaries of the conservation system unit to achieve the Government’s conservation goals. As a result, the Federal Government has “title” to an “interest” in the Nation River, making it “public” land subject to Park Service regulations.

Second, the Park Service contends that even if the Nation River is not “public” land, the agency still has authority to regulate it. According to the Park Service, the second sentence of Section 103(c) imposes only a limited restriction on the agency’s power, prohibiting it from enforcing on “non-public” lands only those regulations that explicitly apply “solely to public lands.” The hovercraft regulation applies both within “[t]he boundaries of federally owned lands and waters administered by the National Park Service” and to “[w]aters subject to the jurisdiction of the United States located within the boundaries of the National Park System, including navigable waters . . . without regard to the ownership of submerged lands.” 36 CFR §1.2(a). Accordingly, the Park Service asserts, the hovercraft regulation does not apply “solely to public lands,” and Section 103(c) therefore does not prevent enforcement of the regulation. See Brief for Respondents 56–58.

The Ninth Circuit, for its part, adopted a reading of Section 103(c) different from the primary argument advanced by the Park Service in this Court. The Court of Appeals did not reach the question whether the Nation River counts as “public” land for purposes of ANILCA. Instead, it held that the phrase “regulations applicable solely to public lands within such units” distinguishes between Park Service regulations that apply solely to

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“public” lands *in Alaska*, and Park Service regulations that apply to federally managed preservation areas across the country. In the Ninth Circuit’s view, the Park Service may enforce nationally applicable regulations on both “public” and “non-public” property within the boundaries of conservation system units in Alaska, because such regulations do not apply “solely to public lands within such units.” The Park Service may not, however, apply Alaska-specific regulations to “non-public” lands within the boundaries of those units.

According to the Ninth Circuit, because the hovercraft regulation “applies to all federal-owned lands and waters administered by [the Park Service] nationwide, as well as all navigable waters lying within national parks,” the hovercraft ban does not apply “solely” within conservation system units in Alaska. 768 F.3d, at 1077. The Ninth Circuit concluded that the Park Service therefore has authority to enforce its hovercraft regulation on the Nation River. *Id.*, at 1078. The Ninth Circuit’s holding is subject to some interpretation, but Sturgeon, the State, the Alaska Native Corporations, and the Park Service (at least at times) concur in our understanding of the decision below. See Brief for Petitioner 25; Brief for State of Alaska as *Amicus Curiae* 23; Brief for Arctic Slope Regional Corporation et al. as *Amici Curiae* 12–13; Brief for Doyon, Ltd., et al. as *Amici Curiae* 31–32; Brief for Respondents 20; Tr. of Oral Arg. 61; 80 Fed. Reg. 65573 (2015).

III

We reject the interpretation of Section 103(c) adopted by the Ninth Circuit. The court’s reading of the phrase “regulations applicable solely to public lands within such units” may be plausible in the abstract, but it is ultimately inconsistent with both the text and context of the statute as a whole. Statutory language “cannot be construed in a vacuum. It is a fundamental canon of statutory construc-

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tion that the words of a statute must be read in their context and with a view to their place in the overall statutory scheme.” *Roberts v. Sea-Land Services, Inc.*, 566 U. S. ___, ___ (2012) (slip op., at 6) (internal quotation marks omitted).

Under the reading of the statute adopted below, the Park Service may apply nationally applicable regulations to “non-public” lands within the boundaries of conservation system units in Alaska, but it may not apply Alaska-specific regulations to those lands. That is a surprising conclusion. ANILCA repeatedly recognizes that Alaska is different—from its “unrivalled scenic and geological values,” to the “unique” situation of its “rural residents dependent on subsistence uses,” to “the need for development and use of Arctic resources with appropriate recognition and consideration given to the unique nature of the Arctic environment.” 16 U. S. C. §§3101(b), 3111(2), 3147(b)(5).

ANILCA itself accordingly carves out numerous Alaska-specific exceptions to the Park Service’s general authority over federally managed preservation areas. For example, ANILCA requires the Secretary of the Interior to permit “the exercise of valid commercial fishing rights or privileges” within the National Wildlife Refuge System in Alaska, including the use of “campsites, cabins, motorized vehicles, and aircraft landings directly incident to the exercise of such rights or privileges,” with certain exceptions. 94 Stat. 2393. ANILCA also requires the Secretary to “permit on the public lands appropriate use for subsistence purposes of snowmobiles, motorboats, and other means of surface transportation traditionally employed for such purposes by local residents, subject to reasonable regulation.” 16 U. S. C. §3121(b). And it provides that National Preserves “in Alaska shall be administered and managed as a unit of the National Park System in the same manner as a national park *except* as otherwise provided in this Act

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and *except* that the taking of fish and wildlife for sport purposes and subsistence uses, and trapping shall be allowed” pursuant to applicable law. §3201 (emphasis added).

Many similar examples are woven throughout ANILCA. See, *e.g.*, 94 Stat. 2393 (Secretary must administer wildlife refuge “so as to not impede the passage of navigation and access by boat on the Yukon and Kuskokwim Rivers,” subject to reasonable regulation); *id.*, at 2388 (Secretary must allow reindeer grazing uses in certain areas, including construction of necessary facilities); 16 U. S. C. §3203(a) (Alaska-specific rules for wilderness management apply “in recognition of the unique conditions in Alaska”); §3170(a) (Secretary must permit reasonable use of snow-machines, motorboats, and airplanes within conservation system units “for travel to and from villages and homesites”).

All those Alaska-specific provisions reflect the simple truth that Alaska is often the exception, not the rule. Yet the reading below would prevent the Park Service from recognizing Alaska’s unique conditions. Under that reading, the Park Service could regulate “non-public” lands in Alaska only through rules applicable *outside* Alaska as well. Thus, for example, if the Park Service elected to allow hovercraft during hunting season in Alaska—in a departure from its nationwide rule—the more relaxed regulation would apply only to the “public” land within the boundaries of the unit. Hovercraft would still be banned from the “non-public” land, even during hunting season. Whatever the reach of the Park Service’s authority under ANILCA, we cannot conclude that Section 103(c) adopted such a topsy-turvy approach.

Moreover, it is clear that Section 103(c) draws a distinction between “public” and “non-public” lands within the boundaries of conservation system units in Alaska. See §3103(c) (“Only those lands within the boundaries of any

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conservation system unit which are public lands . . . shall be deemed to be included as a portion of such unit”); *ibid.* (No lands “conveyed to the State, to any Native Corporation, or to any private party shall be subject to the regulations applicable solely to public lands within such units”). And yet, according to the court below, if the Park Service wanted to differentiate between that “public” and “non-public” land in an Alaska-specific way, it would have to regulate the “non-public” land pursuant to rules applicable outside Alaska, and the “public” land pursuant to Alaska-specific provisions. Assuming the Park Service has authority over “non-public” land in Alaska (an issue we do not decide), that strikes us as an implausible reading of the statute.

Looking at ANILCA both as a whole and with respect to Section 103(c), the Act contemplates the possibility that all the land within the boundaries of conservation system units in Alaska may be treated differently from federally managed preservation areas across the country, and that “non-public” lands within the boundaries of those units may be treated differently from “public” lands within the unit. Under the Ninth Circuit’s reading of Section 103(c), however, the former is not an option, and the latter would require contorted and counterintuitive measures.

We therefore reject the interpretation of Section 103(c) adopted by the court below. That reading of the statute was the sole basis for the disposition of this case by the Court of Appeals. We accordingly vacate the judgment of that court and remand for further proceedings.

We do not reach the remainder of the parties’ arguments. In particular, we do not decide whether the Nation River qualifies as “public land” for purposes of ANILCA. Sturgeon claims that it does not; the Park Service that it does. The parties’ arguments in this respect touch on vital issues of state sovereignty, on the one hand, and federal authority, on the other. We find that in this case those

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issues should be addressed by the lower courts in the first instance.

Given this determination, we also do not decide whether the Park Service has authority under Section 100751(b) to regulate Sturgeon's activities on the Nation River, even if the river is not "public" land, or whether—as Sturgeon argues—any such authority is limited by ANILCA. Finally, we do not consider the Park Service's alternative argument that it has authority under ANILCA over both "public" and "non-public" lands within the boundaries of conservation system units in Alaska, to the extent a regulation is written to apply specifically to both types of land. We leave those arguments to the lower courts for consideration as necessary.

The judgment of the Court of Appeals for the Ninth Circuit is vacated, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

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ALASKA MINERS ASSOCIATION

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January 15, 2016

Senator Lisa Murkowski, Chairman
 Senate Committee on Energy and Natural Resources
 304 Dirksen Senate Office Building
 Washington DC 20510

Re: AMA LETTER TO CONGRESSIONAL DELEGATION REQUESTING DEFINITION OF THE WORD
 "WITHDRAWAL" IN § 1326

Dear Senator Murkowski:

Alaskans interested in resource development wonder why the "no more" clause does not protect us from ongoing and increasing federal land grabs. The agencies in Alaska are going around the "no more" clause by withholding land from development through land use designations within a land plan and then rolling over that land use designation/de facto withdrawal from land plan to land plan - always expanding, never decreasing. Examples are "Old Growth Reserves" (OGRs) on the Tongass National Forest and Areas of Critical Environmental Concern (ACECs) on Bureau of Land Management (BLM) land.

The Alaska Miners' Association (AMA) seeks a definition of the word "withdrawal" as that word is used in § 1326(a) of the Alaska National Interest Land Conservation Act (ANILCA). The AMA requests that this letter be placed in the Senate Energy Committee's hearing record on ANILCA which was held on December 3, 2015.

AMA is a non-profit membership organization established in 1939 to represent the mining industry throughout Alaska. The AMA has a diverse membership composed of more than 1,800 members that come from seven statewide branches: Anchorage, Denali, Fairbanks, Juneau, Kenai, Ketchikan/Prince of Wales, and Nome. Our members include individual prospectors, geologists, engineers, vendors, suction dredge miners, small family mines, junior mining companies, and major mining companies. AMA members look for and produce gold, silver, platinum, molybdenum, lead, zinc, copper, coal, limestone, sand and gravel, crushed stone, armor rock, and other materials.

DISCUSSION

By Section 1326(a), ANILCA Congress specifically limited the executive branch's authority to withdraw public lands in Alaska:

a. First, Congress found:

This Act provides sufficient protection for the national interest in the scenic, natural, cultural and **environmental** (*emphasis added*) values on the public lands in Alaska, and at the same time provides adequate opportunity for satisfaction of the economic and social needs of the State of Alaska and its people; accordingly the designation and disposition of the public lands in Alaska pursuant to this Act are found to represent a proper balance between the reservation of national conservation system units and those public lands necessary and appropriate for more intensive use and disposition, and thus Congress

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believes that the need for future legislation designating new conservation system units, new national conservation areas, or new national recreation areas, has been obviated thereby. (ANILCA § 101(d); 16 U.S.C. § 3101(d)). (Emphasis added.)

b. Congress then directed:

(a) No new executive branch action which withdraws more than five thousand acres, in the aggregate, of public lands within the State of Alaska shall be effective except by compliance with this subsection. To the extent authorized by existing law, the President or the Secretary may withdraw public lands in the State of Alaska exceeding five thousand acres in the aggregate, which withdrawal shall not become effective until notice is provided in the Federal Register and to both Houses of Congress. Such withdrawal shall terminate unless Congress passes a joint resolution of approval within one year after the notice of withdrawal has been submitted to Congress.

(b) No further studies of Federal lands in the State of Alaska for the single purpose of considering the establishment of a conservation system unit, national recreation area, national conservation area, or for related or similar purpose shall be conducted unless authorized by this Act or further Act of Congress. ANILCA § 1326; 16 U.S.C. § 3213.

While the Congressional intent is clear, executive agencies have used various devices to circumvent ANILCA § 1326. They have been able to do so because there is no ANILCA definition of "withdrawal." For example the U.S. District Court for the District of Columbia decided in the attached case of *Southeast Conference v. Vilsack*, 684 F.2d 135 (D.D.C. 2010) that because there was no ANILCA definition of "withdrawal" it would use the definition of "withdrawal" set out in § 204(e) of the Federal Land Management Policy Act of 1976 (FLPMA) and related case law:

[A] withdrawal exempts covered land from the operation of laws that otherwise authorize the transfer of federal lands to the private domain for private use. (Attached Slip Opinion at page 13).

Based on this definition, the Court determined that 1.22 million acres of "Old Growth Reserves" set aside by the 2008 Amended Tongass Land Management Plan were not withdrawals but:

are merely examples of the Forest Service's statutory responsibility under the National Forest Management Act to "provide for multiple use and sustained yield products and services of units of the National Forest System." 16 U.S.C. § 1604(e). They neither exempt lands from the operation of public land laws, nor suspend the operation of those laws in certain lands. Land-use designations simply have no effect on laws that authorize transfer of federal lands to the private domain ... (Attached Slip Opinion at page 14).

In the same way ACECs on BLM land would be considered land-use designations under FLPMA and not subject to the "no more" clause. This is a gigantic loophole which the agencies can use to set aside as much land in Alaska as they wish notwithstanding the "no more" clause.

AMA proposes to close the loophole by adding the following definition of "withdrawal" to ANILCA:

Section 1326 of ANILCA is amended by adding a new subparagraph (c) to read: Consistent with the Congressional intent expressed in Section 101 (d) and notwithstanding 16 U.S.C. 1702(j), for the purposes of Section 1326 (a) the terms "withdraw," "withdraws" and "withdrawal" shall mean any agency action or inaction that has the effect of designating public land in Alaska as: a Wilderness Study Area; a Wild and Scenic River; an Endangered Species Act habitat area; or any land use

Exhibit B
Testimony of J. P. Tangen
Alaska Miners Association
March 28, 2016



designation, made pursuant to the Federal Land Policy Management Act or the National Forest Management Act or any other planning statute, that has the effect of prohibiting or limiting resource uses allowed before the day of passage of this Amendment or impeding access to or inhibiting the development of: renewable energy projects (including hydropower), mining (including exploration), oil and gas (including exploration), or timber harvest.

This definition would cause the "no more" clause of ANILCA to actually work as a "no more" clause. AMA looks forward to discussing this with you.

Yours truly,

A handwritten signature in black ink, appearing to read "D. Crockett", written in a cursive style.

Deantha Crockett
Executive Director



March 1990

**ALASKA LAND USE COUNCIL
ALASKA NATIONAL INTEREST LANDS CONSERVATION ACT
SECTION 1201(f) RECOMMENDATIONS**

**Federal Cochairman
Final Report
March 1990**

SUMMARY OF RECOMMENDATIONS

Title XII of the Alaska National Interest Lands Conservation Act (ANILCA) created the Alaska Land Use Council (Council). The purpose of the Council is to facilitate cooperation and to help resolve problems between Federal and State land management agencies and the Native Corporations during the process of implementing ANILCA. These recommendations are submitted by the Federal Cochairman of the Council in compliance with ANILCA Section 1201(i).

Recommendations to Congress requiring Congressional action:

1. **Reauthorization:** Reauthorize the Alaska Land Use Council by amending Section 1201(i) of ANILCA.
2. **Membership:** Amend Section 1201(c) of ANILCA to delete the U.S. Department of Transportation and the U.S. Department of Commerce; and to add one representative selected by the Cochair from the Land Use Advisors Committee and to provide for ad hoc membership from other agencies. Membership composition on the Council would be (2) cochair, (4) Federal, (4) State, (2) Native Corporation, and (1) Land Use Advisor.

Recommendations not requiring Congressional action:

1. **State Legislation:** Encourage the State of Alaska to support the Council with companion legislation in the Alaska State Legislature giving the Governor authority to appoint a full time State Cochairman Designee who can give Council matters full time attention. If the State elects to participate they will be obligated to fund 50 percent of the Council's cost.
2. **Cochair:** The Cochair arrangement should remain as it is presently authorized in ANILCA.
3. **Staff Support:** Provide for a small professional staff composed of a staff director and four specialists with adequate clerical support.
4. **Duties:** No revision is necessary in the description of the duties of the Council from those contained in ANILCA. Rewrite the Council's Charter and operating procedures to succinctly define the Council's mission.
5. **Public Participation:** Expand the Council's Public Outreach Program using the two full time Cochairmen, the staff and the Land Use Advisors Committee.
6. **Operations:** Modifications to the Council Charter and operating procedures can be achieved through administrative actions.

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EXECUTIVE SUMMARY

In 1980, Congress enacted the Alaska National Interest Lands Conservation Act (ANILCA), P.L. 96-487. ANILCA established new national parks, refuges, wild and scenic rivers, wilderness areas and other conservation system units in Alaska totaling over 140 million acres. It also included many administrative provisions and amendments to the Alaska Native Claims Settlement Act (ANCSA) and the Alaska Statehood Act.

Title XII of ANILCA created the Alaska Land Use Council (See Appendix A). The purpose of the Council was to facilitate cooperation and help resolve problems between Federal and State land managing agencies and the Native Corporations as ANILCA was implemented.

Purpose of this Report:

This report is submitted by the Federal Cochairman in compliance with Section 1201(l) of ANILCA. The report contains recommendations for extension of the Council, and proposals to modify the Council's Charter and operating procedures. It also briefly reviews the history of cooperative land and resource management in Alaska and accomplishments by the Council since its organization in 1981.

Issues and Recommendations:

- **Reauthorization:** There continues to be a compelling need for a cooperative and integrated Federal, State, Native forum to discuss ANILCA and related issues, and find solutions to land and resource management problems in Alaska. The Federal Cochairman recommends that Congress reauthorize the Alaska Land Use Council.
- **State Legislation:** The State of Alaska should be encouraged to support companion legislation in the Alaska State Legislature giving the Governor authority to appoint a full time State Cochair who is on equal footing with the Federal Cochair and who can give Council matters full time attention. The presence of a full time State Cochairman on the predecessor organization, i.e., the Federal-State Land Use Planning Commission for Alaska was one of the principal strengths in that organization's marked success. The absence of a full time State Cochair on the Council has proven to be one of the principal weaknesses and has hindered full participation by the State of Alaska in the Council.
- **Cochair:** The Cochair arrangement should remain as it is currently authorized under ANILCA. If authorized by the Alaska State Legislature the Governor may appoint a full time State Cochair Designee to carry out his duties as State Cochairman of the Council.
- **Staff Support:** A small, professional staff composed of a Staff Director and four specialists (Biologist, Economist, Public Outreach Specialist, and Land Law Specialist), with adequate clerical support would be attached to the Council. Eight full-time staff positions including cochairs should be authorized. The Staff Director position should be filled by mutual agreement between the Cochairs. All employees of the Council should be responsible to the Staff Director. Compensation for all positions should be established by the Cochairs in accordance with existing legislation in ANILCA.

- **Membership:** Section 1201 of ANILCA should be amended to delete the U.S. Department of Transportation and the U.S. Department of Commerce; and to add one representative selected by the Cochairmen from the Land Use Advisors Committee, and to provide for ad hoc membership from other agencies. Membership composition on the Council would be (2) cochairmen, (4) Federal, (4) State, (2) Native Corporation and (1) Land Use Advisor.
- **Duties:** The duties of the Council as described in ANILCA, the enabling legislation, does not need revision.
- **Public Participation:** The Council's public outreach programs should be expanded using the two full time Cochair positions, staff specialists and a restructured Land Use Advisors Committee.
- **Operations:** The Council Charter and operating procedures should be rewritten to define the mission and goals of the Council and to describe processes the Council would use to resolve problems. This can be accomplished without additional legislative authority. These documents should emphasize cooperation and coordination by using processes which foster agreement through problem resolution techniques, including procedures to follow when agreements cannot be achieved and when it is necessary to elevate issues for decisions. Voting by the Council would be retained as an option available to the Council by choice.

**PROPOSED AMENDMENTS
PUBLIC LAW 96-487 DEC. 2, 1980 94 STAT. 2466
TITLE XII FEDERAL - STATE COOPERATION
Alaska Land Use Council**

Proposed amendments or additions to PL 96-487 are underlined.

Sec. 1201

- (b) **Cochairman.**- The Council shall have Cochairmen. The Federal Cochairman shall be appointed by the President of the United States with the advice and consent of the Senate. The State Cochairman shall be the Governor of Alaska (or his designate).
- (c) **Members.**- In addition to the Cochairmen, the Council shall consist of the following members:
 - (1) the head of the Alaska offices of each of the following Federal Agencies: National Park Service, United States Fish and Wildlife Service, United States Forest Service, Bureau of Land Management, and Heritage Conservation and Recreation Service, National Oceanic and Atmospheric Administration, and Department of Transportation;
 - (1) the head of the Alaska offices of each of the following Federal agencies: National Park Service, United States Fish and Wildlife Service, United States Forest Service, and the Bureau of Land Management;

- (4) one representative selected from the Land Use Advisors Committee established under Sec. 1201(m);
- (5) ad hoc membership from other Federal or State agencies for specific projects with concurrence of the Cochairmen and permanent members of the Council;
- (l) **Termination.**- Unless extended by the Congress, the Council shall terminate on September 30, 2000. No later than one year prior to its termination date, the Cochairmen shall submit in writing to the Congress a report on the accomplishments of the Council together with their recommendations as to whether the Council should be extended or any other recommendations for legislation or other action which they determine should be taken following termination of the Council to continue carrying out the purposes for which the Council was established.

RECOMMENDED CHARTER AND PROCEDURAL CHANGES

Refining the Council's Charter and operating procedures will improve the effectiveness of the Council. This can be done administratively without further legislative action since the responsible official approving the Charter is the Secretary of the Interior and procedures can be established by the Council.

Charter revisions should include:

- A clear and succinct mission statement.
- Provisions for a small full-time staff reporting to the Staff Director.
- Provisions for staff travel and participation in meetings and workshops to expand the public involvement program.
- Provisions for travel and participation by Land Use Advisors at meetings and workshops to foster meaningful public participation.

Procedural revisions should include:

- Providing a structured mechanism for conducting communication between the Council and the Land Use Advisors.
- Clarify the methodology to be used by the Council to arrive at final recommendations.
- Clarify the relationships of the agency staff liaison person to the Council staff.

I. INTRODUCTION

In 1980, Congress enacted the Alaska National Interest Lands Conservation Act (ANILCA). ANILCA set aside more than 140 million acres of land in Alaska as national parks, wildlife refuges, wilderness areas, and other conservation system units. These extensive withdrawals affected all major landowners in the state.

The Alaska Land Use Council, created under Title XII of ANILCA in 1980, was designed to facilitate communication between the significant land management entities operating in the State, to provide a forum for resolving conflicts, and to serve as a reservoir of knowledge and information from which to make recommendations on resource issues. As a consequence, its membership is high level: a Presidentially-appointed Federal Cochair, the Governor as State Cochair, and membership composed of the Alaska directors of key Federal agencies, the commissioners of the State agencies, and representatives from the Native community.

Specifically, in Title XII of ANILCA, the Council was given the following functions:

- to conduct studies and advise on ongoing, planned, and proposed land and resource uses including transportation planning, land use designation, fish and wildlife management, tourism, agricultural development, coastal zone management, preservation of cultural and historical resources, etc.;
- to make recommendations on proposed Federal and State regulations related to ANILCA and on management studies required by the ANILCA;
- to recommend ways to improve coordination and consultation between State and Federal governments on activities which appear to require statewide or regional coordination;
- to recommend changes to laws, policies and programs relating to publicly owned land and resources;
- to make recommendations with respect to inventorying, planning, classifying, managing and using Federal and State lands, and to provide assistance on same to Native corporations upon their request;
- to recommend modifications in existing withdrawals of Federal and State lands;
- to recommend programs and budgets of Federal and State agencies responsible for administration of lands;
- to recommend land exchanges;
- to recommend cooperative planning zones.

In short, the Alaska Land Use Council's mandate was exceptionally broad, extending even into budgets of State and Federal agencies.

The composition of the Council includes representation from the major land and resource management agencies. Federal members are the heads of the Alaska offices of the National Park Service, U.S. Fish and Wildlife Service, U.S. Forest Service, Bureau of Land Management, National Oceanic and Atmospheric Administration, and the U.S. Department of Transportation. State members include the commissioners of the Alaska Departments of Natural Resources, Fish and Game, Environmental Conservation, and Transportation and Public Facilities. Two representatives are selected by the twelve Alaska Native regional corporations described in ANCSA.

The Council is assisted by a committee of Land Use Advisors appointed by the Federal and State Cochair. The committee, composed of representatives from a broad spectrum of interests, serves as the primary component of the Council's public involvement program.

Section 1201(i) of ANILCA provides that the Council will terminate on December 2, 1990, unless extended by Congress. One year prior to this sunset date, the Cochair is required to submit a report to Congress on the Council's accomplishments and recommendations for future State-Federal-Native cooperations.

II. RECOMMENDATIONS

The need for a cooperative and integrated Federal, State and Native forum to continue to facilitate resolution of land management issues resulting from the implementation of ANILCA, ANCSA and the Alaska Statehood Act is as compelling today as it was when Congress passed ANILCA in 1980. The Council continues to provide all the various interests the only statutory forum for their cross-agency land use concerns.

The recommendations in this report are based upon almost two years of study and dialogue among Council members, the Land Use Advisors Committee, and members of the general public. Data was collected through a consultant who conducted a survey using questionnaires sent to several hundred people and also direct interviews of nearly 40 individuals knowledgeable on Alaska's land and resource issues and the Council specifically. A majority view of these collective responses recognized a "need for some kind of Federal-State institution to coordinate implementation of ANILCA and resolve implementation conflicts." The consultant's report is titled "Options for Future Cooperative Management in Alaska", March 1989, prepared by Barry Lawson Associates, Inc. (See Appendix B).

Recommendations in this report support and incorporate recommendations developed by the Land Use Advisors Committee and presented to the Council on November 2, 1989 (See Appendix C). These recommendations are the product of many discussions, the consultant's study and two workshops conducted by the Council and the Advisors Committee. They emphasize opportunities for improving the Council's effectiveness through administrative changes in the Council's Charter and operating procedures. The existing language of ANILCA in Section 1201 provides an adequate statutory basis for the Council and does not need to be amended other than as indicated in these recommendations.

These recommendations are first, a recommendation concerning amendments to ANILCA Section 1201(c), 1201(f) and 1201(l); and second, administrative actions needed to facilitate the Council's ability to achieve more effective implementation of ANILCA by revising the Council's Charter and operating procedures.

A. Amendments to ANILCA:

Amend Section 1201(c) to indicate that, in addition to the Cochairmen, the Council shall consist of the following members:

- the head of the Alaska office of each of the following Federal agencies: National Park Service, U.S. Fish and Wildlife Service, U.S. Forest Service, and Bureau of Land Management;
- the commissioners of the Alaska Departments of Environmental Conservation, Fish and Game, Natural Resources, and Transportation and Public Facilities;
- two representatives selected by the Alaska Native regional corporations (in consultation with their respective village corporations);
- one representative selected by the Cochairs from the Land Use Advisors Committee established by Section 1201(m) of ANILCA; and
- ad hoc members may be included for specific issues. This membership would come from other State or Federal governmental agencies and be invited by the permanent membership of the Council.

This change would eliminate the existing requirement that the U.S. Department of Transportation and the U.S. Department of Commerce, National Oceanic and Atmospheric Administration be an equal member agencies on the Council. It would not, however, preclude their participation. Any State or Federal agency with Alaska land or resource management responsibilities or interests could participate in the Council on a project-specific basis with the concurrence of the Cochairs and permanent members of the Council. Agencies which could be ad hoc members include, but are not limited to, the Alaska Department of Commerce and Economic Development and the Alaska Department of Community and Regional Affairs; the Bureau of Indian Affairs, Bureau of Mines, U.S. Coast Guard, U.S. Environmental Protection Agency, Federal Aviation Administration, National Oceanic and Atmospheric Administration, Minerals Management Service, Army Corps of Engineers, U.S. Geological Survey, and Federal Highway Administration.

These recommended changes to Section 1201(c) would define the permanent full time membership of the Council as those agencies having direct responsibilities for land based resource management in Alaska; provide for equitable representation of State and Federal agencies and Alaska Native interests on the Council; and provide the public with greater access to and participation in Council decision making. Amendments to Section 1201(l) would extend the Council and require a biennial report to Congress together with recommendations for legislation or other action which the Council determines should be taken. The first Report would be due January 1, 1992.

B. Charter and Procedural Changes:

There are substantial opportunities to improve the Council's effectiveness by sharpening the focus of Federal Charter provisions governing the Council's structure and procedures. Proposed revisions to the Charter are consistent with existing language of ANILCA. Important and necessary improvements can be made without further amending ANILCA.^v

The following three Charter revisions, if fully implemented, will greatly enhance the Council's statewide role in cooperative land use planning and resource management.

- Incorporate, as Item 2 in the Charter, a clear and succinct mission statement for the Alaska Land Use Council, separate from the Council Objective and Scope.
- Incorporate, as Item 3 in the Charter, provision for a small, full time professional staff, qualified and experienced in land and resource management techniques, as authorized by ANILCA Section 1201(f). The staff will be supervised by a Staff Director reporting to the Federal Cochairman or to the cochairs if the State of Alaska participates. The Staff Director will be skilled in management, meeting facilitation, public relations, and land and resource policy analysis. The staff could consist of a senior-level Biologist, Economist, Land Law Specialist, and Public Outreach Specialist. Full time administrative and clerical support will be provided. The Staff Director and staff will be funded through mandatory annual appropriations from the Federal and State governments. Federal funding would be authorized by the statutory amendments. The State of Alaska has an option to participate or to decline, if it does participate it would be obligated to provide 50 percent of the financial support.

Further incorporate, under Item 3, the following provision:

The Council shall provide funding sufficient to allow staff to travel to and participate in meetings and workshops to foster effective public participation in the Council's Public Involvement Program.

- Re-designate the Public Participation section of the Charter as Item 4.
- Incorporate, as an addendum to Item 4 (1), the following provision:

The Council shall provide funding sufficient to allow Land Use Advisors to travel to meetings and participate in workshops to foster effective public participation in the Council Public Involvement Program.

^v The Charter must comply with the Federal Advisory Committee Act (FACA)

C. Discussion:

The Federal Cochair and State Cochair must have equivalent powers and relationships to the respective agencies they assist. The Federal Cochair, as a Presidential appointee, has access to Cabinet and Sub-Cabinet level policy making positions within the Federal Government. Similarly, if the Governor appoints a State Cochair Designee, the State Cochair Designee must have access to State Commissioners with authority equivalent to the Federal Cochair. This could be accomplished by passage of State legislation defining the State's commitment to full participation and authorizing the Governor to appoint a full time State Cochair. The Cochair concept, dedicated to resolving problems, provides strong organizational incentives to members of the Council which cannot occur through any other existing organizational arrangement. One of the State's principal concerns has been the Cochair arrangement. Various options have been explored during the development of this report. Of concern has been the equal status of the Presidential appointed Cochairman and the Governor who was designated in ANILCA as the State Cochairman. The Federal Cochairman, although not in a policy position has access to Cabinet and Sub-Cabinet policy positions and works full time on Council projects, the Governor is the chief policy position in Alaska's Executive Branch of government. For the past seven years, the Governor has not participated in Council meetings but has appointed a designee who also has other major duties in State government and has not devoted full time to Council matters. This arrangement has resulted in numerous time and commitment conflicts and disproportionate level of commitment to the Council. This report recommends a new organizational solution which would place the Cochairs in equivalent positions relative to Federal and State government while simultaneously strengthening the State's leadership role in the Council. This would greatly improve the Council's capability to address major land use and natural resource issues in Alaska.

Council members working in a cooperative forum should foster dialogue, agreement and cooperation to plan for and manage Alaska's future. While the Council is composed of high level State, Federal and Native representatives, who meet in a cooperative forum to make recommendations to Federal agencies, the State, Native Corporations and local governments, it does not develop policy. The Council's goals can best be achieved using a consensus building process which defines issues, explores options, and seeks ways to obtain compromise or agreement. The Council's operating procedures should recognize and facilitate these processes, and at the same time recognize that it may not always be possible to achieve consensus on very controversial issues. Specific issues may require elevation to higher levels with a clear description of the issues and alternatives. Thus, a voting option must be retained by the Council as a discretionary means of decision making.

The Council must have a clear, project oriented agenda or work program, along with the ability to implement that program with consistent and continuous effort, so that Council responsibilities are met in a timely manner. This will require the services of a small, centralized full time professional staff. Such a staff would manage day-to-day operations, collect and disseminate information and provide coordinative, administrative and clerical assistance to the Council. In addition, each Council member would designate a senior staff representative, who would serve as the day-to-day contact and function as liaison between the Council staff and Council member as well as providing staff support on specific projects.

To be truly effective in assuring that ANILCA is implemented in the best interests of the Nation and the State of Alaska, the Council must foster and encourage public involvement in its agenda and decisions. The Council staff, focusing on a limited number of specific projects with statewide significance, must develop a strong public information and involvement program through expanded media outreach, a Council newsletter, meetings and workshops in communities throughout Alaska, and close coordination with Federal and State agencies, Alaska Native Corporations and organizations, universities, chambers of commerce, industry and development groups, environmental groups, and other forums.

The Land Use Advisors Committee should work closely with the Cochair, Council, Staff Director, and staff to facilitate research on key issues and public participation.

The Advisors should be assigned to specific project sub-committees on a long-term basis and should advise the Council through memoranda, reports, and active participation in Council meetings. The Advisors can provide an important service through their role in the Council's public involvement program. The membership of the Advisors Committee should be dynamic to provide opportunities for interested and knowledgeable people to work on specific projects.

III. ACCOMPLISHMENTS OF THE ALASKA LAND USE COUNCIL

A. Overview

Since its inception in 1981, the Alaska Land Use Council has made recommendations and/or facilitated cooperation among state and federal agencies and Native corporations on issues of national and state importance. Section 1201(i)(1) of ANILCA lists a wide range of planning issues for possible Council consideration, including "transportation planning, land use designation, fish and wildlife management, tourism, agricultural development, coastal zone management, preservation of cultural and historical resources, and other such matters" Specific issues that the Council has addressed include national conservation system unit planning, mining, recreation, access, wilderness, subsistence, land exchanges, trespass, and fire management.

A majority of the work accomplished by the Council is initially assigned to the Staff Committee, composed of senior personnel from member agencies and Native corporations. Specific tasks are delegated to subcommittees, which include appropriate Staff Committee members, other agency staff with specialized expertise, and occasionally representatives of appropriate interest groups. These subcommittees develop their findings and recommendations over several months, sometimes even years, and submit their results to the Council for consideration and implementation. This process provides ongoing focused coordination in the interim between the Council's quarterly meetings. Such coordination has proven to be one of the major values of the Council.

B. Evaluation of the Council

The Council has functioned as a viable forum for coordination and cooperation between state, federal and Native land managers in Alaska. The Council has provided valuable opportunities for Alaska's major land and resource managers to

improve direct working relationships, leading to numerous cooperative endeavors. Among other things, the Council has facilitated consistency in land use decisions, consolidated land-related information for use by its members and the public, and provided the public opportunities to raise issues in a high level forum. Specific Council accomplishments are highlighted in the following pages.

An overall evaluation of the body must note, however, that the Council has not met its full potential in addressing important management issues. The Council's effectiveness has been hampered by several procedural factors. (See page 14 of the appended Lawson report.)

The results of the Bristol Bay Cooperative Management Plan illustrate both the Council's strengths and weaknesses. Although the Federal/State cooperative plan was never implemented, most of the technical land use recommendations that were developed through intensive interagency efforts have, nonetheless, been successfully utilized either formally or informally by land managers in the region.

C. Specific Accomplishments

This section highlights the major accomplishments of the Council since its inception. The date shown with each issue generally indicates when action on the item was completed. A more complete summary of the Council's activities and recommendations, as well as subsequent results, may be found in the Council's background report entitled "Summary of Actions of the Alaska Land Use Council," dated April 1, 1989, of Council meeting minutes.

1. Consultation and Coordination -- Section 1201(i)(2)(B)

The Council has provided an environment for both formal and informal consultation and coordination among its members. Notable examples of successful formalized coordination include:

- Development of a cooperative agreement to fund the automated indexing of ANILCA's 41 volumes of legislative history (August 1982).
- Sponsorship of the ongoing Committee on Natural Resources Information Management (CONRIM), charged with enhancing interagency information and technology transfer, such as standardized base mapping (initiated February 1982).
- Development of standardized procedures for Council members to provide each other with early notification of proposed regulations (August 1983); provision for extended public review opportunities for draft regulations (June 1987).
- Development of a policy for coordinating review of proposed legal land descriptions, anticipating cadastral survey workloads, and identifying survey priorities (March 1985).
- Publication of a Statewide Cultural Assistance Directory to facilitate communication on historical and archaeological resource issues (June 1986).

In addition to these formal coordinative actions, the Council has been briefed on topics of federal, state, and Native interest throughout the year and kept abreast of members' actions between and during each of its quarterly meetings. These briefings have provided numerous informal opportunities for information exchange and consultation.

2. Cooperative Planning/Cooperative Agreements -- Section 1201(i)

- a. **Fire Control -- Section 1201(i)(2)(B).** The Council initiated a major interagency effort to address statewide wildfire management in light of Alaska's increasingly complex land ownership patterns and the high cost of fire control in remote areas. This effort resulted in the establishment of definitions and criteria for wildfire protection and response, as well as developing a process for completing 11 regional fire plans (May 1982). This work provided the basis for the current successful interagency fire management coordination effort.
- b. **Alaska Land Bank Agreements -- Section 907.** The Council developed a brochure describing the Land Bank Program (November 1982); developed minimum legal requirements and a sample agreement (May 1983); and adopted generic language which federal members agreed to include in new agreements (June 1987). These efforts facilitated the development of the Land Bank Agreements between Native corporations and various Federal agencies.
- c. **Bristol Bay Cooperative Management Plan -- Section 1203.** This mandated cooperative planning process spanned several years of Council operation (1982-1984) with extensive agency participation and public involvement. A final plan was developed, but not signed, by the participating agencies. Ultimately, the overall plan was divided into two separate, yet compatible, plans. The State's Bristol Bay Area Plan was adopted in September 1984. A corresponding Federal Bristol Bay Regional Management Plan was prepared, but was not adopted by the Department of Interior.

3. Conservation System Unit Plan -- Section 1201(i)(A)(ii)

- a. **National Park Service - Section 1301; and U.S. Fish and Wildlife Service - Section 304(g) Plans**

The Council was explicitly charged with making recommendations to appropriate officials with respect to management plans for conservation system units (CSUs), including wild and scenic rivers and designated wilderness areas. The Council has reviewed plans for 13 parks and 15 refuges, along with corresponding wilderness proposals, and made recommendations to the sponsoring agency and the Secretary of the Interior, as appropriate. Actions on each of the park and refuge plans are summarized in the accompanying table.

Council consideration of each plan often facilitated resolution of key issues of importance to State, Federal, and Native member agencies, although not all Council recommendations were adopted by the receiving agency.

**Council Action on National Park Service
and U.S. Fish and Wildlife Service CSU Plans**

**National Park Service
General Management Plans**

		LUC Action	Recomm¹	Date²
Lake Clark	5/84	Endorsed w/rec's	Yes	7/84
Kenai Fjords	3/84	Endorsed	-	6/84
Glacier Bay	5/84	Endorsed	-	7/84
Yukon-Charley Rivers	11/84	Endorsed w/rec's	Yes	1/85
Aniakchak	6/86	Not Endorsed	-	11/86
Bering Land Bridge	6/86	Not Endorsed	-	11/86
Cape Krusenstern	6/86	Not Endorsed	-	11/86
Denali	6/86	Not Endorsed	-	11/86
Gates of the Arctic	6/86	Not Endorsed	-	11/86
Katmai	6/86	Not Endorsed	-	11/86
Kobuk Valley	6/86	Not Endorsed	-	11/86
Nostak	6/86	Not Endorsed	-	11/86
Wrangell- St. Elias	6/86	Not Endorsed	-	11/86

**U.S. Fish and Wildlife Service
Comprehensive Conservation Plans**

		LUC Action	Recomm¹	Date²
Kenai	5/85	Endorsed w/rec's	Yes	6/85
Becharof	7/85	Endorsed	-	8/85
Izembek	7/85	Endorsed	-	8/85
Togiak		Not Considered	-	2/87
Kanuti	8/87	Endorsed w/rec's	Yes	9/87
Innoko	11/87	Endorsed	-	12/87
Koyukuk	11/87	Endorsed	-	12/87
Nowitna	11/87	Endorsed	-	12/87
Tetlin	11/87	Endorsed	-	12/87
Selawik	11/87	Endorsed w/rec's	Yes	12/87
Yukon Flats	11/87	Endorsed w/rec's	No	12/87
Kodiak	11/87	Endorsed w/rec's	No	12/87
Alaska Peninsula	11/87	Not Endorsed	-	11/88
Yukon Delta	3/88	Endorsed	-	4/88
Arctic	10/88	Endorsed	-	11/88
Alaska Maritime	10/88	Not Endorsed	No	11/88

¹ Column indicates if there was a LUC recommendation and if it was accepted or rejected.

² Date plan was implemented by NPS and F&WS.

Issues that have been most frequently discussed by the Council include maintaining adequate opportunities for public access; protecting subsistence opportunities; ensuring that plans fully capture the unique provisions of ANILCA with respect to continued public uses; ensuring cooperation with other land and resource managers; and establishing methods of ongoing public involvement in future planning and implementation. For the most part, the NPS and FWS attempted to be responsive to Council concerns. The final nine NPS General Management Plans (GMP) provide notable exception. Even though the NPS rewrote these GMPs three times, they did not meet Council expectations. Despite the lack of Council endorsement, the GMPs were approved and implemented.

In addition to individual CSU plan review, the Council was instrumental in shaping the overall planning process. For example, the Council worked with the NPS for over two years to develop the format and content of the Lake Clark GMP, thus setting the stage for all future GMPs. In a related effort, the Council developed a uniform planning process (May 1984) to ensure that all CSU planning incorporated adequate public review. The Council also distributed a brochure (August 1982) describing activities which are allowed or not allowed in the various types of CSUs, to facilitate public awareness of the effect of the new withdrawals. Finally, the Council recommended that draft NPS nationwide management policies be revised to better reflect the Alaska-specific provisions of ANILCA. A modified document addressing ANILCA was subsequently released in December 1988.

b. Bureau of Land Management Planning

- Steese National Conservation Area Resource Management Plan (RMP) -- Sections 401, 402; and White Mountains National Recreation Area RMP -- Section 403. These plans were endorsed in March 1985 with a recommendation that a mineral assessment be funded and the results used during the RMP's review process. A mineral assessment was conducted as recommended.
- Wild and Scenic River Plan -- Section 605(d). In August 1983, the Council endorsed, and BLM subsequently implemented, river plans for Beaver Creek Birch Creek, Delta River, Gulkana River, Fortymile River, and Unalakleet River.
- Gulkana River Memorandum of Understanding (MOU). In February 1986, the Council endorsed a prototype agreement containing Federal and State management guidelines for this wild and scenic river, including an outline of interagency responsibilities.
- Wild and Scenic River Management. In November 1982, the Council approved a document, still in use, entitled "A Synopsis for Guiding Management of Wild, Scenic and Recreational River Areas in Alaska" defining management of public use and resource activities.

c. U.S. Forest Service Planning

- Chugach National Forest Land Management Plan -- Section 1201(l)(1). In March 1984, the Council affirmed the importance of this plan's provisions for port and transportation alternatives which may be needed to facilitate development of the Bering River Coal Field. This policy helps implement the Chugach Settlement Agreement which, among other things, guarantees Chugach, Inc. access to their privately owned coal resources.
- Tongass Timber Reform Act -- Section 1201(l)(2)(D). In response to 1987 Congressional deliberations to amend ANILCA Section 705, the Council recommended that Congress take no further action until hearings were held in southeast Alaska, the General Accounting Office (GAO) completed its investigative report, and the Tongass Land Management Plan was revised. Congressional consideration of this issue continued after completion of Alaska field hearings and release of the GAO report.

4. Wilderness Recommendations -- Thirteen National Parks, Preserves, and Monuments (Bering Land Bridge, Kenai Fjords, Yukon-Charley Rivers, Gates of the Arctic, Lake Clark, Wrangell-St. Elias, Aniakchak, Cape Krusenstern, Glacier Bay, Noatak, Denali, Katmai, Kobuk Valley). In response to these NPS-sponsored wilderness proposals, the Council recommended that no new NPS wilderness be proposed for designation at this time due to insufficient analysis and lack of compelling rationale (September 1988). The NPS subsequently recommended to DOI that approximately 6.9 million acres be proposed as wilderness.

- Kenai NWR Wilderness. In September 1988, the Council did not endorse the FWS's Kenai NWR wilderness proposal due to conflicts with a potential utility corridor and the need for developed recreational opportunities on the Kenai Peninsula. The wilderness recommendation was approved, however, by the FWS in November 1988.
- Alaska Peninsula and Becharof NWR Wilderness. The Council endorsed these FWS wilderness recommendations in September 1988. They were approved by the FWS in November 1988.
- Other Refuge Wilderness Proposals. The Council concurred with most of the remaining refuge wilderness proposals during consideration of individual refuge plans.

5. Economic Development -- Section 1201(l)(2)(C)

- a. Section 1008 Memorandum of Understanding. In February 1982, the Council endorsed the development of a joint Federal/State MOU addressing non-North Slope upland oil and gas leasing activities and related topics. An agreement was signed in May 1982.
- b. St. George Basin Oil and Gas Lease Sale. In February 1983, in response to a request for comments by DOI, the Council recommended adding two conditions to Sale 70 addressing: 1) compatibility with the Bristol Bay

Cooperative Management Plan, and 2) economic assistance to local communities for mitigation. These recommendations, however, were not incorporated in the lease sale agreement.

- c. Kantishna Hills/Dunkle Mine Study -- Section 202(b). In June 1964, the Council transmitted a report to Congress and the Secretary of the Interior recommending a mineral leasing program for the Kantishna Hills and advised that the Dunkle Mine area remain in the preserve unless future studies show wildlife values are not sufficient to include in the unit. A mineral leasing program was subsequently developed, and Dunkle land exchange discussions are pending.
 - d. NPS Proposed Mining Rule. The NPS proposed a clarification of NPS mining regulations addressing the applicability of NPS authorities over patented mining claims in NPS units which have access entirely across non-federal lands. In response, the Council asked for an analysis of public comment in June 1987. Upon formal consideration in August 1987, the Council did not endorse the proposed mining rule. The regulation was implemented in early 1988.
 - e. ANILCA Section 1001 Report. In September 1988, the Council endorsed the ANILCA 1001 Report prepared by the Bureau of Land Management, subject to BLM's response to State concerns regarding management authorities on state-selected land. This mandated report generally addressed oil and gas leasing and mineral assessments on the North Slope.
 - f. Economic Impacts of ANILCA. This study was initiated in response to an Advisors Committee recommendation for a review of current studies exploring the economic diversification of Alaska's economy. The study resulted in Council recommendations that future resource decisions and land planning documents contain improved economic analysis to enhance decision making.
 - g. Non-Renewable Resources. To assist the gathering and use of non-renewable resource data, the Council developed findings and recommendations regarding *collection priorities and interpretation of mineral inventory information, with emphasis on improving mineral-related decisions in land use planning.* The Council also supported the Alaska Strategic and Critical Minerals Initiative to improve data gathering.
6. Recreation and Visitor Services -- Section 1201(i)(1)
- a. Cooperative Visitor Centers -- Section 1305. In response to ANILCA authorization of interagency visitor centers in Alaska, the Council facilitated development of cooperative agreements concerning the planning, funding, staffing and management of several such centers, including Anchorage (November 1981), Tok (May 1982), and Fairbanks (August 1982). These centers are now open. In addition, in February 1986, the Council endorsed conceptual plans for a Southeast Alaska Visitor Center in Ketchikan.
 - b. Competitive Events. In October 1985, the Council developed an interagency policy to facilitate consistent permitting procedures for competitive and other special events occurring on two or more management jurisdictions.

- c. Revenue Producing Visitor Services. To insure uniform implementation of ANILCA Section 1307, the Council recommended a consistent multi-agency definition of the term "local resident" as used in Section 1307(b)(2), for purposes of identifying preference for individuals or groups wishing to provide revenue producing visitor services within conservation system units.
- d. Denali Scenic Highway -- Section 1311. In a study mandated by ANILCA, the Council recommended that the route between Denali and Wrangell-St. Elias park units should not be designated a scenic highway (August 1983). The Council also recommended that cooperative agreements be initiated to manage the Denali Highway and the Chitina-McCarthy Road. No scenic highway designation was made and these agreements have been implemented.
- e. Outfitters/Guides -- Section 1307. In May 1985, the Council developed consistent procedures for management of guides and outfitters, including standardized fee schedules, insurance requirements, permitting and performance evaluations.

7. Access

- a. Stikine River Access Study -- Section 1113. In this ANILCA-mandated study, the Council developed a process by which Canada could apply for access along the Stikine River corridor if they needed such access. To date, no application has been submitted.
- b. ANILCA Title XI Regulations. In 1983, the DOI released draft regulations implementing ANILCA Title XI, addressing access and transportation corridors through CSUs. In response, the Council transmitted a number of consensus recommendations to the Secretary of the Interior in August 1983. (Council members also responded individually to DOI on issues where consensus could not be reached.) Many of these recommendations were adopted. Litigation has been filed in the U.S. District Court for Alaska objecting to these regulations and is currently pending a decision by the Court.
- c. Public Access Report -- Section 1201(i)(2)(B). The Council prepared a report to assist the public in determining what access opportunities and restrictions exist on private and public land in Alaska. The report provides information about how to determine landownership and identifies whom to contact regarding required access authorizations.

8. Subsistence -- Section 810

To coordinate and streamline subsistence research, the Council developed consistent standards for conducting ANILCA Section 810 evaluations and recommended standard definitions for terms and concepts such as "significantly restrict subsistence uses." In September 1988, the Council adopted Guidelines for the Collection, Analysis, and Preparation of Subsistence Use Data and recommended establishment of a permanent Federal-State-Native working group to coordinate compilation and collection of subsistence data.

9. Cabins and Temporary Facilities -- Sections 1303, 1316

ANILCA contains several special provisions regarding the use, construction and management of cabins and temporary facilities in Alaska CSUs. To facilitate uniform decision making among federal agencies, the following actions were taken:

- a. Temporary Facilities -- Section 1316. In February 1982, the Council developed standardized definitions of temporary structures for use by all federal agencies.
- b. Recommended Cabin Guidelines. In November 1984, the Council adopted Recommended Guidelines for the Use and Occupancy of Cabins and Other Structures on Federal Public Lands in Alaska, for use by all Federal land managing agencies.
- c. NPS Cabin Regulations. In November 1984, the Council provided recommendations addressing the NPS draft regulations. NPS incorporated some, but not all, of these recommendations. These regulations have been challenged in court by the State.
- d. Cabin Policy for Refuges. In November 1987, the Council recommended that FWS draft cabin policy for Alaska refuges be made consistent with the Council's November 1984 recommendations. Minor modifications were made as a result of these recommendations.

10. Trespass -- Section 1201(i)(2)(B)

In October 1985, the Council completed a coordinated interagency policy addressing trespass issues. The policy includes recommendations regarding trespass abatement, land exchanges, public education, land bank agreements, and land use planning. Although limited by budget constraints, most of the recommendations have been implemented to some degree by the land managing agencies. The coordinated trespass policy was instrumental in the passage of State trespass legislation in 1988.

11. Land Exchanges -- Section 1201(i)(2)(H)

- a. Kenai National Wildlife Refuge. To address development constraints imposed by Section 22(g) of ANCSA, the Council endorsed a proposed land exchange between the Kenai Native Association and the Kenai Refuge (May 1982). The exchange was not consummated.
- b. NANA/Cape Krusenstern National Monument. To facilitate access to the Red Dog Mine, the Council endorsed a land exchange between the NPS and NANA Regional Corporation. The exchange was consummated and development is proceeding.

12. Hazardous Waste Materials -- Section 1201(i)(2)(G)

- a. Hazardous Waste Response. In November 1981, the Council initiated a process to address the abandonment of hazardous materials at former Federal

installations. Responsible agencies worked together to initiate a process for responding to hazardous waste problems, including notifications and action by the BLM to temporarily defer conveyance of any site requiring cleanup and restoration.

- b. Superfund. In February 1982, the Council notified the Environmental Protection Agency of problems concerning hazardous wastes on Federal lands being conveyed to the State and Native corporations. The Council urged that Alaska be given high priority for cleanup monies from the Superfund.

13. Public Involvement: THE LAND USE ADVISORS COMMITTEE

To facilitate public involvement in Council deliberations, the Council has utilized the advice and expertise of a Land Use Advisors Committee. The Committee, as directed in ANILCA Section 1201(m)(1), consists of representatives of a spectrum of development, resource use, conservation, and Native interests with a mixture of national, state and local perspectives. Advisors are appointed annually by the Cochairmen.

The Advisors provide two primary functions. First, they track specific Council projects and provide recommendations prior to Council consideration. Secondly, they suggest new issues that they feel should be addressed by the Council. To facilitate this latter task, the Advisors have periodically conducted public forums to elicit input from the general public on land use and management in Alaska. A number of the Council's accomplishments have stemmed from projects initially suggested by the Advisors Committee. The Advisors also assisted in developing the recommendations of this report to Congress.

IV. HISTORY OF COOPERATIVE LAND MANAGEMENT IN ALASKA

The Council is the latest in a series of cooperative Federal-State bodies which have existed in Alaska since the 1960's. This section describes these bodies and discusses the legal and political context from which they were created.

A. Changing Land Ownership Complexities

In the 30 years since Statehood, land ownership and management in Alaska has undergone a massive redistribution. In 1959, nearly all of Alaska (99.8 percent) was owned by the Federal government, and most of this land (322 million acres) was public domain under the jurisdiction of the Bureau of Land Management. Remaining areas were administered by the National Park Service, U.S. Forest Service, U.S. Fish and Wildlife Service and the military. Today, over 150 million acres are in national forests, parks and wildlife refuges; the State has received title to 85 million acres of a 104 million acre entitlement; and Alaska people, through village and regional corporations, have become major land holders (35 million acres interim conveyed or patented) with a eventual ownership of 45.5 million acres.

Within these large conveyances, there have been additional innumerable transfers; municipalities have selected lands from the state; Native Village corporations have transferred lands to individual occupants and to local municipalities; and existing

small federal withdrawals have, in some cases, been relinquished to Native ownership.

These changes in land status have, in turn, generated significant changes in the roles and relationships of State and Federal agencies in Alaska. Native corporations, as owners of 12 percent of the State's land area, have become major participants in statewide land use planning and resource development decisions. Furthering the complexities of land management, Alaska's widely dispersed rural residents use much of the state for public uses, such as recreation and subsistence, which often occur with little regard to land ownership.

Collectively, these lands are the major economic base for the State, and the nation, producing 25 percent of U.S. produced oil and gas, also timber, minerals, wildlife and supporting the tourism industry. They are also the watersheds for Alaska's streams and rivers, producing huge quantities of anadromous fish for commercial and sport fishermen.

B. Landmark Legislation

Congress initiated these changes in Alaska's land ownership and management and established policies through three major pieces of legislation:

- In 1959, The Alaska Statehood Act
- In 1971, The Alaska Native Claims Settlement Act (ANCSA)
- In 1980, The Alaska National Interest Lands Conservation Act (ANILCA)

The Alaska Statehood Act (1979) and ANCSA 1971 each contained the seeds for the next act. Impetus for ANCSA was generated by the Statehood Act, reflecting the conflicts between Alaska's statehood land selections and the Alaska Native land claims. ANCSA, in turn, incorporated language in Section 17(d)(2), which laid the foundation for the conservation unit designations established under ANILCA. Each act was followed by the establishment of a cooperative planning entity charged with making an overview of Alaska issues and developing comprehensive recommendations to the State and Federal government.

C. Federal Field Committee (1964)

The first cooperative body was the Federal Field Committee for Development Planning in Alaska, established October 2, 1964, by Executive Order 11182. Its purpose was to serve as a counterpart to the State in developing coordinated Federal and State approaches to planning for "the general economic development of the State and the long-range conservation and use of its natural resources." The Field Committee brought together 12 Federal representatives, primarily western regional agency heads, to serve as the "principal instrumentality for developing coordinated plans for federal programs . . ." in Alaska. The chairman was a Presidential Appointee who, with a small professional staff, conducted the work of the committee.

The Federal Field Committee's studies concentrated on economic analysis and subjects related to Alaska Natives. A major Committee accomplishment was publication of its landmark volume, Alaska Natives and The Land, which served as a primary reference during work on the Alaska Native Claims Settlement Act.

D. Joint Federal-State Land Use Planning Commission (1971)

ANCSA, in 1971, incorporated language establishing a cooperative planning body with Federal-State and Native representation. Section 17(a) and (b) of ANCSA created the Joint Federal-State Land Use Planning Commission for Alaska. The Commission had broad responsibilities to develop recommendations to implement Federal land legislation and to bring together the federal, state and Native participants in a joint planning process. Its primary mandate was to prepare recommendations to the President and Congress regarding the ANCSA Section 17(d)(2) withdrawals for conservation system units. During its seven years of existence, the Commission maintained a substantial independent staff; its budget averaged \$1.4 million annually. The Commission had been established as a temporary body. Its expiration date was extended once and the Commission was then disbanded in 1979.

E. Alaska Land Managers Cooperative Task Force (1979)

Bridging the gap between the termination of the Land Use Planning Commission in 1979 and the organization of the Land Use Council in 1981 was the administratively created Alaska Land Managers Cooperative Task Force. Under the leadership of the Secretary of the Interior's Representative in Alaska, the Task Force brought together Federal, State and Native leadership to address issues of common interest. Though the Task Force did not have the legislative stature or longevity of the Commission and the Council, it did provide a forum for interagency communication.

F. Alaska Land Use Council (1980)

In 1980, with the passage of ANILCA, Congress created Alaska's current cooperative body, the Alaska Land Use Council. The central mission of the Council is to develop recommendations related to implementation of ANILCA. Like the Commission, the Council was also given a comprehensive planning mandate extending beyond the Federal legislation creating it. The language authorizing the Alaska Land Use Council was drawn from the language authorizing the Federal-State Land Use Planning Commission. Both bodies were empowered to conduct regional land use planning and to make recommendations "to insure that economic development is orderly and planned and is compatible with state and national . . . objectives." Both bodies were charged with improving coordination and resolving conflicts between State, Federal and private landowners.

Congressional decisions that established cooperative planning institutions in ANCSA and ANILCA reflected the nation's recognition of a diversity of conflicting values in Alaska's public lands. Resource development was important, but so was land conservation and the protection of natural values. The Final Report of the Joint Federal-State Land Use Planning Commission (May 30, 1979), describes the climate of opinion in which the Commission and its successor, the Alaska Land Use Council, were created;

"The Nation's approach to Alaska has been markedly different from the often imprudent expansion into the western states. A new land ethic had evolved. Resources would no longer be exploited without thought to resource conservation and environmental protection. Wilderness had been recognized as a scarce national resource meriting protection and preservation. Most lands remaining in the public domain would be retained in public ownership; the days of massive disposals of public land were past. Government policy towards the indigenous residents of the frontier, the American Indian, now sought to foster self-determination and avoid paternalism. The public interest required that planning precede and regulations govern significant resource development and land use."

The Commission's members were mostly private citizens, half appointed by the Secretary of the Interior and half by the Governor; in contrast, the Council is composed primarily of agency heads. Both the Commission's and the Council's membership have included two Alaska Native representatives.

The change from public representatives to agency heads reflects the evolution of Alaska land use decisions between 1972 to 1981. The Commission, starting in 1972, was to develop recommendations for new legislation which would allocate land to management systems. The Council, starting in 1981, was not to recommend new law, but rather to help make the existing law work. The primary need was for a forum to bring together State and Federal agency heads and Native representatives to implement ANILCA.

The emphasis on bringing Alaska's primary land managers together has been reflected in the Council's staffing. Unlike the Commission's joint staff, the Council has a much smaller budget and depends heavily on staff detailed from member agencies to accomplish its mission.

G. Land Use Advisors Committee

The Council has a committee of Land Use Advisors to seek a broad spectrum of public opinion on various land use issues. Congress intended that the Council's Advisory Committee would reflect the nation's interest in achieving a balance of opinion in determining land use issues, and the law requires that representation come from both conservation and development interests. A recurring theme in the deliberations of the Land Use Advisors and of the Council itself has been to assure that the land use plans, regulations, and policies following from ANILCA reflect the statutes' special provisions for the administration of conservation system units in Alaska and for other provisions of ANILCA.

THE ANILCA SECTION 1201 REPORT TO CONGRESS

as endorsed by the
Alaska Land Use Council
November 2, 1989



ALASKA LAND USE COUNCIL



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December 4, 1989

Honorable Thomas S. Foley
Speaker of the House
H204 Capitol Building
U.S. House of Representatives
Washington, D.C. 20515

Dear Mr. Speaker:

Please accept the attached report, submitted in accordance with Section 1201(1) of the Alaska National Interest Lands Conservation Act (ANILCA), P.L. 96-487. The report was approved on a 12 to 1 vote by the Alaska Land Use Council at its meeting of November 2, 1989. (Appendix II of the attached report contains the formal motion for adoption and the official agency voting record). The Federal Co-Chairman, however, will be submitting a separate report.

Section 1201(1) of ANILCA reads:

Unless extended by the Congress, the Council shall terminate ten years after the date of enactment of this Act. No later than one year prior to its termination date, the Co-Chairman shall submit in writing to the Congress a report on the accomplishments of the Council together with their recommendations as to whether the Council should be extended or any other recommendations for legislation or other action which they determine should be taken following termination of the Council to continue carrying out the purposes for which the Council was established.

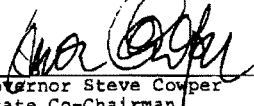
The Alaska Land Use Council believes there is a continuing need for a body that can foster cooperation and coordination between the major State, Federal and Native land and resource managers in Alaska. The Council therefore recommends that Congress re-authorize the Alaska Land Use Council subject to certain modifications which require Congressional action.

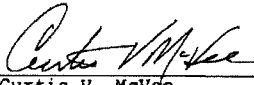
Honorable Thomas S. Foley

2

December 4, 1989

Thank you for your attention regarding the future of the Council.
If you have any questions about the attached report, please feel
free to contact either of us.


Governor Steve Cowper
State Co-Chairman


Curtis V. McVee
Federal Co-Chairman

Identical letter sent to the President of the Senate.

cc: Alaska Land Use Council
Land Use Advisors Committee
Chairman & Ranking Member of House Interior Committee
Chairman & Ranking Member of the Senate Energy Committee
Senator Ted Stevens
Senator Frank Murkowski
Representative Don Young



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December 4, 1989

Honorable Dan Quayle
Office of the Vice President
Room S-212
The Capitol
Washington, D.C. 20510

Dear Mr. Vice President:

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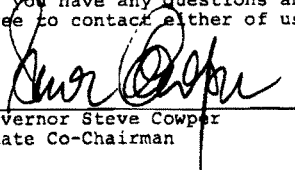
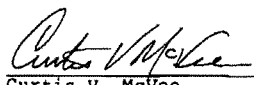
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Honorable Dan Quayle

2

December 4, 1989

Thank you for your attention regarding the future of the Council.
If you have any questions about the attached report, please feel
free to contact either of us.


Governor Steve Cowper
State Co-Chairman
Curtis V. McVee
Federal Co-Chairman

Identical letter sent to the Speaker of the House.

cc: Alaska Land Use Council
Land Use Advisors Committee
Chairman & Ranking Member of House Interior Committee
Chairman & Ranking Member of the Senate Energy Committee
Senator Ted Stevens
Senator Frank Murkowski
Representative Don Young

THE ANILCA SECTION 1201 REPORT TO CONGRESS

as endorsed by the
Alaska Land Use Council
November 2, 1989

EXECUTIVE SUMMARY

The Alaska Land Use Council is the most recent in a continuum of cooperative interagency organizations established to assist Alaska land and resource managers in responding to unprecedented changes in Alaska's social, environmental and economic conditions. The Council, created in 1980 by the Alaska National Interest Lands Conservation Act (ANILCA), sunsets in December 1990, unless extended by Congress. As required by ANILCA, this report conveys the recommendations of the Council regarding the future need for a cooperative forum.

The Council firmly believes there is a continuing need for a body which can foster cooperation and coordination between the major State, Federal and Native land and resource managers in Alaska. Council members therefore recommend that Congress re-authorize the Alaska Land Use Council subject to the structural and procedural modifications outlined below.

LEGISLATIVE CHANGES

Membership: Reduce the size of the Council from 14 to 11 members. Eliminate the mandatory participation of the U.S. Department of Transportation and the National Oceanic & Atmospheric Administration. Eliminate the Federal and State Co-chairs. Include one representative from the Land Use Advisors Committee on the Council. Provide for ad-hoc Council participation by other agencies.

Chairmanship: Annually rotate Council chairmanship between Native, Federal, and State members of the Council.

NON-LEGISLATIVE CHANGES

The following recommendations do not require Congressional action; they are, however, of equal importance to the changes outlined above. See Appendix I.

Staffing: Establish a small professional staff with a full time Staff Director, hired by the Council. Staff will coordinate and facilitate day-to-day Council operations; provide policy-making, administrative and clerical support to the Council; and facilitate public involvement.

Public Involvement: Appoint a 5-9 member Advisors Committee to help facilitate broad public involvement. Include a representative from the Advisors in the Council's core membership.

Operational Procedures: Use a consensus-building process.

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INTRODUCTION

In 1980, the U.S. Congress enacted the Alaska National Interest Lands Conservation Act (ANILCA). ANILCA set aside more than 100 million acres of land in Alaska as national parks, wildlife refuges, wilderness areas, and other conservation system units. Directly or indirectly, these extensive withdrawals affected all major landowners in the state.

In recognition of the sweeping changes ANILCA would bring, Congress established the Alaska Land Use Council (Council). The purpose of the Council is to promote cooperation and coordination between Federal, State, and Native land and resource managers. Congress provided the Council with a broad mandate, including conducting studies and making recommendations on a variety of land and resource issues, plans, and regulations, and embarking on several important cooperative planning efforts.

The composition of the Council was designed to include representation from the major land and resource managers in Alaska. Federal members include the head of the Alaska offices of the National Park Service, U.S. Fish and Wildlife Service, U.S. Forest Service, Bureau of Land Management, National Oceanic and Atmospheric Administration, and the U. S. Department of Transportation. State members include the commissioners of the Alaska Departments of Natural Resources, Fish and Game, Environmental Conservation, and Transportation and Public Facilities. In addition, two representatives are selected by the twelve Alaska Native regional corporations described in the Alaska Native Claims Settlement Act. Cochair of the Council are a Presidential-appointee and the Governor of Alaska.

The Council is assisted by a committee of land use advisors appointed by the Federal and State Cochair. The committee, composed of representatives of a broad spectrum of interests, serves as the primary component of the Council's public involvement program.

Section 1201(1) of ANILCA provides that the Council will terminate on December 2, 1990, unless extended by Congress. One year prior to this sunset date, the Cochair are required to submit a report to Congress on the Council's accomplishments and recommendations for future State-Federal-Native cooperation. The following report is submitted to fulfill this responsibility.

The report is divided into three chapters. Chapter I outlines the Council's recommendations for a future cooperative entity. Chapter II summarizes the major accomplishments of the Council, and Chapter III provides a brief of history of cooperation between State, Federal, and Native land managers in Alaska.

RECOMMENDATIONS OF THE ALASKA LAND USE COUNCIL

Background

The recommendations contained in this report are a product of two years of dialogue between State, Federal, and Native members of the Alaska Land Use Council as well as its committee of land use advisors. Early in this dialogue, the Council hired a consultant to assess the effectiveness of the Council and to identify options for future cooperative entities following the scheduled sunset of the Council in December 1990. The consultant analyzed approximately 120 responses to a survey questionnaire sent to a selected group of Alaskans and interviewed nearly 40 individuals recognized as knowledgeable about land and resources issues in Alaska. Based on information gained through this process, the consultant developed a range of options for future cooperative mechanisms for Council consideration. (See the accompanying March 1989 report, Options for Future Cooperative Management in Alaska, prepared by Barry Lawson Associates, Inc.)

The Council held two full-day workshops with its Land Use Advisors Committee to evaluate these options. After considerable discussion, consensus was reached. The recommendations which follow reflect this consensus.

Consensus Recommendations

It is recommended that Congress re-authorize the Council, subject to the structural and procedural modifications described in this report. There is a continuing need for a body which can foster cooperation and coordination between the major land managers in Alaska. Alaska is a vast, young state with tremendous resources and potential. Visions of what Alaska can and should be differ widely among members of the public and the state's many public and private land and resource managers. The Council provides a forum in which these differing perspectives can be discussed and steps taken to work toward shared goals.

In addition, the state's major land and resource managers face common challenges and opportunities. The Council provides a forum to address issues of mutual concern and to resolve differences where they exist. The Council also provides a forum for members of the public to meet with the state's principal land and resource managers collectively to address issues that cut across land ownership boundaries in Alaska. Resource protection, economic development, transportation planning, and specific issues related to ANILCA's implementation are but a few of the areas in which cooperation and coordination between land and resource managers will continue to be needed in the 1990's.

As stated above, however, the Council recommends that certain changes be made to the existing structure of the Council. Changes in the chairmanship, membership, staffing, and operational procedures of the Council are needed to heighten its effectiveness as a forum for cooperation. Some of these changes require modification of existing enabling legislation. For example, the Council recommends that the designation of Council Cochair be replaced by assignment of the duties of presiding officer on a rotating basis among members of the Council and that membership of the body be reduced from 14 to 11 members (4 Federal, 4 State, 2 Native, and 1 public).

Legislative Changes

To implement the legislative changes, the Council recommends that Congress amend Section 1201 of ANILCA as follows. (Unless otherwise indicated, the Council supports retention of ANILCA Section 1201 in its present form.)

- 1) Amend Section 1201(b) to indicate that the duties of the presiding officer will be rotated on an annual basis between State, Federal, and Native members of the Council. This change, which eliminates the State and Federal Cochair, would enhance the cohesiveness of the organization and provide for more efficient Council operations. It would also give Council members greater responsibility for ensuring that the organization meets their needs. (This recommendation is made with the understanding that a central staff will carry out day-to-day Council activities between meetings. See Appendix I.)
- 2) Amend Section 1201(c) to indicate that the Council shall consist of the following members:
 - a. the head of the Alaska offices of each of the following Federal agencies: National Park Service, U.S. Fish and Wildlife Service, U.S. Forest Service, and Bureau of Land Management;
 - b. the commissioners of the Alaska Departments of Environmental Conservation, Fish and Game, Natural Resources, and Transportation and Public Facilities;
 - c. two representatives selected by the Alaska Native regional corporations (in consultation with their respective village corporations); and,
 - d. one representative selected by and from the committee of advisors established by Section 1201(n) of ANILCA.

This change would eliminate the existing requirement that the U.S. Department of Transportation and the National Oceanic and Atmospheric Administration participate in the Council. It would not, however, preclude their participation, as the Council recommends that any state or federal agency with land or resource management responsibilities or interests could participate in the Council on a project-specific basis with the concurrence of the permanent members of the Council. Potential ad hoc members include, but are not limited to:

State Agencies:

Department of Commerce and Economic Development
Department of Community and Regional Affairs

Federal Agencies:

U.S. Bureau of Indian Affairs
Bureau of Mines
U.S. Coast Guard
Environmental Protection Agency
Federal Aviation Administration
National Oceanic and Atmospheric Administration
Minerals Management Service
Army Corps of Engineers
U.S. Geologic Survey
Federal Highway Administration

The Council recommends that the above agencies be explicitly identified as potential ad hoc members in amendments to Section 1201(c).

These recommended changes to Section 1201(c) would define the permanent membership of the Council as those agencies having the greatest interest in land-based resource management in Alaska; provide for equitable representation of State and Federal agencies on the Council; and provide the public with greater access to and participation in Council decision-making.

- 3) Amend Sections 1201(d)(e), (f), (g), (h), (l), and (m) to eliminate reference to the Cochair.
- 4) Amend Section 1201(l) to indicate that the Council's new review and termination date will be ten years after the date of enactment of these amendments.
- 5) Amend Section 1201(m) to indicate that members of the Land Use Advisors Committee will be appointed through a consensus process by the Council. This process will help ensure that the Advisors reflect a balanced mixture of perspectives and expertise, and that the relationship between the Council and its advisory committee is productive and cooperative.

ACCOMPLISHMENTS
OF THE
ALASKA LAND USE COUNCIL

Overview

Since its inception in 1981, the Alaska Land Use Council has made recommendations and/or facilitated cooperation among State and Federal agencies and Native corporations on issues of national and state importance. Section 1201(i)(1) of ANILCA lists a wide range of planning issues for possible Council consideration, including "transportation planning, land use designation, fish and wildlife management, tourism, agricultural development, coastal zone management, preservation of cultural and historical resources, and other such matters" Specific issues that the Council has addressed include national conservation system unit planning, mining, recreation, access, wilderness, subsistence, land exchanges, trespass, and fire management.

A majority of the work accomplished by the Council is initially assigned to the Staff Committee, composed of senior personnel from member agencies and Native Corporations. Specific tasks are delegated to subcommittees, which include appropriate Staff Committee members, other agency staff with specialized expertise, and occasionally representatives of appropriate interest groups. These subcommittees develop their findings and recommendations over several months, sometimes even years, and submit their results to the Council for consideration and implementation. This process provides on-going focused coordination in the interim between the Council's quarterly meetings. Such coordination has proven to be one of the major values of the Council.

Evaluation of the Council

The Council has functioned as a forum for coordination and cooperation between State, Federal and Native land managers in Alaska. The Council has provided valuable opportunities for Alaska's major land and resource managers to improve direct working relationships, leading to numerous cooperative endeavors. Among other things, the Council has facilitated consistency in land use decisions, consolidated land-related information for use by its members and the public, and provided the public opportunities to raise issues in a high level forum. Specific Council accomplishments are highlighted in the following pages.

An overall evaluation of the body is complex, however, because the Council has not met its full potential in addressing important management issues. The Council's effectiveness has been hampered by several procedural factors. (See page 14 of the accompanying Lawson Report.) These include the Council's dual

chairmanship, unequal State/Federal representation, and emphasis on voting instead of consensus-building. Political influence has also been a factor, affecting member agencies' willingness to fully participate in the Council.

The results of the Bristol Bay Cooperative Management Plan illustrate both the Council's strengths and weaknesses. Although the Federal/State cooperative plan was never implemented, most of the technical land use recommendations that were developed through intensive interagency efforts have nonetheless been successfully utilized either formally or informally by land managers in the region.

The recommendations included in this report are specifically designed to address the structural deficiencies identified above. The positive aspects of the Council have been retained. Thus the future of interagency coordination can be built on lessons learned from the past.

MAJOR ACCOMPLISHMENTS

This section highlights the major accomplishments of the Council since its inception. The date shown with each issue generally indicates when action on the item was completed. A more complete summary of the Council's activities and recommendations, as well as subsequent results, may be found in the Council's background report entitled "Summary of Actions of the Alaska Land Use Council," dated April 1, 1989, or Council meeting minutes.

CONSULTATION AND COORDINATION -- Section 1201(i)(2)(B)

The Council has provided both formal and informal opportunities for consultation and coordination among its members. Notable examples of successful formalized coordination include:

- ° Development of a cooperative agreement to fund the computerized indexing of ANILCA's 41 volumes of legislative history (August 1982).
- ° Sponsorship of the on-going Committee on Natural Resources Information Management (CONRIM), charged with enhancing interagency information and technology transfer, such as standardized base mapping (initiated February 1982).
- ° Development of standardized procedures for Council members to provide each other with early notification of proposed regulations (August 1983); and recommended extended public review opportunities for draft regulations (June 1987).

- ° Development of a policy for coordinating review of proposed legal land descriptions, anticipating cadastral survey workloads, and identifying survey priorities (March 1985).
- ° Publication of a Statewide Cultural Assistance Directory to facilitate communication on historical and archaeological resource issues (June 1986).

In addition to these formal coordinative actions, the Council has been briefed on topics of Federal, State and Native interest throughout the year and kept abreast of members' actions between and during each of its quarterly meetings. These briefings have provided numerous informal opportunities for information exchange and consultation.

COOPERATIVE PLANNING/COOPERATIVE AGREEMENTS -- Section 1201(j)

- ° Fire Control -- Section 1201(1)(2)(B). The Council initiated a major interagency effort to address statewide wild fire management in light of Alaska's increasingly complex land ownership patterns and the high cost of fire control in remote areas. This effort resulted in the establishment of definitions and criteria for wild fire protection and response, and developed a process for completing 11 regional fire plans (May 1982). This work provided the basis for the current successful interagency fire management coordination effort.
- ° Alaska Land Bank Agreements -- Section 907. The Council developed a brochure describing the land bank program (November 1982); developed minimum legal requirements and a sample agreement (May 1983); and adopted generic language which federal members agreed to include in new agreements (June 1987). These efforts facilitated the development of Land Bank Agreements between Native corporations and various Federal agencies.
- ° Bristol Bay Cooperative Management Plan -- Section 1203. This mandated cooperative planning process spanned several years of Council operation (1982-1984) with extensive agency participation and public involvement. A final plan was developed, but not signed, by the participating agencies. Ultimately the overall plan was divided into two separate, yet compatible, plans. The State's Bristol Bay Area Plan was adopted in September 1984. A corresponding Federal Bristol Bay Regional Management Plan was prepared, but was not adopted by the Department of the Interior.

CONSERVATION SYSTEM UNIT PLANNING -- Section 1201(i) (A) (ii)

National Park Service - Section 1301; and U.S. Fish and Wildlife Service - Section 304(g)

The Council was explicitly charged with making recommendations to appropriate officials with respect to management plans for conservation system units (CSUs), including wild and scenic rivers and designated wilderness areas. The Council has reviewed plans for thirteen parks and fifteen refuges, along with corresponding wilderness proposals, and made recommendations to the sponsoring agency and the Secretary of the Interior, as appropriate. Actions on each of the park and refuge plans are summarized in the accompanying table. Council consideration of each plan often facilitated resolution of key issues of importance to State, Federal, and Native member agencies, although not all Council recommendations were adopted by the receiving agency.

Issues that have been most frequently discussed by the Council include maintaining adequate opportunities for public access; protecting subsistence opportunities; ensuring that plans fully capture the unique provisions of ANILCA with respect to continued public uses; ensuring cooperation with other land and resource managers; and establishing methods of on-going public involvement in future planning and implementation. For the most part, the NPS and FWS attempted to be responsive to Council concerns. The final nine NPS General Management Plans provide a notable exception. Even though the NPS rewrote these GMPs three times, they did not meet Council expectations. Despite the lack of Council endorsement, the GMPs were approved and implemented.

In addition to individual CSU plan review, the Council was instrumental in shaping the overall planning process. For example, the Council worked with the NPS for over two years to develop the format and content of the Lake Clark GMP, thus setting the stage for all future GMPs. In a related effort, the Council facilitated the development of a uniform planning process (May 1984) to ensure that all CSU planning incorporated adequate public review. The Council also distributed a brochure (August 1982) describing activities which are or are not allowed in the various types of CSUs to facilitate public awareness of the effect of the new withdrawals. Finally, the Council recommended that NPS nationwide management policies be revised to better reflect the Alaska-specific provisions of ANILCA. A modified document addressing ANILCA was subsequently released in December 1988.

Council Action on National Park Service
and U. S. Fish and Wildlife Service CSU Plans

CSU PLAN	Results of Council Consideration	Recommendations, if any, Accepted	Date of Implementation
<u>National Park Service</u>			
<u>General Management Plans</u>			
Lake Clark	5/84 Endorsed w/rec's	Yes	7/84
Kenai Fjords	3/84 Endorsed	-	6/84
Glacier Bay	5/84 Endorsed	-	7/84
Yukon-Charley Rivers	11/84 Endorsed w/rec's	Yes	1/85
Aniakchak	6/86 Not Endorsed	-	11/86
Bering Land Bridge	6/86 Not Endorsed	-	11/86
Cape Krusenstern	6/86 Not Endorsed	-	11/86
Denali	6/86 Not Endorsed	-	11/86
Gates of the Arctic	6/86 Not Endorsed	-	11/86
Katmai	6/86 Not Endorsed	-	11/86
Kobuk Valley	6/86 Not Endorsed	-	11/86
Noatak	6/86 Not Endorsed	-	11/86
Wrangell - St. Elias	6/86 Not Endorsed	-	11/86
<u>U. S. Fish and Wildlife Service</u>			
<u>Comprehensive Conservation Plans</u>			
Kenai	5/85 Endorsed w/rec's	Yes	6/85
Becharof	7/85 Endorsed	-	8/85
Izembek	7/85 Endorsed	-	8/85
Togiak	Not Considered	-	2/87
Kanuti	8/87 Endorsed w/rec's	Yes	9/87
Innoko	11/87 Endorsed	-	12/87
Koyukuk	11/87 Endorsed	-	12/87
Nowitna	11/87 Endorsed	-	12/87
Tetlin	11/87 Endorsed	-	12/87
Selawik	11/87 Endorsed w/rec's	Yes	12/87
Yukon Flats	11/87 Endorsed w/rec's	No	12/87
Kodiak	11/87 Endorsed w/rec's	No	12/87
Alaska Peninsula	11/87 Not Endorsed	-	11/88
Yukon Delta	3/88 Endorsed	-	4/88
Arctic	10/88 Endorsed	-	11/88
Alaska Maritime	10/88 Not Endorsed	-	11/89

Bureau of Land Management Planning

- ° Steese National Conservation Area Resource Management Plan (RMP) -- Sections 401, 402; and White Mountains National Recreation Area RMP -- Section 403. These plans were endorsed in March 1985 with a recommendation that a mineral assessment be funded and the results used during the RMPs' review process. A mineral assessment was conducted as recommended.
- ° Wild and Scenic River Plan -- Section 605(d). In August 1983, the Council endorsed, and BLM subsequently implemented, river plans for Beaver and Birch Creeks, and the Delta, Gulkana, Fortymile, and Unalakleet Rivers.
- ° Gulkana River Memorandum of Understanding (MOU). In February 1986, the Council endorsed a proto-type agreement containing Federal and State management guidelines for this wild and scenic river, including an outline of interagency responsibilities.
- ° Wild and Scenic River Management. In November 1982, the Council approved a document, still in use, entitled "A Synopsis for Guiding Management of Wild, Scenic and Recreational River Areas in Alaska" defining management of public use and resource activities.

U.S. Forest Service Planning

- ° Chugach National Forest Land Management Plan -- Section 1201(i)(1). In March 1984, the Council affirmed the importance of this plan's provisions for port and transportation alternatives which may be needed to facilitate development of the Bering River Coal Field. This policy helps implement the Chugach Settlement Agreement which, among other things, guarantees Chugach, Inc. access to their privately-owned coal resources.
- ° Tongass Timber Reform Act -- Section 1201(i)(2)(D). In response to 1987 Congressional deliberations to amend ANILCA Section 705, the Council recommended that Congress take no further action until hearings were held in southeast Alaska. The General Accounting Office (GAO) completed its investigative report, and the Tongass Land Management Plan was revised. Congressional consideration of this issue continued after completion of Alaska field hearings and release of the GAO report.
- ° Situk River. In February 1983, the Council recommended that the Situk River not be Designated a Wild and Scenic River, provided a cooperative management agreement and river plan

are implemented by affected Federal and State agencies. Such an agreement was subsequently implemented and is still reviewed annually by the Forest Service.

WILDERNESS -- Section 1201(i)(2)(ii)

Pursuant to Section 1317 of ANILCA, NPS and FWS have completed wilderness reviews for their lands in Alaska, cumulatively recommending the designation of over 10 million acres of new Federal wilderness. To date, the Department of the Interior (DOI) has not presented final recommendations to the President. The Council has considered each recommendation as described below.

- ° Wilderness Review Guide. The Council developed an inter-agency Wilderness Review Guide to facilitate public understanding of the individual and cumulative effects of Federal wilderness proposals. The Guide, initially released in November 1987 and periodically updated, contains a map of all existing and proposed Federal wilderness areas, acreages, and management analyses.
- ° Wilderness Recommendations for Thirteen National Parks, Preserves, and Monuments (Bering Land Bridge, Kenai Fjords, Yukon-Charley Rivers, Gates of the Arctic, Lake Clark, Wrangell-St. Elias, Aniakchak, Cape Krusenstern, Glacier Bay, Noatak, Denali, Katmai, Kobuk Valley). In response to these NPS-sponsored wilderness proposals, the Council recommended that no new NPS wilderness be proposed for designation at this time due to insufficient analysis and lack of compelling rationale (September 1988). The NPS subsequently recommended to DOI that approximately 6.9 million acres be proposed as new wilderness.
- ° Kenai NWR Wilderness. In September 1988, the Council did not endorse the FWS's Kenai NWR wilderness proposal due to conflicts with a potential utility corridor and the need for developed recreational opportunities on the Kenai Peninsula. The wilderness recommendation was approved, however, by the FWS in November 1988.
- ° Alaska Peninsula and Becharof NWR Wilderness. The Council endorsed these FWS wilderness recommendations in September 1988. They were approved by the FWS in November 1988.
- ° Other Refuge Wilderness Proposals. The Council concurred with most of the remaining refuge wilderness proposals during consideration of individual refuge plans.

ECONOMIC DEVELOPMENT -- Section 1201(i)(2)(C)

- ° Section 1008 MOU. In February 1982, the Council endorsed the development of a joint Federal/State MOU addressing non-North Slope upland oil and gas leasing activities and related topics. An agreement was signed in May 1982.
- ° St. George Basin Oil and Gas Lease Sale. In February 1983, in response to a request for comments by DOI, the Council recommended adding two conditions to Sale 70 addressing 1) compatibility with the Bristol Bay Cooperative Management Plan and 2) economic assistance to local communities for mitigation. These recommendations, however, were not incorporated in the lease sale agreement.
- ° Kantishna Hills/Dunkle Mine Study -- Section 202(b). In June 1984, the Council transmitted a report to Congress and the Secretary of the Interior recommending a mineral leasing program for the Kantishna Hills and advising that the Dunkle Mine area remain in the preserve unless studies show wild-life values are not sufficient to include in the unit. A preliminary exchange document for the Dunkle and Stampede areas was subsequently drafted and public meetings have been held. Further action has been postponed due to public opposition.
- ° NPS Proposed Mining Rule. The NPS proposed a clarification of NPS mining regulations addressing the applicability of NPS authorities over patented mining claims in NPS units which have access entirely across non-federal lands. In response, the Council asked for an analysis of public comment in June 1987. Upon formal consideration in August 1987, the Council did not endorse the proposed mining rule. The regulation was implemented in early 1988.
- ° ANILCA Section 1001 Report. In September 1988, the Council endorsed the ANILCA 1001 Report prepared by the Bureau of Land Management, subject to BLM's response to State concerns regarding management authorities on State-selected land. This mandated report generally addressed oil and gas leasing and mineral assessments on the North Slope.
- ° Economic Impacts of ANILCA. This study was initiated in response to an Advisors Committee recommendation for a review of current studies exploring the economic diversification of Alaska's economy. The study resulted in Council recommendations that future resource decisions and land planning documents contain improved economic analyses to enhance decision-making.

- ° Non-Renewable Resources. To assist the gathering and use of non-renewable resource data, the Council developed findings and recommendations regarding collection priorities and interpretation of mineral inventory information, with emphasis on improving mineral-related decisions in land use planning. The Council also supported the Alaska Strategic and Critical Minerals Initiative to improve data gathering.

RECREATION AND VISITOR SERVICES -- Section 1201(i)(1)

- ° Cooperative Visitor Centers -- Section 1305. In response to ANILCA authorization of interagency visitor centers in Alaska, the Council facilitated development of cooperative agreements concerning the planning, funding, staffing and management of several such centers, including Anchorage (November 1981), Tok (May 1982), and Fairbanks (August 1982). These centers are now open. In addition, in February 1986, the Council endorsed conceptual plans for a Southeast Alaska Visitor Center in Ketchikan.
- ° Competitive Events. In October 1985, the Council developed an interagency policy to facilitate consistent permitting procedures for competitive and other special events occurring on two or more management jurisdictions.
- ° Revenue Producing Visitor Services. To ensure uniform implementation of ANILCA Section 1307, the Council recommended a consistent multi-agency definition of the term "local resident" as used in Section 1307(b)(2), for purposes of identifying preferences for individuals or groups wishing to provide revenue producing visitor services for conservation system units.
- ° Denali Scenic Highway -- Section 1311. In a study mandated by ANILCA, the Council recommended that the route between Denali and Wrangell-St. Elias park units should not be designated a scenic highway (August 1983). The Council also recommended that cooperative agreements be initiated to manage the Denali Highway and the Chitina-McCarthy Road. No scenic highway designation was made and these agreements have been implemented.
- ° Outfitters/Guides -- Section 1307. In May 1985, the Council developed consistent procedures for management of guides and outfitters, including standardized fee schedules, insurance requirements, permitting and performance evaluations.

ACCESS

- ° Stikine River Access Study -- Section 1311. In this ANILCA-mandated study, the Council developed a process by

which Canada could apply for access along the Stikine River corridor if they needed such access. To date, no application has been submitted.

- ° ANILCA Title XI Regulations. In 1983, the DOI released draft regulations implementing ANILCA Title XI addressing access and transportation corridors through CSUs. In response, the Council transmitted a number of consensus recommendations to the Secretary of the Interior in August 1983. (Council members also responded individually to DOI on issues where consensus could not be reached.) Many of these recommendations were adopted.
- ° Public Access Report -- Section 1201(i)(2)(B). The Council prepared a report to assist the public in determining what access opportunities and restrictions exist on private and public land in Alaska. The report provides information about how to determine landownership and identifies whom to contact regarding required access authorizations.

SUBSISTENCE -- Section 810

To coordinate and streamline subsistence research, the Council developed consistent standards for conducting ANILCA Section 810 evaluations and recommended standard definitions for terms and concepts such as "significantly restrict subsistence uses." In September 1988, the Council adopted Guidelines for the Collection, Analysis and Presentation of Subsistence Use Data and recommended establishment of a permanent federal/state/Native working group to coordinate compilation and collection of subsistence data.

CABINS AND TEMPORARY FACILITIES -- Sections 1303, 1316

ANILCA contains several special provisions regarding the use, construction and management of cabins and temporary facilities in Alaska CSUs. To facilitate uniform decision-making among federal agencies, the following actions were taken:

- ° Temporary Facilities -- Section 1316. In February 1982, the Council developed standardized definitions of temporary structures for use by all Federal agencies.
- ° Recommended Cabin Guidelines. In November 1984, the Council adopted Recommended Guidelines for the Use and Occupancy of Cabins and Other Structures on Federal Public Lands in Alaska, for use by all Federal land managing agencies.
- ° NPS Cabin Regulations. In November 1984, the Council provided recommendations addressing the NPS draft regulations. NPS incorporated some, but not all, of these

recommendations. These regulations have been challenged in court by the State.

- ° Cabin Policy for Refuges. In November 1987, the Council recommended that FWS draft cabin policy for Alaska refuges be made consistent with the Council's November 1984 recommendations. Minor modifications were made as a result of these recommendations.

TRESPASS -- Section 1201(i)(2)(B)

In October 1985, the Council completed a coordinated interagency policy addressing trespass issues. The policy includes recommendations regarding trespass abatement, land exchanges, public education, land bank agreements, and land use planning. Although limited by budget constraints, most of the recommendations have been implemented to some degree by the land managing agencies. The coordinated trespass policy was instrumental in the passage of State trespass legislation in 1988.

LAND EXCHANGES -- Section 1201(i)(2)(H)

- ° NANA/Cape Krusenstern National Monument. To facilitate access to the Red Dog Mine, the Council endorsed a land exchange between the NPS and NANA Corporation. The exchange was consummated and development is proceeding.

HAZARDOUS WASTE MATERIALS -- Section 1201(i)(2)(G)

- ° Hazardous Waste Response. In November 1981, the Council initiated a process to address the abandonment of hazardous materials at former Federal installations. Responsible agencies worked together to initiate a process for responding to hazardous waste problems, including notifications of action by the BLM to temporarily defer conveyance of any site requiring cleanup and restoration.
- ° Superfund. In February 1982, the Council notified the Environmental Protection Agency of problems concerning hazardous waste on federal lands being conveyed to the State and Native corporations. The Council urged that Alaska be given high priority for cleanup monies from the Superfund.

PUBLIC INVOLVEMENT: THE LAND USE ADVISORS COMMITTEE

To facilitate public involvement in Council deliberations, the Council has utilized the advice and expertise of a Land Use Advisors Committee. The Committee, as directed in ANILCA Section 1201(m)(1), consists of representatives of a spectrum of development, resource use, conservation, and Native interests with a

mixture of national, state and local perspectives. Advisors are appointed annually by the cochairmen.

The Advisors provide two primary functions. First, they track specific Council projects and provide recommendations prior to Council consideration. Secondly, they suggest new issues that they feel should be addressed by the Council. To facilitate this latter task, the Advisors have periodically conducted public forums to elicit input from the general public on land use and management in Alaska. A number of the Council's accomplishments have stemmed from projects initially suggested by the Advisors Committee. The Advisors also assisted the Council in developing the recommendations of this report to Congress.

HISTORY OF COOPERATIVE LAND MANAGEMENT ENTITIES IN ALASKA

The Council is but one of several successive cooperative Federal/State bodies that have existed in Alaska since the 1960's. This section describes these bodies and discusses the legal and political context from which they were created.

Changing Landownership Complexities

In the 30 years since Statehood, landownership and management in Alaska have undergone a massive redistribution. In 1959, nearly all of Alaska (99.8 percent) was owned by the Federal government, and most of this land (322 million acres) was public domain under the jurisdiction of the Bureau of Land Management. Remaining areas were administered the National Park Service, U.S. Forest Service, U.S. Fish and Wildlife Service and the military. Today over 147 million acres are in national forests, parks and wildlife refuges; the State has received 84 million acres of a 104 million acre entitlement; and Alaska Natives, through village and regional corporations, have become major land holders with a potential ownership of 45.5 million acres.

Within this basic pattern, there have been innumerable detailed iterations: municipalities have selected lands from the State; Native village corporations have transferred lands to individual occupants and to local municipalities; and existing small Federal withdrawals have, in some cases, been relinquished to Native ownership.

These changes in land status have, in turn, generated significant changes in the roles and relationships of State and Federal agencies in Alaska. Native corporations, as owners of 12 percent of the state's land area, have become major participants in statewide land use planning and resource development. Adding to the complexities of land management, Alaska's widely dispersed rural residents use much of the state for public uses, such as recreation and subsistence, which often occur with little regard to landownership.

Landmark Legislation

Congress initiated these changes and established its parameters through three major pieces of legislation:

- In 1959, The Alaska Statehood Act
- In 1971, The Alaska Native Claims Settlement Act (ANCSA)
- In 1980, The Alaska National Interest Lands Conservation Act

The 1959 and 1971 laws each contained the seeds for the next act. Impetus for the Native Claims Settlement Act was generated by the Statehood Act, by the conflicts between Alaska's statehood land selections and the Alaska Native land claims. The Settlement Act, in turn, incorporated language in Section 17(d)(2) which laid the foundation for the conservation withdrawals established under ANILCA. Each act was followed by the establishment of a cooperative entity charged with taking an overview of Alaska issues and developing comprehensive recommendations to the State and Federal government.

Federal Field Committee

The first cooperative entity was the Federal Field Committee for Development Planning in Alaska, established October 2, 1964, by Executive Order 11182. Its purpose was to serve as a counterpart to the State in developing coordinated Federal and State approaches to planning for "the general economic development of the State and the long range conservation and use of its natural resources." The Field Committee brought together 12 Federal representatives, primarily western regional agency heads, to serve as the "principal instrumentality for developing coordinated plans for federal programs..." in Alaska. The chairman was a presidential appointee who, with a small professional staff, conducted the work of the committee.

The Federal Field Committee's studies concentrated on economic analyses and on subjects related to Alaska Natives. A major Committee accomplishment was publication of its landmark volume, Alaska Natives and The Land, which served as a primary reference during work on the Alaska Native Claims Settlement Act.

Joint Federal-State Land Use Planning Commission

Both ANCSA in 1971 and ANILCA in 1980 incorporated language establishing cooperative planning bodies with Federal, State and Native representation. Section 17(a) and (b) of ANCSA created the Joint Federal-State Land Use Planning Commission for Alaska. The Commission had broad responsibilities to develop recommendations to implement federal land legislation and to bring together the Federal, State and Native participants in a joint planning process. Its primary mandate was to prepare recommendations to the President and Congress regarding the ANILCA Section 17 (d)(2) withdrawals for conservation system units. During its seven years of existence, the Commission maintained a substantial independent staff; its budget averaged \$1.4 million annually. The Commission had been established as a temporary body. Its expiration date was extended once and the Commission was then disbanded in 1979.

Alaska Land Managers Cooperative Task Force

Bridging the gap between the termination of the Land Use Planning Commission in 1979 and the organization of the Land Use Council in 1981 was the administratively created Alaska Land Managers Cooperative Task Force. Under the leadership of Secretary of the Interior's Representative in Alaska, the Task Force brought together Federal, State and Native leadership to address issues of common interest. Task Force decisions were made by consensus. Though the Task Force did not have the legislative stature or longevity of the Commission and the Council, it did provide a forum for interagency communication.

Alaska Land Use Council

In 1980, with the passage of ANILCA, Congress created Alaska's next cooperative body, the Alaska Land Use Council. The central mission of the Council is to develop recommendations related to implementation of ANILCA. Like the Commission, the Council was also given a comprehensive planning mandate extending beyond the Federal legislation creating it. The language authorizing the Alaska Land Use Council was drawn from the language authorizing the Federal-State Land Use Planning Commission. Both bodies were empowered to conduct regional land use planning and to make recommendations "to insure that economic development is orderly and planned and is compatible with state and national . . . objectives." Both bodies were charged with improving coordination and resolving conflicts between State, Federal and private landowners.

Congressional decisions that established cooperative planning institutions in ANCSA and ANILCA reflected the nation's recognition of a diversity of conflicting values in Alaska's public lands. Resource development was important, but so also was land conservation and the protection of wilderness. The Final Report of the Joint Federal-State Land Use Planning Commission (May 30, 1979) describes the climate of opinion in which the Commission and its successor, the Alaska Land Use Council, were created:

The nation's approach to Alaska has been markedly different from the often imprudent expansion into the western states. A new land ethic had evolved. Resources would no longer be exploited without thought to resource conservation and environmental protection. Wilderness had been recognized as a scarce national resource meriting protection and preservation. Most lands remaining in the public domain would be retained in public ownership; the days of massive disposals of public land were past. Government policy towards the indigenous residents of the frontier, the American Indian, now sought to foster self-determination, to avoid paternalism. The public interest required that

planning precede and regulations govern significant resource development and land use.

While the Commission's members were mostly private citizens, half appointed by the Secretary of the Interior and half by the Governor, the Council is comprised primarily of agency heads. Both the Commission's and the Council's membership have included two Alaska Native representatives.

The change from public representatives to agency heads reflects the evolution of Alaska land use decisions between 1972 and 1981. The Commission, starting in 1972, was to develop recommendations for new legislation which would allocate land to management systems. The Council, starting in 1981, was not to recommend new law, but rather to help make the existing law work. The primary need was for a forum to bring together State and Federal agency heads and Native representatives to implement ANILCA.

The emphasis on bringing Alaska's primary land managers together has been reflected in the Council's staffing. Unlike the Commission's joint staff, the Council has a much smaller budget and depends heavily on staff detailed from members to accomplish its mission.

Land Use Advisors Committee

Both the Commission and the Council have had a committee of land use advisors to seek a broad spectrum of public opinion on various land use issues. Congress intended that the Council's advisory committee reflect the nation's interest in achieving a balance of opinion in determining land use issues, and the law requires that representation come from both conservation and development interests. A recurring theme in the deliberations of the Land Use Advisors and of the Council itself has been to assure that land use plans, regulations, and policies following from ANILCA reflect ANILCA's special provisions for the administration of conservation system units in Alaska.

APPENDIX I

Non-Legislative Changes

The ANILCA 1201 Report focuses on recommended Congressional action needed to continue the Council into the 1990's. The Council's lengthy deliberations also resulted in additional recommendations for the future organization that do not require Congressional action as part of the Council's re-authorization. They are, however, integral to the consensus design of the new organization and should be viewed in concert with legislative recommendations in the body of this report.

Staffing

ANILCA Section 1201(f)(1) currently provides the authority to "create and abolish employments and positions, including temporary and intermittent employments . . ." Council members agree that the creation of a centralized "small professional staff", dedicated exclusively to the successor organization, will be critical to the successful operation of the modified Council. The Council recommends that such a centralized staff manage day-to-day Council operations, collect and disseminate information to and from the public, and provide coordinative, administrative, and clerical assistance to the Council.

Council members further agree that the central staff should include a full-time Staff Director, hired by the Council, with sufficient stature to perform policy-level activities, including coordination with the offices of the Governor and the affected Secretaries, at the direction of the Council. In addition to supervisory responsibilities, the Staff Director will serve as the primary liaison between the central staff and the Council and articulate Council policy when needed between meetings. The Council further agrees that the Staff Director should be non-partisan; possess strong communication and facilitation skills; and have extensive knowledge of land and resource issues in Alaska. The legislative recommendation for a rotating Chair is specifically tied to the need for a centralized staff and Staff Director to ensure that substantive Council activities are continued between meetings.

In addition, members agree that the Council should continue to be supported by a Staff Committee, composed of one senior staff representative of each member. The Staff Committee would continue to perform its current functions.

Land Use Advisors Committee

Per Section 1201(m)(1) of ANILCA, the Council agrees to establish a 5-9 member Land Use Advisors Committee. Members of this Committee will be appointed through a consensus process by the Council. One representative selected by and from the Committee will sit on the Council. The Council agrees that the purpose of the Committee will be to help facilitate public involvement and input in the activities and deliberations of the Council.

Consensus Decision-Making

The most valuable role of the Alaska Land Use Council's successor organization will be to provide a cooperative/coordinative forum that is used to exchange information and ideas, discuss mutual problems, and pursue cooperative solutions to land and resource management issues. To accomplish the latter task, the Council believes that creative and constructive issue resolution methods should be used to help solve management problems. Consensus-building provides the best methodology for achieving the greatest positive results.

The Council recognizes that willing participation is essential by member agencies in problem solving. The Council further recognizes that voting is often counter-productive since it tends to foster inflexible positions rather than facilitate compromise and creative solutions. Therefore, the Council recommends that the current voting mechanism (item 5 of the Council's current Operating Procedures) be replaced by the following process:

DECISION-MAKING

Goal Statement:

When developing recommendations, the Council will use a consensus-building process to achieve the highest possible level of support and agreement. At a minimum, the Council will strive for recommendations to which no member will object and that all will uphold and implement. Discussion will continue until (1) issues are resolved or (2) remaining unresolved issues have been fully addressed and each member has developed a full understanding of each other's position and constraints.

A "straw poll" may be used to identify unresolved issues. The Chair or an invited facilitator may ask if there are members who object to a proposed solution, then give each member an opportunity to explain any objections and what it would take to reach a state of non-objection. Responses to such poll should not be offered or considered as final positions.

If Total Consensus Cannot be Achieved:

If agreement cannot be reached despite good faith efforts to fully address conflicting issues and develop an understanding of each other's positions and constraints, the Council will then conclude the consensus-building process and document the results as follows:

- Identify each point of agreement or non-objection
- Identify each unresolved issue or disagreement
- Identify the specific reasons why the remaining issues were not resolved.

This methodology obviates the need for voting since a more meaningful record of agreements and disagreements will be prepared.

ALASKA LAND USE COUNCIL

APPENDIX II.

Council Action adopting the 1201 Report to Congress
November 2, 1989

IT WAS MOVED BY MR. KELSO, AND SECONDED BY MR. COLLINSWORTH, THAT THE COUNCIL APPROVE AND ADOPT THE CONSENSUS REPORT PREPARED BY THE STAFF COMMITTEE, INCLUDING APPENDIX I, AND THE RECOMMENDATIONS ENTITLED "CONSENSUS DECISION-MAKING". The motion passed on a roll call vote of 12 to 1, as follows:

Mr. Robert Grogan State Cochairman Designee, Alaska Land Use Council.....	YES
Ms. Lennie Gorsuch Commissioner, Department of Natural Resources.....	YES
Mr. Don Collinsworth Commissioner, Department of Fish and Game.....	YES
Mr. Mark Hickey Commissioner, Dept. of Transportation & Public Facilities...	YES
Mr. Dennis Kelso Commissioner, Dept. of Environmental Conservation.....	YES
Ms. Janie Leask President, Alaska Federation of Natives.....	YES
Mr. Roy Ewan President, AHTNA, Inc.....	ABSENT
Mr. Curt McVee Federal Cochairman, Alaska Land Use Council.....	NO
Mr. Michael Barton Regional Forester, USDA Forest Service.....	YES
Mr. Frank Cunningham Regional Administrator, Federal Aviation Administration....	YES
Mr. Donald D'Onofrio NOS Coordinator, National Oceanic & Atmospheric Admin.....	YES
Mr. David Ames Acting Regional Director, National Park Service.....	YES
Mr. Les Rosenkrance Acting State Director, Bureau of Land Management.....	YES
Mr. Walter Stieglitz Regional Director, U.S. Fish & Wildlife Service.....	YES

APPENDIX III.

Options for Future Cooperative Management
in Alaska

a report to the
Alaska Land Use Council

as part of a study entitled
Options for Federal/State Cooperation in Alaska

FINAL REPORT

submitted by

Barry Lawson Associates, Inc.
Concord, Massachusetts

March 1989

FINAL REPORT**Options for Future Cooperative Management in Alaska****Table of Contents**

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Acknowledgments

This report reflects the invaluable contributions of many people whose energy and enthusiasm for the project made the work seem like pleasure. Special thanks to all of the thoughtful people who took time to respond to the survey and especially to the interviewees who gave patiently and freely of their time and ideas during hours of interviewing.

The guidance provided by the Special Joint Subcommittee and input from other members of both the Alaska Land Use Council and the Council's Land Use Advisors Committee was timely, beneficial, and much appreciated. Individual contributions by Curt McVee, Robert Senner, John Rense and David Dorris must be specifically mentioned.

Appreciation also goes to Ed Busch and Bill Nothdurft who, in Anchorage and Washington D.C. respectively, conducted interviews, provided insight and suggestion, and prepared and reviewed sections of this report. Lynne Newman also participated in many of the interviews, summarized major conclusions, and edited this report. Other staff members of Barry Lawson Associates also deserve considerable credit for producing and distributing the survey, organizing and analyzing survey returns.

Finally, the text of this report to the Council is the responsibility of Barry R. Lawson. Errors of fact or omission fall on his shoulders.

Introduction - How the Report Was Prepared

This is the second report of the project entitled Options for Federal/State Cooperation in Alaska prepared by Barry Lawson Associates and sponsored by the Alaska Land Use Council (ALUC). The first report entitled Alaska Survey Report represented an amalgamation of findings and conclusions drawn from a survey questionnaire distributed to selected Alaskan decisionmakers and knowledgeable observers in the field of land management. Many of the findings from the survey were helpful in conducting the interviews and the research upon which this report is largely based.

In the compilation of this report, the Barry Lawson Associates Team for this project has examined hundreds of pages of material on the Alaska Land Use Council, on other current and predecessor organizations, and on other cooperative interagency experiments around the nation in the past three decades. In addition, we analyzed nearly 120 responses to the survey questionnaire distributed at the beginning of the project as well as pages of notes and tape recordings from nearly 40 interviews with decisionmakers and knowledgeable observers from Anchorage, Juneau and Washington D.C.

This report in draft form provided the basis for a workshop and presentation sponsored by the ALUC and the Alaska Federation of Natives in March 1989. At the workshop, members of the Alaska Land Use Council and its Land Use Advisors Committee discussed the findings of the report and focused their attention on the process of selecting an option for interagency cooperation on land use management in the future. This process is significant not only because of the many issues which have been identified as requiring attention, but also because the ALUC is obliged to submit to Congress, at the end of 1989, its recommendations concerning the Council's future. The principal options for this future are: termination of the ALUC without replacement; extension with or without modification; or replacement by a successor entity.

This report explores the factors and suggests criteria on which a decision will ultimately rest, and it portrays four options for Council consideration. The final chapter summarizes the conclusions of the workshop.

I. Interagency Cooperation in Land and Resource Management

The Promise

The recent history of American governance is replete with institutions designed to improve coordination – both between agencies at the same level of government and among different levels of government. The more complex the issues driving the need for multi-agency decisions, the more coordination, and its cousin, conflict resolution, have been sought.

There are few issues more complex than the management of public land and related natural resources, and few places in the United States where these management issues are more sharply drawn or more bitterly contested than in Alaska. Even without Alaska's unique political and geographic history, resource management and use decisions are complicated by the growth in the role and influence of federal land managing agencies, the rapid increase in the competence of state and local governments to manage their own affairs, and the multitude of private sector voices all seeking a say in resource use decisions. Toss Alaska's unique status and extraordinary resource wealth into the equation, and the demand for some mechanism for coordinating the principal players and resolving the inevitable conflicts that arise between them becomes urgent. The stakes are so high, and the issues so stubbornly difficult, that it would appear that the question is not *whether* to have a mechanism to help insure cooperation and collaboration, but *what kind* of mechanism would best fit the bill.

And yet, the fundamental question of whether interagency coordination mechanisms work – that is, whether the promise of cooperation can be fulfilled – is worth examining closely. The truth is that the record is far from clear.

The idea behind interagency coordination institutions is simple and seductive: if we could just get all the parties with a stake in an issue to sit down at the table, better decisions would be made. Conflicts would be minimized. Mistakes would be avoided. Democracy would be enhanced because more voices would be heard. Taxpayers' money would be saved.

With the growth of the federal bureaucracy in the nineteen fifties and sixties, and the emergence of state government as a more powerful force in the seventies, state and federal cooperative institutions mushroomed. In addition, as land use management strategies became more sophisticated – encompassing concepts of sustainable yields, integrating foreign policy and international trade considerations, and being shaped, in part, by increasingly complicated regulations – information exchange and mutual understanding became absolute minimums for cooperating management agencies.

Add the interests of local government, private industry and other public interests and the communication channels become more complex. In short, the reasons for expecting governments to cooperate in the land management field as in other areas of mutual interest and potential conflict are compelling.

Most of the organizations created in response to this demand have been regional in scope, crossing many jurisdictional lines, and several were responsible for addressing resource management problems. Among others, these organizations included:

- **River Basin Commissions** – created under Title II of the Water Resources Planning Act of 1965, RBCs coordinated federal and state water and related land resource planning through a jointly funded federal-state coordinating council headed by a Presidentially-appointed Chairman with a small professional staff. Public sector involvement was provided by advisory boards and public participation components of federally-funded resource planning studies. Several were instrumental in strengthening state planning capacity and ensuring that state interests affected federal decisions. Ultimately, however, statutory limitations on the response options open to federal members, and a general loss of direction (along with an Administration seeking reduced government) hastened their demise in the early 1980s.
- **Regional Economic Development Commissions** – created under Title V of the Public Works and Economic Development Act of 1965, funded through the U.S. Department of Commerce, and composed of a federal chairman with an independent staff and the governors of the region, Regional Commissions were designed to produce comprehensive economic development plans. With fuzzy mandates and a poor organizational structure, they served principally as focal points for mounting unified state campaigns against federal decisions that governors felt jeopardized the region's interests, and as the vehicle by which millions of federal economic development dollars were apportioned. Most Title V Commissions vanished as soon as federal development funds were cut, though remnants exist as governors' conferences in a few regions.
- **Compact Commissions** – used extensively on narrowly-defined multi-agency resource management problems where a formal "contract" between state and federal entities makes sense – typically water allocation in large river basins, flood control, and other tightly circumscribed management situations.
- **Federal Regional Councils** – created by the Office of Management and Budget in the late 1960s as part of an effort to regionalize the delivery of federal services, FRCs were councils of regional directors of federal agencies

designed to improve the coordination of grant-making and resolve conflicts among federal agencies in the field. In fact, they functioned ineffectively from the start. Agencies yielded little or no power to their regional directors, their staffing was "detailed" and thus ephemeral, the councils avoided conflicts rather than resolving them, and there is little evidence that state and local governments – which were not represented on the councils – actually experienced an improvement in grants coordination.

In addition to these principal interagency institutions (and place-specific variants of them like the Tennessee Valley Authority and the Appalachian Regional Commission) there are innumerable informal and purely voluntary arrangements among agencies and between federal and state government entities designed to serve specific purposes, generally over limited periods of time.

The Reality

Ironically, some of the reasons why interagency cooperative bodies make good sense are often the very same reasons why they do not work well, and why frustration discourages the dialogue and mutual commitment to cooperative management. Coordinating agencies often avoid conflict, fail to resolve conflicts they cannot avoid, and are either largely inactive or active only on issues of marginal concern to the most powerful members.

There are many barriers to effectiveness: the basic statutory obligations of federal agencies often conflict in on-the-ground situations, both with each other and with their state counterparts. Agencies protect their prerogatives and local coordinating entities seldom can act as an effective counterforce to headquarters decisions or policies. The resources for coordination often fail to measure up to the rhetoric for coordination; staff resources are seldom provided. And partisan politics can sour even the most ideal federal-state operational structure. Moreover, to the extent that they add another layer of decisionmaking – and thus potential conflict creation – coordinating institutions may actually complicate matters, rather than simplify them.

Can the promise of interagency cooperation never be fulfilled? In the Brookings Institution's comprehensive examination of the issue, Between State and Nation - Regional Organizations of the U.S., published in 1974, author Martha Derthick suggests otherwise, but puts strict conditions on success, in words that seem particularly relevant to Alaska:

"The distinctive virtue of [such] organizations is that they are suited to respond to particular needs or problems . . . peculiar to an area as a natural or social or economic unit." (page 229)

She also describes the conditions that must exist if the organization is to be effective:

"Pragmatism is the best policy. . . To win the fight for existence and a significant share of public functions [a federal-state organization] must have extraordinary constituency support or extraordinary means of self-support. These conditions can be met, if at all, only in very special circumstances, when there is a fortuitous coming together of opportunity, leadership, and political backing so that it becomes possible to go against the institutional grain." (page 226)

Derthick concluded that personality of leadership can be a most significant factor in determining whether a cooperative interagency group will be successful.

Principles for Success

Our review of the history of federal-state coordinating and conflict resolution organizations suggests that the key questions that will determine the effectiveness of such institutions are:

- **mission statement** - is it clear, concisely articulated and pragmatic, given the conditions that pertain?
- **agenda** - do the participants see the issues as significant and capable of being addressed?
- **timeliness** - will cooperative efforts to address the issues permit member agencies to meet their individual responsibilities in an efficient and timely manner?
- **financial resources** - is the work of the organization supported by adequate funds and staff?
- **group dynamics** - is there a spirit of collegiality and a willingness and capability to compromise among members and leaders?
- **commitment** - do the participants not only embrace the process of cooperation and consensus-building but follow through in implementation? and
- **impact** - what substantive difference will the cooperative problems-solving make that would otherwise be impossible to achieve?

These questions help us both to understand the history and performance of the Alaska Land Use Council and evaluate what kind of institution, if any, should succeed the Council in 1990.

II. Cooperative Decisionmaking in Alaska

Background

The management, use, and ultimate disposition of federal lands in the western states has a long history of conflict among jurisdictions, struggles among differing interests, shifts in government policy, outright chicanery, and -- occasionally -- cooperation and collaboration. Alaska's experience is probably no different in this regard.

What makes Alaska different is the scale of these issues, the enormity of the stakes involved, and the fact that the debate is a current one, not something half-buried in the rapidly shifting sands of American history. Moreover, there is a preponderance of state and federal ownership of land; and Alaska Natives, with an ownership of nearly 44 million acres -- much of it river and coastlines -- are a major factor in regional land use decisions. The massive redistribution of land -- and thus wealth -- brought about by the Alaska Statehood Act, the Alaska Native Claims Settlement Act, and the Alaska National Interest Lands Conservation Act, while nearly complete in a geographic sense, continues today through myriad on-the-ground decisions made daily by those with land management decisionmaking authority within the state, especially the federal land managing agencies, their state counterparts, the Alaska native corporations, and others who want to use the land.

There have been many efforts over the years to bring a degree of cooperation and coordination to those decisions, from the early Federal Field Committee for Development Planning in Alaska, to the more recent Federal-State Land Use Planning Commission, to the present Alaska Land Use Council. And while these entities from time to time have been able to shape legislation affecting Alaska lands, for the most part their job has been to respond to such legislation -- attempting to define or direct policy and coordinate its implementation, through communication, mutual assurances, commitments and guarantees, and negotiations.

Several forces influence the shape of these land use and disposition decisions, including the planning and implementation schedules of the dominant federal agencies, the state's sovereign concerns, the needs and rights of Alaskan natives, and the divergent objectives of those who wish to use the state's resources: oil, gas, mining, forest products, fishing, tourism, and real estate industries and those concerned about protection of Alaska's natural environment and the preservation of its most pristine wilderness values. Billions of dollars and priceless assets ride on decisions made by the Congress; but whether or not all parties have accepted the allocations, many of the major allocations have been made. The remaining controversies revolve around locations where such competing values as mineral resources

development and wilderness must be weighed by the federal and state implementing agencies operating in Alaska. Consequently, the decibel level of the debate on these controversies is high.

For Alaska and Alaskans, the principal challenge of the last two decades and a half has been finding ways of rationalizing intermixed land ownership patterns, resolving conflicting claims to land and resources, and asserting its own interests in the face of the extraordinary power of the federal agencies. Throughout this period, the parties involved have sought some effective mechanism for arriving at cooperative decisions. For example, the mission of the Alaska Land Use Council's predecessor organization, the Federal-State Land Use Planning Commission, was:

"... To insure that the economic growth of Alaska is orderly and compatible with maintenance and enhancement of environmental values and the economic and social well-being of the State's residents; and to plan for the wisest use of Alaska's land, and to seek ways to *avoid* (italics added) conflicts between the state, the federal government, and Alaska Natives over selection, use and management of lands, to improve coordination between the state and federal governments, and to recommend changes in laws, policies, and programs affecting land use management in Alaska." (Federal-State Institutions for Cooperative Planning and Management, Federal-State Land Use Planning Commission for Alaska, 1979; page 17).

Change the word *avoid* to *reduce* or possibly *resolve*, and this mission statement remains remarkably apt even for today.

As it became clear that cooperation was not enough, as reported in a 1975 Commission report entitled Agenda for State Lands, the Commission began to seek joint land use planning and management by the major landowners, arguing that "sound planning for land use under any one separate ownership cannot proceed in isolation from land planning by other major owners." (from "Part One - State Land Policy Recommendations" adopted by the Commission, 1975) The Commission also noted:

"... the lack of coordinated and interdependent national policies for development obfuscates land use planning. The federal government should seek to resolve such policies to achieve a more coordinated approach to economic and social development within an ethic of environmental protection and energy conservation." (Federal-State Institutions for Cooperative Planning and Management, page 45)

Although the Commission facilitated the redistribution of land ownership in Alaska, there is little evidence that any of the key players were willing or able to relinquish sufficient authority to make the hope of a "more coordinated approach" a reality. Consequently, the state's position began to harden as the 1980s began. The Alaska Statehood Commission, created by the state legislature and prompted by a statewide referendum, prepared a 1981 report entitled More Perfect Union: A Preliminary Report, in which it was stated:

"If Alaska wants to protect its resources, its revenues, and its prerogatives, the state government must vigorously defend against federal encroachments." (page 34)

By 1983, the Statehood Commission, in its A Plan for Action, called for Alaska to "vigorously police federal implementation of the Statehood Act," and charged that:

"The complicated patterns of land ownership and the speed with which some lands are being transferred from the federal government to other owners inevitably give rise to problems of arranging for or planning for rights of way and of preserving traditional means of access." (pages 26-27)

In theory, at least, addressing these kinds of concerns was one of the explicit tasks of the Alaska Land Use Council, which had been in existence for more than two years by 1983. That the Statehood Commission felt it necessary to warn against federal encroachments and call for a dispute-resolving entity, suggests that the Federal-State Land Use Planning Commission had not addressed or resolved the issues most crucial to the state and that perhaps, by 1983, some state officials already felt the Alaska Land Use Council would be unable to serve the same role with respect to land-related issues.

The Alaska Land Use Council

The Alaska Land Use Council, created under Title XII of ANILCA in 1980, was designed to institutionalize communication between the most significant land management entities operating in the state, resolve conflicts among them, and serve as a reservoir of knowledge and information from which to make recommendations on resource issues. As a consequence, its membership was high-level: a Presidentially-appointed federal co-chair, the Governor as state co-chair, and the membership composed of the state directors of key federal agencies, the commissioners of the state agencies, and representatives from the native community.

Specifically, in ANILCA's Title XII, the Council was given the following functions:

- to conduct studies and advise on ongoing, planned, and proposed land and resource uses including transportation planning, land use designation, fish and wildlife management, tourism, agricultural development, coastal zone management, preservation of cultural and historical resources, etc.;
- to make recommendations on proposed federal and state regulations related to ANILCA and on management studies required by the Act;
- to recommend ways to improve coordination and consultation between state and federal governments on activities which appear to require statewide or regional coordination;
- to recommend changes in laws, policies and programs relating to publicly owned land and resources;
- to make recommendations with respect to inventorying, planning, classifying, managing and using federal and state lands, and to provide assistance on same to Native corporations upon their request;
- to recommend modifications in existing withdrawals of federal and state lands;
- to recommend programs and budgets of federal and state agencies responsible for administration of lands;
- to recommend land exchanges;
- to recommend cooperative planning zones; and others.

In short, the Alaska Land Use Council's charter was exceptionally broad, extending even into budgets of state and federal agencies.

By all accounts, the Council functioned relatively effectively for its first two years. However, the sharply contrasting positions of the elected Democratic governor and the appointed Republican federal co-chair, and the resulting differences on the direction to be taken in one of the Council's principal activities – the Bristol Bay Cooperative Management Plan – represented a turning point in the relationship between the state members of the Council and the federal co-chair - which colored all subsequent Council activities and has yet to be removed. The individuals interviewed for this report agreed regardless of their political affiliation, that the Council's effectiveness declined from this point on.

This is not to say that the Alaska Land Use Council accomplished nothing after the confrontation over Bristol Bay. The Council's annual reports describe a wide range of activities undertaken by the Council Staff Committee's project and study groups, ANILCA implementation details addressed by the Council, policy statements approved by the Council, federal management plans endorsed by the Council, and so forth. Moreover, the

Council provides an important forum for the native community to work with state and federal agency leaders on issues of importance to them.

Despite the accomplishments, and despite a majority view that there is a need for some kind of federal-state institution to coordinate implementation of ANILCA and resolve implementation conflicts, almost no one interviewed for this study recommended continuing the Council in its current form when its existing authorization expires in 1990.

There are both substantive and organizational or procedural reasons given to explain why the Council is believed to have failed to achieve its mission. As might be expected for any multiple purpose, conflict-resolving organization, there are criticisms – roughly equal in number – that the Council is either too development-oriented or too preservation-oriented. However, the principal substantive criticism, restated in a number of ways, is essentially that the Council chose to focus too much of its attention on issues over which it had no real hope to influence – particularly issues seen as more appropriately resolved by Congress in Washington, such as OCS lease sales, wilderness designations, and major land disposition policy decisions (e.g., regarding the Arctic National Wildlife Refuge). Many such issues are polarized at the outset and national environmental and industry organizations are deeply involved in Congressional decisions on them.

Had the Council left such "cosmic" issues to Congress and focused its attention on what might best be described as day-to-day, on-the-ground management, permitting, and administrative issues (like Park Service hunting regulations in Preserves), interviewees say, the Council would have been more successful; and would have provided valuable coordinating and problem-solving services. Indeed, to the extent that the Council has provided these services, the quality has been judged to be high and the results have been generally successful and appreciated. However, the majority of these small-scale issues are either resolved through bi-lateral negotiations between or among state and federal agencies, or are appealed directly to federal agency headquarters in Washington or to the Congress. Congressional staff complain of being "deluged" by minor complaints they feel ought to be resolved in Alaska by the Council.

The Council has also failed to implement aggressively the information transfer, media outreach, public review and comment, and related public participation activities called for in the act. Section 1201 (m)(2) of ANILCA specifically calls for:

" . . . (A) The identification of persons and communities, in rural and urban Alaska, who or which may be directly affected by . . . (Council actions). . . and (B) guidelines for, and implementation of, a system for effective public participation. . . "

These provisions have only been implemented intermittently through a system of forums that the Land Use Advisors Committee has sponsored throughout Alaska.

Otherwise, the Council has consistently maintained a low profile around Alaska. There has been little information about or opportunities to participate in Council activities provided to a public broader than the limited number of interests serving on the Council's Committee.

Most of the reasons given for the generally poor marks of the Council as a whole by interviewees are, in fact, organizational and procedural, rather than substantive; and in this regard they echo the findings in the Brookings Institution study of federal-state institutions. These problems include:

- a mismatch between the two co-chairs -- that is, a state co-chair who, as Governor, can commit state members to carry out Council decisions but who can offer the Council very little time, and a federal co-chair who is full-time but cannot commit federal member agencies in Alaska or in Washington, despite Presidentially-appointed status;
- failure to develop a mutual understanding and appreciation of the different mandates of agencies represented on the Council;
- a system of voting on all decisions, which tends to lead to electioneering and the hardening of positions around statutory agency mandates, instead of fostering dialogue, compromise, and consensus;
- actions which dominate meeting agendas but concern only a few members, or which some members see as irrelevant, such as Council "endorsement" of plans or decisions that have already been agreed to by the key parties;
- the nearly complete failure to enforce section 1201 (k) of the Act, which requires any state or federal agency to provide written reasons for failing to abide by a Council decision, therefore permitting agencies to ignore Council recommendations;
- the failure to implement section 1202 of ANILCA providing for federal coordination of the programs and functions of the federal agency members; the coordination group met only once in the Council's history;
- the tendency of the two co-chairs, which for much of the Council's history were from opposing political parties, to respond to all issues brought before the Council principally in political terms; and
- a statutory charter that was probably too broad.

Confusing the task of the Council, both substantively and procedurally, is the existence of alternative, and often pre-existing and/or overlapping

mechanisms for achieving some of the purposes for which the Council was created. One of these groups, for example, is the state-sponsored Citizens Advisory Committee on Federal Areas. Its duties include:

- considering, researching and holding hearings on the consistency with federal law and congressional intent of the management, operation, planning, development and additions to federal management areas in the state, and the impact of federal regulations and management decisions on the people of the state;
- making recommendations concerning these issues to agencies of the state or federal government which manage land in Alaska;
- considering the views, research and reports of other advisory groups in the state; and
- reporting annually to the Governor. (Alaska Statutes, Section 41.37.080)

Moreover, individual state and federal agencies have memoranda of understanding with, hold periodic meetings with, and have other cooperative arrangements with each other, reducing the coordination responsibility of the Council. In addition, the State's Division of Governmental Coordination serves as a collaborative and conflict resolution forum for state agencies -- much as the inactive Federal Coordination Committee called for in ANILCA might have for federal agencies.

Some developments, particularly those such as new large scale mining projects requiring resolution of complex access issues, have occasionally skirted ANILCA and the Council as well by going directly to Congress.

Thus, as a consequence of this multitude of existing or potential coordinating mechanisms and alternative procedures, the path from an issue to the Council is by no means clear or well worn. Moreover, to the extent that these alternative mechanisms are procedurally less complex (e.g., more focused and less subject to partisan politics) than the Council, they may offer attractive routes around the Council entirely.

III. Addressing Alaska's Resource Management Issues in the 1990s

Issues Alaskans See on the Horizon

A January 1989 report entitled Alaska Survey Report, prepared by Barry Lawson Associates, documents the opinions of many Alaskans concerning land and resource management in Alaska in the next decade. These opinions were garnered through responses to a questionnaire distributed to over 400 people in late 1988 and to which nearly 25% of those surveyed responded. No claim can be made that this survey provided a representative sampling of public opinion in Alaska. It was, in fact, a collection of opinions from those on the Council's mailing list. Nearly 50% of the respondents characterized themselves as "resource users", and on many issues there were clear distinctions between those who so characterized themselves and other respondents.

More recent interviews with a sample of important decisionmakers and knowledgeable observers in the state and in Washington D.C. shed additional light on the anticipated resource management issues of the next decade. The five key questions addressed in the survey and interviews were:

- the issues which are expected to dominate the agendas of land and resource managers;
- the advisability of continuing some form of interagency cooperative effort to address some of these issues;
- the functions that such an organization should serve;
- the interest groups and agencies that should be represented on such a group; and
- a variety of such related concerns as to whom an interagency group should report.

None of the respondents is under the illusion that the thorny intergovernmental resource management issues that have characterized the past decade will evaporate as we enter the next one. Determining rights and routes of access, pursuing state and native selections, and assuring coordinated land management plans and practices, were just a few of the issues "resource users" – primarily miners, hunters, natives, oil and gas industry representatives – expect to have to address in the coming years.

Over 60 percent of resource users surveyed indicated that such issues as obtaining access to public lands, being prohibited from certain lands because of land use classifications, and coping with inconsistent or conflicting management practices were major problems that will have to be addressed. Over 45% of this group (and over 40% of the non-resource user groups) indicated that uncertainty over land ownership and obtaining federal and state permits were also major problems. [Note: Unfortunately, the survey did

not differentiate between federal and state permit procedures. It is the consultant team's understanding that improvements have recently been made in state procedures and that linkages between state and federal procedures are currently being addressed.]

It is clear that most Alaskans see day-to-day land management issues as the kind of problems that will dominate the future. Many respondents, especially those interviewed personally, concede that many of the sweeping policy issues raised by recent Alaska lands legislation have been, or are in the process of being, resolved. According to respondents, still on the horizon are:

- the development of Arctic National Wildlife Refuge,
- Tongass National Forest management reforms,
- oil and gas leasing,
- subsistence protection and native sovereignty,
- Revised Statute 2477 and resolving right-of-way uncertainties,
- land ownership boundary adjustments and exchanges,
- revision of state and federal mining laws, and
- improvements in state and federal government coordination.

With respect to improvements in state and federal government coordination, while considerable cooperative efforts have been underway between and among many agencies and interest groups, there is still a perception that improvements need to be made. Some of the other issues are currently being addressed by Congress. It should also be noted that these were issues identified as facing Alaska and are not necessarily those that respondents believe should be addressed by a successor to the ALUC.

Please refer to the Alaska Survey Report, Appendix Two for a complete list of individual survey respondents' "major problems for the 1990s".

How Alaskans Think These Issues Should be Handled

Given the widespread criticism of the Alaska Land Use Council, the preferred mechanism for addressing these and other issues in the future is somewhat surprising: over 80% of the survey respondents and many (not all) of the interviewees support some kind of cooperative interagency organization. More than half of the survey respondents, but relatively few of the interviewees, favored some form of representation for resource users on any such organization. (It should be noted again that a disproportionate share of the survey respondents were "resource users".) Support for a group composed in a similar fashion to the existing ALUC was expressed by survey respondents, i.e., a group composed principally of federal, state and private and/or native representatives. Many respondents to the survey believed that the resource industry and other economic interests should also be

represented. Fifty-nine percent of the respondents identifying with the federal government, for instance, supported the idea of representation from the resource industries.

The survey respondents also ranked the kind of functions such an organization should serve. The four functions on which there was wide agreement included:

- fostering cooperative land management;
- improving agency response to public input;
- developing coordinated land and resource management plans; and
- resolving interagency/interest group conflicts.

Non-resource user respondents added information exchange and dialogue and public education and participation to the priority list. Not surprisingly, the resource user respondents chose the promotion of state economic growth and facilitation of legal land use and permitting as additional important functions.

A Few Baseline Requirements

Whether or not some kind of federal-state coordinating body succeeds the Council in 1990, survey respondents and interviewees have a reasonably clear set of, in effect, "baseline requirements" for how the problems they see on the horizon will have to be handled. They include:

- **recognition of the inherent dichotomy between federal and state interests** and the differing mandates of government agencies;
- **leadership characterized by empathy for differing perceptions and concerns;** a conciliatory rather than polarizing attitude, skill at negotiating and achieving consensus, and an awareness of when an issue should be bumped to a higher level of government (e.g., legislature, Cabinet, Congress or the courts);
- **open and regular communication** among various interested parties as a minimum condition for effective and responsible management in the 1990s;
- **a willingness to work within the framework established by ANILCA;**
- **knowledge of resource management techniques** at a level of sophistication and geographic specificity much finer than has been the case in the past – the issues will be smaller, more local, and will focus on land managers;
- **public participation** incorporating a broad range of techniques to be effective;

- a balance between the competing demands of environmental preservation and economic development;
- sufficient political leverage for Alaska natives to balance the powers held by state and federal government entities;
- recognition that cooperative management cannot threaten federal and state agency mandates which are difficult to modify without Congressional or state legislative action;
- understanding that the more issues that can be resolved within Alaska by Alaskans, the better the decisions are likely to be.

IV. Options for Coordinating Land Management

The surveys and interviews conducted in this study underscore two fundamental points about future coordination of federal, state and native lands decisions. First, while a majority of those contacted favor some kind of continuing interagency body, this option is by no means unanimous. A thoughtful and serious minority believes that permitting the Council to "sunset" in 1990 is a reasonable option. Second, among those who believe some kind of coordinating body should exist, practically no one would simply reauthorize the existing Council without alteration in either substance or form.

Thus, the status quo is not an option. In addition to the alternative of permitting the Alaskan Land Use Council to pass out of existence, there are three options -- variations on the theme of interagency coordination -- that resemble the current institution in varying degrees from closely to only slightly.

This conclusion is not only an indictment of the Council but also a recognition that the conditions for coordination have changed since the beginning of the decade. Many of the most pressing "cosmic" policy issues raised by ANILCA have been, or are, in the final stages of being resolved in the Congress. These national interests clearly reflect that people throughout the nation have permanent ownership and interest in much of Alaska, and that federal management must reflect national interests, including, of course, Alaskan interests. The most pressing questions are not what designation Alaskan lands will receive, but how lands under various designations are to be managed and how conflicts in their management and use will be resolved. Less dramatic perhaps in a national sense, these issues are nonetheless of paramount importance to Alaskans. They define not simply how the land and its resources will be used but also, in a sense, what it means to be an Alaskan.

In the pages that follow, we explore four alternatives to the existing Council -- alternatives that evolved from the surveys and interviews conducted during this study, not from some theoretical institutional analysis. A chart displays the salient differences in these options under twelve headings: mission, issues, functions, powers, decisionmaking process, membership, leadership, staffing, funding, reporting, public outreach, and enabling legislation. The options presented are composites; the characteristics under each of these headings could be combined or eliminated altogether, as appropriate.

OPTIONS FOR INTER-AGENCY COORDINATION IN ALASKA

	OPTION I	OPTION II	OPTION III	OPTION IV
Characteristics	Terminate ALUC - No Formal Replacement	Reauthorize ALUC with Narrower Mandate	Replace ALUC with Authoritative Body	Create a Prestigious "Think-Tank " on Alaska Issues
Mission		Consideration and cooperative response to ANILCA issues	Resolution of ANILCA issues and enforcement of decisions	Consider broad range of land/resource manage- ment issues in Alaska A "think-tank" to address 3-4 general issues/yr. Could go beyond strictly ANILCA issues
Issues	Dependent on priorities of individual agencies	Selected ANILCA issues to be addressed in Alaska, not in Washington, DC	Limited no. of ANILCA issues for resolution in Alaska, not in Washington, DC	Broader issues of the state, including those that may be resolved in and outside of Alaska
Functions		Neutral, non-partisan prof. tech. advice Information exchange Assist in cooperative land mgmt. Agency response to public input Public education	Direct participation in planning/Implement Information exchange Cooperative land mgmt. Develop coordinated plans Review agencies' actions Public education	Information exchange Cooperative land mgmt. Fact-finding and analysis Public education and participation forums
Power		Seek cooperative decisions and implementation by consensus among participants	Actions and decisions as MOUs or other committing action when decisions reached by agreesing parties	Advice, guidance and fact-finding reports Power of a good idea, and of sound analysis

	OPTION I	OPTION II	OPTION III	OPTION IV
Characteristics	Terminate ALUC - No Formal Replacement	Reauthorize ALUC with Narrower Mandate	Replace ALUC with Authoritative Body	Create a Prestigious "Think-Tank " on Alaska Issues
Decisionmaking	Decentralized, use of MOUs State Coordination Federal Coordination	Consensus where possible De-emphasize voting	Conflict resolution, by consensus where possible, but by vote and majority decision where necessary MOUs and other formal actions, perhaps with penalties, incentives	Advisory only No voting on policy matters "Scientific-based", neutral analysis of policy options
Membership		Current plus possibly COE, EPA and State DCED. Draw in other agencies if issue(s) relevant Possibly, four outside interests appointed by Governor (2) and President (2)	Land mgmt. agencies primarily, but others depending on issues addressed DNR, F-G, DOT, FE, DGC BLM, NPS, FWS, FS Native	All agencies and interest groups on voluntary basis "Respected" Alaskans Mandated participation of DNR, F-G, DOT, FE, DGC BLM, NPS, FWS, FS Native
Leadership	Fed. Coordination through DOI, FS State Coordination through DGC	Full-time state and federal co-chairs or Annual rotation of chair between state and fed. agencies	State co-chair (approved by Gov. in coop. w/ AK natives) and Federal co-chair (from Fed. Coord. Committee (approved by President) and Executive director of staff skilled in mediation	Executive director and Formal chair elected from among group members
Staffing	Individual agency staffs	Participating agencies plus small paid staff	Full-time professional central staff incl. exec. dir., pub. info. officer, and 1-2 professionals with appropriate expertise supplemented by agen- cies' staff plus decision- makers on task forces	Central staff, with small voluntary working groups for selected issues

	OPTION I	OPTION II	OPTION III	OPTION IV
Characteristics	Terminate ALJUC - No Formal Replacement	Reauthorize ALJUC with Narrower Mandate	Replace ALJUC with Authoritative Body	Create a Prestigious "Think-Tank " on Alaska Issues
Funding	None	Mandatory cash and in- kind contributions from participating agencies	Mandatory Contributions from participating agencies	Membership fees from voluntary participants Mandatory contrib. from state and fed. agencies Possible grants from outside foundations, others
Reporting	None	To Governor, Cabinet Secretaries, and Native community	To Governor and Chair- person of federal coordinating committee	To Governor and President, Congress, State Legislature and Alaska native interests To others whom it may concern
Public Outreach	Dependent on agency outreach Each agency may comment during other agencies' hearings/comment periods	Land Use Advisors Comm. supplemented by coordinated participating agency outreach on ALJUC matters Staff person for public outreach	Task forces recruited for particular issues Public information and media outreach by pub. info officer/staff Public hearings on major decisions by individual agencies	Public forums, media outreach and published reports No LUAC or advisory committees
Enabling Legislation		Relevant federal modifi- cations; state legislation optional	Specific state and federal legislation	Specific state and federal legislation

Option I: Terminate the Alaska Land Use Council - No Formal Replacement

This option calls for the termination of the Alaska Land Use Council on or before the date provided in the ANILCA legislation, and would not see the replacement of the Council by any specific successor entity. Proponents of this option are not simply disgruntled with the existing institution. Instead they believe either that the purposes for which the Council was created have been served (or have expired), or that future decisions can be handled effectively by agencies coordinating their actions without the involvement of an intermediary institution – or both.

The heart of the argument is the conviction that most or all of the major policy decisions precipitated by ANILCA have been resolved and that, in any event, the Alaska Land Use Council proved itself either unwilling or unable to deal forthrightly with those issues when they did arise – in short, that the Council has been irrelevant on the major land management issues facing Alaska.

Some proponents of this option point out that since the major decisions regarding land allocation in Alaska have been made, implementation of these decisions would best be carried out by the valuable process of checks and balances represented by our normal federal/state government system. Some proponents argue that consensus-building among agencies weakens the real positions of these agencies, which could endanger the democratic system of checks and balances. Instead of a jointly constituted federal/state body, it is argued, the federal agencies should cooperate internally and state agencies should do likewise, and if there be a need for cooperation between these two, the separate entities should consult each other.

Other proponents of this option cite many memoranda of understanding developed from one-on-one relationships between agencies of state and federal government, and several examples of cooperation achieved among groups without the Council's assistance.

The termination of a formal cooperative effort could be an important cooling-off period, providing time to find out just what the agencies and other existing groups can do on their own. Moreover, there would be savings in cost and time - savings which could be redirected to other, possibly more effective, methods of land and resource management.

Opponents of the termination option argue that the ineffectiveness of the Council in the past has demonstrated only too clearly how poorly interagency MOUs have worked and how resistant to public input the agencies have been when they go around the Council. If these interagency checks and balances work, they ask, why has the Congressional delegation been deluged with local management conflicts that should have been resolved within Alaska?

Moreover, how would the vital interests of the Alaska natives be assured without a forum in which they could face state and federal agency managers directly?

Option II: Reauthorize the Alaska Land Use Council With A Narrower, Consensus-Seeking Mandate

Many people surveyed or interviewed believe the Council could be an effective coordinating body were it not for the facts that its mandate is too broad, its focus too diffuse, and its operating procedures too rigid. It is less effective than it might be, they explain, because its creators aspired to too much and neglected the lessons of the history of other federal-state coordinating bodies. In short, it has been ineffective, they say, not because it was weak, but because — on paper, at least, — too strong.

In the most general terms, this option foresees a Council that focuses principally on local management conflicts and that seeks consensus — negotiating practical solutions to knotty problems that agencies working individually cannot resolve. In addition, such a body would seek to help shape studies, plans, and programs at their outset to minimize foreseeable conflicts, rather than be expected to vote up or down the results of such studies, plans or programs after they are completed. It would steer clear of "cosmic" issues that are more properly the purview of the Congress. Like the most successful river basin commissions of the 1970s, the Council would seek to strengthen the weakest members (the state and the natives) and balance their needs with those of the stronger federal members. Moreover, it would seek co-chairs of equal rank and status.

Specifically, its mission would be to continue to facilitate the implementation of ANILCA. The issues it would focus upon would be those which, for the most part, were capable of being resolved in Alaska. Its functions, though focused more narrowly, would center on providing neutral, non-partisan professional technical advice on land management issues. Other supporting functions would be similar to those of the current Council: information exchange, assistance in cooperation in land management, facilitating agency response to public input, and improving public education on the issues. It would explicitly not have such questionable functions as agency budget oversight or seek to determine the course of national issues.

Its powers would be to pursue consensus through studies, open discussion, and negotiation among participants on implementation issues; and its decisionmaking mechanism would be consensus, not voting. Its membership would be the same as that of the current Council, with additional non-land managing agencies (such as the Corps of Engineers, EPA, or the Alaska Department of Commerce and Economic Development) mandated to participate as adjunct members when appropriate to specific issues. In addition, four "at large" private sector members might be added, two appointed by the Governor and two by the President.

Its leadership would consist of a full-time Presidentially-appointed federal co-chair (who reports to the President through the White House Domestic Policy Office) and a full-time gubernatorially-appointed state co-chair who reports directly to the Governor and can speak for the Governor. Alternatively, the chair could rotate annually between each of these individuals or among participating state, federal and native members. The work of this body would be staffed by the participating agencies and guided by a small professional staff reporting directly to the co-chairs. The funding for the work of the body would come jointly from the participating members on both a cash and in-kind basis.

Formal reporting would be to the Governor, the President (through appropriate Cabinet secretaries), and the Alaska Federation of Natives. Public outreach would be assured through a Land Use Advisors Committee and through the public participation mechanism of the members and be coordinated by a member of the Council's professional staff. Meetings of the Council would be held around the state to facilitate public education and outreach. With regard to enabling legislation, the option would probably require modifications to existing federal statutes; comparable state legislation would be desirable but not essential.

In short, this option would seek to redress many of the procedural barriers that frustrate effective operation of the current Council and both clarify and narrow the substantive issues for which the Council is responsible.

Option III: Replace the Council with an Authoritative Body

Some observers are frustrated that the Council has never achieved its potential influence and power. This option would resolve the ineffectiveness of the current Council by giving it "teeth" – that is, by matching the broad scope of its current responsibilities with broad authority to ensure that its decisions are carried out by its members.

The mission of this more powerful body would be not unlike that of the current Council, although it might target its attention each year on the most crucial ANILCA issues for which specific action is required. As in the previous option, the issues this body would address would tend to be those capable of being resolved in Alaska, not in Washington, DC. The functions of this body would be similar to those of the current Council but emphasize direct participation in the planning and implementation of ANILCA. It would go beyond information, dialogue and exchange of views to resolve conflicts, resorting to semi-judicial means if necessary.

Other functions would include: information exchange and dialogue, cooperative land management, the development of coordinated plans, the review of agency work plans and actions, assuring public outreach and participation, and so forth. It would have the power to commit member agencies to specific courses of action, have oversight on agency budgets to assure that resources for actions to which they are committed are available, and possibly be able to penalize members who fail to respond to Council decisions.

Decisionmaking in this body would be by mediation when possible, and formal vote of the members when not, with a formal conflict resolution mechanism built in to assure recourse for minority opinions in advance of final votes. Its membership would be the same as that of the current Council, with additional non-land managing agencies (such as the Corps of Engineers and EPA, or the state Department of Commerce and Economic Development) mandated to participate as adjunct members when appropriate to specific issues.

Its leadership would consist of a federal co-chair elected by the federal agency directors in Alaska (and perhaps approved by the President) and a state co-chair elected by the state commissioners and native corporation members (and perhaps approved by the Governor and the native community). In addition, a full-time Executive Director, serving at the pleasure of the co-chairs, would manage the day-to-day operations of the body, oversee a professional staff, represent the body in Alaska and Washington, and serve as a formal mediator in the case of substantive disputes among members.

The body would receive funding through mandatory contributions from the members. The body would report to the state legislature through the governor, to the Congress through the President, and the native community. Public outreach would be provided through advisory boards established each year and through the public education programs conducted by the professional staff. This option would require specific state and federal enabling legislation.

The fundamental assumption on which this option is based is that issues associated with the implementation of ANILCA are too important to Alaska to be left to the ad hoc actions of state and federal agencies, or to the political vicissitudes of Washington, and that only an interagency body with significant and respected authority can hope to carry out effectively the responsibilities stipulated in ANILCA.

The principal problems associated with this option are the difficulty of recruiting the type of leadership necessary to make this option work effectively, a somewhat higher budget for staff and, more importantly, the implicit requirement that both federal and state agencies subordinate their mandates to the will of the body. Moreover, there is some question as to the legal ramifications of requiring action by statutory agencies that have not voted in favor of such actions.

Option IV: Create a Prestigious "Think Tank" On Alaska Issues

The final option rests on the assumption that the power of a good idea might overcome political partisanship and agency rigidity. It also assumes that (a) most on-the-ground ANILCA implementation will continue to be managed by individual agencies, working alone or in tandem with other federal and state agencies, and be influenced by public opinion through their respective public participation programs; and (b) that many issues will continue to be bumped to Congress or to the courts for ultimate resolution. It argues, in effect, that what Alaska needs most is a non-partisan institution capable of providing the highest caliber professional attention to a selected group of issues each year — in effect, a prestigious "think-tank" through which issues can be determined on the merits. Participation by key parties would be assured, in part, by the fact that they identify the research topics in the first place.

The mission of this institution would be to consider the broad range of issues associated with the implementation of ANILCA, as well as possibly other Alaskan concerns, select a few of the most pressing, and provide impartial analysis of the highest standard. The issues it selects may be those that are capable of being resolved within the state or in Washington D.C., as appropriate. Its principal functions would be fact-finding and analysis, information development and exchange, public education, and informing and thereby influencing coordinated land management.

Its powers are simply to provide advice and guidance to implementing agencies — the power of a good idea. It would have no decisionmaking authority; its members would be non-voting and its purpose strictly advisory. Membership would include all the agencies currently on the Alaska Land Use Council, as well as other public and private interests on a voluntary basis. Leadership would be provided by an executive director, recruited by the institution and approved by the governor and President. The members of the institution would elect a chair annually. A professional staff would guide the work of the institution, but it could be augmented by working groups composed of member representatives created to address specific topics.

The work of the institution would be funded by annual fees paid by the mandated membership, as well as by other voluntary members, and might be augmented by such other grants and contributions as the institution may be able to obtain from public and private sources to further its research. One concern would be to ensure that the institution's mission not be adversely affected by funding from interest groups representing only one side of an issue it is considering. It would report to its members, to the legislature through the Governor, to the Congress through the President, to the active community, and to the public at large, annually. Public outreach would be achieved through its published reports, public forums, media outreach and

the like. Specific state and federal enabling legislation would be appropriate to bind agencies to the institution and to assure sufficient funding of its operations.

One of the benefits of this option is that, although federal, state and native membership is mandated, only parties who wished to be involved in addressing specific issues would be involved - meaning that the level of commitment is likely to be higher. Second, because this is the most radical departure from the current Council structure, many disillusioned members may be attracted to it. For some, this option may provide the desired opportunity to discuss and consider without vote or decision. Cooperation on major issues may be easier to get on a volunteer, rather than mandated, basis.

The Alaska Statehood Commission, interestingly enough, in the 1983 More Perfect Union. A Plan for Action, concluded that:

" . . . It would be wise to have in place a *fact-finding and advisory* body that through its presence and proceedings might allow disputes to reach amicable settlement without recourse to long and expensive lawsuits or emotionally rendering political action. The lessons learned through such a body might, in time, suggest pieces of intergovernmental legislation to formalize use of those pathways that lead away from disputes and toward mutual understanding and agreement." (page 27) (Italics added)

On the other hand, there are several risks. First, will sufficient numbers of parties participate, making the volunteer route work effectively? Second, will there be sufficient and reliable funding to provide for the staff and quality of analysis that will be necessary for this group to operate? Will the possibility for dealing with broader Alaska issues result in avoidance of some important ANILCA-related issues?

At its heart, this option assumes that it is not agency coordination that is the problem in Alaska, but the availability of impartial, scientific information on the best management practices and approaches – information that can be embraced by all the parties at interest.

V. Decision Criteria - How To Choose Among Options

There are attractive aspects of each of the four alternatives to all key players in Alaska. The difficult problem is not posing alternatives, but choosing among them. To do so, we need decision criteria on which there is general agreement – criteria that establish, in effect, the boundaries of the possible and the range of the acceptable.

There is no one single point of view about Alaskan natural resource issues. In the option to be presented in the last chapter, and in the criteria which are offered against which to judge and evaluate this option, the interests of various interest groups have been considered. Some options obviously favor some interests. Therefore, the ultimate choice will have to make room for all interests - either directly on the body selected or indirectly through public participation. And, if there is to be no cooperative interagency institution in the future, all interests will be on their own to press their cases as they individually see fit.

From the survey responses and the personal interviews several criteria emerge, though they may not be exhaustive. The choice of an option – or the creation of an additional option from among the parts of those presented – will depend upon the answers to the following questions, at a minimum:

- **how well focused is the mission of the proposed body?**
- **how relevant are the issues the body would address?**
- **how effective is the option likely to be in ensuring cooperative decisionmaking and management?**
- **how does the option fit into the existing fabric of resource decisionmaking in Alaska and Washington D.C.?**
- **to what degree will the major parties commit to participating in each option?**
- **how implementable is the option - what legislative, congressional and other hurdles does it face?**
- **what are the financial costs and is there sufficient support for the option to assure funding?**
- **what are the opportunities for public participation - will the interests of those who participate be reflected accurately and effectively? and**
- **will operating procedures facilitate action with appropriate checks and balances or simply frustration and checkmates?**

In the end, of course, the success of whatever organization follows the current Council will depend less upon the structure than upon the participants in the venture – their good will, their skill in forging agreements, and their vision in mapping a future for Alaska. People, not organizational plans, determine the effectiveness of any institution.

VI. Recommendations for Cooperative Management

On the basis of the draft version of this report (Chapters I through V) submitted to the Alaska Land Use Council by Barry Lawson Associates, a workshop was held in Juneau on March 8, 1989 to consider comments from Council members on the Report and to identify points of agreement and disagreement among participants on various aspects of an interagency coordination mechanism for Alaska. About twenty-five attendees at the workshop included members of the Council as well as members of the Council's Land Use Advisory Committee. About 12 observers were also present. The workshop was convened to provide response to the consultant team so that it could conclude its contractual work by writing this final chapter on recommendations. It was *not* an official meeting of the Alaska Land Use Council.

Barry Lawson of the consultant team served as facilitator for the session, assisted by Ed Busch of Alaska Planning Services and Henry Nichols of Barry Lawson Associates. The consultants first presented a summary of their findings as outlined in the Alaska Survey Report and the Draft Report on Options for Future Cooperative Management in Alaska. Special attention was given to the baseline requirements and principles for success for an interagency organization, the problems frequently identified with the Alaska Land Use Council by survey and interview respondents, and the functions that respondents often mentioned for a future organization. The consultants also presented the basic features and perceived advantages/disadvantages of four options for future coordination and a set of criteria to be considered in evaluating these or other options.

The participants then defined their expectations for the day and a schedule for accomplishing them. The objectives for the session as identified and agreed to by the group, in the order in which they were to be addressed, were to:

- identify and consider the types of issues that a coordinative organization should address;
- discuss the applicability of conflict resolution as a function of a coordinative organization;
- reach consensus on the general direction for the future;
- consider a transition from now until the ALUC terminates which would "test" a new direction in interagency coordination; and
- seek a mutual understanding by members of all agencies' mandates.

Consideration of the role and perspectives of the native community in view of proposed changes in organizational structure was also an expected byproduct of the session.

A record of the proceedings was maintained by the facilitation team, so that could be referred back to during the session. The remainder of this chapter summarizes the major conclusions reached by the group during the workshop, highlighting areas where general tentative agreements were reached as well as those issues on which agreement was not reached. This chapter also includes a description of a revised Option II from the draft repo incorporating many of the agreed upon aspects of a coordination mechanism that the group determined might be an appropriate successor to the current Council. There is also a discussion of an alternative to the federal re-authorization of such a successor, i.e., a Master Memorandum of Understanding among all parties without federal authorization.

Finally, the Lawson Consultant Team offers its own recommendations concerning future coordination among Federal, State and Native interests. Supplemental information on public participation and highlights of comments from the Washington, D.C. interviews conducted for this project can be found in the Appendix B.

Agreements Reached in the Workshop: Functions To be Served by the Organization

The first substantive agreements reached concerned the functions that an interagency coordination organization, if approved, could serve. The group developed the list for consideration from a list of functions identified by respondents to the survey questionnaire; the list of functions authorized for the Council by ANILCA (Title XII); and other functions suggested by workshop attendees. Among these functions were to:

- exchange ideas and improve the flow of information among participants;
- recommend actions to be undertaken by state and federal agencies and others;
- develop consistent policies among agencies (including public input);
- develop mutual understanding of agency interests and statutory mandates;
- foster and encourage cooperative land management plans and implementation;
- provide multi-agency forum for public input;
- provide public education and participation (on general issues as opposed to actual plans);
- promote social well-being, environmental quality and economic growth of Alaska; and
- facilitate cooperation rather than exaggerate differences among participants.

Agreements: Issues To Be Addressed by an Organization

Participants agreed on several issues they felt would fall within the domain of a cooperative organization, if one were to be authorized. In general, it was agreed that the issues to be addressed by an interagency organization should be seen as important to Alaskans and which directly involve the participating entities and can be addressed within the statutory authorities of those entities. Members of the organization must:

- get something useful from participation in the organization;
- be able to do something productive within the organization;
- see the body as positive influence rather than punitive; and
- encourage the organization to anticipate and identify common problems, rather than regulate individual members ("lead dog" vs. "watch dog").

Accordingly, it was assumed that in addressing the following issues, the organization would have flexibility to adjust the membership so as to be able to address specific issues satisfactorily.

The issues unanimously supported in principle include:

- new/revised laws and regulations at the Federal and State level;
- issues relating to objectives for Alaska's future that should be discussed, but not necessarily resolved, by the organization;
- decisions by one land owner/manager/user within the group that affects another owner/manager/user;
- identification of inevitable goal conflicts among individual agencies;
- consider how land management might look in the future;
- generic consideration of the adequacy of agency public involvement for various issues - capability to deal with individual problems effectively - agency response;
- assessment of the general (not project specific) land management-related database inadequacies in Alaska;
- suggestion of initiatives for new programs to be implemented by agencies, particularly multi-agency programs - state and/or federal; and
- review of agency plans.

While the above list of issues was agreed to by all attendees, there were also issues on which there was less than unanimous support. These issues included:

- identification of the discretionary authority that agencies have in implementing respective mandates in Alaska;
- assessment of the socioeconomic impact of land development actions by federal, state and native interests;
- provision of a referral system for persons who have had problems in contacting appropriate agencies for assistance;
- identification and addressing of conflicting or duplicative agency mandates or regulations; and
- consideration of the interrelationships among state and federal comprehensive plans.

Agreements: Issues Not To Be Addressed

Among the issues which participants agreed did *not* fall within the domain of an interagency organization are:

- issues involving only two (or possibly three or four) agencies which might well be addressed through agency-to-agency memoranda of understanding or through other bilateral agreements;
- cases in which a neutral third party would be asked to mediate or provide scientific input to aid in decisionmaking or reaching agreements; and
- issues that can adequately be addressed by other agencies or organizations.

Consideration of the Options

In approaching the various options presented to the Council by the Consultant Team, it was agreed that Option II of the draft report contained most of the features that participants felt should be included in an interagency organization, were one to be approved. It was also agreed that Options III and IV might have specific features which were attractive to the Council and Committee members, and those the participants considered first. Later in the discussion the features identified by individual participants were reconsidered and divided into two groups, those that everyone felt were valuable and those about which there was some disagreement.

Attractive Features of Option III

From Option III, which advocated a strongly authoritative body, the group selected three features for further consideration. The first was to limit the issues for consideration to those which should be resolved in Alaska and not in Washington, D.C. A special addendum to this feature was that the organization could, however, make recommendations to Washington, presumably to both the legislative and executive branches. The second

feature was to reduce the chances of issues ending in legal battles and in court. The third feature was for the organization to focus its attention on concerns of land/resource agencies, but to retain the flexibility to include other agencies as appropriate.

Attractive Features of Option IV

There were several features from Option IV, the "Think-Tank" option, which the workshop participants considered worthy of further consideration in the final option. These included: making provision for the undertaking and consideration of scientifically-based neutral analysis; leaving the way open for the consideration of issues which go beyond ANILCA, if appropriate to the organization; use, when appropriate, of the think-tank concept, particularly in the consideration of a future vision of land management in the State; holding workshops and public forums throughout the state to encourage more people to have exposure to and involvement in the organization's deliberations; emphasis on public education and participation; and the selection of a single chair participating on a part-time basis.

There was some, but not unanimous, support for the hiring of an executive director to serve as a fulltime employee and for the hiring of a small staff to help support the organization. In addition, some attendees saw the desirability of the organization facilitating a more effective integration of the policy makers and the scientific community.

Option II

With the exception of a few features, workshop attendees felt Option II was the most appropriate choice for a future cooperative organization. The unsatisfactory features included limiting consideration to ANILCA issues; provision for voting on most issues; the limited nature of public participation as presented in the option; and the issue of mandatory funding, particularly with a paid staff and full-time co-chairs. State members also favored an alternative method of authorization for the organization which will be discussed later in the chapter, along with other issues yet to be resolved by the attendees.

Having completed this assessment of the options, the group then determined that the Consultant Team should prepare a Revised Option II integrating the salient features identified above. This Revised Option II is presented in chart form in the following pages.

TENTATIVELY RECOMMENDED OPTION FOR INTER-AGENCY COORDINATION IN ALASKA

Characteristics	Revised OPTION II Reestablish ALUC with Narrower Mandate
Mission	Consideration of and cooperative response to ANILCA and other related issues
Issues	Limited number of issues that are appropriately addressed in Alaska and not in Washington, D.C. Recommendations on other issues could be made to Congress or agencies in Washington Issues considered could go beyond the scope of ANILCA Issues related to Alaska's future, reflecting common objectives, visions for the future Decisions by one land manager/owner/user that affect another manager/owner/user Identification of goal conflicts among agencies Consideration of adequacy of public involvement/agency(ies) response on common issues Assessment of general land management database inadequacies in Alaska Initiatives for new programs for agencies Review of agency plans
Functions	Science-based, neutral analysis - non-partisan professional technical advice Information and idea exchange - develop mutual understanding among participants Poster and encourage cooperative land management Provide multi-agency public hearing forum and agency response to public input Provide public education and public involvement opportunities Promote social well-being, environmental quality and economic growth in Alaska Develop consistent land/resource management policies among agencies Recommend actions to be undertaken by state and federal agencies and others Develop mutual understanding of interests and mandates
Power	Seek cooperative decisions and implementation by consensus among participants
Decisionmaking	Seek and reach consensus whenever possible Minimize voting on issues

<u>Characteristics</u>	<u>Revised OPTION II</u> <u>Reestablish ALUC with</u> <u>Narrower Mandate</u>
Membership	Flexible, as appropriate to address specific issues, but generally: State land management agencies (Fish & Game, DNR, DOT/PP and DEC Federal land management agencies (FWS, BLM, NPS and FS) Native community interests (AFN or others) Invite in other agencies (or groups) if relevant for the consideration of particular issues
Leadership	Part-time single chair selected from among the members
Staffing	Participating agencies plus, possibly, a small paid staff Executive director, possibly
Funding	Mandatory cash and in-kind contributions from participating agencies OR Voluntary contributions from those covered by MOUs
Reporting	To Governor, State Legislature, President, Congress, Cabinet Secretaries, and Native community
Public Outreach	Land Use Advisors Committee Supplemental support from participating agencies Staff person to implement public outreach Workshops and public forums held around the State
Enabling Legislation	Federal reauthorization, possibly with modifications; state legislation optional OR Master Memorandum of Understanding among principal state and federal agencies and native community with other memoranda to cover multi-agency agreements reached through consensus

Unresolved Issues

The issues of how an organization would be authorized and the procedures under which it would operate were left unresolved at the March 8 workshop, as topics for further discussion among the participants. While the original Option II presumed authorization by Congress (as a logical follow-up to the existing organization), the state members at the workshop voiced considerable interest in the concept of a so-called Master Memorandum of Understanding, under which multi-party relationships (of various sizes) could be established on a voluntary basis among participating agencies and interest groups. This concept raises some fundamental issues, some of which are given below.

- mandatory versus voluntary participation (with resulting financial implications);
- permanent paid staff versus "detailed" staff drawn from existing agency staffs for specific assignment; and
- direct federal legislative oversight of ANILCA mandates versus Alaska-based agencies' own determination of and oversight on which issues are addressed and by whom.

Other unresolved issues to be addressed include a procedure for selecting/appointing the organization's chairperson; a staff and staff director for the organization; public education and public participation methods; and procedures for setting agendas and running meetings. The resolution of these issues will, in large part, be a reflection of the decision about authorization.

It is assumed that, whichever enabling alternative is chosen for the successor entity, the other elements of the revised Option II outlined in the chart will be features of the entity.

Consultant Team Recommendations

The consultant team began as a neutral observer, devoted to determining credible options for how state, federal, native and other interests should cooperate to improve land management in Alaska. Through this analytical process, we have become convinced that public interest is best served by the continuation of an interagency body whose mission is to address problems which cross any combination of state, federal and native interests or mandates. Furthermore, we feel that each state, federal and native group's constituencies should have some guarantee that a best faith effort is being made to protect and fairly balance their interests with competing ones.

We realize that there are other interagency mechanisms which can and have proved effective for the resolution of issues involving only two or three agencies. Moreover, other issues are beyond the scope of a cooperative organization, requiring state or federal legislative action.

Nevertheless it is important to all owners/managers/users *and* the national interest that an interagency body be in place to assume responsibility for seeing that all ANILCA issues are addressed in the balanced fashion envisioned by Congress, either by the interagency body or by other means. It is also clear from discussions with interested parties that, on occasion, issues which go beyond ANILCA may need addressing in order to solve ANILCA issues properly within the larger Alaskan and national contexts within which ANILCA is administered.

The principles for success and baseline requirements presented in Chapters I and III represent our conclusions with respect to the conditions which must be in place for interagency cooperation to be implemented. Briefly summarized, these conditions are:

- a clear mission statement;
- an agenda addressing significant issues;
- cooperative efforts that permit members to meet their responsibilities in a timely manner;
- adequate financial resources and staff;
- collegial group dynamics and capability to compromise;
- recognition of the different mandates of government agencies;
- leadership which is empathetic and conciliatory;
- open and regular communication among interested parties;
- a willingness to work within the ANILCA framework;
- pursuit of a balance between the competing demands of environmental preservation and economic development;
- sufficient political leverage for Alaska natives;
- use of sophisticated resource management techniques;
- participant commitment to consensus-building and implementation;
- effective public participation;
- impact in terms of problem solving; and
- understanding that the more issues that can be resolved within Alaska by Alaskans, the better the decisions are likely to be.

In general, the consultants also support the tentative agreements which were developed by the Council and Committee members at the March 1989 workshop. These agreements are significant because they and the process used to forge them demonstrate that the forces that tie the members together are more dominant than the disagreements which exist.

Clearly changes are needed in the manner in which coordination has been approached in the past - on this nearly all agree. The Revised Option II incorporates many of the necessary changes. On some of the major issues that remain to be resolved, such as funding, staffing, we offer these recommendations to the members:

- a single chairperson, elected from among the members of the organization on an annual basis. This person should be responsible for ensuring that all participating interests are respected and served well, that the agreed upon mission is pursued, and that adopted procedures for operation are respected;
- a small paid staff whose undivided purpose is the organization's mission;
- a staff director, or executive director, skilled in meeting facilitation, who manages the staff, reports and is responsible to the chairperson and members, and who sets the agenda for meetings, seeks agreements on issues among members and follows through on implementation;
- mandatory cash and in-kind contributions on an annual basis from all participating members;
- cooperative and common problem solving rather than partisan politics should be the goal, achieved through information exchange and productive dialogue on differing perspectives; and
- develop a constituency. A constituency exists for a coordinative organization, but as is almost always the case with regional or interagency programs, the constituency is difficult to define. However, this constituency(ies) must be identified, cultivated and served. Public education and participation are key elements in this process. Recommendations concerning public outreach are given in Appendix A.

The method of authorization is important, particularly to state members. We have little basis for recommending either federal authorization or Master Memorandum of Understanding. We do, however, feel that whichever approach is taken, it should not compromise the principles for success discussed earlier nor conflict with the recommendations offered above. It seems to us that specific state and federal authorization, perhaps more than a memorandum of understanding, serves as an official reminder to all participants that larger public interests are being served, that they are to be seriously pursued, and that all agencies and participating interests have a responsibility to make best faith efforts to accomplish the organization's mission in the balanced fashion provided for in ANILCA.

Appendix A

Consultants' Recommendations for an Improved Public Involvement Program Alaska Interagency Coordination Organization

As part of this project, Barry Lawson Associates offers some suggestions concerning the public outreach program for the Alaska Land Use Council, or for any interagency successor group. These suggestions are based on a review of the current outreach program, discussions held with various groups and individuals concerning their public education and participation objectives to support interagency coordination, and this firm's many years of experience in designing and implementing public participation and community relations programs for public agencies and private groups.

The key elements of a good outreach program are three:

- (1) a strong information program which ensures that relevant, accurate and timely information is made available to interested and affected parties;
- (2) adequate opportunities for an informed public to provide input on programs, projects and policies - input which is seriously considered and valued; and
- (3) sufficient support for the outreach effort through specific staff assignments, a carefully designed public outreach plan which reflects sensitivity to and integration with technical aspects of the agency's program, updated mailing lists of affected publics, and effective relationships with the media.

With these elements in mind we suggest serious consideration of the development of a public participation program, defined by the following specific activities:

Expanded Media Outreach

- invite known environmental reporters to attend organization's meeting, workshops and forums; send notices of meeting and proposed agenda; consider a media briefing and/or briefing package on the issues being considered;
- designate a specific person (preferably a paid staff member) within the organization to develop rapport with the media and to serve as a contact person; ensure that this person has regular contact with public outreach staff of member agencies; and
- at appropriate occasions, submit editorial pieces or "op ed" pieces on specific issues under consideration, particularly if there are

misunderstandings or misinformation being circulated by the media or special interest groups.

Information Exchange

- prepare and distribute periodic updates on the organization's activities and accomplishments to a combined or master federal-state-native mailing list. Include in these periodic updates a follow-up on issues on which public input has been given to the organization and the action which has been taken by the organization in response to the input;
- encourage participating agencies and groups to include in their own newsletters a discussion of the organization's recent or upcoming activities; and
- for each specific issue being addressed by the organization, prepare a summary sheet or fact sheet and distribute it to the media and to segments of the public most directly affected by or interested in the issue.

Meetings/Workshops

- through its public meetings, establish a publicly recognizable, unique and significant role of the interagency organization;
- develop broad-based support and awareness of the organization by having informational/discussion forums throughout the state on specific or multi-agency general issues;
- ask for public input at the forums on issues that are perceived to be the most significant for the organization to address (in effect, make people feel that they have a voice);
- arrange special public meetings for information gathering/giving on site, or in a region affected by a specific issue; and
- sponsor multi-agency or joint-agency public meetings when appropriate.

Other

- coordinate with the Citizens Advisory Committee on Federal Areas and other state, federal, and Native groups on public education/participation activities (such as public forums) on specific issues; and
- have full-time or part-time staff person responsible for the design and implementation (and continual evaluation) of the public outreach activities of the organization.

The implementation of such a program will greatly enhance public understanding and support of the organization throughout the state. One by-

product of this effort, which is all-important for the continued validity of the organization, is the establishment and nurturing of a constituency which recognizes the value of close coordination among agencies, sensitivity to various public interests in the discussion and resolution of land and resource management issues, and commitment to a balanced growth and development of the State.

Appendix B
Comments From Washington, D.C. Interviews

While there was a variety of opinions expressed during the interviews conducted by the Lawson Consultant Team in Washington, D.C., there were several points which we felt would be of special interest to the workshop attendees. The consultants do not mean to imply that there was general agreement across the board among all Washington interviewees on these points. These points, however, are general conclusions derived from the interviews. Among these points are:

- a definite preference toward Options I and II as presented in the Draft Options Report. Option II, reauthorization of the existing Council, was the predominant favorite, although several recognized that Option I might have some value at this time;
- among the functions most often preferred as being served by an interagency coordination organization are those of communication, coordination, improved public input and implementation of ANILCA;
- the strong desire to let Washington entities deal with those issues most properly dealt with by Congress or Washington offices of the various federal agencies. The corollary is that an organization in Alaska should ensure that issues that *can be* resolved in Alaska *are* resolved in Alaska;
- a decided emphasis toward seeking consensus on issues rather voting, particularly along partisan lines;
- the need to ensure that agencies do not exceed their individual mandates;
- the role of the State of Alaska is critical in this coordination effort - in effect, cooperation must be sought while fully recognizing the basic and pervasive issue of federal powers versus state rights;
- a basic necessity is to provide a forum for sitting down to discuss issues of common or mutual concern to state, federal and native interests; and
- it would be regrettable, should there not be a coordination agency in Alaska, if issues which should be resolved in Alaska end up being addressed and resolved in Washington.

ALASKA NATIONAL INTEREST LANDS CONSERVATION ACT

PUBLIC LAW 96-487 - DEC. 2, 1980

Section 1201 - ALASKA LAND USE COUNCIL

94 STAT. 2466

PUBLIC LAW 96-487—DEC. 2, 1980

PUBLIC LAW 96-487—DEC. 2, 1980

94 STAT. 2371

Public Law 96-487
96th Congress

An Act

To provide for the designation and conservation of certain public lands in the State of Alaska, including the designation of units of the National Park, National Wildlife Refuge, National Forest, National Wild and Scenic Rivers, and National Wilderness Preservation Systems, and for other purposes.

Dec. 2, 1980
(H.R. 38)

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SECTION 1. This Act may be cited as the "Alaska National Interest Lands Conservation Act".

Alaska National
Interest Lands
Conservation
Act.
16 USC §101
note.

TITLE XII—FEDERAL-STATE COOPERATION

ALASKA LAND USE COUNCIL

16 USC §181.

Presidential
appointment.

SEC. 1201. (a) **ESTABLISHMENT.**—There is hereby established the Alaska Land Use Council (hereinafter in this title referred to as the "Council").

(b) **COCHAIRMEN.**—The Council shall have Cochairmen. The Federal Cochairman shall be appointed by the President of the United States with the advice and consent of the Senate. The State Cochairman shall be the Governor of Alaska.

(c) **MEMBERS.**—In addition to the Cochairmen, the Council shall consist of the following members:

(1) the head of the Alaska offices of each of the following Federal agencies: National Park Service, United States Fish and Wildlife Service, United States Forest Service, Bureau of Land Management, Heritage Conservation and Recreation Service, National Oceanic and Atmospheric Administration, and Department of Transportation;

(2) the Commissioners of the Alaska Departments of Natural Resources, Fish and Game, Environmental Conservation, and Transportation; and

(3) two representatives selected by the Alaska Native Regional Corporations (in consultation with their respective Village Corporations) which represent the twelve geographic regions described in section 7(a) of the Alaska Native Claims Settlement Act.

Any vacancy on the Council shall be filled in the same manner in which the original appointment was made.

(d) **STATE DECISION NOT TO PARTICIPATE.**—If the State elects not to participate on the Council or elects to and its participation prior to termination of the Council, the Council shall be composed of the Federal Cochairman, the agencies referred to in subsection (c)(1) and the representatives of the Alaska Native Regional Corporations referred to in subsection (c)(3). The Council, so composed, shall carry out the administrative functions required by this title and shall make recommendations to Federal officials with respect to the matters referred to in subsections (i) and (j). In addition, the Council may make recommendations from time to time to State officials and private landowners concerning such matters.

(e) **COMPENSATION AND EXPENSES.**—

(1) The Federal Cochairman shall be compensated at a rate to be determined by the President but not in excess of that provided for level IV of the Executive Schedule contained in title V, United States Code.

5 USC 5315.

(2) The other members of the Council who are Federal employees shall receive no additional compensation for service on the Council.

(3) While away from their homes or regular places of business in the performance of services for the Council, members of the Council who are Federal employees, or members of the Council referred to in subsection (c)(3), shall be allowed travel expenses, including per diem in lieu of subsistence, in the same manner as persons employed intermittently in the Government service are allowed expenses under section 5703(b) of title 5 of the United States Code.

(4) The State Cochairman and other State members of the Council have been compensated in accordance with applicable State law.

(f) **ADMINISTRATIVE AUTHORITY.**—

(1) The Cochairmen, acting jointly, shall have the authority to create and abolish employments and positions, including temporary and intermittent employments; to fix and provide for the qualification, appointment, removal, compensation, pension, and retirement rights of Council employees; and to procure needed office space, supplies, and equipment.

(2) The office of the Council shall be located in the State of Alaska.

(3) Except as provided in subsection (d), within any one fiscal year, the Federal Government shall pay only 50 per centum of the costs and other expenses other than salaries, benefits, et cetera of members, incurred by the Council in carrying out its duties under this Act.

Federal costs
and expenses.

(4) The Council is authorized to use, with their consent, the services, equipment, personnel, and facilities of Federal and other agencies with or without reimbursement. Each department and agency of the Federal Government is authorized and directed to cooperate fully in making its services, equipment, personnel, and facilities available to the Council. Personnel detailed to the Council in accordance with the provisions of this subsection shall be under the direction of the Cochairman during any period such staff is so detailed.

(5) The Council is authorized to accept donations, gifts, and other contributions and to utilize such donations, gifts, and contributions in carrying out its functions under this Act.

(6) The Council shall keep and maintain complete accounts and records of its activities and transactions, and such accounts and records shall be available for public inspection.

(g) **MEETINGS; AUTHORITY; REPORTS.**—The Council shall meet at the call of the Cochairmen, but not less than four times each year. In addition, the Council may, for the purpose of carrying out the provisions of this section, hold such hearings, take such testimony, receive such evidence and print or otherwise reproduce and distribute reports concerning so much of its proceedings as the Council deems advisable. No later than February 1 of each calendar year following the calendar year in which the Council is established, the Cochairmen shall submit to the President, the Congress, the Governor of Alaska, and the Alaska Legislature, in writing, a report on the activities of the Council during the previous year, together with their recommendations, if any, for legislative or other action in furtherance of the purposes of this section.

Publication in
Federal
Register.

(h) **RULES.**—The Council shall adopt such internal rules of procedure as it deems necessary. All Council meetings shall be open to the public, and at least fifteen days prior to the date when any meeting of the Council is to take place the Cochairman shall publish public notice of such meeting in the Federal Register and in newspapers of general circulation in various areas throughout Alaska.

(i) **FUNCTIONS OF THE COUNCIL.**—

(1) The Council shall conduct studies and advise the Secretary, the Secretary of Agriculture, other Federal agencies, the State, local governments, and Native Corporations with respect to ongoing, planned, and proposed land and resources uses in Alaska, including transportation planning, land use designation, fish and wildlife management, tourism, agricultural development, coastal zone management, preservation of cultural and historical resources, and such other matters as may be submitted for advice by the members.

(2) It shall be the function of the Council—

(A) to make recommendations to appropriate officials of the United States and the State of Alaska with respect to—

(i) proposed regulations promulgated by the United States to carry out its responsibilities under this Act;

(ii) management plans and studies required by this Act including, but not limited to, plans and studies for conservation system units, wild and scenic rivers, and wilderness areas;

(iii) proposed regulations promulgated by the State of Alaska to carry out its responsibilities under this Act and other State and Federal laws;

(B) to make recommendations to appropriate officials of the governments of the United States and the State of Alaska with respect to ways to improve coordination and consultation between said governments in wildlife management, transportation planning, wilderness review, and other governmental activities which appear to require regional or statewide coordination;

(C) to make recommendations to appropriate officials of the governments of the United States and the State of Alaska with respect to ways to insure that economic development is orderly and planned and is compatible with State and national economic, social, and environmental objectives;

(D) to make recommendations to appropriate officials of the governments of the United States and the State of

Alaska with respect to those changes in laws, policies, and programs relating to publicly owned lands and resources which the Council deems necessary;

(E) to make recommendations to appropriate officials of the governments of the United States and the State of Alaska with respect to the inventory, planning, classification, management, and use of Federal and State lands, respectively, and to provide such assistance to Native Corporations upon their request;

(F) to make recommendations to appropriate officials of the governments of the United States and the State of Alaska with respect to needed modifications in existing withdrawals of Federal and State lands; and

(G) to make recommendations to appropriate officials of the governments of the United States and the State of Alaska with respect to the programs and budgets of Federal and State agencies responsible for the administration of Federal and State lands; and

(H) to make recommendations to appropriate officials of the governments of the United States, the State of Alaska, and Native Corporations for land exchanges between or among them.

(j) COOPERATIVE PLANNING.—

(1) The Council shall recommend cooperative planning zones, consisting of areas of the State in which the management of lands or resources by one member materially affects the management of lands or resources of another member or members including, but not limited to, such areas as the Northwest Arctic, the North Slope, and Bristol Bay. Federal members of the Council are authorized and encouraged to enter into cooperative agreements with Federal agencies, with State and local agencies, and with Native Corporations providing for mutual consultation, review, and coordination of resource management plans and programs within such zones.

Cooperative
agreements.

(2) With respect to lands, waters, and interests therein which are subject to a cooperative agreement in accordance with this subsection, the Secretary, in addition to any requirement of applicable law, may provide technical and other assistance to the landowner with respect to fire control, trespass control, law enforcement, resource use, and planning. Such assistance may be provided without reimbursement if the Secretary determines that to do so would further the purposes of the cooperative agreement and would be in the public interest.

(3) Cooperative agreements established pursuant to this section shall include a plan for public participation consistent with the guidelines established by the Council pursuant to subsection (m).

(k) NONACCEPTANCE OF COUNCIL RECOMMENDATIONS.—If any Federal or State agency does not accept a recommendation made by the Council pursuant to subsection (i) or (j), such agency, within thirty days of receipt of the recommendation, shall inform the Council, in writing, of its reason for such action.

(l) TERMINATION.—Unless extended by the Congress, the Council shall terminate ten years after the date of enactment of this Act. No later than one year prior to its termination date, the Cochairmen shall submit in writing to the Congress a report on the accomplishments of the Council together with their recommendations as to whether the Council should be extended or any other recommenda-

Report to
Congress.

tions for legislation or other action which they determine should be taken following termination of the Council to continue carrying out the purposes for which the Council was established.

(m) **PUBLIC PARTICIPATION.**—The Council shall establish and implement a public participation program to assist the Council to carry out its responsibilities and functions under this section. Such program shall include, but is not limited to—

(1) A committee of land-use advisors appointed by the Cochairmen made up of representatives of commercial and industrial land users in Alaska, recreational land users, wilderness users, environmental groups, Native Corporations, and other public and private organizations. To the maximum extent practicable, the membership of the committee shall provide a balanced mixture of national, State, and local perspective and expertise on land and resource use issues; and

(2) A system for (A) the identification of persons and communities, in rural and urban Alaska, who or which may be directly or significantly affected by studies conducted, or advice and recommendations given by the Council pursuant to this section, and (B) guidelines for, and implementation of, a system for effective public participation by such persons or communities in the development of such studies, advice and recommendations by the Council.

RECOMMENDATIONS
OF THE
THE ALASKA LAND USE ADVISORS COMMITTEE
REGARDING
THE FUTURE OF THE ALASKA LAND USE COUNCIL

November 2, 1989

RECOMMENDATIONS OF THE ALASKA LAND USE ADVISORS COMMITTEE
REGARDING THE FUTURE OF THE ALASKA LAND USE COUNCIL

November 2, 1989

The Alaska Land Use Advisors Committee (Advisors) has been a key participant in developing recommendations regarding the future of the Alaska Land Use Council (Council), under Section 1201(i) of the Alaska National Interest Lands Conservation Act (ANILCA). The following recommendations of the Advisors are the result of a two-year planning process which entailed comprehensive and detailed discussions with the public, Council members, federal and state agency representatives, Alaska Native organizations, and professional consultants through numerous meetings, workshops, questionnaires, and reports focusing on the Council's future.

The Advisors strongly support reauthorization of the Alaska Land Use Council and its committee of land-use advisors. The need for cooperative, coherent implementation of ANILCA is fully as compelling today as it was when Congress passed ANILCA in 1980. With the exception of recommended change to the Council's membership, the Advisors believe that the existing language of ANILCA satisfactorily provides for fully effective implementation. Therefore, our recommendations emphasize opportunities for improving the Council's effectiveness through limited changes to the Council's federal charter (attached), rather than through amendments to ANILCA.

Our recommendations are tiered into two categories: first, a single recommendation to amend ANILCA Section 1201(c); and second, recommendations to achieve more effective implementation of ANILCA by strengthening the Council's charter.

RECOMMENDED AMENDMENT TO ANILCA SECTION 1201(c)

Amend Section 1201(c) to indicate that, in addition to the Cochairs, the Council shall consist of the following members:

- a. the head of the Alaska office of each of the following federal agencies: National Park Service, U.S. Fish and Wildlife Service, U.S. Forest Service, and Bureau of Land Management;
- b. the commissioners of the Alaska Departments of Environmental Conservation, Fish and Game, Natural Resources, and Transportation and Public Facilities;
- c. two representatives selected by the Alaska Native regional corporations (in consultation with their respective village corporations); and
- d. one representative selected by and from the committee of land-use advisors established by Section 1201(m) of ANILCA.

This change would eliminate the existing requirement that the U.S. Department of Transportation and the National Oceanic and Atmospheric Administration participate in the Council. It would not, however, preclude their

participation, as the Advisors recommend that any state or federal agency with Alaska land or resource management responsibilities or interests could participate in the Council on a project-specific basis with the concurrence of the permanent members of the Council. Agencies which could be ad hoc members include, but are not limited to, the Alaska Department of Commerce and Economic Development and the Alaska Department of Community and Regional Affairs; and the following federal agencies: Bureau of Indian Affairs, Bureau of Mines, U.S. Coast Guard, Environmental Protection Agency, Federal Aviation Administration, National Oceanic and Atmospheric Administration, Minerals Management Service, Army Corps of Engineers, U.S. Geological Survey, and Federal Highway Administration. The Advisors recommend that these agencies be explicitly identified as potential ad hoc members in amendments to Section 1201(c).

These recommended changes to Section 1201(c) would define the permanent membership of the Council as those agencies having direct responsibilities for land-based resource management in Alaska; provide for equitable representation of state, federal, and Alaska Native interests on the Council; and, through inclusion of one Advisor on the Council, provide the public with greater access to and participation in Council decision-making.

RECOMMENDED REVISIONS TO THE ALASKA LAND USE COUNCIL CHARTER

The Advisors see substantial opportunities to improve the Council's effectiveness by sharpening the focus of federal charter provisions governing the Council's structure and procedures. Our recommended revisions to the charter are consistent with existing language of ANILCA. For this reason, we believe that important and necessary improvements can be made without further amending ANILCA. In addition, the Council's operating procedures provide another mechanism for improving Council effectiveness.

We believe that the following three key charter revisions, if fully implemented, will greatly enhance the Council's statewide role in cooperative land use planning and resource management.

1. Incorporate in the charter a clear and succinct Mission Statement for the Alaska Land Use Council, separate from the Council Objectives and Scope.
2. Incorporate in the charter provision for a small, full-time professional staff, qualified and experienced in land and resource management procedures, as authorized by ANILCA Section 1201(f). The staff will be supervised by a Staff Director reporting to the Cochairs. The Staff Director will be skilled in management, land and resource policy analysis, meeting facilitation, and public relations. The staff will consist of a senior-level biologist, economist, land and resource policy analyst, and public outreach specialist. Full-time administrative and clerical support will be provided. The Staff Director and staff will be funded through annual appropriations from the federal and state governments.

4. To be truly effective in assuring that ANILCA continues to be implemented in the best interests of the Nation, the State of Alaska, and the Alaska Native community, the Council must foster public involvement in its agenda and decisions, as required by ANILCA Section 1201(m)(2). The Council staff, focusing on a limited number of specific projects with statewide significance, should develop a strong, statewide public information and involvement program through expanded media outreach, occasional Council progress letters to the public, meetings and workshops in communities throughout Alaska, and close coordination with federal and state agencies, Alaska Native corporations and organizations, universities, chambers of commerce, environmental groups, and other forums.
5. The Land Use Advisors Committee should work closely with the Council, Staff Director, and staff to facilitate research on key issues and public participation. Individual Advisors should be assigned to specific projects on a long-term basis and should advise the Council through Committee memoranda, reports, and active participation in Council meetings. The Advisors can provide an important service through their role in the Council's public involvement program.

Chapter II: Statewide Analysis and Recommendations

Scope

Factors used to analyze the 12 designated areas were: public comments, administering agency comments, BLM land use plans, BLM internal resource reviews and proposed designations, BLM overlapping withdrawals, lands previously opened to mineral entry, leaseable mineral potential, locatable mineral potential, land status, and statewide conveyance priorities. *See page 118, Factors Used in Analysis Table.*

Summary

Alaska contains approximately 102,097,900 acres of d-1 withdrawals within Conservation System Units/National Forest lands (CSUs) administered by the National Park Service, Fish & Wildlife Service, or the National Forest Service. Public comments favor the maintenance of the withdrawals until addressed in a land use planning process. In general, the CSU withdrawals except on Forest Service lands are more restrictive or provide an equal or greater level of protection than the original d-1 withdrawals. The respective federal agencies recommend with the exception of ANCSA section 14(h) selections by Native corporations, and ANILCA addition to the Chugach National Forest (CNF), the d-1 withdrawals can be lifted without adverse effects on their respective CSUs.

Statewide there are approximately 50,000 acres of 14(h)(1) selections within CSUs overlapped by d-1 withdrawals. Due to uncertainties in the size and location of these selections, the acreage was not included in the area matrix analysis. Overlapping d-1 withdrawals which were recommended and included in a CSU are an important factor in the adjudication of 14(h)(1) selection, but it is not the only factor considered in determining the validity of a selection in a CSU. Maintaining or lifting the d-1 withdrawal would not affect the adjudication of the 14(h)(1) selection. The recommendation to maintain these d-1 withdrawals overlapping 14(h)(1) selections are incorporated into the report because they were submitted by the administering agency.

If the d-1 withdrawals are lifted the effects vary on public lands. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands, outside of designated wilderness areas, would be open to only leaseable entry upon a future determination of compatibility with individual refuges. Forest Service lands would be open to leaseable and locatable entry like the rest of the forest with some exceptions. The Forest Service recommends maintaining approximately 832,000 acres of d-1 withdrawals on the following areas, to provide temporary protection on sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process.

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Warm Pass RNA
 Katzehein Wild River
 Nellie Juan Addition to CNF (includes proposed RNAs, WSR, wilderness study area)
 College Fjord Addition to CNF (includes proposed wilderness study area)
 Controller Bay Addition to CNF
 Portage Area Addition to CNF
 Lost Lake Area

There are a total of 56,870,900 acres of d-1 withdrawals administered by the BLM. Approximately 9,876,000 acres have already been open to some combination of entry for leasable or locatable minerals. Subsequently, 63% of these lands already opened have been selected by the State of Alaska or Native corporations. Altogether, approximately 28,584,400 acres of BLM-administered lands are selected, with portions overlapping lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are rejected or relinquished. State or Native conveyance entitlements indicate that 20,000,000 acres of these lands will likely be conveyed.

There are 4,849,300 acres of d-1 withdrawals administered by the BLM overlapping withdrawals for the Unakaleet, Beaver, Birch, 40-Mile, Gulkana, and Delta Wild and Scenic Rivers (WSR), Steese National Conservation Area, White Mountains National Recreation Area, and the Utility Corridor (PLO 5150). The BLM analysis, including draft resource management plans (RMP), and comments from the public indicate these withdrawals are less restrictive than d-1 withdrawals, and may not sufficiently protect important sensitive or critical resources. Approximately 2,955,200 acres of d-1 withdrawals, which overlap the Unakaleet, Beaver, Birch, 40-Mile, Gulkana and Delta WSR, and the Utility Corridor, as well as approximately 1,095,300 acres which overlap the following recommendations and RMP proposed designations, should be maintained to provide temporary protection on these sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process.

EARMP Bering Glacier RNA
 EARMP Slana Settlement Area
 KSRMP 300' Setback Kivalina River
 KSRMP 300' Setback Boston Creek
 KSRMP Mt Osborne RNA
 KSRMP 300' Setback Ungalik River
 CYRMP 300' Setback North Fork Unakaleet River
 CRRMP 300' Setback Togawik River
 CYRMP 300' Setback Gisasa River
 CYRMP 300' Setback Nulato River
 CYRMP Box River RNA
 CYRMP Kaltag Nulato Watershed Area
 CYRMP Ishalitna RNA

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CYRMP McQuesten RNA
 CYRMP Spooky Valley RNA
 CYRMP Peregrine Falcon Habitat Area
 CYRMP 300' Setback Indian River
 CYRMP 300' Setback Tozitna River
 CYRMP 300' Setback Clear Creek
 CYRMP 300' Setback Caribou Creek
 CYRMP 300' Setback Ray Creek
 CYRMP 300' Setback Squaw Creek
 CYRMP Arms Lake RNA
 CYRMP Redlands Lake RNA
 RFRMP Halibut Cove Forest Study Area
 RFRMP Lake Carlanna Municipal Watershed Area

The White Mountains and Steese Areas have RMPs completed in the early 1980s. The Steese RMP recommended opening the lands to locatable entry, but the decision was never implemented. There has since been an extensive increase in public use in both Areas and approximately 1,894,100 acres of d-1 withdrawals should be maintained until the RMPs are reviewed and updated to reflect current management objectives. The White Mountains and Steese RMPs are currently scheduled for review in 2007. A total of approximately 6,776,600 acres of d-1 withdrawals, which include BLM and other agency managed lands, should be maintained at this time.

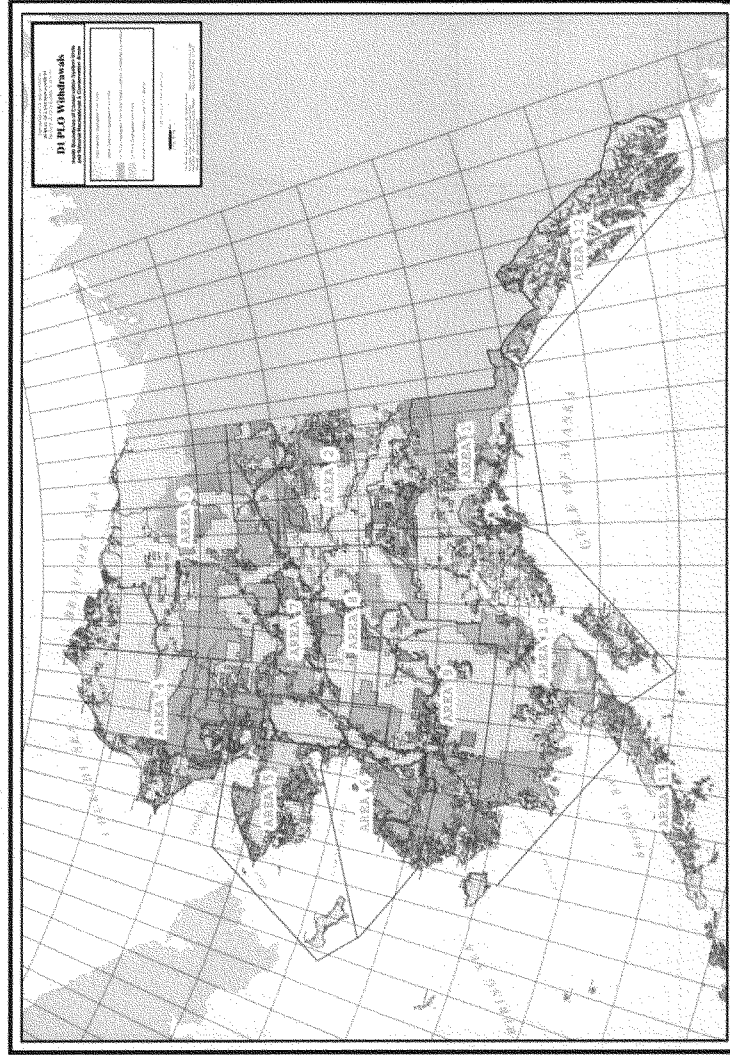
In summary, there are a total of 158,958,000 acres of d-1 withdrawals in Alaska. Approximately 152,181,400 acres or 95% of these withdrawals could be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 21,459,700 acres or 14% of these lands. However, the majority of these lands have only low to medium locatable mineral potential with a few scattered areas of high potential. Very few lands have any known potential for coal, oil or gas. Most lands with medium to high locatable mineral potential, or known leaseable mineral potential, were previously opened, and or selected by the State of Alaska or a Native corporation.

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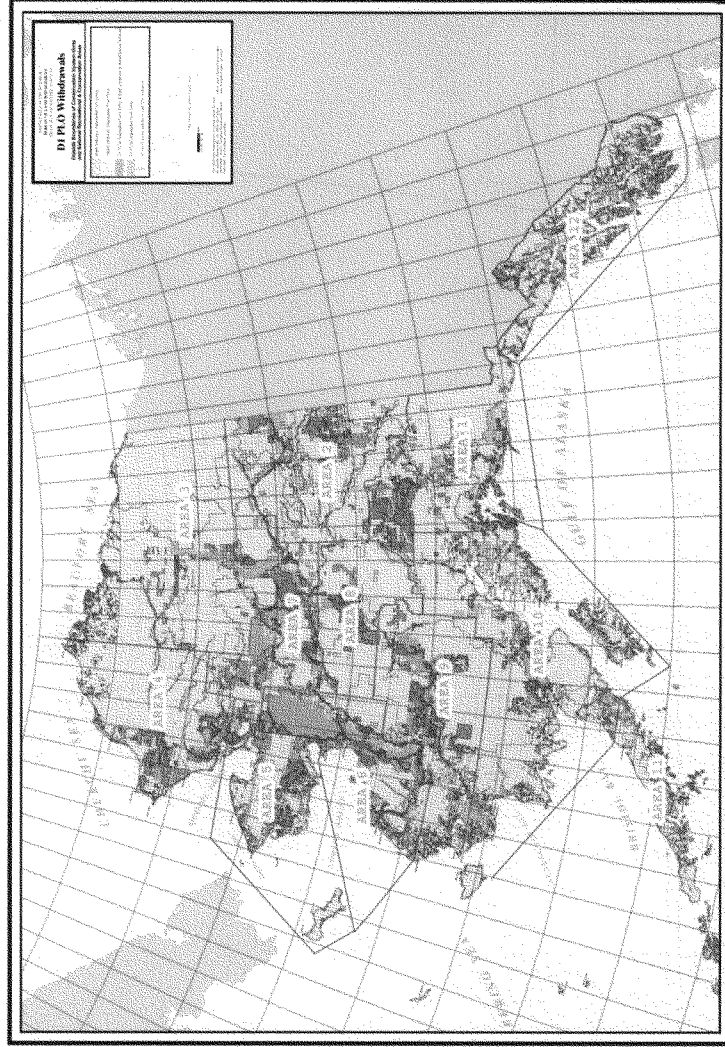
Sec. 207 of the Alaska Land Transfer Acceleration Act**State Wide Summary****Approximate Acreage in 1,000s**

	Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Immediately Opened to Entry
Area 1	20734.1	14175.9	6569	1665	4146	396	1293.5	19440.6	2976.6
Area 2	14743	8165	6578	0	3154.5	2532.8	2532.8	12210.2	890.7
Area 3	25622	21343.5	4278.5	0	1644.5	1840	2012.5	23609.5	621.5
Area 4	12903	8843.5	4059.5	713	2694.5	0	5	12898	1003.5
Area 5	8141.9	3806.5	4335.4	1782.5	3549.9	0	89	8052.9	108.2
Area 6	18348.5	8613.5	9735	2392	1573	80.5	428.2	17920.3	6059.4
Area 7	12880	5244	7636	552	4082.5	0	40	12840	3016.7
Area 8	9930	6256	3674	931.5	3099	0	24.2	9905.8	476
Area 9	13834.5	7015	6819.5	1840	3018	0	0	13834.5	3341.5
Area 10	16738.5	13806.5	2932	0	1368.5	0	303.6	16434.9	1563.4
Area 11	2725.5	2701.5	24	0	24	0	0	2725.5	0
Area 12	2357	2127	230	0	230	0	47.8	2309.2	1402.2
TOTAL	158958	102097.9	56870.9	9876	28584.4	4849.3	6776.6	152181.4	21459.7

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AREA 1 SUMMARY MATRIX

Approximate Acreage in 1,000s

Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened PLO 6329	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals
Area 1								
PLO 5174	808.0	0	808.0	0	0	0	808.0	BLM 49 W2/3 Bering Glacier RNA
PLO 5176	1220.0	846.8	374.0	0	0	0	1160	NFS 11 Controller Bay
PLO 5178	2687.8	921.8	1766.0	162.0	1689.3	96.0	2465.3	BLM 89 Gulkana and 7 Delta WSR.
PLO 5179	10503.6	9764.6	739.0	90.0	99.5	0	9940.6	NFS 126.5 College Fjord
PLO 5180	4069.6	1898.6	2171.0	1324.0	1647.2	300.0	3643.1	BLM 356 W 2/3 Bering Glacier RNA, 115 segregated by selection.
PLO 5184	1445.1	744.1	711.0	89.0	710.0	0	1423.6	BLM 41 WSR and 259 Utility PLO(5150)
								NFS 126.5 College Fjord
								BLM 10 Siana Settlement Area PLO 6456
								NFS 11.5 College Fjord
TOTALS	20734.1	14175.9	6569	1665	4146	396	1293.5	19440.6

Area #1 contains approximately 14,175,900 acres of d-1 withdrawals within Conservation System Units/National Forest Service lands (CSUs) administered by the National Park Service or Forest Service. These agencies recommend, with the exception of ANCSA 14(h) selections and the ANILCA additions to Forest Service lands, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry (12,318,000 acres). In general, Forest Service lands would be open to leaseable and locatable entry like the rest of the forest. However, the Forest Service recommends maintaining 482,500 acres of d-1 withdrawals overlapping the Controller Bay and College Fjord areas, to provide temporary protection on sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process.

There are a total of 6,569,000 acres of d-1 withdrawals administered by the BLM. Approximately 1,665,000 acres have already been open to some combination of entry for leaseable or locatable minerals. However, 100% of those lands already opened are selected by the State of Alaska or a Native corporation. Altogether, approximately 4,146,000 acres of BLM administered lands are selected, including those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, entitlements are met, or selections are relinquished or rejected. State and Native conveyance priorities indicate 80% of these lands will likely be conveyed.

There are 396,000 acres of d-1 withdrawals administered by the BLM which overlap withdrawals for the Gulkana and Delta WSR (CSUs) and the Utility Corridor (PLO 5150). The BLM analysis, including the draft East Alaska Resource Management Plan (ERMP) and public comments, indicate these withdrawals are generally less restrictive than the d-1 withdrawals, and do not sufficiently protect important sensitive or critical resources. All together there are approximately 811,000 acres of d-1 withdrawals, which overlap the Gulkana and Delta WSR, the Utility Corridor, the Siana Settlement Area, and the proposed Bering Glacier RNA. These d-1 withdrawals should be maintained to provide temporary protection on these sensitive or critical areas until a more appropriate withdrawal is put into place through the land use planning process. A total of 1,293,500 acres of d-1 withdrawals, which include BLM and other agency managed lands, should be maintained at this time in Area 1.

In summary, there are a total of 20,734,100 acres of d-1 withdrawals in Area 1. Approximately 19,440,600 acres or 93% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/Advisory) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 2,979,600 acres or 15% of these lands (lands immediately opened to entry = total lifted - NFS lands - BLM selected lands or 19440.6 - 4146 - 2376.6). The majority of these lands are roughly divided between a medium to high locatable mineral potential. None of these lands have any known potential for coal, oil or gas. Most lands with high locatable mineral potential, or known leaseable mineral potential in Area 1, were previously opened, and/or selected by the State of Alaska or a Native corporation.

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[Click here: Area 1 Map](#)

AREA 2 SUMMARY MATRIX

Approximate Acreage in 1,000s								Rationale for maintaining d-1 withdrawals
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	
Area 2								
PLO 5173	3772	92	3680	0	2185	0	3772	
PLO 5178	46	34.5	11.5	0	11.5	0	46	
PLO 5179	6129.5	5807.5	322	0	92	604.2	5525.3	BLM 63.5 Beaver WSR inside and 12.5 outside White Mt NCA BLM 45 Birch WSR inside and 23 outside Steese NRA BLM 246.7 40 Mile WSR
PLO 5180	3036	1161.5	1874.5	0	276	1928.6	1107.4	BLM 120.5 adj to Beaver WSR and 93 adj to Birch WSR BLM 819.5 White Mt NCA and 1074.6 Steese NRA
PLO 5184	1759.5	1069.5	690	0	590	0	1759.5	BLM 34.5 PLO 5150
TOTALS	14743	8165	6578	0	3154.5	2532.8	12210.2	

Area #2 contains approximately 8,165,000 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies recommend, with the exception of ANCSA 14(b) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges.

There are a total of 6,578,000 acres of d-1 withdrawals administered by the BLM, none of which were previously open to leaseable or locatable mineral entry. Altogether, approximately 3,154,500 acres of BLM administered lands are selected by the State of Alaska or a Native corporation. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, entitlements are met, or selections are relinquished or rejected. State or Native conveyance priorities indicate 45% of these lands will likely be conveyed.

There are 2,532,800 acres of d-1 withdrawals administered by the BLM which overlap withdrawals for the Beaver, Birch, 40 Mile WSRs, White Mountains National Conservation Area, the Steese National Recreation Area and the Utility Corridor (PLO 5150). The BLM analysis and public comments indicate these withdrawals are generally less restrictive than the d-1 withdrawals, and do not sufficiently protect important sensitive or critical resources. The d-1 withdrawals on the Beaver, Birch, and 40 Mile WSRs should be maintained to provide temporary protection on these sensitive or critical areas until a more appropriate withdrawal is put into place through the land use planning process. The d-1 withdrawals on the White Mountains and Steese Areas should be maintained until their existing RMPs are reviewed and updated to reflect current management objectives. These RMPs are currently scheduled for review in 2007. A total of 2,532,800 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 2.

In summary, there are a total of 14,743,000 acres of d-1 withdrawals in Area 2. Approximately 12,210,200 acres or 82% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 890,700 acres or 7% of these lands (lands immediately opened to entry = total lifted - NPS & FWS lands - BLM selected lands or 12210.2-8165-3154.5= 890.7). The majority of these lands primarily have a low to medium locatable mineral potential. Essentially all of these lands have a known potential for oil and gas only. Most lands with high locatable mineral potential, and some of the lands with known leaseable potential in Area 2, were previously selected by the State of Alaska or a Native corporation.

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[Click here: Area 2 Map](#)

AREA 3 SUMMARY MATRIX

Approximate Acreage in 1,000s

Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals
Area 3								
PLO 5169	816.5	23	793.5	0	793.5	0	34.5	792 BLM CAMA Wilderness
PLO 5173	759	322	437	0	437	0	0	759
PLO 5179	15053.5	14340	713.5	0	322	0	69	14984.5 BLM CAMA Wilderness
PLO 5180	6451.5	4117	2334.5	0	92	1840	1840	4611.5 BLM Utility Corridor PLO 5150 includes 80.5 CAMA Wilderness and 149.5 Jim River
PLO 5181	126.5	126.5	0	0	0	0	0	126.5
PLO 5184	1161.5	1161.5	0	0	0	0	69	1092.5 BLM CAMA Wilderness
PLO 5186	1253.5	1253.5	0	0	0	0	0	1253.5
TOTALS	25622	21343.5	4278.5	0	1644.5	1840	2012.5	23609.5

Area #3 contains approximately 21,343,500 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies recommend, with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be opened to only leaseable entry upon a future determination of compatibility with individual refugees.

There are a total of 4,278,500 acres of d-1 withdrawals administered by the BLM, none of which were previously open to leaseable or locatable mineral entry. Altogether, approximately 1,844,500 acres of BLM administered lands are selected by the State of Alaska or a Native corporation. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or selections are relinquished or rejected. State or Native conveyance priorities indicate 75% of these lands will likely be conveyed.

There are 1,840,000 acres of d-1 withdrawals administered by the BLM which overlap the withdrawal for the Utility Corridor (PLO 5150). The BLM analysis and public comments indicate these withdrawals are generally less restrictive than the d-1 withdrawals, and do not sufficiently protect important sensitive or critical resources. These d-1 withdrawals should be maintained to provide temporary protection on these sensitive or critical areas until a more appropriate withdrawal is put into place through the land use planning process. A total of 1,840,000 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 3.

In summary, there are a total of 25,622,000 acres of d-1 withdrawals in Area 3. Approximately 23,609,500 acres or 92% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 621,500 acres or 2% of these lands (lands immediately opened to entry = total lifted - NPS & FWS lands - BLM selected lands or 23609.5-21343.5-1644.5= 621.5). The majority of these lands primarily have a medium locatable mineral potential. Essentially none of these lands have a known potential for coal, oil or gas. Most lands with high locatable mineral potential, and some of the lands with known leaseable potential in Area 3, were previously selected by the State of Alaska or a Native corporation.

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[Click here: Area 3 Map](#)

AREA 4 SUMMARY MATRIX

Approximate Acreage in 1,000s									
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened PLO 6477	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals	
PLO 5169	1506.5	0	1506.5	0	1406.5	0	1506.5		
PLO 5171	310.5	115	195.5	0	195.5	0	310.5		
PLO 5179	9280.5	8452.5	828	713	322	0	9280.5		
PLO 5180	816.5	0	816.5	0	57.5	0	811.5		BLM 300' setback Kivalina River
PLO 5184	989	276	713	0	713	0	989		
TOTALS	12903	8843.5	4059.5	713	2694.5	0	5 12898		

Area #4 contains approximately 8,843,500 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service, and Fish & Wildlife Service. These agencies recommend, with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges.

There are a total of 4,059,500 acres of d-1 withdrawals administered by the BLM. Approximately 713,000 acres have already been open to some combination of entry for leaseable or locatable minerals. However, 50% of those lands already opened are selected by the State of Alaska or a Native corporation. Altogether, approximately 2,694,500 acres of BLM administered lands are selected, including portions of those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or selections are relinquished or rejected. State or Native conveyance priorities indicate 70% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis including the draft Kobuk-Seward Resource Management Plan (KSRMP), and public comments indicate there are only 5,000 acres of d-1 withdrawals which overlap the proposed Kivalina River setback area. These d-1 withdrawals should be maintained to provide temporary protection on these sensitive or critical areas until a more appropriate withdrawal is put into place through the land use planning process. A total of 5,000 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 4.

In summary, there are a total of 12,903,000 acres of d-1 withdrawals in Area 4. Approximately 12,898,000 acres or 99% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated to entry for leaseable or locatable minerals under NEPA decisional procedures before any development can take place. Lifting these withdrawals would likely provide immediate entry for 1,000,000 acres or 7% of the total d-1 withdrawals. The majority of these lands immediately opened to entry = total lifted - NFS& FWS lands - BLM pre-Sub pending/BLM selected lands = 12898-8843.5-713 X .50=2694.5 (713 X .50=2694.5-1003.5). The majority of these lands primarily have an unidentified or low locatable mineral potential with some selected BLM lands having a high potential area. Essentially none of these lands have a known potential for coal, oil or gas. Most lands with high locatable mineral potential, or lands with known leaseable potential in Area 4, were previously opened, and or selected by the State of Alaska or a Native corporation.

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[Click here: Area 4 Map](#)

AREA 5 SUMMARY MATRIX

Approximate Acreage in 1,000s

Area 5										Rationale for maintaining d-1 withdrawals	
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened PLO 6477	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting				
PLO 5170	63.2	23	40.2	0	40.2	0	63.2				
PLO 5171	132.2	23	109.2	0	109.2	0	132.2				
PLO 5179	3749	3254.5	494.5	494.5	330.5	0	3749				
PLO 5180	1794	80.5	1713.5	1058	1230	0	1743				
PLO 5186	23	0	23	0	23	0	23				
PLO 5184	2380.5	425.5	1955	230	1817	0	2342.5				
TOTALS	8141.9	3806.5	4335.4	1782.5	3549.9	0	8052.9				

Area #5 contains approximately 3,806,500 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies recommend with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges.

There are a total of 4,335,400 acres of d-1 withdrawals administered by the BLM. Approximately 1,782,500 acres have already been open to some combination of entry for leaseable or locatable minerals. However, 67% of those lands already open are selected by the State of Alaska or a Native corporation. Altogether, approximately 3,549,900 acres of BLM-administered lands are selected, including portions of those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 35% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap other BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis including the draft Kobuk-Seward Resource Management Plan (KSRMP), and public comments indicate there are only 89,000 acres of d-1 withdrawals which overlap the proposed Mt Osborne RNA and Boston Creek setback area. These d-1 withdrawals should be maintained to provide temporary protection on these sensitive or critical areas until a more appropriate withdrawal is put into place through the land use planning process. A total of 89,000 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 5.

In summary, there are a total of 8,141,900 acres of d-1 withdrawals in Area 5. Approximately 8,052,900 acres or 98% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 108,200 acres or 1% of these lands (lands immediately opened to entry = total lifted - NPS & FWS lands - BLM previously opened/not selected - BLM selected lands or 8052.9-3806.5 - (1782.5 x .33) - 3549.9= 108.2). The majority of these lands are roughly divided between a medium to high locatable mineral potential. Essentially none of these lands have a known potential for coal, oil or gas. Most lands with high locatable mineral potential, or lands with known leaseable potential in Area 5, were previously opened, and or selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 5 Map](#)

AREA 6 SUMMARY MATRIX

Approximate Acreage in 1,000s

Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened PLO 6477	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals
PLO 5170	92	92	0	0	0	0	92	
PLO 5172	1150	897	253	0	86	0	1150	
PLO 5179	5117.5	4784	333.5	0	46	80.5	5037	BLM Unakaleet WSR
PLO 5180	9142.5	966	8176.5	2346	1161.5	0	8840.8	BLM 16.6 (6) 300' Setbacks, 11.2 Box River RNA, 273.9 Kaltag Nulato Watershed
PLO 5181	201.5	201.5	0	0	0	0	201.5	
PLO 5184	2645	1673	972	46	279.5	0	2599	BLM 46 Kaltag Nulato Watershed
TOTALS	18348.5	8613.5	9735	2392	1573	80.5	17920.3	

Area #6 contains approximately 6,613,500 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the Fish & Wildlife Service. The agency recommends with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges.

There are a total of 9,735,000 acres of d-1 withdrawals administered by the BLM. Approximately 2,392,000 acres have already been open to some combination of entry to leaseable or localable minerals. However, 30% of those lands already open are selected by the State of Alaska or a Native corporation. Altogether, approximately 1,573,000 acres of BLM-administered lands are selected, including portions of those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 29% of these lands will likely be conveyed.

There are 80,500 acres of d-1 withdrawals administered by the BLM which overlap the withdrawal for the Unakaleet WSR (CSU). The BLM analysis, including the Central Yukon and Kobuk-Seward Resource Management Plan (CYRMP & KSRMP), and public comments indicate these withdrawals are generally less restrictive than the d-1 withdrawals, and do not sufficiently protect important sensitive or critical resources. All together there are approximately 428,200 acres of d-1 withdrawals, which overlap the Unakaleet WSR, as well as (6) 300' setback areas, the Box River RNA, and the Kaltag Nulato Watershed Areas identified primarily in the CYRMP. These d-1 withdrawals should be maintained until the CYRMP is reviewed and updated to reflect current management objectives. The CYRMP is currently scheduled for review in 2009. A total of 428,200 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 6.

In summary, there are a total of 18,348,500 acres of d-1 withdrawals in Area 6. Approximately 17,920,300 acres or 97% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 6,059,400 acres or 33% of these lands (lands immediately opened to entry = total lifted - FWS lands - BLM previously opened/not selected - BLM selected lands or 17920.3-6059.4). The majority of these lands are roughly divided between a low to medium localable mineral potential with a few scattered high potential areas. Essentially none of these lands have any known potential for coal and very few of these lands have a known potential for oil or gas. Most lands with high localable mineral potential, or lands with known leaseable potential in Area 6, were previously opened, and or selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 6 Map](#)

AREA 7 SUMMARY MATRIX

Approximate Acreage in 1,000s									
Total Lands Withdrawn	Other Fed Agencies Administered	BLM Administered Lands	BLM Lands Previously Opened PLO 6477	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals	
PLO 5173	1748	517.5	1230.5	0	1000.5	0	3	1747.7	BLM 300 Setback
PLO 5179	4197.5	4013.5	184	0	46	0	0	4197.5	
PLO 5180	4715	310.5	4404.5	552	1472	0	37.8	4677.2	BLM 15.2 (3) RNAs, 12.7 Peregrine Falcon Habitat 9.9 (4) 300' Setbacks
PLO 5184	2173.5	402.5	1771	0	1518	0	1.9	2171.6	BLM 1.9 (3) 300' Setbacks
PLO 5186	46	0	46	0	46	0	0	46	
TOTALS	12880	5244	7636	552	4082.5	0	40	12840	

Area #7 contains approximately 5,244,000 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies, in coordination with the exception of ANCSA 1001 selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refugees.

There are a total of 7,636,000 acres of d-1 withdrawals administered by the BLM. Approximately 552,000 acres have already been open to some combination of entry to leaseable or locatable mineral entry. However, 10% of those lands already open are selected by the State of Alaska or a Native corporation. Altogether, approximately 4,082,500 acres of BLM-administered lands are selected, including portions of those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 42% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap other BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis including the Central Yukon Resource Management Plan (CYRMP), and public comments indicate there are only 40,000 acres of d-1 withdrawals which overlap the Ishalina, McQuestion, Spooky Valley RNAs, the Peregrine Falcon Habitat Area, the Indian River, Toztina River, Clear Creek, Caribou Creek, Ray Creek and Suaw Creek setbacks. These d-1 withdrawals should be maintained until the CYRMP is reviewed and updated to reflect current management objectives. The CYRMP is currently scheduled for review in 2009. A total of 40,000 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 7.

In summary, there are a total of 12,880,000 acres of d-1 withdrawals in Area 7. Approximately 12,840,000 acres or 99% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 3,016,700 acres or 23% of these lands (lands immediately opened to entry = total lifted - NPS & FWS lands - BLM previously opened/not selected - BLM selected lands or 12840-5244-(552 x 90)-4082.5= 3016.7). The majority of these lands are roughly divided between low to medium locatable mineral potential, with some scattered high potential areas. Essentially none of these lands have known potential for coal, oil or gas. Most lands with medium to high locatable mineral potential, or lands with known leaseable potential in Area 7, were previously opened, and/or selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 7 Map](#)

AREA 8 SUMMARY MATRIX

Approximate Acreage in 1,000s										Rationale for maintaining d-1 withdrawals
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened PLO 6098	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting			
PLO 5173	1224.5	138	1086.5	230	1063.5	0	0	1224.5		
PLO 5179	4807	4761	46	0	46	0	9.6	4797.4	BLM Peregrine Falcon Habitat	
PLO 5180	3047.5	1138.5	1909	517.5	1437.5	0	14.6	3032.9	BLM (2) RNAs	
PLO 5184	759	218.5	540.5	184	460	0	0	759		
PLO 5186	92	0	92	0	92	0	0	92		
TOTALS	9930	6256	3674	931.5	3099	0	24.2	9905.8		

Area #8 contains approximately 6,256,000 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies recommend with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges.

There are a total of 3,674,000 acres of d-1 withdrawals administered by the BLM. Approximately 931,500 acres have already been open to some combination of entry for leaseable or locatable minerals. However, 92% of those lands already open are selected by the State of Alaska or a Native corporation. Altogether, approximately 3,099,000 acres of BLM-administered lands are selected, including portions of those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 30% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap other BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis including the Central Yukon Resource Management Plan (CYRMP), and public comments indicate there are only 24,200 acres of d-1 withdrawals which overlap the Arms Lake and Redlands Lake RNAs, and the Peregrine Falcon Habitat Areas. These d-1 withdrawals should be maintained until the CYRMP is reviewed and updated to reflect current management objectives. The CYRMP is currently scheduled for review in 2009. A total of 24,200 acres of d-1 withdrawals, which includes BLM-managed lands, should be maintained at this time in Area 8.

In summary, there are a total of 9,930,000 acres of d-1 withdrawals in Area 8. Approximately 9,905,800 acres or 99% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisions) before any decision can take place. Lifting these withdrawals would likely provide immediate entry on only 476,300 acres or 4% of these lands (lands immediately opened to entry). Total NPS & FWS lands – BLM previously opened/not selected – BLM selected lands or 9905.8-6256-931.5 x .09 = 3099 = 476.3). The majority of these lands are roughly divided between a low potential high locatable mineral potential. Essentially none of these lands have a known potential for coal, oil or gas. Most lands with high locatable mineral potential were already selected. Most lands with low to medium locatable mineral potential, or lands with known oil and gas potential in Area 8, were previously opened, and or selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 8 Map](#)

AREA 9 SUMMARY MATRIX

Approximate Acreage in 1,000s									
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened PLO 6787	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals	
PLO 5172	1437.5	1207.5	230	0	92	0	1437.5		
PLO 5173	747.5	0	747.5	230	701	0	747.5		
PLO 5174	138	138	0	0	0	0	138		
PLO 5179	3266	3266	0	0	0	0	3266		
PLO 5180	4473.5	678.5	3795	1587	1391.5	0	4473.5		
PLO 5184	3622.5	1702	1920.5	23	724.5	0	3622.5		
PLO 5186	149.5	23	126.5	0	109	0	149.5		
TOTALS	13834.5	7015	6819.5	1840	3018	0	13834.5		

Area #9 contains approximately 7,015,000 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies recommend with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges.

There are a total of 6,819,500 acres of d-1 withdrawals administered by the BLM. Approximately 1,840,000 acres have already been open to some combination of entry for leaseable or locatable minerals. However, 75% of those lands already open are selected by the State of Alaska or a Native corporation. Altogether, approximately 3,018,000 acres of BLM-administered lands are selected, including portions of those lands already opened. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 57% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap other BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis indicates there are no d-1 withdrawals which should be maintained. A total of 0 acres of d-1 withdrawals should be maintained at this time in Area 9.

In summary, there are a total of 13,834,500 acres of d-1 withdrawals in Area 9. Approximately 13,834,500 acres or 100% of these withdrawals can be lifted consistent with the procedures of the Public Land Act. Much of these lands would remain segregated to require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting the d-1 withdrawals would likely provide immediate entry on only 3,341,500 acres or 24% of these lands (lands immediately opened to entry = total lifted - NPS & FWS lands - BLM previously opened/not selected). BLM selected lands or 13,834,570 (13,834,570 - 1840 x 25) = 3341.5). The majority of these lands have a low to medium locatable mineral potential, with some scattered high potential areas. Essentially, 1/3 of these lands have a known potential for primarily oil and gas, with some scattered coal potential. Most lands with high locatable mineral potential or lands with known oil and gas potential in Area 9 were previously opened, and/or selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 9 Map](#)

AREA 10 SUMMARY MATRIX

Approximate Acreage in 1,000s

Total Lands Withdrawn	Other Fed Lands	BLM Administered Lands	BLM Administered Lands	BLM Lands Previously Opened	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	Rationale for maintaining d-1 withdrawals
PLO 5172	667	667	0	0	0	0	0	667	
PLO 5174	1322	701.5	620.5	0	253	0	0	1322	
PLO 5176	386	386	0	0	0	0	46.1	339.9	BLM 120 Halibut Cove Forest Study Area NFS 46 Nellie Juan
PLO 5177	770.5	770.5	0	0	0	0	0	770.5	
PLO 5179	6704.5	6348	356.5	0	299	0	248.5	6456	NFS 207 Nellie Juan, 41.5 Lost Lake
PLO 5180	2564.5	2081.5	483	0	46	0	9	2555.5	NFS Portage
PLO 5181	1069.5	1069.5	0	0	0	0	0	1069.5	
PLO 5184	3254.5	1782.5	1472	0	770.5	0	0	3254.5	
TOTALS	16738.5	13806.5	2932	0	1368.5	0	303.6	16434.9	

Area #10 contains approximately 13,806,500 acres of d-1 withdrawals within Conservation System Units/National Forest Service lands (CSUs) administered by the National Park Service, Fish & Wildlife Service or the Forest Service. These agencies recommend with the exception of ANCSA 14(b) selections and the ANILCA additions to Forest Service lands, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refuges (NPS and FWS totals 13,503,000 acres). In general, Forest Service lands would be open to leaseable and locatable entry like the rest of the forest. However, the Forest Service recommends maintaining 303,500 acres of d-1 withdrawals overlapping the Nellie Juan, Lost Lake, and Portage areas, to provide temporary protection on sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process.

There are a total of 2,932,000 acres of d-1 withdrawals administered by the BLM, none of which were previously open to leaseable or locatable mineral entry. Altogether, approximately 1,368,500 acres of BLM-administered lands are selected by the State of Alaska or a Native corporation. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 90% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap other BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis including the draft Ring of Fire Resource Management Plan (RFRMP), and public comments indicate there are only 120 acres of d-1 withdrawals which overlap the proposed Halibut Cove Forest Study Area. These d-1 withdrawals should be maintained to provide temporary protection on sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process. A total of 303,620 acres of d-1 withdrawals, which include both BLM and other agency managed lands, should be maintained at this time in Area 10.

In summary, there are a total of 16,738,500 acres of d-1 withdrawals in Area 10. Approximately 16,434,900 acres or 98% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 1,563,400 acres or 9% of these lands (lands immediately opened to entry = total lifted - NPS & FWS lands - BLM selected lands or 16434.9 - 13503 - 1368.5 = 1563.4). The majority of these lands have a medium locatable mineral potential, with very few scattered high potential areas. Essentially none of these lands have a known potential for coal, oil or gas. Most lands with high locatable mineral potential, or lands with known leaseable potential in Area 10, were previously selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 10 Map](#)

AREA 11 SUMMARY MATRIX

Approximate Acreage in 1,000s								Rationale for maintaining d-1 withdrawals
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting	
Area 11								
PLO 5175	575	552	23	0	23	0	575	
PLO 5177	368	368	0	0	0	0	368	
PLO 5179	655.5	655.5	0	0	0	0	655.5	
PLO 5180	46	46	0	0	0	0	46	
PLO 5184	989	988	1	0	1	0	989	
PLO 5390	92	92	0	0	0	0	92	
TOTALS	2725.5	2701.5	24	0	24	0	2725.5	

Area #11 contains approximately 2,701,500 acres of d-1 withdrawals within Conservation System Units (CSUs) administered by the National Park Service or Fish & Wildlife Service. These agencies recommend with the exception of ANCSA 14(h) selections, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be opened to leaseable or locatable mineral entry. Fish & Wildlife Service lands would be open to only leaseable entry upon a future determination of compatibility with individual refugees.

There are a total of 24,000 acres of d-1 withdrawals administered by the BLM, none of which were previously open to leaseable or locatable mineral entry. Altogether, approximately 24,000 acres of BLM-administered lands are selected. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 100% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap other BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis indicates no d-1 withdrawals should be maintained. A total of 0 acres of d-1 withdrawals should be maintained at this time in Area 11.

In summary, there are a total of 2,725,500 acres of d-1 withdrawals in Area 11. Approximately 2,725,500 acres or 100% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated to entry until administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on the lands (lands immediately opened to entry = Total lifted - NFS & FWS lands - BLM selected lands or 2725.5-2701.5-24 = 0). There is no known potential for coal, oil or gas in Area 11. Those lands with any known locatable mineral potential in Area 11 were previously selected by the State of Alaska, or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 11 Map](#)

AREA 12 SUMMARY MATRIX

Approximate Acreage in 1,000s								Rationale for maintaining d-1 withdrawals	
Total Lands Withdrawn	Other Fed Agencies Administered Lands	BLM Administered Lands	BLM Lands Previously Opened	BLM Lands Selected	BLM Overlapping Withdrawals	Recommend Maintaining	Recommend Lifting		
Area 12									
PLO 5179	885	885	0	0	0	0	0	885	
PLO 5180	1391.5	1161.5	230	0	230	0	0	1391.5	
PLO 5186	80.5	80.5	0	0	0	0	0	47.8	BLM 1.8 Lake Carlana Muni Watershed NFS 23 Warm Pass NRA, 23 Katozhoine WSR
TOTALS	2357	2127	230	0	230	0	47.8	2309.2	

Area #12 contains approximately 2,127,000 acres of d-1 withdrawals within Conservation System Units/National Forest Service lands (CSUs) administered by the National Park Service or Forest Service. These agencies recommend with the lifting of ANCSA 14(h) selections, and the ANILCA additions to Forest Service lands, the d-1 withdrawals can be lifted without adverse effects on these CSUs. National Park Service lands would not be open to lease or conveyance until the public interest in the land is determined. Forest Service lands would be open to lease and locatable entry like the rest of the forest. However, the Forest Service recommends maintaining 46,000 acres of d-1 withdrawals overlapping the Warm Pass RNA and proposed Kalezeheln WSR, to provide temporary protection on sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process.

There are a total of 230,000 acres of d-1 withdrawals administered by the BLM none of which were previously open to leaseable or locatable mineral entry. Altogether, approximately 230,000 acres of BLM-administered lands are selected. If the d-1 withdrawals are lifted selected lands will remain segregated to entry until the lands are conveyed, the entitlements are met, or the selections are relinquished or rejected. State or Native conveyance priorities indicate 40% of these lands will likely be conveyed.

None of the d-1 withdrawals administered by the BLM overlap BLM CSU withdrawals or the Utility Corridor (PLO 5150). The BLM analysis including the draft Ring of Fire Resource Management Plan (RFRMP), and public comments indicate there are only 1,800 acres of d-1 withdrawals which overlap the proposed Lake Carlana Municipal Watershed Area. These d-1 withdrawals should be maintained to provide temporary protection on sensitive areas until a more appropriate withdrawal or land management prescription is put into place through the land use planning process. A total of 47,800 acres of d-1 withdrawals, which includes BLM and other agency managed lands, should be maintained at this time in Area 12.

In summary, there are a total of 2,357,000 acres of d-1 withdrawals in Area 12. Approximately 2,309,200 acres or 97% of these withdrawals can be lifted consistent with the protection of the public's interest. Much of these lands would remain segregated or require additional administrative procedures (NEPA/decisional) before any development can take place. Lifting these withdrawals would likely provide immediate entry on only 1,402,200 acres or 60% of these lands (lands immediately opened to entry = total lifted - NPS lands - BLM selected lands or 2309.2 - 677 - 230 = 1402.2). The majority of these lands have no known locatable mineral potential, with very few scattered high potential areas. Essentially none of these lands have known potential for coal, oil or gas. Most lands with high locatable mineral potential in Area 12, were previously selected by the State of Alaska or a Native corporation.

Report to Congress June 2006

Sec. 207 of the Alaska Land Transfer Acceleration Act

[Click here: Area 12 Map](#)

Exhibit E
 Testimony of J. P. Tangen
 Alaska Miners Association
 March 28, 2016

FOR PUBLICATION

**UNITED STATES COURT OF APPEALS
 FOR THE NINTH CIRCUIT**

STATE OF ALASKA DEPARTMENT OF
 NATURAL RESOURCES; DEPARTMENT
 OF TRANSPORTATION AND PUBLIC
 FACILITIES,

Plaintiffs-Appellants,

v.

UNITED STATES OF AMERICA; AGNES
 M. PURDY, Owner of Native
 Allotment No. 50-2008-0437
 certificate no.; that portion of Native
 Allotment No. 50-2008-0437
 currently occupied by Chicken Ridge
 Alternate, Myers Fork Spur, Chicken
 to Franklin and Chicken Ridge
 Trails, containing 17.5 acres;
 BARBARA A. REDMON, on behalf of
 Anne L. Purdy, Owner of Native
 Allotment No. 50-2013-0004,
 certificate no.; that portion of Native
 Allotment No. 50-2013-0004
 currently occupied by Chicken to
 Franklin and Chicken Ridge Trails,
 containing approximately 6.4 acres
 of land; DENA' NENA' HENASH,
 Tanana Chiefs Conference, an
 Alaska non-profit corporation,
Defendants-Appellees.

No. 14-35051

D.C. No.
 4:13-cv-00008-
 RRB

OPINION

Exhibit E
Testimony of J. P. Tangen
Alaska Miners Association
March 28, 2016

2 STATE OF ALASKA DEP'T OF NAT. RES. V. UNITED STATES

Appeal from the United States District Court
for the District of Alaska
Ralph R. Beistline, Senior District Judge, Presiding

Argued and Submitted
May 12, 2015—Anchorage, Alaska

Filed March 14, 2016

Before: William C. Canby, Jr., Jay S. Bybee,
and Paul J. Watford, Circuit Judges.

Opinion by Judge Watford

SUMMARY*

Quiet Title / Declaratory Judgment / Condemnation

The panel affirmed the district court's dismissal of quiet title and declaratory judgment claims for lack of subject matter jurisdiction, and vacated the dismissal of a condemnation claim in a case involving a land dispute between the State of Alaska and two Alaska Natives, Agnes and Anne Purdy, concerning ownership of rights-of-way for four public trails that cross the Purdys' land.

The Purdys acquired ownership of the parcels in question under the Alaska Native Allotment Act through allotments by the federal government. The State of Alaska contended that

* This summary constitutes no part of the opinion of the court. It has been prepared by court staff for the convenience of the reader.

Exhibit E
Testimony of J. P. Tangen
Alaska Miners Association
March 28, 2016

the allotments were subject to rights-of-way for four trails. Federal statute R.S. 2477, repealed in 1976, granted rights of way over public lands; it was self-executing; acceptance of a grant was determined by state law; and under Alaska law an R.S. 2477 grant could be accepted through public use.

Addressing the State of Alaska's Quiet Title Act claim, the panel held that the State of Alaska's quiet title claim was barred. The panel held that the United States was a necessary party to the claim because it held an interest in the Purdys' allotments (by virtue of the restraint on alienation), and recognition of the R.S. 2477 rights-of-way would impair the United States' interest. The panel further held that the United States had not waived its immunity from suit pursuant to the Quiet Title Act's Indian lands exception, which preserves the United States' immunity from suit when the United States claims an interest based on that property's status as trust or restricted Indian lands. The panel concluded that the district court properly dismissed the claim for lack of subject matter jurisdiction.

The panel held that the district court correctly dismissed the State of Alaska's claim for declaratory relief under 28 U.S.C. § 2201, which sought essentially the same relief as the quiet title claim.

Addressing the State of Alaska's condemnation claim against the Purdys and the United States under 25 U.S.C. § 357, the panel held that although the district court had subject matter jurisdiction to hear the State's condemnation claim, the claim could not proceed as pleaded. The panel held that the United States was an indispensable party to the claim. The panel further held that the district court erred in dismissing the claim on the ground that the United States had

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not waived its sovereign immunity because Congress waived the government's immunity with respect to such claims. The panel also held that the United States' express consent to the condemnation claim was not required. The panel concluded that the State improperly pleaded its condemnation claim, and remanded so that the State may be given an opportunity to amend the claim if it so chooses.

COUNSEL

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Sam Hirsch, Acting Assistant Attorney General, David C. Shilton and John Emad Arbab (argued), Attorneys, Environment & Natural Resources Division, United States Department of Justice, Washington, D.C., for Defendant-Appellee United States of America.

Michael C. Kramer (argued) and Justin J. Andrews, Kramer and Associates, Fairbanks, Alaska, for Defendants-Appellees Agnes Purdy and Anne Purdy.

Richard D. Monkman, Harry R. Sachse, and Maile S. Tavepholjalern, Sonosky, Chambers, Sachse, Miller & Munson, LLP, for Defendant-Appellee Dena' Nena' Henash (Tanana Chiefs Conference).

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OPINION

WATFORD, Circuit Judge:

This case involves a land dispute between the State of Alaska and two Alaska Natives, Agnes and Anne Purdy. Agnes Purdy owns a 160-acre parcel of land in eastern Alaska near the town of Chicken; her sister Anne owns a neighboring 40-acre parcel. The State contends that it owns rights-of-way for four public trails that cross the Purdys' land, trails which the State wants to keep open for public use. The Purdys dispute the State's claim of ownership and want to stop members of the public from trespassing on their property by using the trails.

The State sued the Purdys and the United States (as well as other defendants not relevant here) in federal court. Three of the State's claims are at issue: (1) a claim seeking to quiet title to the four rights-of-way; (2) a declaratory judgment claim seeking essentially the same relief; and (3) a claim seeking to condemn for public use whatever portions of the rights-of-way the State does not already own. The district court dismissed these claims for lack of subject matter jurisdiction and entered partial final judgment under Federal Rule of Civil Procedure 54(b). The remainder of the action has been stayed pending resolution of this appeal.

We conclude that the district court properly dismissed the quiet title and declaratory judgment claims for lack of subject matter jurisdiction. We vacate dismissal of the condemnation claim because that claim may proceed if the State chooses to amend it on remand.

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I

The Purdys acquired ownership of the parcels in question under the Alaska Native Allotment Act, 43 U.S.C. § 270–1 *et seq.* (1970). Congress repealed the Act in 1971 but included a savings provision for applications pending on the repeal date. 43 U.S.C. § 1617(a). As relevant here, the Act authorized the Secretary of the Interior to allot up to 160 acres of land to Alaska Natives, subject to a restraint on alienation. The relevant portion of the statute provides:

The Secretary of the Interior is authorized and empowered, in his discretion and under such rules as he may prescribe, to allot not to exceed one hundred and sixty acres of vacant, unappropriated, and unreserved nonmineral land in Alaska . . . to any Indian, Aleut, or Eskimo of full or mixed blood who resides in and is a native of Alaska, and who is the head of a family, or is twenty-one years of age; and the land so allotted shall be deemed the homestead of the allottee and his heirs in perpetuity, and shall be inalienable and nontaxable until otherwise provided by Congress

§ 270–1. To qualify for an allotment, an applicant needed to show “substantially continuous use and occupancy of the land for a period of five years.” § 270–3.

The Purdys applied for their respective allotments in 1971 before the Act was repealed. After a decades-long administrative process, the Bureau of Land Management (BLM) approved the Purdys’ allotment applications,

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concluding that Agnes had shown continuous use and occupancy of her 160-acre parcel since 1931, and that Anne had shown continuous use and occupancy of her 40-acre parcel since 1955. In 2008 and 2012, the BLM issued allotment certificates to the Purdys that transferred title to the land. As mandated by the Act, the allotment certificates contain a restraint on alienation stating that the land “shall be inalienable and nontaxable until otherwise provided by Congress or until the Secretary of the Interior . . . approves a deed of conveyance vesting in the purchaser a complete title to the land.”

The State contends that the Purdys’ allotments are subject to rights-of-way for the following trails: the Chicken to Franklin Trail, the Chicken Ridge Trail, the Chicken Ridge Alternative Trail, and the Myers Fork Spur Trail. The State’s complaint alleges that the public began using these trails in the late 1800s, long before the Purdys’ use and occupancy of their allotments began. The State further alleges that, by virtue of this public use, it acquired ownership of the rights-of-way under an unusual federal statute known as R.S. 2477. That statute, first enacted in 1866, provides: “The right of way for the construction of highways over public lands, not reserved for public uses, is granted.” 43 U.S.C. § 932 (1970). Congress repealed the statute in 1976, but rights-of-way in existence on the date of repeal were preserved. *Lyon v. Gila River Indian Community*, 626 F.3d 1059, 1076 (9th Cir. 2010).

R.S. 2477 is unusual, as land-grant statutes go, because of its self-executing nature. No formal document memorializing the grant of a right-of-way needed to be executed by a federal official. *Southern Utah Wilderness Alliance v. BLM*, 425 F.3d 735, 741 (10th Cir. 2005). Nor did a State, as the

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recipient of the grant, need to take any formal steps to accept the federal government's grant of a right-of-way. Acceptance of a grant is determined by state law, and under Alaska law an R.S. 2477 grant could be accepted through public use. *Fitzgerald v. Puddicombe*, 918 P.2d 1017, 1019 (Alaska 1996); *Hamerly v. Denton*, 359 P.2d 121, 123 (Alaska 1961). "The extent of public use necessary to establish acceptance of the RS 2477 grant depends upon the character of the land and the nature of the use." *Fitzgerald*, 918 P.2d at 1020. While "infrequent and sporadic" use is insufficient, *Hamerly*, 359 P.2d at 125, "continuous use is not required," *Fitzgerald*, 918 P.2d at 1020. Beyond that, the Alaska cases provide little guidance as to the quantum of public use that must be shown, other than to note that the ultimate question is whether there has been public use "for such a period of time and under such conditions as to prove that the grant has been accepted." *Hamerly*, 359 P.2d at 123.

The State's complaint alleges facts that, in its view, establish sufficient public use of the four trails to prove acceptance of the grant. For example, the State alleges that in 1926, some 517 people, 215 pack horses, 29 sleds, and 75 tons of freight traversed the Chicken to Franklin Trail, while 261 people, 86 pack horses, and 5 tons of freight traversed the Chicken Ridge Trail. Whether the public's use of the four trails was sufficient to prove acceptance under Alaska law is an issue that has not previously been resolved through litigation. The State seeks to litigate that issue now. And it seeks more particularly to show that, because the rights-of-way were accepted before the Purdys' use and occupancy of their allotments began, the Purdys took title subject to the State's pre-existing ownership interests.

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II

The first question raised by this appeal is whether the district court had jurisdiction to hear the State's quiet title claim, by which it seeks to establish ownership of the four contested rights-of-way. The second question is whether the State may condemn for public use whatever portions of the rights-of-way it does not already own.

A

The district court correctly held that the State's quiet title claim is barred. The United States is a necessary party to that claim but has not waived its immunity from suit.

To establish ownership of the rights-of-way, the State sued the United States under the Quiet Title Act (QTA), 28 U.S.C. § 2409a. The QTA states in relevant part:

The United States may be named as a party defendant in a civil action under this section to adjudicate a disputed title to real property in which the United States claims an interest, other than a security interest or water rights. This section does not apply to trust or restricted Indian lands

§ 2409a(a). The State had to name the United States as a defendant because it holds an interest in the Purdys' allotments (by virtue of the restraint on alienation), and recognition of the R.S. 2477 rights-of-way would impair the United States' interest. *See Minnesota v. United States*, 305 U.S. 382, 386 n.1 (1939); *United States v. City of McAlester*, 604 F.2d 42, 46 (10th Cir. 1979). The State had

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to sue under the QTA because that statute provides “the exclusive means by which adverse claimants [may] challenge the United States’ title to real property.” *Block v. North Dakota*, 461 U.S. 273, 286 (1983). The QTA governs even when an adverse claimant, like the State here, asserts ownership of less than a fee simple interest. *Mills v. United States*, 742 F.3d 400, 405 (9th Cir. 2014); *State of Alaska v. Babbitt (Albert)*, 38 F.3d 1068, 1074 (9th Cir. 1994).

The United States may be sued only if a statute expressly waives its sovereign immunity. *Block*, 461 U.S. at 280. The QTA waives the United States’ immunity with respect to claims covered by that statute, but the statute excludes from its coverage claims involving “trust or restricted Indian lands.” 28 U.S.C. § 2409a(a). This exclusion, known as the Indian lands exception, preserves the United States’ immunity from suit “when the United States claims an interest in real property based on that property’s status as trust or restricted Indian lands.” *United States v. Mottaz*, 476 U.S. 834, 843 (1986).

The Indian lands exception applies if the federal government has a “colorable claim” that the lands in question are trust or restricted Indian lands. *Wildman v. United States*, 827 F.2d 1306, 1309 (9th Cir. 1987). That test is met so long as the federal government’s position “was not undertaken in either an arbitrary or frivolous manner.” *Albert*, 38 F.3d at 1076.

The federal government has a colorable claim that the Purdys’ allotments are restricted Indian lands. The allotments are Indian lands because the Purdys received the allotments under the Alaska Native Allotment Act. *See State of Alaska v. Babbitt (Foster)*, 75 F.3d 449, 450–52 (9th Cir. 1996). And

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those lands are considered “restricted” by virtue of the restraint on alienation contained in the allotment certificates. *See* 25 C.F.R. § 152.1(c); *State of Alaska*, 45 IBLA 318, 321–22 (1980). Thus, the allotment certificates alone give rise to a colorable claim that the lands in question are restricted Indian lands, *see Foster*, 75 F.3d at 452, unless the State can show that the rights-of-way it asserts were validly granted before the allotments were issued.

The State successfully made that showing in *State of Alaska v. Babbitt (Bryant)*, 182 F.3d 672 (9th Cir. 1999). As in this case, the land at issue in *Bryant* was allotted to an Alaska Native (William Bryant), whose use and occupancy of the land began in 1964. In 1961, however, the federal government had earlier appropriated the same land to the State for use as a material site right-of-way under a federal highway statute. *Id.* at 673, 677 n.32. There was no dispute that the 1961 grant to the State had in fact been made: The statute authorizing the grant required then, as it does now, that the Secretary of Transportation file “a map showing the portion of such lands or interests in lands” that the federal government wished to appropriate. 23 U.S.C. § 317(a). As a legal matter, then, the land was simply not available for allotment when Bryant began occupying it in 1964, and the BLM therefore lacked the authority to allot the land to Bryant in the first place. Given those facts, we held that the federal government had no claim, much less a colorable one, that the lands in question were trust or restricted Indian lands. *Bryant*, 182 F.3d at 676–77.

Our case is different. We do not have a clear and undisputed grant from the federal government to the State of an interest in the Purdys’ allotments. To be sure, we have a *potential* grant of such an interest under R.S. 2477, but

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whether the rights-of-way were accepted (and when) is open to dispute. Resolution of that issue would require a fact-intensive inquiry into the nature and character of the public's use of the four contested trails from the late 1800s through the 1920s. The State may be right that it has the better of the argument—that if given the chance to do so, it could successfully show public use of the trails “for such a period of time and under such conditions as to prove that the grant has been accepted.” *Hamerly*, 359 P.2d at 123. But even accepting as true all of the State's factual allegations concerning the nature and character of public use that occurred, the question remains whether that use establishes, as a legal matter, acceptance of the grants under Alaska law. We cannot say that the issue is so open and shut that arguing against recognition of the R.S. 2477 rights-of-way amounts to an arbitrary or frivolous position. The federal government therefore has a colorable claim that the lands in question are restricted Indian lands.

Because the Indian lands exception applies, the district court correctly dismissed the State's quiet title claim for lack of subject matter jurisdiction. (We decline to address the State's argument that its quiet title claim against the Purdys may proceed in the United States' absence, as the State failed to assert that argument below in opposition to the Purdys' motion to dismiss.) The district court also correctly dismissed the State's claim for declaratory relief under 28 U.S.C. § 2201, which sought essentially the same relief as the quiet title claim. A claim under the Declaratory Judgment Act may not be used as an end run around the QTA's limited waiver of sovereign immunity. *McMaster v. United States*, 731 F.3d 881, 900 (9th Cir. 2013).

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B

The State has also asserted a condemnation claim against the Purdys and the United States under 25 U.S.C. § 357. That statute provides: “Lands allotted in severalty to Indians may be condemned for any public purpose under the laws of the State or Territory where located in the same manner as land owned in fee may be condemned, and the money awarded as damages shall be paid to the allottee.” The United States is an indispensable party to this claim, given the interest it holds in the Purdys’ allotments. *See Minnesota*, 305 U.S. at 386. The State adequately named the United States as a defendant to the condemnation claim when it incorporated by reference the parties named in paragraphs 15–21 of the complaint, which included the United States.

The district court dismissed the State’s condemnation claim on the ground that the United States had not waived its sovereign immunity. That ruling was in error. By authorizing condemnation actions under § 357, Congress waived the United States’ immunity with respect to such claims. *See Minnesota*, 305 U.S. at 388; *Jachetta v. United States*, 653 F.3d 898, 907 (9th Cir. 2011).

The Purdys contend that the State may not pursue a condemnation claim—even though authorized under § 357—unless the United States expressly consents to the suit. That contention is squarely foreclosed by our precedent, which holds that such consent is not required. *See Southern California Edison Co. v. Rice*, 685 F.2d 354, 356–57 & n.5 (9th Cir. 1982); *Nicodemus v. Washington Water Power Co.*, 264 F.2d 614, 617–18 (9th Cir. 1959). The Purdys rely on *United States v. Pend Oreille County Public Utility District No. 1*, 135 F.3d 602 (9th Cir. 1998), but that case is

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distinguishable. The condemning authority there sought to condemn both tribal reservation land and individual Indian allotments by flooding the lands through construction of a dam. *Id.* at 606, 607. Because the reservation land could not be condemned under § 357 (only the individual allotments could), we held that the condemning authority needed the consent of the United States to proceed. 135 F.3d at 613–14. This case, by contrast, like *Rice* and *Nicodemus*, involves an attempt to condemn only individual allotments, so express consent by the United States is not required. *See Rice*, 685 F.2d at 357; *Nicodemus*, 264 F.2d at 617–18.

Although the district court had subject matter jurisdiction to hear the State's condemnation claim, that claim may not proceed as pleaded. The State has alleged a "confirm-and-condemn" claim that asks the district court first to "confirm" the extent of the rights-of-way it already owns under R.S. 2477. The State then asserts that it will condemn only those portions of the four trails it does not already own. The State may not plead the claim in this manner. Because the State's claim under the QTA is barred, it may not litigate title to the contested rights-of-way through the back door by asserting a condemnation claim under § 357. *See Match-E-Be-Nash-She-Wish Band v. Patchak*, 132 S. Ct. 2199, 2205 (2012). If the State wishes to condemn the contested rights-of-way in full and pay just compensation for their taking, it must make that intention clear. We vacate the district court's dismissal of the State's condemnation claim and remand the case so

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that the State may be given an opportunity to amend that claim, if it so chooses.

AFFIRMED in part, VACATED in part, and REMANDED.

The parties shall bear their own costs.

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The Alaska Miners Association recommends that ANILCA be amended by adding a new language at the end of Section 906(d)(1) as follows:

In furtherance of the State's entitlement to submerged lands under section 6(m) of the Alaska Statehood Act, the United States hereby conveys to the State of Alaska, subject only to valid existing rights all right, title and interest of the United States in and to all lands within the boundaries of the State of Alaska which are covered by nontidal waters which, when ice-free, are deep enough to float a laden raft up to the ordinary high water mark as heretofore or hereafter modified by accretion, erosion, and reliction; and all lands permanently or periodically covered by tidal waters up to but not above the line of mean high tide and seaward to a line three geographical miles distant from the coast line of such State and to the boundary line of such State where in any case such boundary as it existed at the time such State became a member of the Union, or as heretofore approved by Congress, extends seaward beyond three geographical miles, and all filled in, made, or reclaimed lands as hereinabove defined unless such lands can be shown to have not been navigable as of July 7, 1958.

The CHAIRMAN. Thank you, Mr. Tangen. I appreciate the very concrete proposals here, and they will be a springboard for our conversation here.

To the last panel I asked a general question—areas that we might look to that are currently holding us back as Alaskans in accessing our resources. That panel was focused on oil and gas opportunities and access to our lands.

We are now looking at mining and recognizing the amazing potential that we have in Alaska for the elements that are buried here. While we have a lot of focus on coal coming out of Usibelli and gold coming out the Fortymile District, our reality is that here in Alaska our mineral resources are extraordinary and world-class.

While we think about the vulnerability that we had as a nation when we were so heavily reliant on imports for oil coming in from nations that did not really like us and we always talked about that great vulnerability, that has changed dramatically as we have figured out how to access more of our oil and natural gas potential. But our reality is that when it comes to our minerals we are moving in the same direction that we were with oil and natural gas being more and more reliant on others for elements that are necessary and critical to our daily lives. I am wandering around with a smart phone as are you. Any one of us that want to support and move out on renewable energy sources, if you are interested in more wind turbines, you have got to have those minerals that go into the component pieces of that wind energy turbine.

So focusing on minerals and mining, I think, is not only important from a jobs and access to resources perspective, but it is also important from that security perspective. That was, I think, your final line, Mr. Tangen.

So the question to each of you. In addition to what you have already mentioned, concerns about the mitigation proposal, concerns about the stream buffer rule, concerns about what we are seeing with ACECs and these, kind of, pseudo withdrawals, how can we be doing more to allow Alaska the opportunity to achieve its full potential when accessing our mineral resources?

It was Mr. Marushack who said, "It's not so much the regulations, it's the interpretation and the unpredictability of the regulations." Do you agree with that or is it the regulations? So if we can just start the conversation off this way, and Mr. Jeffress we will begin with you.

Mr. JEFFRESS. I think Joe is absolutely correct on this. One of the things we have seen is the regulated industry can adapt to the regulations, but it's this ever-changing re-interpretation.

One of the biggest issues is the fact that objectivity in the regulatory agencies is a thing of the past. We have this subjective climate where individual biologists can nominate ACECs and the group that reviews that nomination area peers within the agencies. I mean, there's other criteria on the Corps of Engineers, not to pick on them, but with some of the other cooperating agencies, U.S. Fish and Wildlife Service, National Marine Fisheries, the objectivity is a thing of the past. It is very frustrating because I came to Alaska to permit the Fort Knox mine, and it was ten years from discovery to production. That is a thing of the past right now too,

and a lot of it is not because the regulations have changed. It is because the interpretation of those regulations have changed.

The CHAIRMAN. Bronk, do you agree with that?

Mr. JORGENSEN. I would agree with that when we just look at these two piles. The old ones and what is being proposed, especially from a small operation. When you have big companies saying they cannot keep up how is a family operation supposed to keep up with reading this?

The CHAIRMAN. Can you speak to that a moment because in your written testimony you move to the one-size-fits-all and it doesn't make a difference if it is a mom-and-pop placer miner operation on the Fortymile or whether it is a large-scale mining effort. It basically is a one-size-fits-all approach.

Mr. JORGENSEN. Correct, and it is also all-50-states-approach-fits-all.

I think the Sturgeon case made a good point that Alaska is unique and different. And you know, ANILCA was supposed to help us with that.

There is also a law called the Small Business Regulatory Enforcement Fairness Act which agencies are supposed to look at how these regulations will affect small operators compared to big operators. For the most part that's not being done, but it is required. So they need to be looking at both sides, but they are not.

When you look at federal mining claims in Alaska in the Fortymile since withdrawals have taken place, in the Fortymile there have been no open stakes. At the time of withdrawal all valid claims that had discovery were valid and could be mined. Now BLM, if you want to change your plan or go mine a claim that does not have an old plan, they are going to require you to do a mineral validity exam, about \$60,000 a claim. And if they do not deem that there is enough mineral there, by their opinion, they are going to take it away and you lose the claim. And that is wrong.

You know, when the withdrawals took place in the Scenic River corridors, they went around existing valid claims but BLM has blanketed over. So the expense—the government can contest the claim if they do not believe it is valid but they have to pay for it, not the individual miner.

This is becoming a big issue with reclamation also. Our plans, most plans, have an acreage limit. You mine some ground. You keep going up the creek. You reclaim the background. If BLM will not sign off on your reclamation you eventually run out of acres and you are out of business. You're going to have to wait until, in essence, the willows grow.

If you look at creeks that have been mined you can see that stuff is going to grow. You can see that it is going to happen. But BLM, at this point, is developing this new REM policy. They spent a bunch of money on Jack Wade Creek developing it, and this is not regulation, this is just in-house policy that is come about with instructional memoranda. A few weeks ago they just released it. Now they are doing re-vegetation standards also.

The CHAIRMAN. So it is not just the regulation, it is not just statute, it is guidance, it is guidelines that effectively come up and—

Mr. JORGENSEN. Correct.

The CHAIRMAN. Grab you from behind.

Mr. JORGENSEN. The way we see it is BLM employees have to follow those policies. It isn't the law. We do not have to follow it, yet that is the policy so they will not sign off on reclamation work.

When I asked for reclamation on Franklin Gulch to be signed off on it took two years for a response. Part was granted, part was not, and there is no definite time period. There is nothing.

BLM stated that the Wade Creek Demonstration Project would not be used as a policy and a standard. Yesterday I was given a decision BLM issued on some other reclamation for another miner in the Fortymile that specifically referenced the Wade Creek reclamation job as to how it should be done.

The CHAIRMAN. Yes, they told us it was not going to be used that way.

Let me ask you, Lorali, you are coming from a company that is 73, close to 75 years old, an operation of bigger mining, but with the same set of concerns when it comes to the interpretation of the regulations. You have also cited very specifically that the Stream Protection Rule is a rule that would effectively wipe out Usibelli's operation of mining in Alaska. I think those were your words.

Ms. SIMON. Yeah, truly it's a mess out there, and I mean the federal regulatory world.

It is true that in order for any of us to do our jobs we need a stable regulatory environment. We just want to know what the rules are so that we can play by the rules. But the problem is that you have Congress who enacts legislation and then you have these agencies who are, in essence, rewriting the rules of the game, in our opinion, unlawfully. And so, it makes it very difficult for our industry to survive when there is so much uncertainty, and it really is becoming just death by a thousand cuts.

I forget what the figure is, but in the first few years of this Administration there were more federal regulations passed than all of the history of the United States combined. I mean, it just became an absolute onslaught of a new way of creating the business environment in this country. And so, you know, I talked about the Stream Protection Rule. That is certainly under your Committee's purview, but also the Waters of the United States, everybody in this room should be concerned about that. It will affect every single development project in this country, not just mining but construction, your personal home construction, large construction projects, the oil and gas industry.

And so, we certainly appreciate your attention to that. That is something that you worked on, quite hard on. But yeah, I mean, really, it is just an onslaught every day of what is coming next.

And again, isn't this process a public process where elected officials are creating new rules? I am quite confident this did not come across your desk for a signature, right? So this is not being reviewed by our elected officials. It is being created.

The CHAIRMAN. J.P., do you want to weigh in here?

Mr. TANGEN. Yes, Senator.

I hope to weigh in with a proposal that may be at least a partial solution and that goes to the point that I made in my testimony, and that is that the Alaska Land Use Council should be reconstituted.

I remind you that in 1980 when ANILCA was passed, Section 1201 set up the Alaska Land Use Council and it consisted of the federal land managing agencies plus the representative of the President of the United States, one of the co-chairman and the state counterpart to each of these agencies plus the Governor of Alaska as the other co-chairman. It was primarily in 1201, it was provided that the Land Use Council would be reconsidered in 1990. In 1990 the Land Use Council unanimously recommended to your Committee, this Committee, that the Land Use Council not be sunsetted.

Nonetheless, this Committee and the Congress of the United States elected to allow it to disappear. Now, though, the Land Use Council essentially was a forum for coordinating the impact of regulations by the land use, the federal land management agencies, with the needs of the State of Alaska. And it was an opportunity for us to, we in Alaska, to want to have a voice in what was going to happen in regulations and recommendations, and activities that impacted federal lands had to be agreed to by the Council.

We need to reinstate that Council. It is a priority, and I think that it would go a long way in addressing many of the issues that were addressed today. At least we would have state influence at a significant level on some of these regulations. These regulatory burdens, I mean. Bronk and Bill and others have made the point. They are outrageous, absolutely outrageous. I have clients cross my office who could not possibly begin to move the first yard of gravel at the placer mining operation if they had to sit down and read every word of the regulatory requirements that impact them. It literally is putting my clients and other people like them out of business.

The CHAIRMAN. I would certainly, certainly, agree that when you think about those that are just out there on the creek trying to make a living, they are not going home at the end of a long, hard day and sifting through these regs or the CFRs to see what is coming their way.

I also think that from the agency perspective, and we do not have anyone from the agencies that are testifying today. We will have an opportunity for that, hopefully, at another hearing. But in terms of what is now being required of your placer miners out there, Bronk, whether or not BLM has the resources, the technical expertise, to review and to issue all of these placer miner permits in a timely manner. So you have got on the one hand the miner not being able to keep up with it, but you also have the agency that has now put on themselves all this additional work. They cannot get to it, so it slows you up and you get to what Lorali has said, a mess, just a general mess.

I want to ask each of you about this Presidential Memorandum on Mitigation. We held a hearing in the Senate Energy and Natural Resources Committee three weeks ago now, and we received good insight and testimony on that.

The concern that has been raised is that this is not just something that will impact our public lands. I think it was you, Bill, that mentioned it will affect development on private lands, on our Native Corporation lands as well.

Can any of you speculate what these additional mitigation requirements might do? We all recognize the uncertainty that it brings, but what might this do to the investment climate because it is pretty tough to get out there and gauge in much beyond a very, very, small operation if there is no investment for your operation. What do you think that this is going to be doing to the investment climate? Bill.

Mr. JEFFRESS: Well I think that, first of all, the uncertainty even with the Corps of Engineers right now with the compensatory mitigation. Until they put the 1994 Alaska Wetlands Initiative back in the tool box, there is tremendous uncertainty on what it was going to cost. You have to figure that into the economics of your project.

What this adds now is that every one of the federal agencies named in the Memorandum that has any part in authorization or issuing a permit can now issue or demand additional mitigation and whether avoidance and minimization takes care of that problem. Most unlikely that it will not. We have seen some of the endangered species where they have taken large land areas in the lower 48 with the sage grouse, and we have the same potential that is happening up here.

What is critical on this is the Corps of Engineers met the intent of Congress with the Clean Water Act and potential mitigation. Now you have all these other agencies jumping on top of it and their regulations are not written yet. We do not know what their programs are going to be. Would you invest in a project in Alaska with that much uncertainty?

It is scary for us. This is a perfect storm between low oil prices, low metal prices and a timber industry that is nonexistent anymore.

The CHAIRMAN. Have any of the agencies that are outlined in the Memorandum, have they released any statements? Have they communicated in any way how they will either implement or enforce any of the mitigation requirements? Has there been any back and forth, any engagement with the agencies on this mitigation memorandum?

Mr. JEFFRESS. The only feedback that I have had personally is that the draft mitigation policy that the Bureau of Land Management has implemented as a draft, is the template for the other agencies to use which scares the hell out of me.

The CHAIRMAN. But there was no input to BLM?

Mr. JEFFRESS. No.

The CHAIRMAN. From anybody here in Alaska.

Loral.

Ms. SIMON. No, I do not think so. But it is also important to remember how much of Alaska is already under federal jurisdiction. And so to try to find land available for compensatory mitigation is going to get increasingly more difficult.

That right there is an excellent answer to your question of what does it do to the investment climate. Again, it is just an enormous amount of uncertainty.

The CHAIRMAN. One of the clear things that we heard in the testimony before the full Committee was that you have different agencies with an interpretation as to different terminology, different im-

plementation, different standards, and again, just further uncertainty and really, outright contradiction at times.

I wanted to ask, and this is probably best to you, Lorali, regarding the federal/state relationship. Can you give me your view on the relationship between the Office of Surface Mining, Reclamation Enforcement and the State of Alaska? The concern that I have here is that we have got our state operation.

Ms. SIMON. Right.

The CHAIRMAN. And we have Interior over here and what is happening at the state level is basically being smothered.

Ms. SIMON. So off the record I may have a different answer. [Laughter.]

But on the record I would say that the State of Alaska has been very strong, particularly on WOTUS as well as on SPR.

The previous Parnell Administration as well as Governor Walker, they have been very strong on trying to stand up for states' rights and personally with the coal program and the Stream Protection Rule, this very small division within the Department of Natural Resources has an amazing resource talent in their people. They have been able to help a lot of us miners better understand even the Stream Protection Rule at the scientific level.

So with that kind of support I see it working properly in that the people who are on the ground, you know, the coal program manager, his direct reports, who are the investigators for our mine. They have been working with OSM to try to break down the rule and really explain how it just does not work in Alaska.

It, again, is this one-size-fits-all approach. What may work fine in Appalachia just does not work in Alaska. For example, we cannot collect 12 months of water samples, right? Because when it is frozen.

The CHAIRMAN. The lake is frozen. [Laughter.]

Ms. SIMON. Yeah.

And so like that type of thing where even this nullification clause of at any point, at any time, OSM could come in and just decide that the permit is not valid and pull our permit. Well, this could be 5, 10, 15, 35 years after we have been mining under this permit, and so then we would be held liable for basically operating illegally up to that point when they deemed the permit nullified. So that type of uncertainty, you are like, well how could that possibly even work? I mean, whose idea was this?

So, yes, I guess, I am sorry. My short answer to your question is I believe the State of Alaska is standing very strong in their working relationship with OSM, particularly on the Stream Protection Rule.

The CHAIRMAN. The last question is directed to you, Mr. Tangen, and you raised the Sturgeon case. We just saw the Supreme Court come out and get back to the Ninth, but there was some good, strong language in that case that recognized the role of ANILCA and the balance that was found in ANILCA.

I am going to ask you to speculate a little bit about how the Sturgeon decision can affect the issues that we are talking about here today with regard to accessing our resources.

You outlined some specific proposals for the Committee to consider, but given the direction that we saw laid down by the Court, how do you feel that this will impact us, if at all?

Mr. TANGEN. One has to speculate, obviously. But I think that if one reads the last few pages of this Sturgeon opinion, and I recommend the opinion to everybody who is interested in the subject because it is not very long but it is very powerful, the last few pages of the Sturgeon opinion, among other things in the remand to the Ninth Circuit, calls the Ninth Circuit's interpretation topsyturvy. I think that that says a mouthful because to the extent that eight justices on the Supreme Court in a unanimous court signed off on that opinion and that language and that has to be a mandate to the federal agencies in Alaska that they need to take another look when they are permitting the land managing organic acts, when they are charged with essential responsibility.

They have got to look at the implementation of the Land Management Act whether it is running out and using a hovercraft on the Nation River or almost any other question that comes up. And there are questions of access and whether something is a withdrawal, et cetera, that come up on a fairly regular basis in the courts in this state. They have got to take another look at it almost to ensure that these interpretations are viewed through the prism of what I refer to as, Alaska Statutory Trilogy.

It is an important giant step forward. I guess maybe I am more than a little bit optimistic by suggesting that the agencies and the Federal District Courts will follow the clear guidance of the United States Supreme Court. But, you know, hope springs eternal. [Laughter.]

The CHAIRMAN. Thank you, I appreciate that.

With the first and the second panels we have been talking about our resources in the ground, oil and gas and coal and mining. Our third panel that we will turn to now is related to that human resource and the potential.

I have just listed a couple of the examples that have been presented today in terms of the size of how or what we access. You mentioned, Bronk, that placer mining within the Fortymile District, the oldest district, 118 years, when you bring it all together it is about the size of an Iowa farm.

When we talk about the area in ANWR that we would like to be able to develop, one of the analogies that we use is the size of Dulles Airport right outside of Washington, DC. Joe Marushack mentioned that impacted areas within all of the NPRA is 0.0008 percent.

Within the Tongass National Forest, our largest national forest, the fact that with all of the decades of harvesting within that forest, the percent that has actually been harvested in forested areas is still hovering right around four percent.

When you think about our state, the size, the scope, the assets that we have and what it is that we are trying to access, it really is a pretty small standard. But we recognize that even if it is just these small areas, we still access them responsibly and with the care for that environmental stewardship.

We will now turn to our third panel to discuss the human resources, and that is our Alaskan workforce.

So thank you. [Applause.]

[Recess.]

The CHAIRMAN. Alright. We are back with our third and final panel. As I mentioned, this is the panel to look at all of our human resources and the job that is underway to ensure that as we access Alaska's resources for the benefit of Alaskans that we have trained and a skilled workforce.

The panel this afternoon will be led off by Vince Beltrami, who is the President of the Alaska AFL-CIO. Thank you for being here.

He will be followed by Lisa Herbert, who is the President and CEO for the Greater Fairbanks Chamber of Commerce. Lisa is not having to travel very far.

But having to travel even a shorter distance is Chad Hutchinson, who is head of the Pipeline Training Center. Again, thank you for opening your doors to us all here today.

Kevin Pomeroy will wrap up the panel. Kevin is the Business Manager for Laborers Local 942.

Thank you to all of you for being here and for joining us. We will begin with Mr. Beltrami.

Go ahead, Vince.

STATEMENT OF VINCE BELTRAMI, PRESIDENT, ALASKA AFL-CIO

Mr. BELTRAMI. Thank you, Senator, and thank you for the invitation to be here.

I did submit some prepared written testimony but as I have listened to the discussion here this morning it has, kind of, shifted to where I thought I would focus on a little bit. So that means I might ad lib a little and hopefully can stay within my five minutes.

But I can—the part about what we do in terms of training and how that, maybe I'll be able to circle back to that before we are done.

I wanted to start off with something you mentioned earlier in response to the President's visit when you said that I would say consider me part of the "team ironic" also. We believe that you can do responsible resource development and be conservationists at the same time, and we have many, many years' record of doing that in the State of Alaska.

Alaska is always called the Last Frontier. I think the Arctic is, kind of, that final frontier that we have to look at with more potential, economic benefit to Alaskans and to the Federal Government, actually, if we could work on what I heard were the huge challenges of the previous two panels making sure that the permitting is streamlined and the processes work so that we can put Alaskans to work.

Resource jobs have meant a huge amount to Alaskans, particularly to the members that I represent. We have about 60,000 members in the state. About half of those come out of the building trades and a big chunk of those learned most of their training many years ago on the initial construction of the Trans-Alaska Pipeline System.

That was a big, probably the largest job constructed in North America. It was done under a project labor agreement meaning that it was done in connection with the best training systems that

exist for building trades folks in the world. I think that is our joint apprenticeship and training committees that we have.

But a generation of workers were training on that job and on other jobs, and those folks are retiring in droves right now. The one thing that I kind of wanted to shift to on my testimony that is not in what I submitted was that what the state is facing in terms of challenges, financially. I have been going around the state doing other presentations, dealing with the state budget. Up until about a year ago or so, 90 percent of the state's revenues came from what flowed through that pipe. Right now, of course, we are experiencing a huge downturn in those prices, and the oil industry is only providing about 20 percent of the revenue needed to balance our budget that passed last year. So the opportunities that exist are not going to be coming from the state's coffers right now.

We just had the smallest state capital budget in the last 15 years last year, and that was only what we had to put up to meet the federal match requirements. So we do not have the \$2, \$3 billion budgets that we have had over the past several years as a result of oil and gas exploration development and what has flowed through the pipe.

But now we have an opportunity. We have to look forward to infrastructure development in the Arctic, on oil and gas, natural resources. The Arctic is going to be that next. We already have everybody heading up there. Russia is heading over there. Everyone is heading to the Arctic and staking their claim and we have to be prepared to do that.

Not only do we need to do more responsible resource development, we have got to build infrastructure. I mentioned to you when I saw you in the airport, you know, I want to see a Coast Guard base built. We need to have a deep water port that can handle that maritime commerce that Admiral Barrett spoke to earlier today.

There are all kinds of opportunities. Most of them are going to be in the Arctic, and that is where we think the greatest potential for economic stimulation exists.

So I will speak just specifically to what we do and how we train in the union-based apprenticeship programs. We have been doing it in the state for about 70 plus years. We spend and we mostly pay for that ourselves. There is \$11 million a year, roughly, that we have negotiated that is union employers with the union sitting at the table negotiating contributions that go towards funding our training programs, somewhere, usually, between \$0.75 and \$2 an hour out of the wage and benefit package goes into raise that money to pay for our students, to get them educated, to get them hands-on training and classroom training and everything that goes along with creating some real skilled craftspeople.

And we have over \$30 million in infrastructure in the state. Not including this facility which actually my predecessor, Jim Sampson, talked me into taking this job so that he could come here and build this facility. Just a little while ago before we started I was sitting in one of the classroom just going over notes and stuff and just looking around in there at all the personal protective equipment, the gear, the safety stuff and thinking, I sure hope we can fill these classrooms with Alaskans because we are positioned to do

this, to partner with our union-based apprenticeship programs and anyone else that wants to come to the table.

I think the Pipeline Training Center is a great example of where we work with our union-based apprenticeship programs but also with the university and places like Av Tech and things like that. There is a great training infrastructure, I think, built in Alaska.

We have the ability to ramp up our training as we need or ramp it down as the economy dictates; however, we do not want to end up where we ended up back in the mid to late 80's. We built the pipeline and then we went into a recession. We lost tons of folks that we had trained to do that work who left. Luckily there was a lot of work that has come up through the 90's into the 2000's that have been a lot of work that has been vibrant, kept our members working.

I think that is one of the biggest challenges. We know that these investments in the Arctic that we are looking at, whether it is gas lines or pipelines or ports or Coast Guard bases or any of those things, they take several years to get going.

We are at a time in this state's financial picture where we do not have the state able to provide projects to get people trained for those projects that will be getting started, the big projects, a few years down the road. So it is a real critical time that we look at whether it is G.O. bonds for the state to get projects on the books that we can train people on, whether it is federal spending, whether it is private investment spending. We stand ready to work with all comers in making sure that we can meet the need as we have been able to demonstrate what we have been able to do over the last several decades in the state.

So, thank you for the opportunity, and I look forward to any follow up questions.

[The prepared statement of Mr. Beltrami follows:]

Vince Beltrami
President
Alaska AFL-CIO

April 28, 2016

To: The Senate Committee on Energy and Natural Resources:

Thank you for allowing me the opportunity to provide testimony on this issue so critical to Alaska's workers and Alaska's economy. These opportunities are also opportunities that will provide economic benefit for the entire country as well. Development is happening in the Arctic. For our state and our nation to capitalize on the opportunities that are around the corner we need to have skilled workers ready and able for this next frontier on Alaska's horizon. Besides the huge potential in resource development there is also great potential for the building of strategic infrastructure to protect our state's and our country's assets through expansion in the Arctic.

An important consideration for resource-based economic investment in the Arctic is to assure there is not only strategic security but the quick response capability that would come with establishing an Arctic accessible Coast Guard base, that could not only provide a very strategic defense post, but could also be quickly available to respond to any potential emergencies due to increased activity.

The state of Alaska holds much natural resource treasure ready to benefit the United States, the state of Alaska and Alaskans; much more so than any other state in the union.

Most Alaskans support responsible development of those valuable resources. Jobs in resource development are generally well-paying jobs requiring skilled craft workers, and the resource-based employment sector offers the only significant contribution to the state's revenue stream.

The Alaska AFL-CIO has 60,000 union members, more than half of whom work in the construction and/or resource development business. We have the second highest union density of any state in the country; only New York is higher.

Our unions built the Trans Alaska Pipeline System (TAPS), the largest private construction project in the history of North America. The work was performed under the terms and conditions of a project labor agreement (PLA). We grew a construction workforce for a generation from that project. There have also been dozens of other large-scale construction projects performed under PLAs since TAPS that have been built on or ahead of schedule, and under budget, that have contributed to the growth of our skilled construction workforce.

Most of these workers have had solid careers but they are retiring in droves. They had some challenges in the late 1980s, but by and large they've spent the past two plus decades staying largely employed building Alaska's infrastructure.

The state's bulging capital budgets of the 2000s provided many opportunities for those highly trained journey level workers to put in hours and to train the next generation of apprentices to become highly skilled construction workers.

But with a non-existent state capital budget due to low oil prices and declining oil production, it is imperative to put a long range plan in to effect. Part of that long range plan has to include looking at projects that could be five to ten years out: new efforts on the North Slope, ANWR, OCS, a state of the art new strategically located Coast Guard base, and more. The wheels need to be put in motion, and the groundwork needs to be laid now.

Taft-Hartley training trusts know how to train construction workers like no one else in the building trades. We've built the lion's share of big projects in the state: power plants, missile defense bases, road and bridge projects, pipelines, and more.

And we've paid our own way doing it. Each of the Joint Apprenticeship Training Committees (JATCs) are equally managed by employer and union trustees. JATCs receive negotiated contributions to their training trusts to fund the programs. Members have agreed to direct part of their wage and benefit package to fund the training of their future replacements. That contribution ranges from .75 cents per hour to as much as \$2 per hour. The approximately fifteen trades that comprise the building trades spend approximately \$11 million a year training apprentices and upgrading journey-level worker skills at more than twenty training facilities across the state.

We have thousands of apprentices currently in the system earning while they learn on the job and in the classroom, taught by industry experts in programs that range from 4000 to 10,000 hours of on the job training and three to five years of classroom instruction.

The JATC's infrastructure exceeds \$30 million in facilities and equipment in Alaska and 75% of the more than 2500 registered apprentices in the state are in union-based building trades programs

We have the ability to ramp up or ramp down the number of apprentices in our programs based on the amount of economic activity on the horizon. If we can project what the future needs are we can plan accordingly to interview, select, and prepare the next wave of skilled construction workers.

My previous job was as training director of the statewide electrical worker's apprenticeship program. It is one of the larger apprenticeship programs in the state with approximately 400 apprentices in the program and another 600 who have been interviewed and ranked, and are awaiting an opportunity to be selected. That's a potential of 1000 electrical apprentices we could ramp up to in the event there was a significant and predictable economic opportunity. All of the other building trades apprenticeship programs have the same type of potential to meet the need if necessary.

Union-based apprenticeship programs have set the standard and continually raise the bar. Our state-registered programs require thousands of hours of closely supervised, on the job training plus an additional 1000 hours or more of related classroom and hands-on instruction.

The Alaska Building Trades are constantly working to get Alaska graduates into their programs. Quality apprentices further reduce labor cost. We can dictate favorable apprentice to journeyman ratios. Union Apprenticeship programs ensure lower cost apprentices available, and our programs offer tremendous opportunities for women and minorities as we are continually striving to increase our outreach efforts in that regard.

There is no question of the economic benefit that would come to Alaska and the nation by expanding activity in the Arctic by putting our resources to work. We strongly support growing jobs, growing our economy and being integral participants in the process. We look forward to action being taken in Congress that help promote responsible development in the Arctic and stand ready to deliver the workforce necessary for tomorrow's challenges.

Thank you again for the opportunity to testify.

Sincerely,

Vince Beltrami
President
Alaska AFL-CIO

The CHAIRMAN. Thank you, Vince.
 Lisa Herbert, thank you for being here.

**STATEMENT OF LISA HERBERT, PRESIDENT AND CEO,
 GREATER FAIRBANKS CHAMBER OF COMMERCE**

Ms. HERBERT. Yeah, good afternoon. As you said, I am the President and the CEO of the Fairbanks Chamber of Commerce. We are a business advocacy organization currently representing over 750 businesses right now, all shapes, all sizes, all industries and they employ thousands of hard working Alaskans.

While we tend to focus on local and state policies, we are mindful of the federal impact to the Interior, and Alaskans are both interested and adapted opportunities to responsibly develop those natural resources that are essential to maintaining and growing our sustainable economy.

However, history has shown when government interferes with the decisions or jobs best completed by the private sector or imposes rules or regulations that are technologically or economically infeasible to implement, those opportunities are squandered. And as a result Alaskans suffer. While some of the laws and regulations have been formed with good intentions, their reach and complexity have extended to the absurd.

My written comments are much more in depth here. I want to thank some of the members that helped frame some of my comments here today. I do not serve in any of those industries, but we have lots of members that benefit through the work of resource development here in the way of indirect jobs. And so, allowing them to, kind of, provide some comments for me to be able to pass along to you was really important. So thanks for that opportunity.

So a few of the comments that I had received from my members, just to put on the record, painful examples that have stymied our economic development here include additional wetlands delineations and constraints, particularly where much of Alaska is underlain by permafrost. As Loralie commented, rules that work across the United States may not work here in Alaska.

The excessive requirements and evaluation procedures imposed when performing environmental impact statements have reached beyond the original statutory language and intentions and the EPA's preemptive vote for the petal project before the permitting process had commenced on state land.

The new BLM revegetation of wildlife habitat standards are anticipated to dramatically increase the effort and complications of work necessary to close out mining claims on federal lands. And I would mention this process was recently disclosed but developed to the point of approval without any involvement or input from the agencies in Alaska or the general public.

The unduly frequent violations of the federal statehood compact, ANILCA, and just as the recent *Sturgeon v. Frost* case by the Supreme Court indicate that the Federal Government has gone too far.

OSHA's proposed silica standards for the construction industry will cost more than originally estimated and will therefore translate into significant job losses for this industry and the broader economy impacting many of our Chamber members in the supply

and equipment business as well as those in the non-construction sector.

One of our members highlighted that they spent over six years in administrative and court procedures before they were able to get a final ruling on whether or not the Army Corps had jurisdiction over the development of the land they owned off Van Horn Road. Ultimately though, after years of litigation, they were able to proceed once the courts ruled in their favor but at a great cost to them.

As was mentioned earlier, we are facing unprecedented low oil throughput in TAPS. Even worse, the drastic drop in the price per barrel of oil has dramatically affected our state's budget. There is a significant amount of oil that has yet to be produced but due to delays in government and this has significantly impacted investment here in Alaska.

An example including the permitting delays experienced by ConocoPhillips, CD-5 and GMT project, if that project had not been delayed our pipe yards and welding shops would have full parking lots of people, our supply stores would be fulfilling orders and we would have trucking companies hauling loads of freight up and down the roads. But instead, we are sitting here waiting, and we have just been told no.

I do think that it is ironic that in a time when our economy is starving for work our government continues to delay forward progress.

Certainly resolving the high cost of energy is high on our priority list, has been for a long time. However, the EPA Clean Power Plan will continue to be problematic for Alaska and the evident thesis of "dirty coal" standards stands contrary to the practical realities of our Interior electrical energy generation. The substantial increase in requirements and rules of the recent Stream Protection Rule magnifies and further complicates the coal mining needed in Alaska to produce our power.

In short, the invention and imposition of many new requirements and federally-administered rules are, in fact, a steady shift away from state sovereignty and economic resource development. Business members are being told no and the finding that Federal Government seems to be more and more restrictive in their issuance of permits.

Our state is facing some real economic hard times right now. Over the last eight years Fairbanks has missed out of a lot of local private investment simply because agencies are unwilling to apply common sense, real world scenarios or objective determinations and our lack of natural gas here in the Interior has really stymied some major private investment from large corporations.

But what the agencies always seem to fail to understand, especially here in Alaska, is that time really is money. Every delay usually means an entire season is lost out due to our construction season, and the mitigation costs usually are enough to kill the projects, if not significantly delay them.

The margin for many businesses in this community are thin, but they are willing to stay here. They are willing to invest, and they are committed to Alaska.

Today, on this panel, we have got business and labor represented. I think we are all just here asking for the opportunity to stay in business, get back to work and be assured that we are allowed to proceed making investments that make sense here in Alaska with some sort of certainty.

We are a vital business community. We are dedicated to Alaska and its future. I want to thank you again for the opportunity to represent the voice of business here today.

[The prepared statement of Ms. Herbert follows:]

Lisa Herbert
 President and CEO
 Greater Fairbanks Chamber of Commerce
Testimony for U.S. Senate Committee on Energy and Natural Resources Field Hearing on March 28, 2016
 Fairbanks, Alaska

Good afternoon Senator Murkowski and members of the committee. My name is Lisa Herbert and I'm the President and CEO for the Greater Fairbanks Chamber of Commerce, a business advocacy organization that works to promote a healthy economic environment and to ensure the greater Fairbanks area is an attractive place for both business and community. Today, the Chamber represents over 750 businesses and organizations throughout Interior Alaska that proudly employ thousands of hard-working Alaskans. We represent business of all sizes and across all industries.

The Fairbanks Chamber takes an active part in advocacy efforts for many issues important to our membership and the Interior. We educate and engage our members, fostering economic growth and jobs, and encourage new opportunities for business. While we tend to focus on local and state policies, it is important to keep in mind the overarching federal impact to the Interior, and we appreciate the opportunity to present a few of these issues here today.

This Chamber has long supported responsible development of Alaska's vast natural resources. We advocate for sustainability and sound stewardship for future generations when pursuing the development and balanced management of our state's renewable resources. In the Interior and across the state, we are both interested and adept at responsibly developing our natural resources that are essential to maintaining and growing a sustainable economy.

Resource development creates jobs and economic benefits to national, state and local economies. However, history has shown when government interferes in decisions or jobs best completed by the private sector, or imposes rules and regulations that are not based on real world scenarios or objective determinations and that are technologically and economically infeasible to implement, those opportunities are squandered – Alaskans suffer.

The list of federal overreaching regulations, rules and decisions in these areas are egregious:

- Federal Stream Protection Rule;
- Waters of the U.S.;
- ANWR; (closed to oil and gas exploration)
- Endangered Species Act;
- Pebble Project; (EPA's pre-emptive veto before permitting process had commenced – on state land);
- Clean Water Act;
- Silica Standards Act;
- ConocoPhillips Greater Mooses Tooth-1 (GMT) and CD-5
- New coal emission standards (cost of Healy 2 SCR technology)

While some of the laws and regulations may have been formed with good intentions, their reach and complexity have extended to the absurd. To the point where small businesses simply do not have the expertise or financial ability to comply and large businesses become non-competitive. The environmental gain cannot be demonstrated by a reasonable cost-benefit analysis. As Alaskan businesses, we place a high standard of care on the environment and safety of our workers. We not only work in this land, we live in this land and raise our children here.

We would like to provide the committee with examples of instances in recent years citing the imposition of increased or new rules, regulations and procedures that stymie the continuation of Alaska's resource

Lisa Herbert
 President and CEO
 Greater Fairbanks Chamber of Commerce
*Testimony for U.S. Senate Committee on Energy and Natural Resources Field Hearing on March 28, 2016
 Fairbanks, Alaska*

development. Some painful examples of these federal hurdles include:

- Additional wetlands delineation and constraints, particularly where much of Alaska is underlain by permafrost. Rules that may work in the lower 48 do not work here in Alaska. The excessive requirements and evaluation procedures imposed when performing project Environmental Impact Statements, reach beyond the original statutory language and intentions. Similarly, the substantially increased requirements and rule changes of the DOI OSM's recent Stream Protection Rule would magnify the complications of the coal mining we need in Alaska to produce our power, even though the clear intent of those new regulations are aimed at Appalachia.
- Similarly, the new BLM Revegetation & Wildlife Habitat standards (for Mine Reclamation), are anticipated to dramatically increase the effort and complications of work necessary to close out mining claims on federal lands. This new process and bundle of "before and after" requirements were very recently disclosed, but developed to the point of approval by BLM – Alaska management without any involvement or input up to this point by the general public or Alaska's miners, nor were any state agencies like the Department of Natural Resources or the Department of Fish and Game involved in the development of standards. This regulatory burden will effectively put Alaska's many small miners on federal land out of business with no real environmental benefits.
- The adoption of Threatened or Endangered species status for a number of Alaskan critters by federal agencies is resulting in dramatic federal intrusion into state fish and wildlife management authority.
- The EPA's "40 Mile Raid" in 2014 was a parody of good environmental or regulatory management – yet it is our understanding that no one within the federal bureaucracy has been brought to task nor have any promises been made that this will not happen again.
- Another concern of the business community in Fairbanks is the unduly frequent violations of the Federal/State compact that was fashioned in 1981 by the congressional passage of ANILCA (Alaska National Interest Lands Conservation Act). Just as the Sturgeon v. Frost (NPS) decision by the US Supreme Court indicates, the federal government has reached too far.
- Chamber member companies continue to be challenged because there is very little guarantee for a predictable and fair environment in which to operate. OSHA's proposed *silica standards* for the U.S. construction industry will be more costly than originally estimated and will therefore translate into significant job losses for this industry and the broader economy, impacting Chamber members in the supply and equipment businesses, as well as those in non-construction sectors.
- One of our members, Great Northwest, spent over 6 years in administrative and court procedures before they were able to get a final ruling on whether or not the U.S. Army Corps of Engineers had jurisdiction over the development of the land they owned off Van Horn Road. Ultimately, after years of litigation, they were able to proceed with their material site

Lisa Herbert
 President and CEO
 Greater Fairbanks Chamber of Commerce
Testimony for U.S. Senate Committee on Energy and Natural Resources Field Hearing on March 28, 2016
 Fairbanks, Alaska

development without further government intervention once the courts ruled in their favor, but at great cost.

- We are facing unprecedented low oil throughput in the Trans-Alaska Pipeline System (TAPS) and even worse, experiencing a drastic drop in the price per barrel of oil that has dramatically affected our state's budget. We know there is a significant amount of oil that has yet to be produced in Alaska – and we find it unacceptable that this commodity remains in the ground mostly due in part from delays in government. Take for example, the significant permitting delays experienced by ConocoPhillips' CD-5 and Greater Mooses Tooth-1 (GMT) project. These delays impacted our members' ability to successfully operate their businesses. If GMT had not been delayed, our pipe yards and welding shops would have full parking lots of working Alaskans, our trucking companies would be hauling loads of freight, and our supply stores would be fulfilling orders. Now, they are sitting and waiting. In a time when our economy is starving for work, it is ironic that our government continues to delay.

On another issue, certainly resolving the high cost of energy is high on our priorities in the Interior, and we look for ways and means to reduce costs and bring affordable energy to our community. Responsible development and management of Alaska's natural resources is critical to supporting a growing economy and improved quality of life for Alaskans. Environmental legislation and regulations should not increase the administrative burden resulting in unnecessary rules, regulations or project delays that become cost prohibitive to business and development.

The blanket application of new, complicated and expensive requirements by various recent Administration proposals jeopardizes Alaska's fiscal viability. The EPA's Clean Power Plan will be problematic for Alaska, and the evident thesis of "Dirty Coal" stands contrary to the practical realities of our Interior electrical energy generation. The thriftiest means of meeting the wintertime energy requirements of the Fairbanks/North Pole area has been the use of Usibelli coal for decades, and can continue for decades more with measured technological changes at the power plants and some increases in energy conservation.

In short, the invention and imposition of these new requirements, and federally administered rules, are in fact a steady shift away from state sovereignty and economic resource management. The federal departments initiating these enhanced rule-making activities must be enjoined to stop.

Senator, this is not about not wanting or having the ability to do the work. It's that businesses are being told no. Just as the producers go through on the North Slope with ANWR, NPR-A, EPA, etc., the contractors and developer's in Fairbanks are constantly battling agency rules and regulations such as the case with the Clean Water Act. Moreover, businesses are finding that the federal government seems to be more and more restrictive in their issuance of permits to develop materials sites on Federal land to use in the construction of projects.

Madam Senator, our state is facing some real economic hard times. Fairbanksans will always come together and persevere just as we did recently with your help to keep the F-16's at Eielson, but in also advocating that Eielson is the best location to stand up two squadrons of F-35's. It is anticipated that we will soon welcome over \$500 million worth of national security investment in the form of military construction (MILCON) in the Interior. All of this is vital to our economy. But over the last 8 years this town has missed out on local private investment simply because the agencies are unwilling to apply common sense, real world scenarios or objective determinations. What the agencies always fail to

Lisa Herbert
President and CEO
Greater Fairbanks Chamber of Commerce
*Testimony for U.S. Senate Committee on Energy and Natural Resources Field Hearing on March 28, 2016
Fairbanks, Alaska*

understand, and especially in Alaska is that time truly is money. Every delay usually means an entire season of work must be put off because of our limited construction seasons. The ridiculous compensatory mitigation costs usually are enough to kill a project, especially for a local contractor. Senator, you know all too well what we face in the Interior and in Rural Alaska when it comes to the high cost of energy. The margins for many of the Chamber's businesses are thin, but they are willing to stay and invest.

Lastly, the Chamber also recognizes the importance of university research and development endeavors to the economic well-being of our state. For every \$1 of state funds, the university is able to leverage more than \$5 of other support, in particular federal grants and contracts, to address issues important to Alaska and beyond. Recent budget actions in Juneau may impair future research endeavors, and we ask you to keep a watchful eye on research opportunities that may be available to our university.

On this panel right now, you're hearing from both business and labor. We are all asking for the opportunity to stay in business, to get back to work, and be assured that we are allowed to proceed with making investments that make sense. We are a vital business community that is dedicated to Alaska and its future.

Thank you for the opportunity to represent the voice of business today at this field hearing. Thank you, Senator Murkowski, for all you do to promote Alaska at every opportunity!

The CHAIRMAN. Thank you, Lisa, I appreciate it.
Chad Hutchinson.

**STATEMENT OF CHAD HUTCHINSON, DIRECTOR, FAIRBANKS
PIPELINE TRAINING CENTER**

Mr. HUTCHINSON. Thank you, Senator.

I would like to start out and provide a brief overview of my background. I am a 25-year member of the Operating Engineers Local 302. I am also a graduate of Local 302's apprenticeship and training program. I spent the first 15 winters of my career on Alaska's North Slope working for Crowley Maritime's division, Catco, supporting Alaska's producers in exploration all across the North Slope's oil reserves and gas reserves. I have been from Camden Bay to Prudhoe Bay, the foothills of my folk's ranch. In 2006 I became an Alaska Operating Engineer's Apprenticeship and Training Coordinator for the Northern Region.

In 2015 I was fortunate enough to be hired as the Director of the Fairbanks Pipeline Training Center. Our mission at the Fairbanks Pipeline Training Center is to train and develop Alaska's oil and gas, mining, construction workforce. The training center is a fully integrated facility. It provides classroom and hands on training in the disciplines of cross country pipeline training, building and trades, process tech which is led by the University of Fairbanks Community Technical College.

We collaborate with our training partners to deliver training to apprentices, high school and college students, transitioning military personnel and vets and students from Alaska's numerous rural communities.

The Training Center also has a linkage agreement with the Fairbanks North Star School District, the APJCC and other educational and training providers to execute workplace safety and on-the-job training with the specific goal of training the next generation of Alaska's oil and gas, mining and construction workforce with an emphasis on legacy jobs.

I would also like to mention that none of this could be possible without our partners, oil industry partners, labor, state, Federal Government, as well as industry. They have all come together to make this training center a reality.

With so many people talking about the development of the natural gas pipeline coming together, partnerships, the cost of the pipeline, the challenges that lay ahead in these economic times, my concern is who is going to build it? Where are these people at? To have a skilled, productive and safe workforce takes years to develop. Young people starting in apprenticeship programs today will just be moving on to joining their careers in four to five years. It can take another five to ten years before they have the skill and experience they need to move into leadership roles if the opportunities are there.

We have two work seasons in Alaska. Summer and Winter. Both can be a very short time to gain the experience needed to move into these positions.

In the oil and gas, mining industry there is no single, four-week class that will give you everything you need to know on a career, in these careers. It is the time in the classroom and on the job that

creates a safe, skilled, experienced workforce with safety being a key factor.

Workforce development and career exploration now will determine the success of a gas line in the years to come. This is a continuing investment that needs to increase double of what it is now. We need to recommit workforce development and career exploration with skilled trades now more than ever.

We have been able to reach out statewide with career exploration opportunities. In return, people have had a chance and opportunity to work in their communities. Whether a gas line project develops or not, building a workforce is still needed today to maintain what is already in place now and other future products.

I was once told the Trans-Alaska Pipeline was a home for the old and a school for the young. Those young people are now retiring and leaving the workforce everyday with history and knowledge that is not in a plans book or in a computer. It is this information that is passed on from Journeyman to Apprentice through the years of continuous workforce development.

Thank you for giving me an opportunity to provide a short description of Fairbanks Pipeline Training Center and its value to Alaska oil and gas, mining, construction industries and residents.

[The prepared statement of Mr. Hutchinson follows:]

March 28, 2016

Chad Hutchinson, Director
Fairbanks Pipeline Training Center
PO Box 74313
Fairbanks, Alaska 99707

My name is Chad Hutchinson and I am the director of the Fairbanks Pipeline Training Center.

Thank you for allowing me the opportunity to present testimony at the Field Hearings as well my written testimony.

As the director of the Fairbanks Pipeline Training Center, I fully support oil field exploration and development in the State of Alaska. So many people are talking about developing a natural gas pipeline in Alaska, the developmental costs, and the challenges that lie ahead in these uncertain economic times. This development requires collaboration amongst industry, labor and the government, as well as the building of partnerships. I am concerned about the labor force required to build a gas line. When the times comes for the construction phase, will we have a trained and prepared workforce?

Developing a skilled, productive and safe workforce requires many years. Young people just starting in apprenticeship programs today will just be moving into a journeyman careers in four to five years. It can take another five to ten years before they have the skills and experience required to move into leadership roles when the opportunity for advancement arises. We have two work seasons in Alaska: summer and winter. Both offer a very short time to gain the necessary experience. There is no single four week class in the oil and gas and construction industry that will give a person everything they need to know for a career in the industry. Time in the classroom and on-the-job training are keys to creating a safe, skilled, and experienced workforce.

Workforce development and career exploration NOW will determine the success of a gas line in the years to come. This is a continuing investment that needs to increase in size. We need to reconnect workforce development and career exploration with skilled trades now more than ever. At the Fairbanks Pipeline Training Center, we have been able to reach out throughout the state with career exploration opportunities by bringing rural residents to our campus. This has provided rural residents a chance to take training and take that knowledge back with them to work in their communities. We also work with the Fairbanks North Borough School District to give students the chance to

explore career paths through specialized semester long programs. Some of these students have achieved direct entry into a trade.

Whether a gas line project develops or not, it is vital to build a workforce today to maintain what is already in place and for future projects.

I was once told that the Trans Alaska Pipeline was a home for the old and a school for the young. Those young people are now old enough to retire and leaving the workforce every day. The history and knowledge that they hold is not in a plans book or on a computer. It is the information that passes from journeyman to apprentice through years of continuous workforce development.

Thank you for giving me the opportunity to provide information about the Fairbanks Pipeline Training Center and its value to Alaska, our oil and gas production, construction industry and Alaskans.

The CHAIRMAN. Thank you, Chad.
Kevin Pomeroy, welcome.

**STATEMENT OF KEVIN POMEROY, BUSINESS MANAGER/
SECRETARY-TREASURER, LABORERS' LOCAL 942**

Mr. POMEROY. Thank you, Chairman Murkowski.

My name is Kevin Pomeroy. I am the Business Manager of Laborers' Local 942, and the Vice President of the Alaska District Council of Laborers. Serving in these roles I represent approximately 5,000 Alaskan Union members.

These workers are vital to the fabric of Alaska involved in the construction and maintenance of roads, bridges, buildings, pipeline process facilities, pump stations, gathering centers, power plants, mines, maintenance, military facilities as well as workers in the private sector, tourism, manufacturing, facility maintenance and various other industry sectors.

As a 47-year resident of the Interior of Alaska, halfway through my construction career, the emphasis has been on stemming the declining throughput.

For the last decade as Business Representative of the North Slope and now Business Manager, I have attempted to stay active on issues surrounding new field opportunities, development and expansion of existing infrastructure for both the industry and the members I represent.

You ask a traveling laborer that comes up to Alaska who controls most of Alaska's lands, they may in error say the State of Alaska. But many of those same peers are shocked to learn that 61 percent of Alaska's lands are controlled by the Federal Government. This leads to a significant amount of acreage and resources in Alaska which are off limits to resource production which means they are off limits to my members going to work on.

Federal land is administered by five agencies: BLM, Forest Service, Fish and Wildlife, National Park Service, and DOD is over 223,000,000 acres. To put this into perspective this would be 5,753 parcels of land all the same size of the District of Columbia or the entirety of both Texas and Utah. That is a tremendous amount of resources my members do not get an opportunity to work on.

But why is it so important to folks like us who live and work here? We are a young state. We are probably one of the youngest with the exception of Hawaii. This means we are still primarily a blue collar state. We build things. We are still building things. Yet, control of 61 percent of lands within Alaska are those lands that are off limits to potential resource development.

From a peak of 2,000,000 barrels per day running through TAPS in 1988 throughput, as we have heard from the Admiral, has slowed to 540,000 barrels per day and could reach its minimum operating level of 200,000 barrels per day sometime after 2020. This could be, should be concerning for someone that is just starting his construction career.

The Alaska economy and its residents rely on the ability to develop natural resources on state and federal land. I do not support the drill, baby, drill, mentality because too many of my bounties that fill my freezer end up from within the state. But because I want wild Alaska game coming from healthy forests and grasslands

and my salmon from pristine clear waters, I strongly believe that all oil and gas development in Alaska should be planned, measured and well thought-out.

As the gates were opening to the NPRA, ConocoPhillips applied for a permit for their Colville Delta CD-5 satellite development in 2005. Due to the various government agencies voicing concern to justify their existence, it was over ten years to first oil on the development from the time the permit was applied for. It was ten years that my members got to wait.

CD-5 was the first commercial oil production from the NPR, set aside for that purpose almost 93 years ago, and it is estimated to hold 800,000,000 barrels of oil. An additional 1.5 million acres were set aside in the 1980s because of its potential enormous oil and gas industry resources in the 10-02 area of ANWR.

I am not going to engage in the political, ongoing media controversy over whether to drill for oil in ANWR; however, I would suggest that the minimum acreage needed for development would be the perfect opportunity for the oil industry, national defense agencies and the environmental communities to work closely together. Whether the United States, as a whole, is ready to admit it or not, development of the Arctic's oil and gas resources is and will continue taking place. Alaska is the only reason the United States has a seat at the table.

The near shore development of 10-02 or the offshore development potentials in the Chukchi and the Beaufort could be the new environmental gold standard for oil and gas development in the Arctic and the OCS. Imagine collaboration between the oil industries, national defense agencies and the environmental communities as Alaska and the United States show the rest of the Arctic nations what American technology and ingenuity can achieve.

As the polar ice recedes, resource development and navigation both become technologically and economically feasible through the Northwest Passage connection between the Pacific and Atlantic Oceans.

Let me switch gears just a little bit and talk about timber. I mean, it was timber that brought my family to Alaska from the forests of Northern Montana in 1969. It was timber that used to employ a large amount of my members down in Southeast Alaska.

After the passage of the Tongass Timber Reform Act in 1990 the Forest Service had the authority to unilaterally modify the contracts on its last two long-term timber sales. It is no coincidence that timber sales went that year from 2,000 million board feet to about 100 million board feet by 2007. There is a local joke going around Alaska here that when the 2015 Christmas tree was chosen and harvested for the U.S. Capitol it doubled the annual harvest that came out of the Chugach National Forest.

In closing I want to briefly address mining. It is hard to defend actions of the Federal Government and not make an argument on overreaching environmental enforcement when raids are being conducted out of helicopters with armed agents. It is even harder when a government agency is less than cooperative in a review of how the raid was conceived and executed. What kind of message does this send to the residents of Alaska?

As I sit before you today I feel the Federal Government repeatedly blocks development of Alaska's most resource rich lands and waters. These are the same lands and waters that put many of my members to work. Alaska needs to be allowed to be the stewards of their resources, not bureaucracy 4,000 miles away.

The last point I want to make in testimony has addressed the development of our natural resources. We have heard from a lot of industry, we have heard from some of the organizations that represent different industry, but the panel here represents some of the workers, some of the people who live in the Interior, people that it is not just a way of life for them, it is not just a living. But it is who they are. It is why they come to Alaska.

Thanks for the opportunity to talk today.

[The prepared statement of Mr. Pomeroy follows:]

Kevin Pomeroy

Laborers' Local 942 Business Manager/Secretary-Treasurer

Vice- President Alaska District Council of Laborers

Invited Testimony before the Senate Committee on Energy and
Natural Resources

Regarding Alaska Resource Development

March 24, 2016

Kevin Pomeroy
Business Manager/ Secretary-Treasurer
Laborer' Local 942
Vice-President Alaska District Council of Laborers

Chairman Murkowski and Committee members,

Thank you for both the invitation and the opportunity to testify on an important topic, Alaska's resource development.

My name is Kevin Pomeroy and I am the Business Manager/Secretary-Treasurer of Laborers' Local 942, and the Vice-President of the Alaska District Council of Laborers. Serving in these two roles, I represent approximately five thousand Alaska Union members. These workers are vital to the fabric of Alaska, involved with the construction and maintenance of roads, bridges, buildings, pipelines, process facilities, pump stations, gathering centers, power plants, mines, military facilities as well as workers in the public sector, tourism, manufacturing, facility maintenance and various other industry sectors.

As a forty-seven year resident of the interior of Alaska, when I entered the construction field; the Trans Alaska Pipeline, Prudhoe Bay and Kuparuk had already been developed. When I started my construction career, the emphasis was on stemming the declining throughput. Some of my first projects in the oil and gas industry were the Tarn, Meltwater, Northstar, and Alpine developments, before becoming a Baseline Spill Responder at Pump Station 1.

For the last decade as Business Representative, and now as Business Manager I have attempted to stay active on issues surrounding new field opportunities, development and the expansion of the existing infrastructure; for both the industry and the members I represent. If you ask a resident from the lower 48

states, who controls most of Alaska's lands; they may say in error- "The State of Alaska?" Many of my peers are shocked to learn that 61% of Alaska's lands are controlled by the Federal Government. That has led to a significant amount of acreage and resources in Alaska, which are off-limits to resource production. According to the Congressional Research Service (CRS) Report, *Federal Land Ownership: Overview and Data*, Dated December 29, 2014; federal land administered by five agencies, Bureau of Land Management, Forest Service, Fish and Wildlife Service, National Park Service, and Department of Defense in Alaska is over 223 million acres. To put this in perspective, that would be 5,753 parcels of land; all the same size of the District of Columbia. Or the entirety of both the states of Texas and Utah. And even the CRS acknowledges their figures are understated.

Why is that so important to folks like me who live and work here? Alaska is a young state; with the exception of Hawaii, one of the youngest. This means we are still primarily a blue collar state- meaning we build things. Yet control of 61% of lands within Alaska, are often off-limits to potential resource development.

Even more dramatic than being a young "building" state, we are a state whose revenue is tied to the price of oil and production through the Trans Alaska Pipeline (TAPS).

From a peak of two million barrels per day running through TAPS in 1988, throughput has slowed to five-hundred and forty thousand barrels per day; and could reach its minimum operating level of two-hundred thousand barrels per day sometime after 2020. This couldn't be worse news for the States' revenues and workforce, when oil is hovering at \$40 per barrel.

The Alaskan economy and its residents rely on the ability to develop natural resources on state and federal land. I do not support the "drill baby drill" mentality, because too many of the bounties of this state find their way into my freezer each year to feed my family. Because I want my wild game meat coming from health forests and grassland and my salmon from pristine clear waters; I strongly believe all oil and gas development in Alaska should be planned, measured, and well thought out. As the gates were starting to open on National Petroleum Reserve, Alaska (NPR-A), Conoco Phillips applied for permits for their Colville Delta CD-5 satellite development in 2005. Due to the various government

agencies voicing concerns to justify their existence, it was over 10 years to first oil on the development; from the time the permit was applied for.

Do we need the various government agencies? - Absolutely. For the most part, each was created out of a need; but there must be balanced and common sense oversight. I'd like to think we are seeing balanced approaches as the drilling permit and right-of-way were recently approved for Greater Mooses Tooth 1, or GMT-1- *but it too, was a long and trying permit process.* We have yet to see, how long the permitting process will take for GMT-2. These developments finally bring us inside the NPR-A's northeast boundary, of the 23-million acre unit formed in 1923 for its oil potential. CD-5 was the first commercial oil production from the NPR-A, set aside for that purpose almost 93 years ago; and is estimated to hold 800 million barrels of oil. Please indulge me while I pause for dramatic affect...93 years from designation to first oil.

1.5 million acres had been set aside in the 1980's because of its potentially enormous oil and gas resources is the 1002 area of the Arctic National Wildlife Refuge (ANWR). I'm not going to engage in the ongoing political and media controversy over whether to drill for oil in ANWR. However I would suggest that the minimal acreage needed for development, would be a perfect opportunity for the oil industry, national defense agencies and environmental communities to work closely together. Just to the east of Pt. Thompson, is an estimated 4-11 billion barrels of oil in the 1002 area. It is small part of the 19 million acre refuge which borders our Canadian neighbors, and is located on the coast.

Whether the United States as a whole is ready to admit it or not, development of the Arctic's oil and gas resources is and will continue taking place. Alaska is the only reason the United States has a seat at the table during these conversations. The near shore development of 1002 and the off shore development potentials in the Beaufort and the Chukchi seas could be the new "environmental gold standard" for oil and gas development in the Arctic and OCS. Imagine collaboration between the oil industry, national defense agencies and the environmental communities, as Alaska and the United States show the rest of the Arctic Nations what American technology and ingenuity could achieve. As the polar ice recedes, resource development and navigation become both technically and economically feasible through the Northwest Passage connection of the

Pacific and Atlantic Oceans. These truly would have to be collaborative efforts, not policy pandering to further justify an agency's existence and relevance; but efforts which help strengthen our national security. Even my youngest son, who only recently started working in the oil fields, knows that reducing our reliance on oil imports and increasing oil exports will help reduce our foreign trade deficit.

Let me switch gears just a little and talk about timber. It was timber that brought my family to Alaska from the forests of northern Montana in 1969. It was timber that employed a large amount of the members I represent in southeast Alaska. After the passage of the Tongass Timber Reform Act (TTRA) in 1990, the Forest Service had the authority to unilaterally modify the contracts on its last two long-term timber sales. Is it a coincidence that timber sales went that year from 2,000 million board feet to about 100 million board feet by 2007? The Tongass National Forest currently controls 93% of the timberlands in Southeast, and with the Forest Service slashing the volume of timber offered annually and the imposed harvest constraints; the timber industry is all but wiped out in Alaska.

There is a local joke going around Alaska, that when the 2015 Christmas Tree was chosen and harvested for the U.S. Capitol it doubled the annual harvest coming out of the Chugach National Forest.

In closing I want to briefly address mining. It's hard to defend actions of the federal government and not make an argument on overreaching of environmental enforcement; while raids are being conducted with helicopters and 10 armed agents. It's even harder when that government agency is less than cooperative in a review as to how the raid was conceived and executed. As reported on local media immediately after the raid, the EPA claimed they needed a more heavy-handed approach to deal with violations to the Clean Water Act. Yet what eventually came to light, was little evidence to support the existence of any serious violations, resulting in no arrests. What kind of message does this sent to residents who have a desire to placer mine? Should they fear "swat team" tactics any time a desk jockey thinks the water is getting too muddy?

As I sit before you today, I feel the federal government repeatedly blocks development of Alaska's most resource rich waters and lands. Alaskans need to be allowed to be the stewards of their resources, not bureaucracy 4000 miles away. It's no coincidence that a large portion of the 61% of federally controlled

lands overlays our State's oil, mining, fishing and timber resources. There have been those who have always thought, they know best how to manage the affairs of others. But sometimes the best view is not always far off in the distance, peering through the window of an ivory tower. Our economy is dependent on the ability to continue to develop its abundant natural resources; without overly burdensome rules and regulations, or restricted access. Restricting development in these areas only restricts our livelihood.

The last point I would make is most of my testimony has addressed the development of our natural resources, or in some cases the lack of; as it pertains to creating job. There are countless Alaskans who utilize the vast resources from our state, as a means of existence. Whether fishing, hunting, mining, or simply recreation; Alaskans don't need unnecessary reinterpretation of airboat rules or other erroneous policies that further restrict our access to lands within our State.

Thank you for the opportunity to testify today.

Kevin Pomeroy

Business Manager/Secretary-Treasurer

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The CHAIRMAN. Thank you, Kevin, I appreciate it.

Well thank you all.

The common thread here is really to figure out a way to stay in business and to keep people working and working in well-paying jobs. The training programs that are offered, whether it is here at the Pipeline Training Facility or through our union programs and the training facilities and then what we have on the private side, this is about putting Alaskans to work in jobs that are good and that can sustain their family.

I do not recall whether it was you, Chad, that used the phrase that training needs to be continuous. We all know we live, work and operate in a state where we tend to go from boom to bust, and we have historically. That has been difficult, but it has been our reality.

As I think about the challenges that we have as a state with recruitment and retention, listening to the comments about the aging workforce that is part of our oil and gas sector. Admiral Barrett faces it with TAPS. You have got great expertise but that expertise began—I graduated from high school at a time that every able-bodied young man, at the time it was mostly men, were going off and working on the pipeline. Now they are all getting ready to retire. It is good for them. It has been good for their families. But the real question is will their kids, the young men and women that are my son's age at 23 and 24, do they view this as an area that they want to go into? Do they see the promise as my classmates did when we were getting out of high school? This is the concern that I have. It is not being viewed as an area for opportunity because of the uncertainty that we have heard through now three panels.

The question to you all is from your perspective, how can we work to reduce some of that uncertainty? Again, those things that are holding back our potential. We know that our men and women here in Alaska are young people. They have extraordinary potential. We give them the training so they can pretty much do anything. But how do we reduce some of the uncertainty?

I am going to start the question with a recognition that you have raised, Vince, about the very slim capital budget at the state level this year. So you do not have a good horizon on the state level for projects. We have a pipeline that is at 556,000 barrels a day, down well below half. We have layoffs that have been announced within the industry because of low prices. We have Shell that moved out last year because of regulatory uncertainty and disappointing results after one well at \$7 billion in seven years, but one well. What can we do, recognizing the uncertainty that we face, to provide a little bit more optimism for young people so that they view Alaska's resource industry as a place for them to go? I will let anyone of you begin with that long question. Go ahead, Vince.

Ms. HERBERT. You want to go first?

Mr. BELTRAMI. I guess.

The CHAIRMAN. We will start alphabetically, V.

Mr. BELTRAMI. There you go. [Laughter.]

Well that is a pretty tough question, obviously.

In looking at what has happened in Juneau, I guess, one of the things they did do, we are only two weeks, two and a half weeks, from the end of the regular legislative session, and they are talking

about what the fiscal plan is going to be for the future. They have got to come up with something that substantially knocks off this \$4 billion deficit or people are going to be walking away from their homes like they did in the 80s. Already the credit rating agencies have, you know, downgraded the state's credit rating based on not having a fiscal plan.

But the good news is we are one of the most rich states, not only in resources in the ground but with our \$53 billion in the Permanent Fund. There are opportunities to solve some of these problems and get the budget in line. Once that is in line, I think, then we can look at investing and like I said, one of the things that the legislature, right now, appears to be fearful of doing is making an infrastructure investment by using G.O. bonds or whatever other measures that we have available to seed some of that infrastructure that is going to be necessary for a long range fiscal plan.

We have to have a longer range fiscal plan that includes figuring out how to streamline a lot of the regulatory obstacles and permitting that we find in trying to develop resources in the state. In general, we have got to get the state's fiscal house in order and then we have to look to the Federal Government as well and then streamlining a lot of these projects, I think, will open up opportunities going forward.

The CHAIRMAN. Lisa, what else for certainty?

Ms. HERBERT. I think that there is very little certainty. I jotted down some notes just listening to the different testimony and uncertainty, transparency, unpredictability, state sovereignty, were all words that almost every single panelist have used up there. So many of those are within our control.

There is no reason why we cannot provide certainty to industry, why we cannot have a predictable investment climate. And for our Chamber, you know, we used to focus on the local and state issues and now at the forefront of almost every single one of our committee meetings of which industry is well represented, they have got experts serving on each of our committees.

We are talking about how can we streamline and reform the federal regulations that have burdened the private sector and have put a lot of thought into the work. You mentioned the thousands of employees that get laid off. Industry is operating in an unpredictable environment. I probably do not have the solution here for how to move forward, but it is evident when you have 12 people up here speaking that the uncertainty is really killing private sector investment, jobs and the economic opportunities here in Alaska.

The CHAIRMAN. Chad.

Mr. HUTCHINSON. We talked about the young generation and new generation coming into the workforce. I often wonder what do they know about it? Do they have an opportunity to go explore these careers?

We look a lot at the Fairbanks, Anchorage, Juneau areas, but there are a lot of rural communities out there with a lot of people that are very talented. I think bringing them in and allowing them, these people, to come in and explore different career options will help us build a better workforce. People are going to be able to go to work at something they enjoy not just something that they are put into because that is what is available at the time.

Requiring training hours on various projects, the State of Alaska requires hours on certain highway projects. Why can't we do that on the military bases? Why can't we do that on the North Slope? I know it is private up there but we have to utilize the resources that are walking out the door right now.

The CHAIRMAN. That is a great point on the education.

I was at an Alaska Youth Corps Challenge program. They are graduates given an option for an additional month of apprenticeship with different unions. I happened to go out to the iron workers training facility, and you had all these 16, 17, 18-year olds that were being exposed for the first time. Most of these young people were young people who were from villages around the state. Young women saying, "Man, I want to be an iron worker." It was good, but education is a key piece.

Kevin.

Mr. POMEROY. I am wondering, you know, it was not that long ago that folks, young folks, that did not want to go into construction, you know, they got a college career. We have had more that are looking at why they are in construction. They, kind of, see the writing on the wall. There are not as many opportunities as they had originally thought.

They are actually in construction but I have got some that are talking about going back and continuing in their education. So, you know, having another fallback. It used to be that construction was the fallback. If you could work with your hands you could pretty much make a living, but that is not always the case anymore.

I think it was Bronk that had said up here on one of the earlier panels that he had the bigger list of the new standards or the new "thou shalts," there seemed like there would be a way to make those folks, to compel them to come to Alaska or wherever the region is, that they are getting ready to reinterpret. They are going to rewrite the plans book on how these folks play the game or get a way to make them come to Alaska and see some of the obstacles that they may not be seeing from sitting in their ivory tower rewriting these rule books, if you will, because it is scary.

I mean, construction we have got to replace where you do not have the workforce in the queue, like Chad had mentioned. You do not create a well drill tonight. You do not create a welder in a year, two years. You do not create an operating engineer in a couple of years.

You have got to have enough sustainable work out in front of the workforce, keep them engaged and keep them wanting to be in Alaska otherwise we are going to wake up one day with a big project and we are going to have to import all our labor because they will no longer be there.

The CHAIRMAN. I am going to ask a question and you can figure out which section of it you want to answer.

Admiral Barrett, as the President of Alyeska Pipeline, I think, has been a very strong proponent for continuing the life of the Trans-Alaska Pipeline. The best way to do it is not engineering technologies to reheat the oil at certain points. It's to fill up the pipe.

When we think about ways to fill up the pipe, in my view, the answer that is most direct and clear is through ANWR, accessing

a small portion of ANWR. ANWR is relatively close to the main pipeline on land. It is, in my view, one of those opportunities that we have been foreclosed on by the Federal Government. Yet it is something that can stand as the solution and when we are talking about creating jobs and the incumbent benefits that are associated that ANWR is clearly a part of that answer.

We also recognize that there are many of your folks that are engaged not only in oil and gas opportunities, but they are participating in alternative and renewable energy projects around the state whether it is wind, we look at Fire Island as you came flying in, whether it is hydro power, extraordinary hydropower resources, or some of our other abundant renewable resources.

This will be last question to each of you. In terms of our energy opportunities as a state and how you see the workforce and the job opportunities for them, talk to me a little bit about greater access to our oil resources, ANWR, offshore, NPRA, renewables. Where do you see that future?

Mr. BELTRAMI. I am trying to remember the year but I think it was in the 90's. I was in DC, your Dad was the Senator with Senator Stevens and Congressman Young, and we had a gigantic building trades convention in DC. We did a march, basically walked up to the Capitol steps. We had 1,000 people there. The stars were aligned allegedly, and we are still hoping for that opportunity.

I think the building trades unions in general have always been extremely supportive. I have had conversations with folks that had no idea really what the true situation is up there. It could be done, as I think, very safely, that it is the best opportunity to access, like you said, convenient to the pipeline's location, etcetera.

And there is a lot of mis-information, education out there. I think we still have to never leave that opportunity to weigh in against anyone or, with all due respect to anyone that objects to it, of drilling in ANWR or not. I do think it is probably one of the most safe places that we could access safely and do this right that does not have to worry about a lot of the worst conditions in the offshore which I still think we can do most of these things safely. We cannot give up on pushing that.

You mentioned renewables. I was Chair of the State's Renewable Energy Fund Advisory Committee that was doing about \$50 million a year in renewable projects all around the state. Of course right now we cannot add to that because of the state's situation. It would be great if there were any federal dollars to push on expanding renewable opportunities.

One of the concrete things I would like to see, Chad alluded to it a little bit, is recently Governor Walker put in an Executive Order that beefed up apprenticeship utilization on anything that the state contracts. I would suggest that the Federal Government could do something similar if you want to always have a pipeline, if you will, of workers available and in projects if there could be some kind of a specific apprenticeship utilization language associated with any bids that are put out for work on federal jobs whether it is on military bases or anything else.

That is one way to keep folks in the training pipeline. Short of that we just, like I said, we stand ready to plug people in. We have

outreach efforts everywhere, local hire that we can implement in villages and everywhere else that any communities that would be, you know, have a project being done nearby.

So, like I said, we stand ready, and we will do all that we can to help in forming a long range plan to put Alaskans to work for the future.

The CHAIRMAN. Other comments on energy job opportunities?

Ms. HERBERT. I think we have a tremendous asset just up on the hill here, our university research and development. You know, we need to be able to leverage what they do up there. For every dollar they bring in they are able to leverage that in dollars back into the economy.

I know that we are facing unprecedented budget issues right now, but we really need to get that fiscal house in order. The military is fortunate to have serious dollars coming to us by the way of military construction. They, kind of, ride that bubble a little bit. But we have tremendous assets up on the hill and here in this building.

I have always loved saying, we are all in the oil industry because we truly are. I think when people say close ANWR and NPRA and you look at the turmoil that is happening in the Middle East, we have our resources right here on American soil, and the fact that we are not able to produce them is shameful.

I think there is so much more that we could do for that. I am not an expert in that industry at all, but what I do know is when people are working, the economy is thriving and these guys have Alaskans working and the private sector is thriving as well.

Alaskans have done it best. We have a track record of producing resources responsibly, oil and gas and into mining. I know that just for every oil and gas direct job, 20 jobs are created indirectly. And those are in the nonprofit world, in the private sector. Those are the restaurants. Those are the schools. Those are everything. Everything is touched by the oil and gas industry, and to not recognize that hurts us. I think there is lots more that we can do.

The CHAIRMAN. Great.

Chad.

Mr. HUTCHINSON. You mentioned ANWR. I can honestly say I have been there and spent a lot of time right in that vicinity.

I spent five years at Point Thompson which borders ANWR and have also been to Camden Bay which is the beach right at ANWR.

From 1991 from the time I started working there until 2005 when I left, the difference in environmental policies and the safety policies is tremendous. I do not think a lot of people understand that from what it was when the Navy was up in the North Slope in the 1940's and 1950's and what they left behind to where it is today with virtually zero footprint left behind. I mean, that the companies are going out, the contractor has to go out, and he's accountable for every little thing, not only is the project done in the wintertime, but they go back out in the summertime to clean up after those projects. It is a huge thing. It is a huge difference.

Developing our resources, renewable energy, oils, mining, we need to do something. We need to move forward. Somewhere we have got to have the people to do it.

Like Ms. Herbert said, it is not just the construction, oil and gas industry. It is everybody this is going to affect. If the gas line comes into play, you are going to need people in restaurants. You are going to need people selling ATVs and boats and repairing cars.

Across the street there is a help-wanted sign that has been up over there for three to four years that has not been taken down. They are going to have to put up a bigger sign is what it boils down to. We need to start developing these people. We do not want to train just to train. We have got to have places for them to go.

Thank you.

The CHAIRMAN. Kevin, do you have a final word here?

Mr. POMEROY. Senator, I would agree with you that ANWR should be something to take a look at. I mean, you are looking at a development that has been compared to a postage stamp sitting on a football field. That would be the type of acreage and impact it would do.

You know, I have noticed as I have come through construction, my construction career, you know, I used to be the young guy on the field or on the spread. It has been a lot of years since I have been the young guy in this field. [Laughter.]

But one thing I have noticed as I visited some of the job sites up there as an agent is there is a younger workforce that by it being indoctrinated into their training, they just have a higher level of awareness for the environment. Not to say that, you know, Chad and myself when we were up there working on the oil field that it was not there, it is just that environmental component is something that is put into training as we go through the apprenticeship programs.

You cannot go from one contractor to the next without seeing some impact of that, like the safety record. Alyeska is, and ConocoPhillips and BP, I mean, in Alaska, they kind of pioneered and led the charge, if you will, on safety records.

It is when it becomes part of the culture that you know you are there. I truly believe that we have got young men and women in the apprenticeship programs and within just the skilled trades that have that same sense of environmental stewardship that has become who they are, that they are going to be the workforce that is up there working on those projects. Do they want to see a catastrophe? No. I truly believe that they will do everything they can to minimize it.

I would love to think that Alaska could rely on renewables, but I was just down in Juneau here a couple of weeks ago and with the low snow pack there were a couple of folks wondering if they were going to have enough snow melt in their reservoir to run their hydro. It does not take an Einstein to know that after one o'clock in the afternoon in Fairbanks, Alaska, solar is not going to do you any good.

So you have got to try to develop those renewable and more environmentally-friendly energies. Here in Alaska, particularly in the Interior and in some of the rural communities, you still are reliant on natural gas and hydrocarbons. And so, I think the best, the future is to continue to develop the safest way to access it, and that is through your workforce.

The CHAIRMAN. Great.

We have heard great comments all around. I think it really helped to round out the conversation today, so thank you for the time that you have given us and really the thought and for men and women and the families that you represent because at the end of the day this is about Alaska. This is about our homes. So thank you very much.

Thank you for that. [Applause.]

For the benefit of those here we are just about to the four o'clock hour, but we made arrangements with the Committee to allow for some limited public comments to come before the Committee for the record.

As I mentioned at the outset we would ask that those who wish to provide an oral comment, please try to keep your comments to just two minutes, and anything that you might provide in writing will be incorporated as part of the full Committee record. That will not be limited to a two-minute statement. You certainly have greater flexibility with your written statement.

I am told there is a list. What I will do is call the first three people to be on deck. We will be led off by Bernie Karl. He will be followed by Susan Todd, and then Princess Lucaj, and I don't know if I am pronouncing the last name correctly. If you would just come to the microphone. I would ask that you state your name. What else do they need for the record? Okay, if you can provide your name, spell your last name so that it is included correctly as part of the record, and a business affiliation, if you have one.

Mr. KARL. Bernie Karl, K, A, R, L. Chena Hot Springs Resort. And what else did you want? K, A, R, L. I did spell that.

The CHAIRMAN. Good.

Mr. KARL. Alright.

Senator, thank you for this opportunity. It seems to me there is more opportunity now than there has ever been in the history of man, but it is not business as usual. I did not hear one speaker talk about the opportunities in a smoke stack or the opportunities in a landfill.

It is insane that we have smoke stacks. You know why we have them? Because the solution to pollution is dilution. Why do we have a landfill? Nature has no waste. It is insane that we do not take charge of what we have. I am telling you that there should never be a landfill, there should never be a smoke stack, and we are smart enough to do something about it. The reason we do not do anything about it is because we are addicted to oil in one arm, and are addicted to greed in the other.

Do we need oil? Absolutely. There is more opportunity on the North Slope than there has ever been. C-One through C-Six are the building blocks for most all chemicals in the world. Our government wants to build a pipeline and ship it out of here and take 30 pieces of silver. Shame on us. Those are the building blocks for the world.

We sit on the world's largest gas field, world's second largest gas field. We should develop that. All the highest and best paid jobs should be in Alaska. For \$4 billion in four years with Alaskan help, which happens to be some of the best help in the world, we could put one million barrels a day of methanol into that pipeline.

You take CH₄. You take out the four molecules of hydrogen and you bond that with nitrogen and you bond that with CO₂. Yeah, CO₂. Twelve and a half percent of that field is CO₂. Now you make a liquid fuel. And that fuel is 100,000 BTUs per gallon. You burn it in any engine and store it in any tank that is already here.

Alaska should lead this energy parade. We are following. Shame on us. We need to lead. We have the brightest people here. Our indigenous people have the highest IQ of any indigenous people on the Earth. They own a lot of this land and resources, as you heard.

So if you want to look at the high, the top 14 corporations in Alaska, number four is Lynden. The other 13 are all Native Corporations, and so that proves my point.

I only have just a second left but thank you for the opportunity. It is shameful what we are doing. The only thing we need is zero federal oversight and zero federal help.

We want to make your job easy. We have got to stop taking your help, and we damn sure do not need any more federal oversight and this state could grow.

The CHAIRMAN. Thank you, Mr. Karl.

Susan Todd.

Ms. TODD. Now that's a hard act to follow.

The CHAIRMAN. Yes, it is. [Laughter.]

Ms. TODD. Okay, thank you, Senator, for the opportunity to testify. I am Susan Todd. T, O, D, D.

I am a mother of two, and I have been a professor of Natural Resource Management at the University for 26 years. I have been in Alaska 41 years. I came up for the pipeline boom which was a hell of a lot of fun.

I have always felt development can be done responsibly, and I used to get a kick out of bumper stickers that said, "Alaskans for Global Warming." But with the increasing evidence of climate change in 1999, I started including a unit on global warming in my courses.

Every year I updated my lectures with the latest statistics. Every year they were scarier. I went from being unconcerned to being deeply worried.

All ten of the hottest years on record have been since 1998. The top four records have been since 2010 with 2015 breaking them by a shocking margin. 2015 is now the warmest year on record by far.

The scariest thing about climate change is that warming creates more warming. After a tipping point, global warming will fuel itself and it will be unstoppable.

The sea level is rising exponentially. Instead of moving ten villages we could be moving 50. The economic and social cost of losing coastal cities is incalculable. China alone anticipates 350 million refugees from their coastline.

The world is having trouble absorbing just two million refugees from Syria. What will happen when we have one billion coastal refugees on the move?

These are just a few of the impacts we face. The primary cause is CO₂ emissions. There is an overwhelming scientific consensus on climate change and a recent article, scientific article, by James Hansen and 18 other globally recognized scientists had this to say, "There is a real danger that we will hand young people a climate

system that is out of control. . .” It is hard. “We conclude that the message our climate science delivers to society and policy makers is this—we have a global emergency.” Scientific journals do not usually say things like that.

Innovative technologies and renewable energy sources are the answer, and time is of the essence. Americans, as Bernie said, are the most innovative people on the planet. We entered World War II flying wooden biplanes, and within just five years we had jet fighters. When we decide to solve tough problems, we do it.

To stop climate change we must transition off fossil fuels as soon as possible with new sources of energy and new technology. I urge you to do all you can to reduce our dependence on fossil fuels and to develop renewable energy sources. The question is not can we afford to do this; the question is can we afford not to.

Thank you. [Applause.]

The CHAIRMAN. Thank you.

Princess, welcome.

Ms. LUCAJ. Hi. Quickly my last name, L, U, C, A, J. You’ll have to excuse me, because I’m a little nervous right now.

But I am standing before you as an Alaskan Native woman, mother, and what I’m most concerned about is maintaining the ecological wellness, integrity of our natural resources. I am also wary of the erosion of the public voice in decisions that have to do with the destruction and privatization and commodification of our precious life-giving resources such as our crystal waters and riverways.

When you talk about streamlining processes for mining and oil and gas development it frightens me, quite frankly, because EPA regulations are there for a reason, to protect you and me, to protect the public.

I am sure that if we had not had public protests long ago we would have seen development on the coastal plain of the Arctic National Wildlife Refuge or at Pebble Mine or seen HB77 go through last year.

So the real threat to our national security is the devastating effects of climate change. The real threat to our overall well-being is to our wildlife. It is what is happening to the chinook, to our marine life and to our caribou, moose and migratory birds. We are not the only species that lives and dreams on this planet.

What right does the Porcupine caribou herd have to return to its early nesting ground on the coastal plain of Arctic National Wildlife Refuge?

We cannot drill our way out of this predicament we find ourselves in as human species. We must begin looking elsewhere to create jobs. We are suffering today because we did not do a good job of diversifying our economy.

When I was 17 years old at Lathrop High School a New York Times article dated May 29, 1990 read, “As oil bounty drains Alaska becomes uneasy.” In the article then-Governor, Steve Cowper, speaks of his optimism about our ability to diversify our economy and that taxes could make up from where we are not able to expand. That was 15 years ago. Fifteen years ago and I feel very, very strongly that the problem of Alaska’s socioeconomic and ecological environmental sustainability has been put off on my genera-

tion. Why did we not do anything 20 years ago when we knew that this was coming down the pipeline, literally. It was going to drain out eventually because it has been a one-pony show, a one-stop-shop.

Why are we still having this conversation? It is just business as usual. To me it feels like business as usual.

It is time for us to stretch our minds and hearts in innovation and work together to transition our economy to one that is truly sustainable and logically sound. We need to fund renewables and to transition our workforce up to then to work in that field. We need to encourage and incentivize our local economies and we need every Alaskan to engage in this process of transitioning our economy off of fossil fuels.

We should really think about what these words mean. Progress. Prosperity. Development. [Applause.]

The CHAIRMAN. The next three names we have are Erik Schaetzle, Tristan Glowa and Odin Miller.

So if Erik is here, welcome.

Mr. SCHAETZLE. Thank you, Senator Murkowski, members of the Committee.

The CHAIRMAN. You are going to have to get just a little closer so that they can pick you up on the mic for the record.

Mr. SCHAETZLE. Thank you, Senator Murkowski, members of the Committee.

Our state has a goal of 50 percent electric——

The CHAIRMAN. Erik, I need you to spell your last name because it is a little challenging.

Mr. SCHAETZLE. My last name is Schaetzle. S, C, H, A, E, T, Z, L, E.

Our state has a goal of 50 percent electric generation from renewable sources by 2025. As a whole, Alaska already produces over 20 percent of electricity with water, wind and other renewable energy sources and has seen a 20-fold increase in wind power generation since 2007.

Kodiak generates over 99 percent of its power from renewable energy resources. They are now switching from oil to electric heat pumps to heat their homes as they are in Seward and in Juneau as well.

Solar energy has grown considerably across the state in the Northwest part of Coral to Copper Valley. In Fairbanks the Golden Valley Electric Association is exploring community solar projects. This is where the world is headed, and Alaska is extremely well-positioned to lead it with abundant renewable resources.

The CHAIRMAN. Hang on just one second. Can he keep talking or no? It is all about storage. [Laughter.]

There we go.

Mr. SCHAETZLE. Alaska is extremely well-positioned to lead it with abundant renewable resources, a skilled workforce and splendid northern engineering know-how to develop the technologies that can lead America toward a low pollution future and energy independence.

Last year Mark Jacobson of Stanford created a 100 percent renewable road map for Alaska. We have the solar resource comparable to Germany, geothermal resources suitable for geothermal

power projects, over 90 percent of the nation's river current and tidal energy resources and outstanding wind resources.

Our Arctic neighbors are already doing this. Finland has a 100 percent renewable energy plan. Russia recently completed renewable energy system modeling. It is one of the most energy competitive regions. Canada created a transition pathway for its low carbon future. One hundred forty four countries currently have renewable energy policy targets.

Refocusing investment on renewable energy providers would shift oil and pipeline workers to building energy production systems that take advantage of Alaska's renewable energy potential.

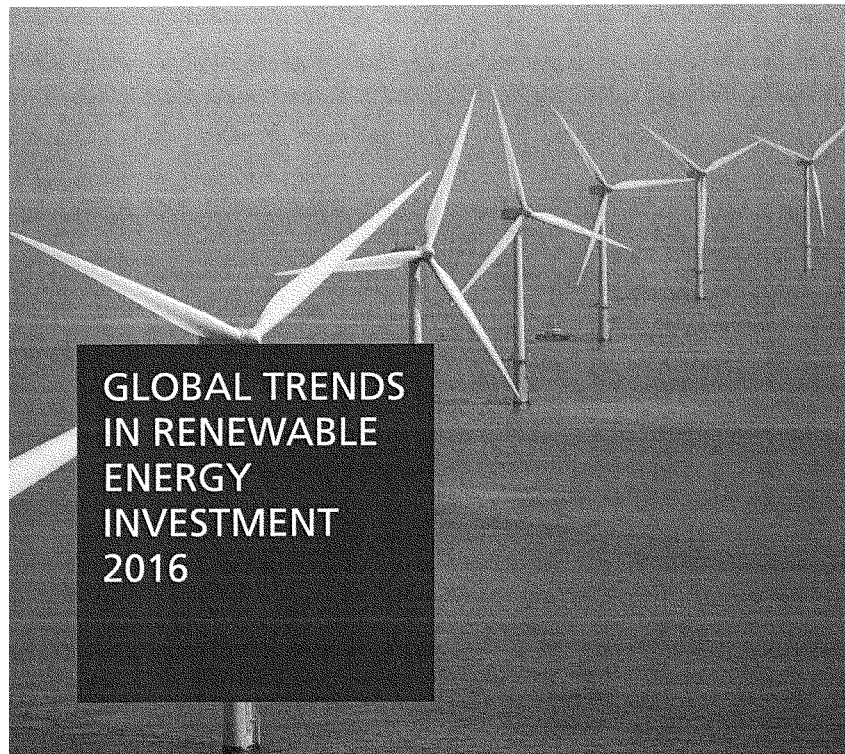
The transition to a low-carbon society and economy will enhance prosperity and well-being, modernize infrastructure, develop regional, renewable energy sources and create new business and new jobs in a diversified, innovative, knowledge based economy.

But according to research published just this last Thursday, the 24th of March, in Global Trends and Renewable Energy Investment 2016, 2015 produced a new record for global investment in renewable energy.

[The information referred to follows:]



Frankfurt School
FS-UNEP Collaborating Centre
for Climate & Sustainable Energy Finance



Bloomberg
NEW ENERGY FINANCE

KEY FINDINGS

- 2015 produced a new record for global investment in renewable energy. The amount of money committed to renewables excluding large hydro-electric projects rose 5% to \$285.9 billion, exceeding the previous record of \$278.5 billion achieved in 2011. This record was achieved despite exchange rate shifts that depressed the dollar value of investments in other currency zones, and despite sharp falls in oil, coal and gas prices that protected the competitive position of fossil fuel generation.
- Even more striking was that the amount of generating capacity added in wind and solar photovoltaics last year came to 118GW, far above the next highest annual figure, 2014's 94GW. Overall, renewables excluding large hydro made up 53.6% of the gigawatt capacity of all technologies installed in 2015, the first time it has represented a majority.
- Global investment in renewable power capacity¹, at \$265.8 billion, was more than double dollar allocations to new coal and gas generation, which was an estimated \$130 billion in 2015. However, the huge weight of conventional generation capacity already built meant that new, clean technologies only accounted for just over 10% of world electricity last year, as Chapter 2 shows. However, this did prevent the emission of some 1.5 gigatonnes of CO₂ in 2015.
- Even though 2015 produced a record for overall investment, the sky is far from entirely blue. The United Nations climate change conference in Paris in December 2015, known as COP21, produced an unprecedented agreement among 195 countries to act for zero net emissions in the second half of the century. Nevertheless, the global emission trend remains worrying, as energy-related emissions are not forecast to peak until the late 2020s, at the earliest.
- Last year was also notable as the first in which investment in renewables excluding large hydro in developing countries outweighed that in developed economies. The developing world including China, India and Brazil committed a total of \$156 billion, up 19% on 2014, while developed countries invested \$130 billion, down 8%. A large element in this turnaround was China, which lifted its investment by 17% to \$102.9 billion, or 36% of the world total.
- However, other developing countries also raised their game – India saw its commitments rise 22% to \$10.2 billion, while Brazil (\$7.1 billion, down 10%), South Africa (\$4.5 billion, up 329%), Mexico (\$4 billion, up 105%) and Chile (\$3.4 billion, up 151%) all joined it in the list of the top 10 investing countries in 2015. The list of developing countries investing more than \$500 million last year also included Morocco, Uruguay, the Philippines, Pakistan and Honduras.
- Investment in Europe slipped 21% to \$48.8 billion, despite that continent's record year for financings of offshore wind, at \$17 billion, up 11%. The US enjoyed a 19% bounce in renewable energy commitments to \$44.1 billion, its highest since 2011, with solar accounting for just over two thirds of that total. Japan attracted \$36.2 billion, almost the same as in 2014, thanks to its continuing boom in small-scale PV.
- Renewable generation costs continue to fall, particularly in solar photovoltaics. In the second half of 2015, the global average levelised cost of electricity for crystalline silicon PV was \$122 per MWh, down from \$143 in H2 2014. Specific projects are going ahead at tariffs well below that – the record-breaker so far being a 200MW plant in Dubai being built by ACWA Power International, awarded a contract in January 2015 at just \$58.50 per MWh.
- Public market investment in renewable energy totalled \$12.8 billion in 2015, down 21% on the previous year's figure but close to the average for the years since 2008. The 2015 figure was unusually lopsided, however, with North American 'yieldcos' and European quoted project funds accounting for \$6.2 billion of new equity, and US manufacturer and project developer SunEdison issuing \$2 billion of convertibles. The US yieldco equity raising spree came to an almost complete halt after July as a result of a sharp share price correction. Overall, clean energy shares edged down 0.6% in 2015, in line with the US S&P500 index.
- Policy support for renewables remains fickle. A less friendly turn by the new UK government after the May 2015 election has been one example, and another may be the US Supreme Court's decision in February 2016 to allow all legal objections to the Environmental Protection Agency's Clean Power Plan to be heard before it can be implemented. It is also possible that the recent big fall in coal, oil and gas prices may tempt some developing countries to keep relying on fossil-fuel capacity for longer.
- There is rising interest in battery storage as an adjunct to solar and wind projects and to small-scale PV systems. In 2015, some 250MW of utility-scale electricity storage (excluding pumped hydro and lead-acid batteries) were installed worldwide, up from 160MW in 2014. Announced projects reached 1.2GW. The potential for storage to help balance variable renewable electricity generation, in both developed countries and remote developing country locations off the grid, is this year's Focus topic and is discussed in Chapter 3.

¹ Investment in large hydro-electric dams is not included in that figure. It is estimated to have been \$43 billion in 2015.

The amount of the money committed to renewables excluding large hydroelectric projects rose to \$285.9 billion. That was more than double that of new coal and gas generation.

Thank you for your attention.

The CHAIRMAN. Erik, thank you very much. [Applause.]

Tristan Glowa, welcome.

Mr. GLOWA. Thank you, Senator. My name is Tristan Glowa. G, L, O, W, A.

So I grew up and continue to love living in Fairbanks, and I am currently a student at Yale University taking a semester or two to be here at UAF taking classes on Arctic issues.

I have been an active community organizer for several years here and currently organized with the Fairbanks Climate Action Coalition. So we represent a large number of and growing number of individuals in the community here, faith groups, students, Alaska Native leaders, scientists across the board.

And as someone who plans to continue living in Fairbanks and working for this community for the rest of my life, I have to say that I am concerned about the future that you are envisioning here of expanded fossil fuel production as our community here is seriously at risk for our global and domestic fossil fuel dependence.

In Alaska we are on the front lines of fossil fuel-induced climate change. This is indisputable. The worst things, wildfires, permafrost melt, unpredictable winters, are already affecting this community. Climate change is an existential threat to my generation and all future generations.

In an immediate sense oil dependency is also hurting this community as our lack of revenue diversification has resulted in a harsh program of austerity being proposed for our schools and universities. This seriously concerns me as we cannot afford to cut back our investment in the human capital. We need to look past these tough times.

The solution that we need for the well-being of my generation and future generations is not to double down on fossil fuel extraction. It is not to drill from the Arctic refuge against the wills of the Gwich'in Steering Committee. We need to immediately work to diversify our economy and transition away from the fossil fuel economy.

We should be focusing on green jobs building clean energy systems, energy efficiency, sustainable infrastructure and a resilient local food system. We need you to lead on this. This is leadership that we need.

Thank you.

The CHAIRMAN. Thank you, Tristan. [Applause.]

Odin Miller, go ahead.

Mr. MILLER. Good afternoon. Thank you for allowing me the opportunity to comment.

As a lifelong Alaskan I would like to invite Senator Murkowski and the members of these panels to fully embrace climate science. Its implications for Alaska are abundantly clear. Climate change is a grave threat to our state's future. The economic consequences of climate change are also very clear. It is going to cost Alaska billions and billions of dollars to adapt.

There are currently four villages needing relocation, and our state has yet to find funding for even one of those relocations. Dozens more communities are threatened by climate change and will likely eventually need to be moved.

Referring to Alaska's economy Ms. Herbert recently said, "Everything is touched by the oil and gas industry." I would point out that everything is touched by the climate crisis we are in.

If we keep putting all our economic drivers in oil and gas and mining, these climate adaptation costs are going to get much, much worse and overwhelm our state's capacity. Large new oil projects may bring temporary wealth and high paying jobs, but they are robbing younger Alaskans like me of our future.

As long as Alaska makes no effort to look beyond oil and gas it will keep advocating at a federal level against any measures that would meaningfully mitigate climate change. Keeping federal fossil fuel subsidies in place, for example, makes it difficult for sustainable sources of economic development to become competitive in our state.

I acknowledge that it will not be easy to shift away from our state's dependence on oil development, but I think we need to start having serious conversations at all institutional levels about how to diversify our economy in ways that would still create high paying jobs.

As a start I would like to urge you, Senator Murkowski, to vote against the Trans Pacific Partnership which would shift many of our jobs overseas, drive down wages and impede our government's ability to enact policies needed to sustainably develop our economy.

Thank you.

The CHAIRMAN. Thank you, Odin. [Applause.]

The next three on the list are Darlene Herbert, Enei Peter and Anna Godin.

Welcome, Darlene.

Ms. HERBERT. Thank you.

My name is Darlene Herbert, and I am from Fort Yukon. I was born in Fort Yukon, about 50 miles south of Fort Yukon, and my first language was Gwich'in. I had to learn to speak English when I was in seventh grade. I mean I made this goal in first grade and we were not allowed to speak our language and anytime we spoke our language in the school we had our hands beaten by a ruler. To this day I speak my language—because of my grandmother. My grandmother did not know how to speak the English.

I retired from Local 942. I had been up on the Slope for about 28 years and after that I did about eight years at Clear Air Force Base.

I would like to tell you a little story my grandmother told me. The story came down from generation after generations for thousands of years and the story is all over Alaska, even the Eskimos and Tlingit and everybody knows this.

There is starvation coming. We know there is starvation coming, and if people heed this story in the land there will be nothing. There will be no animals to eat, no fish to eat. We have to be very careful and protect our land for the generations to come to survive.

We, as Alaskan Natives, have survived on this land for thousands and thousands of years. The reason we survive on this land is because we live off the land. We did not destroy the land.

I know you people have a different way of seeing things. You guys think about money. We do not think about money. We do not think about oil. We do not think about gold.

How we survive is because of the land. We have to keep our water clean and our air clean and also keep our animals safe. We only take what we need to survive. And if we do not do this your kids and our kids will not survive. It will be survival of the fittest because when starvation comes you cannot eat money or eat or drink oil.

I have two granddaughters. I have one going to college to be a pharmacist. I have another one that is going to be a lawyer. I have two younger great grandkids that are going to be lawyers also.

I understand that we have to learn your language. I understand we have to learn your laws which are a lot different from ours.

When my mother and their parents lived, we all did not have a piece of paper to tell us where we belong or where our land was. We knew where our land was. We did not need a piece of paper. Everybody knew where their land was, and we did not need a piece of paper to tell us.

I think what you guys do is you guys make too much laws for each other. You should keep it quite simple and look at how many books that guy had. I mean, do you really honestly sit there and read every word out of these? Keep your laws simple. You know, you do not need too many words. I do not understand.

But anyways, I work for Local 942, and I get a very good retirement check. And I am very thankful for that. But with the starvation which is going to come, I think that you should tread very quietly and not try to destroy everything.

I understand your need for money, but I have to do this to save my children behind me. I hope you take this into consideration when you make your laws to not destroy our animals, our fish, our water, our land, our air. If we do not change that then we will all die, and so will you. Your money cannot save you then. Your oil cannot save you. Your minerals cannot save you.

It is going to be very hard times. My grandmother said it is going to be so hard there will not be any water. There will not be any animals.

But we have to know how to live off the Earth because everything on Earth has a name and a language, everything. I think that you make too many laws and try to take everything out of the Earth.

Your kids will have a very hard time which will make my kids have a very hard time. But if you are going to do all of this make sure that you make laws to protect the land and the water and the air for the generation behind us.

Thank you.

The CHAIRMAN. Thank you, Darlene. [Applause.]

Enei, I am going to have you spell your full name.

Ms. PETER. Sure.

The CHAIRMAN. Thank you.

Ms. PETER. My name is Enei. E, N, E, I. And then Peter is the last name. P, E, T, E, R.

I just have a few quick comments to say and I would really like to give most of my time to an expert here in the room, who did not get a chance to sign up yet.

But very quickly I just want to echo for the record officially that not all of your constituents want to continue Alaska down the path of fossil fuel economic development and mining.

I am a resident here in Fairbanks. I also have lived in Arctic Village, Alaska. A mother, a Native woman, mother of three Alaska Native children who I really feel we, you, we are all doing a disservice to, if we do not begin transitioning our economy now, begin finding other jobs, sources, training our workforce towards a different economy. This, I heard on this panel over and over, the uncertainty that exists right now on that path of economic development.

And so my question is, why are we continuing to put billions of dollars into supporting that path when that path has brought us to this economic decline? When, like so many before me have said, Princess said, this has been a forecast for so long. Now we really need to look to our leaders to take very clear steps away from that economy. We need to invest more into renewables. We need to provide whatever those subsidies are to the renewable energy sector as well as other green businesses.

So with that I want to ask if I can, I do not know if I have any time left actually.

The CHAIRMAN. I would like to get through those who are on the list before we add any others, if we could do that?

Mr. EGAN. May I be added?

The CHAIRMAN. Yes.

Mr. EGAN. Thank you so much.

Ms. PETER. Sorry. Thank you.

The CHAIRMAN. Thank you, Enei.

The next three are Anna Gadoon, Pamela Miller and Lois Epstein.

So is Anna not here?

Ms. GADOON. I am going to pass my time tonight.

The CHAIRMAN. Okay, alright.

Let's go to Pamela Miller.

There are just a couple more. Just out of respect.

Ms. MILLER. Hello. My name is Pam Miller. Thank you for allowing me to testify here today.

I am here representing myself and my small business, Arctic Connections. I depend on the wildlands, our tourists and the remarkable resources that we have in the State of Alaska.

Alaska is at an exciting time. It is a work to transform our economy away from oil and gas, and other fossil fuels makes a strapped based economy.

I do not know that I heard the words climate change or global warming from a single one of the 12 panelists today. I do not think that they represent the views adequately of the people of Fairbanks or of the State of Alaska and where we are in our economy.

I will make a quote from one of our quite well-known oil experts in this state, Larry Persily, from a recent press article on the radio.

"We have to accept we are not the oil and gas state that we once thought we were and we are never going to be the oil and gas state that we once were."

Because this is not just prices. This is production. We are down three-quarters from the peak, and no one out there thinks we have another Prudhoe Bay in our back pocket.

So it is going to be an adjustment for Alaska. In crisis there is opportunity, and I think there is incredible opportunity in Alaska. And I believe this hearing and the 12 testifiers very narrowly looked at what it is a resource of Alaska and of what is their wealth?

People have been living in the heart of Alaska for over 12,000 years riding on salmon. It did not come a final solution. They have been here. We have been here.

When I look out right now at the transforming economy I am looking out 50 years. Where are we going to be? We can get there. We have incredible people. We have resources, clean air, clean water, a world class conservation system of life that people culture from all over the world because we have something no one else has.

Folks talked about the small footprint of development in Arctic National Wildlife Refuge. I remember one of our great Republican champions for the Refuge talking about the so-called 2,000 acres. Well, there is a small tumor in your lungs. Are you going to be worried about the greater cancer that happens? That is just a metaphor, but there is a very real difference between an intact, functioning land that is set aside for the fish and wildlife wilderness from the oil and gas industrialization.

I think as a state we need to look at our powerful imagination, and I think that is what we are lacking a little bit as we were looking back instead of forward with the speakers here today. I have a vision that we can get to a very much different Alaska.

We do not need to sacrifice our great lands like our National Wildlife Refuge, some of our parks and other places. We can get there with a renewable energy economy. We can adapt, first mitigate and adapt to climate change.

We do not know how we are going to get through that door. We can go through the door without knowing exactly what we are getting, where, how we are going to get there. But we need to have conversations that are not one-sided, that are not biased, that fully represent the great wealth we have here in Alaska.

Thank you very much.

The CHAIRMAN. Thank you, Pam. [Applause.]

Lois Epstein, welcome.

Ms. EPSTEIN. Thank you, Senator. Thank you for having Alaskans participate in this hearing.

The CHAIRMAN. I am going to have you spell your last name too.

Ms. EPSTEIN. Okay, It's E, P, S, T, E, I, N.

And hopefully we all get back to Anchorage at some point. [Laughter.]

So I am an Alaska-licensed engineer. I am also the Arctic Program Director for the Wilderness Society. What many people do not know is that the Wilderness Society has been operating in Alaska since the 1930s and we have had our scientists working on Arctic-

related issues, identifying important places and the ecology there since the early days of the organization.

As an organization and as a member of the public we are greatly disappointed by the lack of important perspectives at this hearing. Key missing perspectives include federal officials, conservationists, tribal members, renewable energy developers, guides and outfitters, economists and others in support of a diversified economy in the state.

Alaskans deserve to have this great state treated as more than just a resource development economy. Alaska is a land of intact ecosystems with some of the cleanest and most scenic lands and waters on Earth. There is a thriving consistent way of life in these parts of the state that it is our obligation to maintain for future generations.

Finally, I would like to add that as many others have said that we cannot drill or mine our way to a sustainable state budget. Our elected officials should be working towards diversifying and reorganizing our economy now to prepare for the post oil future. I recognize there is a federal role involved as well as a state role in that, but we are clearly at a very important time for the state to figuring out where we are going for the next few decades.

So thank you, appreciate this opportunity to speak.

The CHAIRMAN. Thank you, Lois. [Applause.]

The next person that we have on the list is Art Nash, and then by popular acclaim, this gentleman will be invited once Mr. Nash has spoken.

Welcome.

Mr. NASH. Thank you, Senator.

That's Art Nash, N, A, S, H, like the old rambler, and I am with the School of Natural Resources, an extension at UAF. And I just wanted to, I guess, bring attention to our food situation in the state and food security.

The other issues that have been talked about are high flying. I look more at, kind of, the direct season-to-season. I see that 95 percent, according to the State Department of Ag, of our food comes from the lower 48. That is disconcerting.

Sometimes, you know, we will have different types of disruptions. It might be 9/11. Possibly in the past we have had volcanoes that have gone off that have interrupted traffic and then people, kind of, feel the pinch or a barge does not make it up. The people start to think about food.

I think one of the key components of having affordable food in Alaska is energy. And whether it comes from coal, oil, natural gas or wood, I think that a continued work in policy and assistance on trying to figure out how to have energy lengthen our season, our growing season, is just a good investment for the state.

Right now a lot of growers will tell you that they are not going to plant until it is 46 degrees which is usually, even in a season like last year, where we had a lot of water and the snow evacuated with a bit of a break up. They start in June, and then they pretty much end at first frost in September in the Interior.

With using the energy wisely, again regardless of the source, it would be good to try to figure out ways to lengthen the season to go ahead and get another month after frost, a couple of months

early. I think that energy, obviously, and the cost of energy has a lot to do with when we can extend those seasons and how. But I also think that with some of the things that have been talked about there are also opportunities that people may see as failures or disasters that may benefit us.

The fact that when we do have now a very strong source of water that we can draw on for Ag and start to, hopefully, figure out how to tap, whether it be from, you know, various natural sources such as last year when we had in Delucia that we've never had a different type of weather events that are new. Let us take them on as opportunities and figure out how to put in new traps. How to, maybe, go ahead and ride on the back of some invasive species that are going to come anyway, figure out which types of foods grow best and learn from other states.

So I know that food has not been the tenor of most of the discussion, but it is linked with energy. And I think that with the permafrost melting there are going to be some opportunities for maybe more crop land and trying to figure things out. And these are things that, like I say, may seem to be on the fringe of what most of today's discussion was about. But I think it is worth, as you go back to Washington and maybe as you work with other Committees and such, it is worth trying to kick around and kick the can down the road a little bit and trying to figure out how we can get more food grown in the state.

Thank you.

The CHAIRMAN. Thank you, Mr. Nash. [Applause.]

Greg Egan, welcome to the Committee.

Mr. EGAN. Well, thank you so much for the opportunity. I did not think that you were going to go past four, so I thought my odds were really low for signing up. So I did not.

The CHAIRMAN. You get to bring up the end here, so thank you.

Mr. EGAN. My name is Greg Egan. My company is Remote Power, Inc. I have a small company here in Fairbanks.

The CHAIRMAN. Could you spell your last name?

Mr. EGAN. E, G, A, N.

I have a company here in Fairbanks, and we have designed and installed solar and wind power systems for a couple of decades, mostly small stuff.

And so I think a lot of people think that is what I want to talk about and that was really it, but I will mention that there is and I am sure you are aware of this in the lower Kuskokwim area. I want to say Quinhagak, Togiak and two other villages, they have systems in place now where they are turning the diesel engines off and running off of wind and they are using thermal storage. They look like little pellet stoves only they are electric and they fire brick in them.

The CHAIRMAN. I have seen them.

Mr. EGAN. Yeah, I know you have.

And there was a nice article on Alaska News Nightly maybe a month or so ago that talked about it that I was lucky enough to hear.

So anyway, there is some things that are not pie in the sky. They are not far off in the distance. They are actually happening now and they are happening—with renewable energy.

So I think that it is okay that we focus on that. We do not have to try to reinvent the wheel.

What I really wanted to, what I was thinking of speaking about, was a little bit about climate change and trying to explain something. I think this is really important, okay.

I am an old refrigeration mechanic. I am not a scientist. James Hansen has a recent paper, and one of the things he says here is he is talking about climate change. "The economic cost of losing functionality of all coastal cities is practically uncalculable."

This is a guy that talked to Congress in 1988. He's a NASA scientist. He and 18 other co-authors, you know, had this study done recently, a couple of weeks ago now.

We suggest that a strategy reliant on adaptation to such consequences will be unacceptable to most of humanity. So it is important to understand this threat as soon as possible.

So and to try and help with that, okay? I was a refrigerator mechanic. I learned a long time ago that in order to melt a pound of ice, changing from ice to water. So just a phase change, not temperature. This is 16 ounces. This is about a pound of ice. It takes 144 BTUs. Okay? It takes the same 144 BTUs to warm over 17 gallons of water, one degree.

So the reason this is important to understand is that there is, when you read papers from these geoscientists and such, who talk about how many gigatons of ice have been melted and so on and so forth. You have got about—there used to be. All that heat combined with that ice is huge.

And if you think about it as a hunter if you have a serious freezer, 18 cubic foot, 20 cubic foot, you shoot a moose. You drag it home and you throw that moose in the freezer and you think it is going to freeze? You know, you find out that except for when the engine is frozen, the stuff in the middle died because it takes so much heat to change the state of liquid to ice or ice to liquid.

It takes one BTU is what is needed to raise one pound of water, one degree Fahrenheit. That is just a definition. Okay? One hundred forty-four BTUs could change a pound of ice to a pound of water at 32 degrees, not change the temperature at all. So it just takes something into exponential thing and it is hard for us to wrap our minds around that. It is hard for us to wrap our minds around compound interest.

But anyway, whether it is hard to wrap around or not, that is what is going on. And it is going to cause everyone big problems, be they Alaskans, be they one of the billion coastal refugees in the future. That, I think, is an important point. And I think it makes sense. This is a pound of water compared to 17, over 17 gallons of water. To melt this, you could heat 17 gallons of water, you know, from 33 degrees to 34.

Hope that makes sense. Thank you so much for letting me, allowing me to speak.

The CHAIRMAN. Thank you, Mr. Egan. [Applause.]

I would like to thank the 12 people who provided public testimony. We appreciate your comments as well as that of the panel of 12 Alaskans that we had heard from.

As I mentioned at the outset for those who might wish to submit written testimony to be incorporated as part of the record, it will

be held open for two weeks from today. You may submit that testimony by talking to Annie Hoefler right over here. Annie will make sure that we have the right way to communicate any additional input that you may have.

I mentioned my thanks to Chad Hutchinson and those here at the Training Center for opening their doors, but I also want to give a specific shout out to Michelle Foley. I do not know if Michelle is still here. There she is over there. Michelle, thank you. You have made this happen very effortlessly and easily and working with my staff on the Energy Committee. We appreciate that as well.

Again, the intention for today's hearing, in addition to hearing from those who provided testimony, was really to provide a base for examination of those ways and methods that we can help facilitate opportunities for Alaskans wherever they may be, whether they are down in Ketchikan, Barrow or places in between and recognizing our full potential as Alaskans. But also the opportunities and the challenges that present themselves in a place that is as unique and remarkable and filled with human resources as well as God-given resources and our responsibility to one another in that.

So thank you for the opportunity to be with you. We have over-extended thanks to Mount Pavlof today.

With that, the Energy and Natural Resources Committee is adjourned.

[Whereupon, at 4:42 p.m. the hearing was adjourned.]

APPENDIX MATERIAL SUBMITTED



330 Wendell Avenue, Suite E, Fairbanks, AK 99701

March 28, 2016

United States Senate
Energy Committee & Natural Resources Committee

Alaska, like all States, has a responsibility to utilize its resources to the betterment of its citizens. This responsibility is part of the founding principles of our Nation and State: guaranteed to us in our National constitution, guaranteed to us in our Statehood compact, and promised to us as part of the ANILCA Compromises.

Resource development create jobs and economic benefits to national, state and local economies. Economic opportunities from resource development are by far the best solution to the social challenges that face our Nation and our State. In spite of this, today, the wellbeing of Alaskans, and the ability of Alaska to uphold its responsibility to its citizens, is being jeopardized by overreaching federal regulations and overweening federal regulators. Regulatory agencies, by unduly infringing on the individual's and State's rights to act in development of a robust economy, are creating or exacerbating many of the economic and social problems they are pledged to help overcome.

Some of the overreaching regulations negatively impacting Alaska and Alaskans are occurring in the following areas:

- Navigable Waters and Submerged Lands
- Alaska Access Rights – RS2477 Trails
- U. S. Forest Service Roadless Rules
- ANILCA Title XI Provision For Transportation Corridors
- Fish and Wildlife Alaska Fish and Game Management
- Endangered Species Act
- Development of Alaska's Energy and Mineral Resources
- Continued Violation of ANILCA's "No More" Clause

Continuing violations of Alaska's and Alaskan's rights under the U. S. Constitution, Alaska's Statehood Act and ANILCA are diminishing our individual quality of life, crippling our collective ability to develop a sustainable and diversified economy in Alaska, and arresting our progress toward the kind of economic prosperity all Americans are guaranteed the right to pursue.

We thank Senator Murkowski and members of the Senate Energy and Natural Resources Committee for allowing us to express our frustration with the federal overreach that has too long been allowed to exist in Alaska. We ask for your support in quickly finding a durable resolution to the persistent and damaging issue of Federal regulatory encroachment in Alaska and upon the rights Alaskans.

Respectfully,

A handwritten signature in dark ink, appearing to read "Jim Dodson", is written over a faint, stylized graphic of a star or compass rose.

Jim Dodson,
President & CEO
Fairbanks Economic Development Corporation

**Testimony submitted to the U.S. Senate
Committee on Energy and Natural Resources**

**“Field Hearing to Examine Alaska Resource Development – Opportunities to Create Jobs and
Strengthen National Security”**

March 28, 2016

Submitted on April 14, 2016 by:
Sara Longan

Testimony on behalf of:
The State of Alaska

I. Introduction

My name is Sara Longan and I am the Executive Director of the Office of Project Management & Permitting within the Alaska Department of Natural Resources (AK DNR). On behalf of Governor Bill Walker, we thank you for this opportunity to provide written testimony for the record.

My comments will focus on the barriers to resource development we have faced in Alaska. I will make recommendations for enhanced agency and stakeholder consultation to help better reform national level policy setting.

Responsible resource development remains a critical part of Alaska’s economy. We are currently faced with significant fiscal challenges and the need for clear federal oversight and guidance consistent with existing federal law remains as important as ever. Alaska is fortunate to possess vast natural resources, but our state and nation cannot reap the benefits of continued prudent resource development if access to these same critical resources is locked away as result of lease sale delays, arbitrary land use restrictions, and ambiguous and ever-changing emerging policies that have proven to increase the cost and potential risk of doing business in Alaska.

I echo and appreciate the comments raised by other panel members who testified during the Fairbanks field hearing on March 28, 2016. In particular, the recognition of how Alaska’s extensive resource potential compares to other states where Alaska’s oceans are thought to contain more than 30% of the nation’s known recoverable offshore resources, over 50% of the nation’s seafood, and

over 50% of the nation's land based minerals. However, the federal government owns and manages the majority, over 63% of Alaska's lands. Over 75% of these federal lands are closed to mining. The Bureau of Land Management (BLM) administers over 72 million acres of which only 25% is open to mineral entry. The National Petroleum Reserve-Alaska (NPR-A) managed by the BLM includes 23 million acres of which over 50% is off limits or unavailable for oil & gas leasing.

Given the expanse of land use and resource restrictions already in place, it is surprising that federal agencies commit exhaustive government resources to further expand these restrictions. One alarming example is BLM's current Resource Management Plan (RMP) efforts for the Eastern Interior (EI), Bering Sea-Western Interior (BSWI) and Central Yukon (CY) with current proposals to overlay administrative designations, called Areas of Critical Environmental Concern (ACEC) on top of the existing ANCSA withdrawals. The RMPs have not been finalized, but the apparent intent is to use the existing land withdrawals to impose special management prescriptions, something which would otherwise require Congressional action.

The ACECs are an administrative designation authorized under Federal Land Policy Management Act (FLPMA). These areas must meet certain criteria identified in BLM policy that qualifies them for special management attention (i.e. management prescriptions that protect significantly important values, resources, natural systems or processes, or public health and safety). However, the criteria are being loosely interpreted and have resulted in highly discretionary potential ACEC designations that are extensive in size and suffer from a lack of supporting documentation and inadequate justification for designation. BLM offers no explanation for why existing authorities and outcomes under FLPMA, the National Environmental Policy Act (NEPA), Clean Water Act, or Alaska National Interest Lands Conservation Act (ANILCA) conservation designations do not adequately protect resource values.

To further confound the development and implementation of BLM's existing land management and planning processes, additional and duplicative layers of agency oversight and enforcement is developed via emerging policies that are seemingly exempt from good public process or environmental reviews. One example is BLM's draft National Petroleum Reserve-Alaska (NPR-A) Regional Mitigation Strategy (RMS), which currently reaches beyond BLM-managed lands into private, state and tribal lands and establishes an approach similar to compensatory mitigation requirements under Section 404 of the Clean Water Act. The new policy is duplicative of other regulatory authorities, as well as expands existing discretionary authority under FLPMA to mitigate for project impacts through permit stipulations by authorizing BLM to accept monetary compensation to mitigate for resource impacts.

BLM's efforts to accelerate the implementation of a mitigation strategy is called for in the Presidential Memorandum (the "Memo") issued November 3, 2015 and entitled, "Mitigating Impacts on Natural Resources from Development and Encouraging Related Private Investment." It is concerning that the Memo is calling upon the federal agencies to achieve new mitigation goals when existing mitigation requirements already impose significant challenges to both regulators and developers in Alaska. The Clean Water Act section 404 mitigation program administered by the Army Corps of Engineers (the "Corps") and the Environmental Protection Agency (EPA) has repeatedly been cited for its inefficient and sometimes impractical implementation in Alaska.

The Memo on mitigation is another demonstration of poor planning and premature regulatory enforcement or action via incongruent policies where a transparent and coordinated rulemaking processes should have been allowed. The potential impacts of the uncertainty and potential impacts on non-federal lands is a pronounced concern in Alaska where the composition of private land ownership (12.1%) is small when compared to federal (63.8%) and state (24.1%) owned lands.

This Memo is only one of many examples that comprise a larger suite of seemingly never ending new federal policies to address goals or objectives that are rarely clearly defined. While many of these initiatives might include admirable intentions, the planning efforts, stakeholder outreach, and public process to help inform federal policies before "going live" repeatedly falls short. Often times, these emerging policies aim to reach lofty and seemingly unrealistic goals that rarely fit into and potentially contradict existing federal laws and processes within the regulatory framework.

There is growing concern from Alaskans that our abilities to inform national level interests that directly affect Alaska's interests are often limited and our voices disregarded as a plethora of new directives, initiatives, and federal policies are implemented and enforced. Alaska has repeatedly raised concerns when national-level policies are developed in a vacuum and with the aim of producing "one-size-fits-all" solutions that cannot account for state, regional, and local needs and considerations.

The State of Alaska has long raised our objection to blanket moratoria, restrictions, and offshore lease sale delays. With the vast resource potential of the Chukchi Sea and increased exploration of state submerged lands in Cook Inlet and the Beaufort Sea, conducting more leases on federal OCS lands is critical and would encourage interested parties to consider exploratory programs to assess the resource prospectivity on offshore, state submerged, and adjacent federal OCS lands. It remains critical for the oil and gas potential of Alaska's offshore leasing areas to be utilized on the nation's behalf – we need to keep open the available opportunities to explore its resource potential, particularly considering the close proximity to the producing Alaska North Slope fields and Trans-

Alaska Pipeline System (TAPS). Given the concerning decline in TAPS production, keeping the Beaufort Sea leasing area available for leasing should be underscored as a significant opportunity and mutual interest in meeting our national energy and security needs.

Senator Murkowski, thank you for the opportunity to provide input on examining Alaska's resource development potential to create jobs and strengthen national security. We appreciate your efforts to pursue federal legislation that would address the many obstacles we face as they relate to sustainable resource development. We appreciate your steadfast commitment and support to seek regulatory reform to improve and make more reliable, consistent, and transparent the many federal land management decisions, regulations, and policies that have created regulatory uncertainty for developers operating in Alaska. We support your efforts to advance legislation, including S. 2011, that would streamline OCS permitting processes and make available the vast offshore resources that are critical to sustain state and national economies and energy security.

In closing, we offer the following recommendations for your consideration to help address the challenges described in this testimony.

The federal agencies should:

Conduct a formal rulemaking process when advancing new policies that impact existing agency oversight as established in existing federal law, regulation, or policy. This approach would better satisfy the requirements of the Administrative Procedure Act (APA).

Conduct a National Environmental Policy Act (NEPA) review when advancing new policies that require federal agencies to take a major federal action. Conducting NEPA is necessary in order to fully understand the cumulative social, economic, and environmental impacts resulting from policy development. Absent a NEPA review, the public process is limited particularly when agencies attempt to develop policies that do not adhere to a formal rulemaking process.

Conduct a regulatory cost analysis of proposed regulations, regulatory amendments, or emerging policies to understand and publicly report the additional cost burden to developers and taxpayers that may result from agency actions.

Consult state and local agencies meaningfully to gain procedural and regulatory knowledge and lessons learned when developing new policies or initiatives. Consultation at the state and local level is critical to help inform national-level policy setting and decision-making.

Public comment to Senate Committee on Energy and Natural Resources
Fairbanks Field Hearing March 28, 2016

Wednesday, April 6, 2016

My name is Stefan Milkowski and I live in Fairbanks. Thank you for the opportunity to provide written testimony to the Committee on Energy and Natural Resources.

I've had the opportunity to work on the Slope and was truly impressed at the environmental protections in place there, including the use of gravel pads and duck ponds and restrictions on tundra travel. I am convinced that with the right precautions, oilfield development can be done with little damage to the land in certain places.

But the far more important threat is that of climate change. I do not blame oil companies for causing climate change, and I recognize we cannot stop climate change by restricting development in Alaska. But I do think climate change is relevant to the committee's hearing because it would be irresponsible and self-defeating to bet the state's future on an industry that we as a nation need to be shifting away from. Ironically, Alaska needs that transition at least as much as anywhere.

There are a lot of costs associated with climate change, from the effects of thawing ground, increased coastal erosion, and changes in precipitation patterns, not to mention things that are hard to put a price on but still have great value, including healthy fish stocks, abundant game, and healthy forests. It's increasingly clear that climate change will have severe impacts to our economy, to public health, and even to national security. The way we're living is causing a lot of harm to ourselves and others, and I believe we have an obligation to act.

I think some of the hesitation to act, at least here in Alaska, comes from our dependence on the oil industry for our economy and for state revenues. But major oil companies, including Exxon Mobil, BP, and ConocoPhillips, all support putting a price on carbon emissions. There's also good evidence that a tax on carbon pollution would actually create jobs, as new technologies are developed and implemented.

The other big reason is the concern that addressing climate change will increase energy prices. But there's a way to protect Alaskans against this, too. If all the revenues of a tax on carbon are returned equally to all U.S. citizens, two thirds will actually come out ahead. That is, they will receive dividends that are larger than any increase in energy costs they will face. A study by UAA's Institute for Social and Economic Research looking at three rural districts in Alaska found that the vast majority of residents would come out ahead (Benefits and Costs to Rural Alaska Households from a Carbon Fee and Dividend Program, August 2015).

I urge the committee, and you, Senator Murkowski, to seriously consider legislation that will substantially reduce greenhouse gas emissions. Alaskans are already paying for impacts of

climate change and these costs will only grow. A revenue-neutral fee and dividend is a business-friendly approach that relies on market forces rather than regulations or subsidies.

Alaska – maybe more than anywhere else – needs dramatic action on climate change. I hope that you will consider the costs Alaskans are already paying, and also the benefits that could accompany a transition toward a cleaner energy economy.

Thank you for your consideration.

Stefan Milkowski

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Monday, March 28, 2016

Senator Murkowski,

And to all those gathered at the Field Hearing held at the Pipeline Training Center today to examine opportunities in Alaska resource development,

Our state has a goal of 50% electric generation from renewable sources by 2025. As a whole, Alaska already produces over 28% of our electricity with water, wind, and other renewable energy sources and has seen a 20-fold increase in wind power generation since 2007. Kodiak generates over 99% of it's power from renewable energy sources. They are now switching from oil to electric heat pumps to heat their homes (as they are in Seward and Juneau as well).

Solar energy has grown considerably across the state, from the Northwest Arctic Borough to Copper Valley. In Fairbanks the Golden Valley Electric Association is exploring a community solar project.

This is where the world is headed and Alaska is extremely well positioned to lead it with abundant renewable resources, a skilled work force and splendid northern engineering know-how to develop the technologies that can lead America toward a low-pollution future and energy independence. Last year Mark Jacobson at Stanford created a 100% renewable roadmap for Alaska. We have a solar resource comparable to Germany, geothermal resources suitable for geothermal power projects, over 90% of the nation's river current and tidal energy resources, and outstanding wind resources.

Our Arctic neighbors are already doing this. Finland has a 100% renewable energy plan. Russia recently completed renewable energy system modeling, it's one of the most energy-competitive regions. Canada created a transition pathway towards a low carbon future. 144 countries currently have renewable energy policy targets.

Refocusing investment on renewable energy providers would shift oil and pipeline workers to building energy production systems that take advantage of Alaska's renewable energy potential. The transition to a low-carbon society and economy will enhance prosperity and well-being, modernize infrastructure, develop regional renewable energy sources, and create new businesses and new jobs in a diversified, innovative, knowledge-based economy.

According to research published Thursday 24 March in "Global Trends in Renewable Energy Investment 2016:"

2015 produced a new record for global investment in renewable energy. The amount of money committed to renewables excluding large hydro-electric projects rose to \$285.9 billion, that was more than double that of new coal and gas generation.

Thank you for your attention,

Eric Schaetzle

Saturday, January 30, 2016

An Alaskan roadmap to 100% Renewable Energy

Historically, when renewable energy becomes a cost competitive option people make the switch from fossil fuels. Today, many US cities, like Burlington, Aspen, and Juneau meet a significant percentage of their energy needs from hydropower, a technology that became cost effective long ago. Wind power improved later, allowing other cities, like Greensburg, KS, to tap into this rapidly growing market.[1] Today the most recent and rapid growth is in solar. The prediction is that it will meet an increasingly large percentage of energy demand in the future as entire cities and regions move toward renewable energy.[2],[3] The emergence of SolarCity and other big players in the renewable energy scene illustrate the tremendous growth opportunities for private industry. As improvements in renewable energy continue, improvements in building performance, weatherization, and energy conservation and efficiency compliment them.[4],[5],[6] The potential for Alaska to realize gains in these areas as well has been widely recognized.

Seven years ago, in January 2009, Gov. Palin asked Alaskans to focus on obtaining 50% of our electric generation from renewable sources by 2025,[7],[8] an announcement that accompanied the release of a new document from the Alaska Energy Authority titled "Alaska Energy: A first step toward energy independence." [9] Unfortunately, Alaska Energy didn't provide a road map for how to reach this goal. At the time, Alaska's "50 by 2025" goal was on the cutting edge; suggesting a higher target of 100% renewable energy would have been dismissed as not only impractical, but impossible to reach. Yet a few years earlier, in 2007, Kodiak Island, Alaska began a multi-phased, step by step approach that by 2014 culminated in their electric grid generating 99.7% of it's power from renewable energy sources.

Today, advancements in clean energy and integration technologies (known as "smart grid") have spurred explosive growth in the number of cities, states, and countries planning and working toward 100% renewable energy goals. Those of us watching from the sidelines have been forced to revise our beliefs about what is possible. It no longer takes a visionary to embrace such a goal, just a leader with enough common sense to see where the world is headed.

An expanding role

In 2015 the "Solutions Project," led by Mark Jacobson at Stanford, did in

fact create a 100% renewable roadmap for Alaska. The plan identifies energy sources of 70% wind, 15% hydro, 7% geothermal, and 6% solar to enable a staged shift in all energy sectors (electricity, transportation, heating/cooling, and industry) to renewable sources.[10] Jacobson's plan includes a 30% decrease in power demand gained by converting from combustion to electricity and end-use energy efficiency improvements. It also accounts for electricity and heat storage.[11] Since Alaska has a solar resource comparable to Germany (Fig. 1), currently the fifth largest producer of solar energy in the world,[12] Jacobson's proposed energy mix could be adjusted to include a higher ratio of solar. Erin Whitney at the Alaska Center for Energy and Power, for example, has noted that "solar is the most untapped resource in our state." [13] As prices for PV panels drop, solar energy generation has grown considerably across the state, from the Northwest Arctic Borough to Copper Valley.[14] In Fairbanks, for example, the Golden Valley Electric Association is exploring a community solar project.[15],[16]

There are other examples of what a more developed plan to move to 100% renewable energy might look like. San Diego energy expert Bill Powers developed one such plan for four heavily populated Bay Area Counties in California. Bay Area Smart Energy 2020 (BASE)[17] uses proven low cost technologies to convert the electric grid to renewable sources through energy conservation and efficiency, demand response, and local, distributed renewable energy supplemented by a few strategically placed utility-scale renewable energy projects and community scale storage. Clearly, there are substantial differences between the climates of Alaska and California. We can't "copy and paste" the BASE 2020 plan for our state, but otherwise Powers' nuts and bolts approach is what we need in Alaska.

The litmus test for an Alaskan renewable energy plan will be its ability to deliver power under the most demanding conditions, such as an Alaskan winter, but other Arctic regions haven't found this to be an obstacle. As part of a "Neo Carbon Energy" project, Christian Breyer and associates from the Lappeenranta University of Technology in Finland, at a similar latitude as Alaska, created an economically viable 100% renewable energy plan that relies on a highly flexible system design and dramatic increases in wind and solar generation capacity.[18],[19],[20] Recently this same team completed renewable energy system modeling for Russia, and found it to be one of the most energy-competitive regions.[21] Similarities between Finland and Russia and the climate and geography of Alaska are apparent.

In fact, the Alaska Energy Authority found that Alaska has "some of the best renewable resources in the world" and collaborated with the Renewable Energy Alaska Project to create a "Renewable Energy Atlas of Alaska." [22] They

identified four distinct geothermal resource regions suitable for large-scale geothermal power projects. Alaska has over 90% of the nation's river current and tidal energy resources. Western and coastal regions of the state have wind resources that are rated "excellent" and "outstanding." [23]

Geothermal and hydroelectric energy are "base load" -- that is they produce the minimum amount the electric grid has to have to operate at any given time. [24] Combined with wind, solar, energy storage, greater efficiency, improved high-voltage direct current (HVDC) technology, [25] and demand response, Alaskans would have no problem getting through the harshest winters. Evidently, such was also the conclusion of the Finnish researchers for their country.

The obstacles to a 100% renewable energy plan are not the cold and dark of winter, but rather, policies that disincentivize renewable power generation [26], [27] and limit demand response. Thankfully, the Regulatory Commission of Alaska is looking to restructure the Railbelt grid with the creation of an Independent System Operator that would dispatch energy more efficiently and set a universal transmission tariff. [28], [29], [30], [31]

Today the energy sector is driven more by improvements in technology and shrinking costs than improvements in resource extraction. Consequently, economic growth is no longer dependent on fossil fuel production. The shift has only begun to ripple across the globe, though we are feeling its direct effects here in Alaska. If we remain bound to the older model of extraction, we will miss being part of the emerging economic development paradigm. We don't have a roadmap to a 100% renewable future yet, but that's not for lack of reason, and it's becoming increasingly apparent it's not for lack of ability either.

Incentives for growth

The clear message of the Paris agreement is that the age of fossil fuels is drawing to a close. Policies that internalize the environmental and public health costs of carbon pollution, such as carbon pricing schemes and, in the US, the Clean Power Plan, will favor renewable energy and spur investment in and development of clean technology, promoting greater adoption and lowering costs. [32] It's important to take into account these current and future changes to tax and energy policy when considering what our future energy infrastructure should look like.

The research and technical experience in putting a renewable energy

plan into practice could expand our growing role in the \$20 billion global industry in next generation clean technology as other regions of the globe move in the same direction. Recognizing this potential for their own country, Iceland built a knowledge export economy around geothermal resources.[33] To date, 144 countries currently have renewable energy policy targets.[34] With no sign of this trend slowing,[35] Iceland made a wise investment.

Even without a mandatory goal or policy incentives, renewables are expanding in Alaska.[36] In 2014, we produced 28% of our electricity with water, wind, and other renewable energy sources.[37] Between 2007 and 2014 we saw a 20-fold increase in wind power generation.[38] Through the vision of its residents and collaboration with industry leaders, Kodiak residents saved millions in annual fuel costs and lowered ratepayer electric bills when they reached 99.7% renewable power generation. Residents are now beginning to switch from oil to electric heat pumps to heat their homes.[39],[40] In Kotzebue, wind power is already providing 20% of average electricity demand, saving the community \$900,000 in 2014 alone.[41] There are many more examples besides these.

According to the Alaska Center for Energy and Power, more than 70 of Alaska's 200 microgrids have integrated renewable power into the mix,[42] and there's plenty of room left to grow. In their recent Alaska Dispatch News commentary, Meera Kohler and Gwen Holdmann pointed out that Alaska has "the highest per capita investment in renewable energy technology of any state." [43] This research is driven, in part, by the overarching vision of reaching our "50 by 2025" goal and a desire to lower the cost of energy for all Alaskans.

One thing is obvious, whether we have a roadmap or not, this is the direction Alaska is moving. But without a plan the process of transformation will take longer and be less efficient.

Conclusion

As Alaska reels from climate change and collapse of the oil markets, now is the time to embrace a 100% renewable energy goal. By make a binding commitment we guarantee a renewable future for Alaska and Alaskans that demands a comprehensive and detailed roadmap. Our economy has nothing to lose from a big push in the growth of renewable energy. Our world-class fishing and forest products industries and rural communities are struggling to understand and keep up with rapidly escalating impacts from climate change,[44],[45],[46],[47] effects caused directly by greenhouse gas emissions

entering our oceans and atmosphere. Alaska's mining industry will continue to be needed to supply the raw materials to build a clean energy economy, whenever recovering these from our waste stream is not possible.[48] A renewable plan for Alaska, by itself, would represent no threat to our oil and gas export industry, as the market for that resource is predominately influenced by factors beyond our control. Even Norway, which generates 98% of its electricity from renewables, remains one of the world's largest oil exporters.

To fit real numbers to a plan, to identify efficiency potentials, prime renewable energy development and growth potential, and best practice policies and financial incentives, we need to gather state energy specialists, our utilities, and national organizations and experts like Bill Powers and Mark Jacobson together. All Alaskans should be a part of a state level dialogue about our energy future so we can discuss options, get community input, share ideas and benefit from our shared experience. It's good for the environment, good for the economy, and provides Alaskans energy free from the boom and bust cycle of the oil economy.

Eric Schaetzle* & Ceal Smith**

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[49] This map was created by the National Renewable Energy Laboratory for the U.S. Department of Energy (Used by permission).

